



ANNUAL COMPREHENSIVE FINANCIAL REPORT

City of Boulder, Colorado
for the fiscal year ended December 31, 2021

CITY OF BOULDER, COLORADO

Annual Comprehensive Financial Report

For the fiscal year ended

December 31, 2021

Prepared by the Finance Department

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City of Boulder
Finance Department
1777 Broadway
Boulder CO 80301
303-441-3057

June 24, 2022

To: Members of the City Council,
City Manager Nuria Rivera-Vandermyde and the Residents of the City of Boulder

Both the City of Boulder Charter and State law require that an audit of city financial records be conducted each year by an independent certified public accountant. Such an audit has been performed and this report is being published as part of the requirement for the fiscal year ended December 31, 2021.

Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal controls that has been established for this purpose. Because the cost of internal controls should not exceed anticipated benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements are free from any material misstatements.

CliftonLarsonAllen LLP, has issued unmodified (“clean”) opinions on the City of Boulder’s financial statements for the year ended December 31, 2021. The independent auditors’ report is located at the front of the financial section of this report.

Management’s Discussion and Analysis (MD&A) immediately follows the independent auditors’ report and provides a narrative introduction, overview, and analysis of the basic financial statements. The MD&A complements this letter and should be read in conjunction with it.

PROFILE OF THE GOVERNMENT

The City of Boulder is located in north central Colorado, approximately 25 miles northwest of Denver via the Denver-Boulder Turnpike (U.S. 36). The city is located at the base of the foothills of the Front Range of the Rocky Mountains at an altitude of 5,354 feet. Nestled at the foot of the Rockies, Boulder has a special beauty that is complemented by its diverse culture. Boulder has a diverse economy that is supported by computer, aerospace, scientific and research firms, the University of Colorado, and several federal laboratories.

Superior educational and cultural resources make Boulder a fulfilling place to live, work, and play. The city encompasses approximately 25.8 square miles and is the county seat of Boulder County. The population of the city per the 2020 U.S Census is 104,175.

The City of Boulder is a municipal corporation duly organized and existing under the laws of the State of Colorado. In particular, the city is a home rule city and adopted a charter pursuant to Article XX of the Constitution of the State of Colorado by vote of the electorate on October 30, 1917.

The council/manager form of government was adopted in the city's charter and has been in operation since January 1918. The City Council, an elected body of nine members, is the policy-making arm of the government. Eight of the members of the City Council are elected for staggered four-year terms and one is elected for a two-year term, with five council members elected in November of each odd-numbered year. A City Manager, appointed by the City Council, serves as the city's chief administrative officer.

The city provides a full range of services. These services include police and fire protection; cultural and recreational facilities and events; open space and mountain parks acquisition and maintenance; environmental services; housing and human services; construction and maintenance of highways, streets and infrastructure; water, wastewater, and storm water/flood control utilities; and parking facilities and services.

Certain parking facilities and transportation management services are provided through legally separate entities, Downtown Commercial District, University Hill Commercial District, Boulder Junction Authority General Improvement District-Transportation Demand Management, and the Boulder Junction Improvement District. In addition, acquisition and construction of certain city properties and facilities is provided by Boulder Municipal Property Authority. These separate entities function, in essence, as separate departments of the City of Boulder, are governed by the City Council acting as the Board of Directors and have therefore been included as blended components of the City of Boulder's financial statements.

Budgetary Process

The City Charter includes provisions for proper budgeting, fiscal control, and auditing. It requires the establishment and maintenance of a budgetary control system for general operations. The objective of budgetary control is to ensure compliance with legal provisions embodied in the annual appropriated budget, approved by the City Council, which serves as the foundation of the city's financial planning and control. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the fund level. The city budgets revenues and expenditures/expenses for all funds except the two Old Hire Pension Trust Fiduciary Funds.

The city has implemented an annual budget process and adopts the coming year's budget by December 1, as provided by City Charter. The City of Boulder Charter established the time limits pertaining to the adoption of the budget. The budget process and schedule of development is designed to fit within the Charter mandate and to allow for active and early participation by the City Council, with an emphasis on public input. The city's budget is developed throughout the year, but the bulk of the effort occurs during a nine-month period beginning in February and ending in October. The budget and annual Appropriation Ordinances for the ensuing term are generally adopted in October during public hearings.

Any budget revisions affecting fund totals are adopted in a supplemental appropriation ordinance approved by the City Council. The City Council may make additional appropriations or budgetary

transfers during the fiscal year for unanticipated revenues received by the city. City management, with the approval of the Central Budget Office, may also transfer budgeted amounts within a fund without City Council approval. All appropriations lapse at year end.

Detailed budget to actual comparisons are provided in this report for the General Fund and all annually budgeted special revenue and capital project funds.

FACTORS AFFECTING FINANCIAL CONDITION

Actual sales and use tax revenues for the City increased by 13.53% from 2020. During 2021, Retail Sales Tax was up 20.10%, Business/Consumer Use Tax was down 5.01%, Construction Use Tax was down 22.23%, and Motor Vehicle Use Tax was up 22.06%. Accommodations Tax increased 94.35% over 2020 and Short-Term Rental Tax increased 103.13% over 2020.

Sales and use tax revenues in 2021 made up approximately 47% of the General Fund, 96% of the Open Space and Mountain Parks Fund and 73% of the Transportation Fund total revenues.

The property tax base for 2021 was appraised at the 2020 actual value. The assessed valuation for property within the City of Boulder increased from \$4.028 billion in 2019 to \$4.038 billion in 2020, or .25%. Taxes levied against the 2020 assessed valuation will be collected in 2021. Since 2012, with voter approval the City is not subject to the Taxpayer Bill of Rights (TABOR) spending limitations except for the UHGID and CAGID Funds.

Projections for the Future

According to “The Colorado Outlook Report”, released March 17, 2022, Colorado, and the nation’s economic recovery from the 2020 recession continues, but emerging challenges cloud the outlook. While economic activity has reached and exceeded pre-pandemic levels, employment has yet to fully recover in several service industries hit hardest by the pandemic, and inflationary pressures continue to mount. The “Great Reconsideration” continues in labor markets, with elevated quits, retirements, and job switching. Workers are slowly increasing hours and taking on additional jobs, yet work is slow to normalize, and employers are struggling to find needed help. While the tight labor market is producing sizable wage gains, many households are increasingly drawing down savings, as inflationary pressures are outpacing wage hikes for most.

Pandemic-related challenges have been compounded by emerging risks, including accelerating inflation and the war in Ukraine. As inflationary pressures mount, the Federal Reserve hiked interest rates 25 basis points in March, and additional increases are expected throughout the year. While this forecast assumes a smooth transition toward tighter monetary policy, efforts to rein in inflation could come at the cost of economic growth and may be a source of volatility in financial markets. High inflation is expected to erode business profits and mute consumer activity in 2022, while higher interest rates will slow economic activity over the longer term.

Risks to the forecast are skewed to the downside, with an elevated risk of recession during the forecast period given geopolitical uncertainty and evolving monetary policy to address high inflation.

The change in March 2022 year-to-date sales and use tax revenue, compared to March 2021 year-to-date is as follows:

TAX CATEGORY	% CHANGE IN REVENUE Increase/(Decrease)	% OF TOTAL
Sales Tax	15.68%	76.54%
Business/Consumer Use Tax	(0.28%)	7.60%
Construction Use Tax	60.86%	10.83%
Motor Vehicle Use Tax	(1.85%)	3.99%
Recreational Marijuana Tax	(19.55%)	1.04%
Total Sales & Use Tax	16.46%	100.00%

The following information analyzes the results of the above sales and use tax chart:

- Sales Tax – Actual retail sales tax revenue increased 15.68% through March 31, 2022, compared to March 31, 2021. March 2022 revenue also includes a significant increase in sales tax revenue received from Marketplace Facilitators contributing to the overall increase.
- Business/Consumer Use Tax – Revenues decreased 0.28% from March 31, 2022, compared to March 31, 2021. This category can be volatile as it is associated primarily with the amount and timing of capital asset purchases by businesses in the city and the amount and timing of audit revenue. A significant portion of this amount is one time in nature and is not expected to reoccur in future months.
- Construction Use Tax – This category increased 60.86% from March 31, 2022, compared to March 31, 2021. This is another volatile tax category as it depends upon the number and timing of construction projects in any given period. Revenue in this category assumes “base” number of projects will continue indefinitely. Revenue from large projects above the base is considered one-time revenue used for one-time expenses.
- Motor Vehicle Use Tax decreased by 1.85% year to date 2022. Vehicles purchased by Boulder residents are subject to a 3.86% use tax. If sales tax is not paid at the time of purchasing a vehicle, a Motor Vehicle Use Tax is due at the time a vehicle is registered or titled to an address within the city.
- Recreational Marijuana Tax - Revenues decreased by 19.55% from March 31, 2022, compared to March 31, 2021.

The most current City revenue report can be found at the following website: <https://boulder.colorado.gov/revenue-reports>

YTD December 2021 sales tax revenue (including audit revenue and the additional 3.5% recreational marijuana tax) increased by \$19,720,235 (or 19.0%) when compared to YTD December 2020. This increase, while significant compared to YTD December 2020, results in a compound annual growth rate of 4.4% compared to 2019. Much of this growth in sales tax is attributable to the adoption of the Marketplace Facilitator ordinance in October 2020, which resulted in over \$3.5 million of new revenue in 2021.

The Boulder economy has shown signs of recovery from the COVID-19 Pandemic. In 2021 as revenues increased compared to 2021 budgeted amounts and the City received approximately \$10 million in American Rescue Plan Act funding the City looked to restore services to residents and increase staffing to offer more of the desired and needed programs to our citizens.

In the coming year the city will continue to prioritize renewal and restoration, with a goal of bringing relief to our community and stretched employees. The City seeks to return the services that have the highest impact on those who live, work, and visit Boulder, while also recognizing that new issues and needs have emerged as a result of COVID-19.

Below is a table with actual percentage changes in sales and use tax for 2020 and 2021, along with the 2022 sales tax projections for the City of Boulder as well as actuals and projections for consumer prices, unemployment rate and personal income from the Colorado Office of State Planning and Budgeting:

Forecast	2020 Actual	2021 Actual	2022 Projected
Base Sales/Use Tax - City of Boulder	(4.35%)	13.53%	8.80%
Denver-Aurora-Lakewood Consumer Price Index	1.95%	3.54%	7.00%
Statewide Unemployment Rate	6.90%	5.40%	3.90%
Statewide Personal Income Growth	5.70%	8.20%	1.80%

THE IMPORTANCE OF SOUND STRATEGIC PLANNING

The following narratives were extracted from the 2021 and 2022 Annual Budgets:

The Boulder community has long been a leader in collaborative strategic planning and proactive long term financial planning. The city developed a Sustainability + Resilience Framework and a Boulder Valley Comprehensive Plan that aligns with that framework. Through the adoption of a Sustainability + Resilience Framework, the city has identified several outcomes necessary for Boulder's vision of a great community.

The Boulder Valley Comprehensive Plan, Department Master Plans and Strategic Plans, and Subcommunity or Area Plans are then developed to align with and support the achievement of these outcomes. Together, they inform development standards, fiscal policies, financial policies, and resource allocation through the annual budget process. Recent adopted or approved master plans include Library, Transportation, Open Space & Mountain Parks, and Fire-Rescue. Facilities, Police and Parks & Recreation master plans or master plan updates are now underway or kicking off shortly. Management is committed to better considering and incorporating future financial impacts of adopted goals and strategies during the planning process to ensure plans align with available and future resources.

During 2021, the city continued to implement the financial policy of using one-time revenue only for one-time expenditures, which has served the city well during economic downturns.

MAJOR INITIATIVES

In late 2018, The Colorado Department of Local Affairs (DOLA) awarded the City of Boulder a \$140,000 disaster recovery planning grant to help build greater resilience, with more robust and flexible systems for budget decision making, service delivery model optimization, and to create a framework for the continuous measurement and evaluation of services/programs over time through key performance indicators with an emphasis on resilience. The city hopes that this new, innovative approach to budgeting will replace former tools and allow for better performance metrics, higher level of collaboration, and a more transparent approach to the budget as it aligns with community goals.

The 2022 Capital Improvements Program (CIP) includes proposed funding of \$158 million. The entire six-year (2022-27) CIP includes proposed funding of \$684 million for discrete projects as well as categories of funding for ongoing needs (e.g., local drainage improvements, major trail maintenance). The city is spending the majority, over 93% of its 2022 capital funds on capital enhancement and maintenance of its existing assets, 1% on land and asset acquisition, 5% on new capital projects and less than 1% on capital planning. CIP funding varies year to year depending on the type and cost of projects recommended for funding in that year and the amount of external funding received. Highlights of the six-year plan include \$154.7 million for Water Utility related projects, \$135.5 million for Storm Water and Flood Utility related projects, \$140.5 million for Wastewater Utility related projects, \$79.5 million for Transportation related projects and \$17.5 million for Open Space related projects.

On Nov. 2, 2021, City of Boulder voters overwhelmingly approved a 15-year extension of the Community, Culture, Resilience and Safety Tax (CCRS). The extension is expected to generate about \$11.5 million annually to finance projects that support community safety and well-being and provide funding to several community nonprofits. More information on these projects can be found at the City's website (<https://bouldercolorado.gov/projects/community-culture-and-safety-tax>). The City of Boulder capital improvement program is available online on the city's website (<https://bouldercolorado.gov/services/capital-improvement-program>).

OTHER FINANCIAL INFORMATION

Debt Ratings

During 2021, the city's general obligation credit ratings were reaffirmed as Aa1 by Moody's Investors Service and AAA by Standard & Poor's. The primary reasons cited for these high rating levels were the general strength of the Boulder economy, its distinctiveness from the general Denver metropolitan economy, and the lesser reliance of the city's General Fund on sales taxes when compared with other Colorado municipalities.

CERTIFICATE OF ACHIEVEMENT

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the city for its Annual Comprehensive Financial Report for the fiscal year ended December 31, 2020. This was the thirty-second consecutive year that the city has achieved this prestigious award and the thirty-ninth year

in total. In order to be awarded a Certificate of Achievement, a government must publish an easily readable and efficiently organized Annual Comprehensive Financial Report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

A Certificate of Achievement is valid for a period of one year only. We believe our current Annual Comprehensive Financial Report continues to meet the Certificate of Achievement Program's requirements and we are submitting it to the GFOA to determine its eligibility for another certificate.

In addition, the city also received the GFOA's Distinguished Budget Presentation Award for its 2021 budget document. In order to qualify for the Distinguished Budget Presentation Award, the government's budget document had to be judged proficient as a policy document, a financial plan, an operations guide, and a communications device.

Another important accomplishment for the City of Boulder is the Award for Outstanding Achievement for producing a Popular Annual Financial Report for the fiscal year ended December 31, 2020. This is again only valid for a period of one year and is awarded by the GFOA. This report is a useful tool for residents to obtain a greater understanding of the role of the city's government. The intent is to provide a report that is informative and easy to understand.

We are proud of this continuing commitment to provide complete and reliable information to the residents of the City of Boulder.

ACKNOWLEDGMENTS

The preparation of this report could not be accomplished without the efficient and dedicated services of the entire Finance Department staff. We would like to express our appreciation to all members of the department who assisted and contributed in its preparation. We also thank the Mayor, City Council Members, City Council Audit Committee Members, and the City Manager for their interest and support in planning and conducting the financial operations of the city in a responsible and progressive manner.

Respectfully submitted,

Anne Penney

Anne Penney
Controller

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Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**City of Boulder
Colorado**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

December 31, 2020

Christopher P. Morrell

Executive Director/CEO

CITY OF BOULDER, COLORADO

Principal Elected and Administrative Officials At

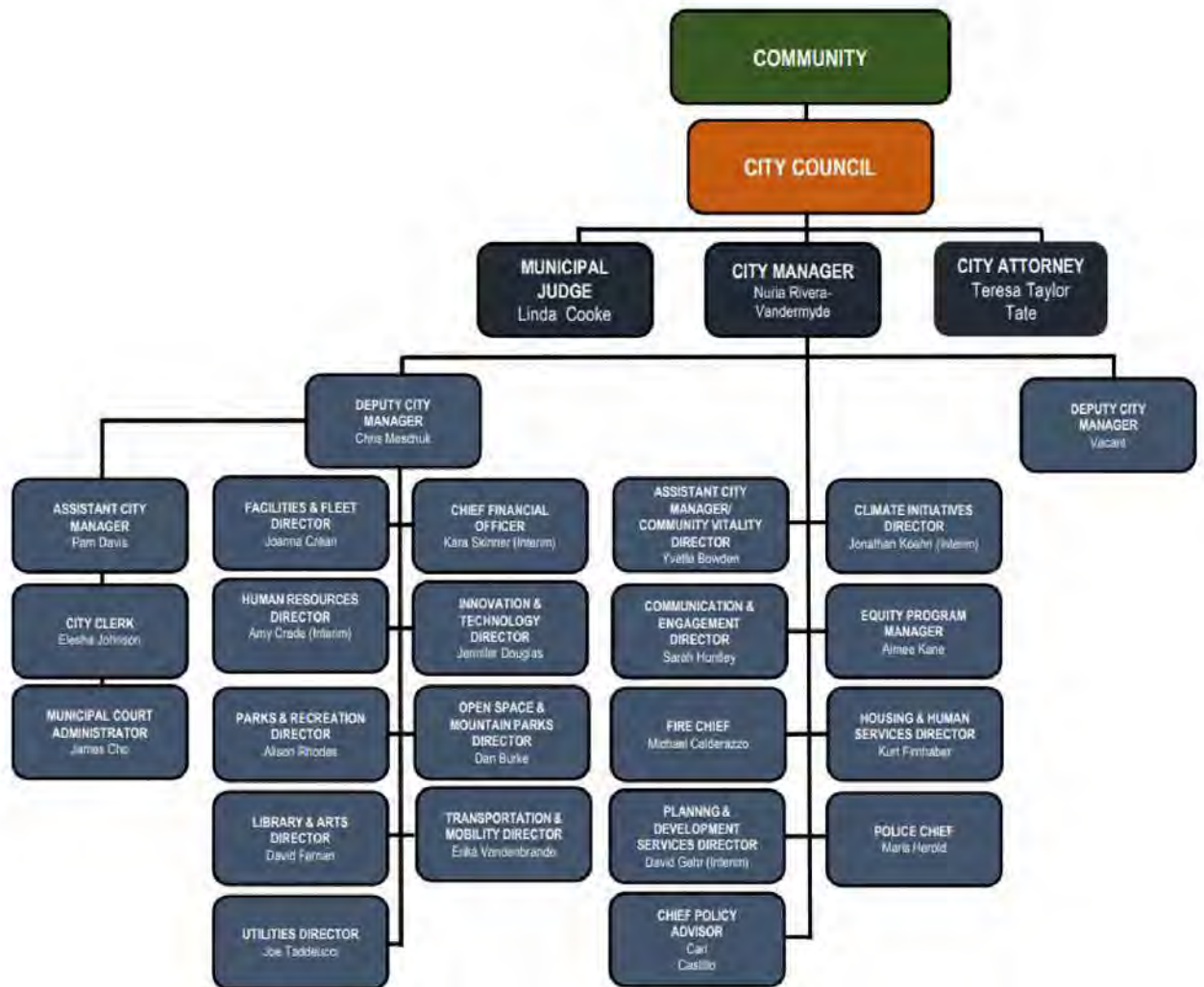
December 31, 2021

Mayor and City Council

Mayor:	Aaron Brockett
Mayor Pro Tem:	Rachel Friend
Council Members:	Bob Yates Mark Wallach Junie Joseph Nicole Speer Matt Benjamin Tara Winer Lauren Folkerts

Administrative

City Manager:	Nuria Rivera-Vandermyde
Deputy City Manager:	Chris Meschuk
Interim Chief Financial Officer:	Kara Skinner
Controller:	Anne Penney



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INDEPENDENT AUDITORS' REPORT

Honorable Mayor and Members of City Council
City of Boulder
Boulder, Colorado

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Boulder, Colorado (the City) as of and for the year ended December 31, 2021, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City, as of December 31, 2021, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison statements (budgetary basis) for the General Fund, Open Space and Mountain Parks Fund, Transportation Fund, and Boulder Municipal Property Authority Fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, pension information and other postemployment benefits information on pages 21-33 and 178-189 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The combining and individual fund financial statements and schedule and the local highway finance report are presented for purposes of additional analysis and are not required part of the basic financial statements. The schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections, but does not include the basic financial statements and our auditors' report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an ~~uncorrected~~ material misstatement of the other information exists, we are required to describe it in our report.

Honorable Mayor and Members of City County
City of Boulder, Colorado

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated June 24, 2022, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "CliftonLarsonAllen LLP". The signature is written in a cursive, flowing style.

CliftonLarsonAllen LLP

Broomfield, Colorado
June 24, 2022

City of Boulder, Colorado

MANAGEMENT'S DISCUSSION AND ANALYSIS

December 31, 2021

This section of the City of Boulder's (the city) financial statements provides a narrative overview and analysis of its financial activities for the year ended December 31, 2021. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal at the front of this report and the city's financial statements, which follow this section. All amounts within this comprehensive annual financial report are expressed in thousands of dollars unless otherwise indicated.

Financial Highlights

- The assets and deferred outflows of resources of the city exceeded its liabilities and deferred inflows of resources at the close of 2021 by \$1,440.2 million (\$855.5 million in governmental activities net position and \$584.7 million in business-type activities net position). Of the governmental activities net position total, \$76.5 million, or 9%, is unrestricted. Similarly, \$119.9 million, or 21%, of business-type activities net position is unrestricted.
- Total net position of the city increased \$107.9 million, or 8%, compared to 2020. Net position of the city's governmental activities increased \$77.2 million, which represents an increase of 10% from 2020. Net position of the city's business-type activities increased \$30.7 million, or 6%, from 2020.
- Total revenues, excluding transfers, increased \$13.8 million, or 4%, to \$392.2 million compared to 2020. Governmental activities revenues increased \$13.2 million, or 5%, to \$299.5 million, while revenues of business-type activities increased \$0.7 million, or 1%, to \$92.7 million compared to 2020.
- The total expenses of all the city's programs, excluding transfers, decreased \$27.0 million, or 9%, to \$284.2 million compared to 2020. The expenses of governmental activities programs decreased \$30.0 million, or 12%, to \$233.9 million, while the expenses of business-type activities increased \$3.0 million, or 5%, from 2020 to \$60.3 million.
- As of December 31, 2021, the city's governmental funds reported a combined ending fund balance of \$244.8 million. Approximately 59%, or \$145.3 million, is unrestricted fund balance and, therefore, available for spending at the city's discretion within the purposes specified for the city's funds.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the city's basic financial statements. The city's basic financial statements are comprised of three components: (1) government-wide financial statements, (2) fund financial statements and (3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements.

Government-wide financial statements – The government-wide financial statements are designed to provide readers with a broad overview of the city's finances, in a manner similar to a private-sector business.

The ***statement of net position*** presents information on all of the city's assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference between the four reported as *net position*. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the city is improving or deteriorating.

The ***statement of activities*** presents information showing how the city's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (for example, uncollected taxes and earned, but unused vacation leave).

Both the statement of net position and statement of activities distinguish functions of the city that are principally supported by taxes and intergovernmental revenues (*governmental activities*) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities of the city include general government, administrative services, public safety, public works including streets and transportation, planning and development services, culture and recreation, open space and mountain parks, housing and human services, interest on long-term debt and the Boulder Municipal Property Authority's acquisition of general property, open space and parks property. The business-type activities of the city include water utility, wastewater utility, storm water and flood management, parking facilities and services and property and facility acquisition.

Fund financial statements – A *fund* is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The city, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the city can be divided into three categories: governmental funds, proprietary funds and fiduciary (Pension Trust) funds.

Governmental funds. Governmental funds are used to account for essentially the same functions reported as *governmental activities* in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating the city's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the city's near-term financial decisions. Both the governmental funds balance sheet and the governmental funds statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

Proprietary funds. Proprietary funds are generally used to account for services for which the city charges customers – either outside customers or internal units or departments of the city. Proprietary funds provide the same type of information as shown in the government-wide financial statements, only in more detail. The city maintains the following two types of proprietary funds:

- **Enterprise funds** are used to report the same functions presented as business-type activities in the government-wide financial statements. The city uses enterprise funds to account for the operations of the Water Utility, Wastewater Utility, Storm Water and Flood Management and Downtown Commercial District funds. These are considered to be major funds of the city. In addition, the University Hill Commercial District and Boulder Junction GID are accounted for as non-major enterprise funds.
- **Internal Service funds** are used by the city to account for the costs of acquiring, operating and maintaining certain types of equipment and facilities, costs for city-wide insurance programs and funding for certain governmental fund compensated absences liabilities. Because these services predominantly benefit governmental rather than business-type functions, the assets and liabilities of the internal service funds have been included within governmental activities in the government-wide financial statements. Internal service funds are combined into a single, aggregated memo presentation in the proprietary fund financial statements. The internal service funds consist of Telecommunications, Property and Casualty Insurance, Workers' Compensation Insurance, Compensated Absences, Fleet, Computer Replacement, Equipment Replacement and Facility Renovation and Replacement. Individual fund data for the internal service funds is provided in the form of *combining statements* in the "Combining and Individual Statements" section.

Fiduciary funds are used to account for the accumulation of resources to be used for retirement annuity payments at appropriate amounts and times in the future. Resources are contributed by employees and the city at amounts determined by biennial actuarial studies and by State law.

Notes to the Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

Other information – In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the city's progress in funding its obligation to provide pension benefits to its police and firefighters and provide healthcare benefits for retirees.

The combining statements referred to earlier in connection with non-major governmental funds and internal service funds are presented immediately following the required supplementary information on pensions. Included are budgetary comparison schedules for all annually budgeted non-major special revenue and capital project funds.

Government-wide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of the city's financial position. Our analysis below focuses on the net position and changes in net position of the city's governmental and business-type activities.

Table 1 - Net Position (dollars in thousands)

	Governmental Activities		Business-type		Total Primary Government	
	2021	2020	2021	2020	2021	2020
Current and other assets	\$ 397,374	\$ 346,057	\$ 154,293	\$ 140,293	\$ 551,667	\$ 486,350
Capital assets	773,122	754,194	563,858	558,918	1,336,980	1,313,112
Total assets	1,170,496	1,100,251	718,151	699,211	1,888,647	1,799,462
Deferred outflows of resources	26,443	16,088	5,485	3,582	31,928	19,670
Noncurrent liabilities	187,362	225,607	117,553	133,792	304,915	359,399
Other liabilities	38,059	25,597	7,273	6,338	45,332	31,935
Total liabilities	225,421	251,204	124,826	140,130	350,247	391,334
Deferred inflows of resources	115,957	86,771	14,134	8,725	130,091	95,496
Net position:						
Invested in capital assets	679,747	655,214	464,418	450,274	1,144,165	1,105,488
Restricted	99,291	86,950	319	313	99,610	87,263
Unrestricted	76,523	36,200	119,939	103,351	196,462	139,551
Total net position	\$ 855,561	\$ 778,364	\$ 584,676	\$ 553,938	\$ 1,440,237	\$ 1,332,302

Table 1 presents an analysis of the city's net position as of December 31, 2021. The city's assets exceeded its liabilities by \$1,440.2 million at the close of the current fiscal year. By far the largest portion of the city's net position (79%) reflects its investment of \$1,144.2 million in capital assets (for example, land, buildings, transportation infrastructure, machinery and equipment, utility plant in service and underground drainage facilities), less any related debt used to acquire those assets that is still outstanding. The city uses these capital assets to provide services to the public; consequently, these assets are *not* available for future spending. Although the city's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the city's net position, \$99.6 million (7%), represents resources that are subject to restrictions as to how they may be used. The remaining balance of unrestricted net position, \$196.5 million (14%), may be used to meet the city's on-going obligations to the public and creditors.

Net investment in capital assets increased \$38.7 million, or 3%, compared to 2020. This increase is due to capital project costs related to broadband fiber backbone, western city campus redevelopment, land acquisitions and other large utility construction projects. Restricted net position increased \$12.3 million, or 14%, compared to 2020 mainly due to an increase in restricted fund balance related to capital projects. The \$56.9 million, or 41%, increase in unrestricted net position during 2021 was due to many factors. These included an increase in committed reserves for Affordable Housing of \$6.0 million, general fund reserves increases by \$14.4 million due to a significant increase in revenues in 2021 due to the increase in sales tax revenue. The increase can also be attributed to the effects of GASB 68 and GASB 75. See notes U and W

for further discussion of Pension and Retirement Plans and Other Post Employment Benefit Plans, respectively.

It is important to note that approximately \$51.7 million in governmental unrestricted net position arises from the net position of the city's internal service funds, discussed above in "Overview of the Financial Statements – Proprietary Funds." Although it is highly unlikely that these funds will be liquidated, in the event that they are, the distribution of the net position of these funds would result in a portion of these unrestricted net positions being liquidated to unrestricted net position of governmental activities and unrestricted net position of business-type activities.

Analysis of Changes in Net Position

As can be seen from *Table 2*, the city's net position increased by \$107.9 million during 2021. This increase is explained in the governmental and business-type activities discussion below.

Governmental Activities

Net position of governmental activities increased by \$77.2 million during 2020, accounting for 72% of the total increase in the city's net position. This increase was \$45.5 million more than the \$31.7 million increase in net position in 2020.

Revenues during 2021 increased by \$13.2 million compared to 2020. In 2020, the city saw a significant decrease in sales tax due to COVID-19. 2021 saw a marked increase due to the easing of COVID restrictions. As such, sales and use taxes increased \$17.4 million during 2021. Miscellaneous revenues decreased \$3.7 million. Operating grant revenue decreased \$5.2 million compared to 2020, primarily due to one-time funding for Airport Improvement Program (AIP) grant funding received in 2020. Capital grant revenue increased by \$3.7 million compared to 2020, primarily due to increased spending in CDOT funded construction projects in 2021. Interest and investment earnings decreased \$8.9 million compared to 2020, primarily due to the decreased yields on investments as interest rates were falling and a decrease in the change in unrealized gain on investments. A decrease of \$2.4 million related to the sale of capital assets was due the value of land sold in 2021 being less than that of land sold in 2020.

Expenses decreased \$30.0 million in 2021 compared to 2020. Public Works expenses decreased \$13.0 million and Housing and Human Services expenses decreased \$11.4 million. Public Works had a significant decrease in expenses related to the Airport fund as there was a significant capital project funded in 2020. Housing and Human Services saw a significant reduction in expenses in the Affordable Housing Fund, Sugar Sweetened Beverage Fund and HOME Investment Partnership fund in 2021. These reduced expenses occurred due to the timing of funding of affordable housing projects such as 30th and Pearl and a number of additional health equity fund grants given in 2020 related to COVID-19 and additional water infrastructure funding for the Ponderosa Mobile Home Park.

Table 2 - Changes in Net Position (dollars in thousands)

	Governmental Activities		Business-type Activities		Total Primary Government	
	2021	2020	2021	2020	2021	2020
Program revenues:						
Charges for services	\$ 43,120	\$ 35,249	\$ 81,569	\$ 73,377	\$ 124,689	\$ 108,626
Operating grants and contributions	14,643	19,828	-	-	14,643	19,828
Capital grants and contributions	6,639	2,895	6,469	12,676	13,108	15,571
General revenue:						
Sales and use taxes	154,694	137,340	-	-	154,694	137,340
Property taxes	47,945	47,804	1,858	1,665	49,803	49,469
Other taxes	28,699	24,423	90	81	28,789	24,504
Interest and investment earnings	(1,294)	7,592	(647)	4,017	(1,941)	11,609
Miscellaneous revenue	1,406	5,147	947	233	2,353	5,380
Gain on sale of capital assets	3,603	6,023	2,419	-	6,022	6,023
Total Revenues	299,455	286,301	92,705	92,049	392,160	378,350
Program expenses (includes indirect expenses allocation):						
Governmental activities:						
General Government	18,336	21,302	-	-	18,336	21,302
Administrative Services	9,158	8,649	-	-	9,158	8,649
Public Safety	58,827	60,699	-	-	58,827	60,699
Public Works	40,121	53,167	-	-	40,121	53,167
Planning and Development Services	15,622	17,477	-	-	15,622	17,477
Culture and Recreation	31,575	29,004	-	-	31,575	29,004
Open Space and Mountain Parks	24,699	25,702	-	-	24,699	25,702
Housing and Human Services	22,971	34,321	-	-	22,971	34,321
Interest on long-term debt	2,640	3,618	-	-	2,640	3,618
Business-type activities:						
Water Utility	-	-	27,297	24,809	27,297	24,809
Wastewater Utility	-	-	15,976	15,644	15,976	15,644
Stormwater and Flood Management	-	-	9,487	8,879	9,487	8,879
Parking Facilities and Services	-	-	6,906	7,346	6,906	7,346
Property and Facility Acquisition	-	-	610	606	610	606
Total expenses	223,949	253,939	60,276	57,284	284,225	311,223
Excess before transfers	75,506	32,362	32,429	34,765	107,935	67,127
Transfers	1,691	(689)	(1,691)	689	-	-
Increase in net position	77,197	31,673	30,738	35,454	107,935	67,127
Net position, beginning of year	778,364	746,691	553,938	518,484	1,332,302	1,265,175
Net position, end of year	\$ 855,561	\$ 778,364	\$ 584,676	\$ 553,938	\$ 1,440,237	\$ 1,332,302

Charts 1 and 2 illustrate the city's governmental expenses and revenues by function and its revenues by source. As can be seen in *Chart 1*, Public Safety is the largest function based on expenses (26%), followed by Public Works (18%) and Culture and Recreation (14%). General revenues such as sales and use taxes, property and other taxes are not shown in *Chart 1* by program but are used to support program activities citywide and included in *Chart 2*. For governmental activities, overall, without regard to program, sales and use taxes are the largest single source (51%), followed by property taxes (16%) and charges for services (14%).

Chart 1: 2021 Expenses and Program Revenues - Governmental Activities

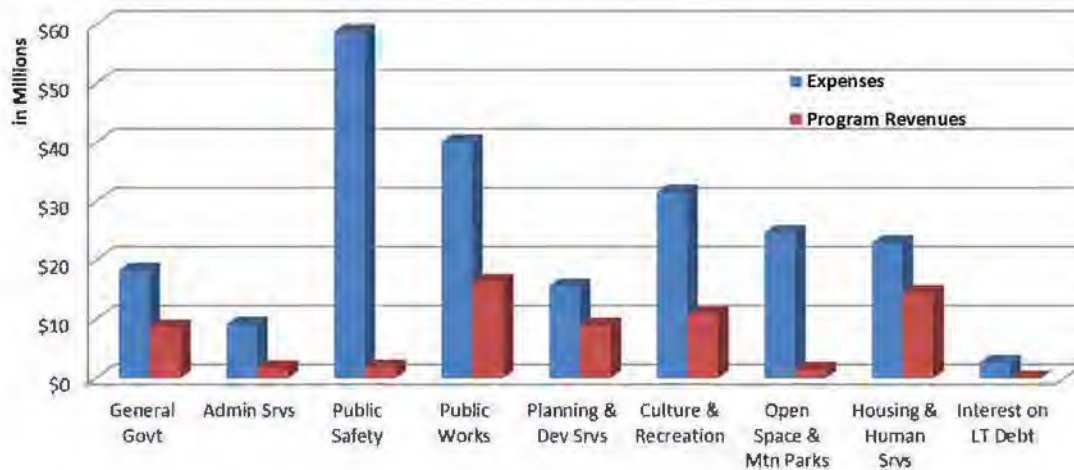
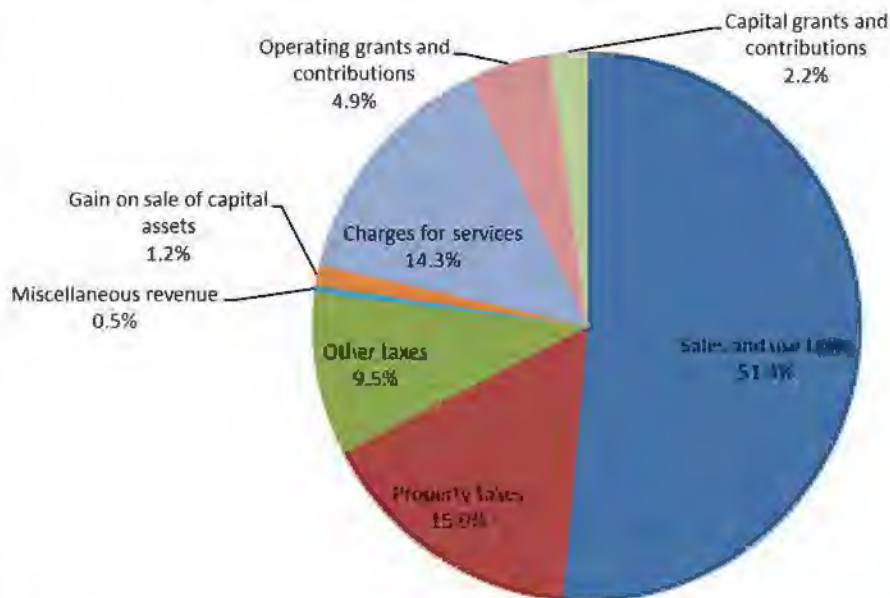


Chart 2: 2021 Revenues by Source - Governmental Activities



Business-type Activities

Net position in business-type activities increased \$30.7 million in 2021. This increase was \$4.8 million less than the \$35.5 million increase in net position in 2020.

Total business-type revenues increased \$1.9 million, or 2%, compared to 2020. Operating and capital grants and contributions decreased by \$6.2 million in 2021 mainly due to a decrease in plant investment fees in 2021.

Expenses of business-type activities increased by \$3.0 million, or 5.2% compared to 2020, mainly due to an increase in non-personnel costs driven by an increase in cost for materials, supplies and repairs.

As can be seen from *Charts 3 and 4*, the city's water utility and wastewater utility activities account for the majority of its business-type activities, representing 72% of total business-type activity expenses. Charges for services provide the largest share of revenues (88%), followed by capital grants and contributions (7%).

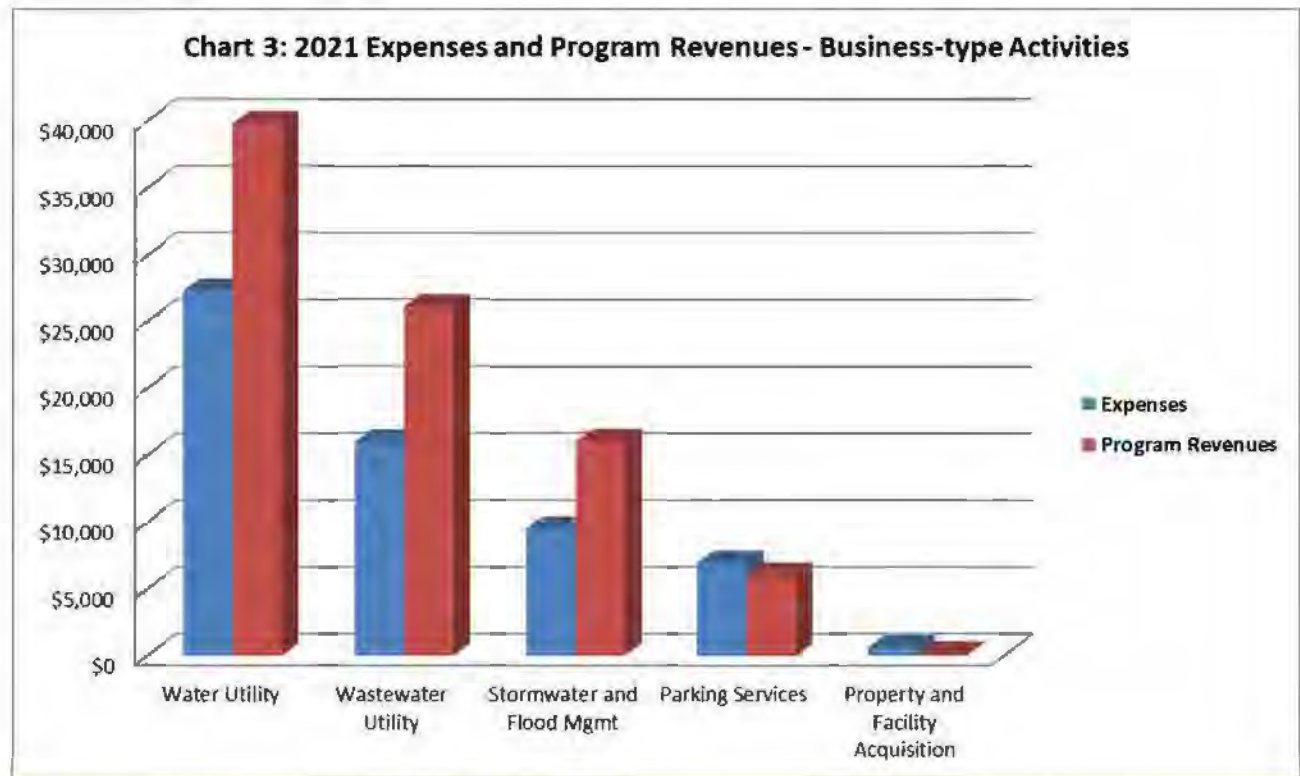
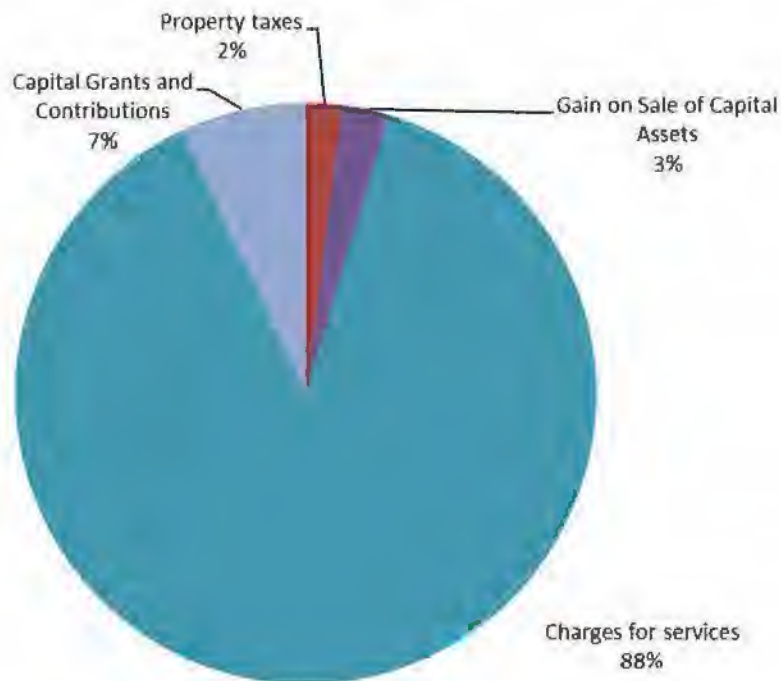


Chart 4: 2021 Revenue by Source - Business-type Activities



Financial Analysis of the City's Funds

As noted earlier, the city uses fund accounting to ensure and demonstrate compliance with finance-related requirements.

Governmental Funds

The focus of the city's governmental funds is to provide information on near-term inflows, outflows and balances of resources that are available for spending. Such information is useful in assessing the city's financing requirements. In particular, unrestricted fund balance may serve as a useful measure of the city's net resources available for spending at the end of the fiscal year. Types of governmental funds reported by the city include the General Fund, Special Revenue Funds, Debt Service Funds and Capital Project Funds.

As of December 31, 2021, the city's governmental funds reported combined ending fund balances of \$244.8 million, an increase of \$39.2 million, or 19%, from the prior year. The fund balance of the General Fund increased \$17.2 million to \$94.7 million at December 31, 2021. General Fund revenues rose by \$15.3 million to \$155.6 million as compared to 2020. General Fund expenditures decreased by \$3.7 million due to a reduction in expenditures related to the municipalization of a city electric utility. Voters approved a new franchise agreement with Xcel Energy in November 2020. By passing the franchise agreement, voters also approved a new partnership between the city and Xcel Energy. This new partnership reshaped the work being done by the City and as such related expenses decreased in 2021. Administrative Services increased \$4.0 million primarily due to the construction of the broadband fiber backbone. Public Works decreased

\$2.9 million mainly due to decreased costs for the demolition of buildings at the western city campus redevelopment project.

The Open Space Fund's fund balance decreased \$1.8 million in 2021. Revenues rose by \$1.1 million due to an increase in sales and use tax revenue. Expenditures increased by \$176 thousand due to consistent spending in 2021. The Longs Gardens conservation easement was a significant acquisition in 2021 that required the draw from fund balance.

The fund balance of the Transportation Fund rose by \$1.2 million in 2021. Revenues increased by \$6.7 million while expenditures increased by \$2.3 million. The revenue increase is attributable to the rise in sales tax revenue. Expenditures increased primarily due to the construction of the 30th St. and Colorado Bike/Pedestrian Underpass which received funding from CDOT.

Other governmental fund balances increased by \$22.5 million. This is primarily due to a reduction in the use of fund balance in 2021 for budgeted items as well as an increase in revenues in 2021 and a reduction in expenses for some special revenue funds. As was noted previously the Airport Fund had a reduction in expenditures of \$5.2 million related to the one time funding of Airport Improvements funded by a Federal Aviation Administration Grant. Affordable Housing, Sugar Sweetened Beverage, CDBG and HOME funds also saw a significant decrease in expenditures due to the timing of community grant funds provided for various projects.

Approximately \$145.3 million or 59% of the combined ending fund balance in the governmental funds constitutes unrestricted fund balance available for spending at the city's discretion within the purposes specified for each of the funds. The remainder of fund balance is either non-spendable or restricted to indicate that it is not available for new spending because it has already been committed for specific purposes. This non-spendable or restricted fund balance is comprised of: (1) fund balance not in spendable form such as prepaid expenses, inventory for consumption, and permanent endowments - \$0.2 million; (2) limitations imposed on use of funds by external laws and regulations - \$41.2 million; (3) restrictions for capital projects - \$28.3 million; (4) restrictions for future development - \$25.8 million; (5) restricted for expenditure on lottery authorized parks and recreation projects - \$3.5 million and (6) restrictions placed on the funds by donors - \$.5 million.

The General Fund is the primary operating fund of the city. At the end of 2021, the unrestricted fund balance of the General Fund was \$74.9 million, while total fund balance was \$92.4 million. Unrestricted fund balance includes fund balance committed by city council, assigned by city management, and unassigned fund balance as disclosed in the Governmental Funds Balance Sheet. As a measure of the General Fund's liquidity, it is useful to compare unassigned fund balance to total fund expenditures and transfers out. In 2021, unassigned fund balance of \$81.6 million represents 52% of total general fund expenditures and transfers out of \$157.6 million. General Fund unassigned fund balance as a percentage of total expenditures and transfers out was 42% in 2020.

The Open Space Fund and the Transportation Fund are special revenue funds, with 100% of their fund balance either restricted or assigned. With the exception of negative fund balances which must be reported as unassigned, special revenue funds do not have unassigned fund balances since the act of accounting for the revenues within a special revenue fund assigns them to that fund's purpose. The Open Space Fund revenues are derived from sales taxes approved by the voters and other restricted revenue sources. 100% of the fund balance for Open Space Fund is restricted for acquisition and maintenance of the city's open space. The total fund balance of the Open Space and Mountain Parks Fund was \$19.5 million at December 31, 2021, a decrease of \$1.8 million from 2020. The Transportation Fund's revenue sources are generally restricted except for investment income. As of December 31, 2021, the Transportation Fund's restricted fund balance was \$23.8 million and was assigned for capital projects. The total Transportation fund balance was \$25.3 million at December 31, 2021, a \$1.2 million increase from 2020.

In the 2021 budget year, the City Council maintained a minimum target for unassigned General Fund balance of 19.5% of expenditures and transfers out, excluding expenditures funded by grants. This minimum undesignated fund balance is available for emergency purposes, stabilization of funding of programs during periods of temporary revenue declines or temporary funding of programs to allow for controlled reductions in expenditures in periods of extended or permanent revenue reductions. The target amount of 19.5% was met in 2021.

Proprietary Funds

As already discussed, the city's proprietary fund statements provide the same type of information found in the government-wide financial statements, but in more detail.

As of December 31, 2021, the unrestricted net position of the Water Utility Fund was \$42.1 million, the Wastewater Utility Fund was \$13.3 million, the Storm Water and Flood Management Fund was \$42.1 million, the Downtown Commercial District Fund was \$15.1 million and the non-major enterprise funds was \$3.9 million. The total increase in net position for the proprietary funds was \$31.5 million. Factors concerning the changes in these funds have already been addressed in the discussion of the city's business-type activities.

General Fund Budgetary Highlights

The city's final budget differs from the original budget in that it contains carry-forward appropriations for various programs and projects and supplemental appropriations approved during the fiscal year. The final budget for General Fund appropriations including transfers out for 2021 was \$57.5 million greater than the original budget. The primary reasons for this difference are related to the following increases:

- \$2.7 million for encumbrance carryovers
- \$1.2 million for project (CIP) carryovers
- \$1.2 million for Homeless Encampments Pilot
- \$4.75 million for the purchase of 5125 Pearl Parkway
- \$1.6 million for Boulder Community Hospital Deconstruction
- \$4.0 million for Coronavirus State and Local Fiscal Recovery Funds received
- \$18.2 million for CIP carryovers for Broadband Fiber Backbone project and Western City Campus Redevelopment project

On a basis consistent with the adopted budget, actual revenues and transfers in were \$20.2 million, or 13%, greater than the final budget. Actual expenditures and transfers out were \$35.7 million, or 17.4%, less than the final budget. The net effect of these differences was a favorable variance in actual revenues and expenditures to the fiscal year-end budgeted fund balance of \$55.9 million. The primary factors contributing to this favorable variance include the following:

- \$9.6 million less in expenditures related to General Government
- \$11.1 million less in expenditures related to Administrative Services
- \$2.1 million less in expenditures related to Public Safety
- \$8.2 million less in expenditures related to Public Works
- \$2.6 million less in expenditures related to Culture and Recreation
- \$4.2 million less in expenditures related to Housing and Human Services

Capital Assets and Debt Administration

Capital Assets

As can be seen from *Table 3*, the city's investment in capital assets for its governmental and business-type activities as of December 31, 2021 amounts to \$1,337.0 million (net of accumulated depreciation). This investment in capital assets includes land, buildings, improvements, park facilities, transportation infrastructure, utility plant in service and undergrounds, water rights, software, underground drainage facilities, machinery, equipment and vehicles. The net increase in the city's investment in capital assets was \$23.9 million (2%) from 2020. Net capital assets of governmental activities increased \$18.9 million (3%) and those of business-type activities increased \$4.9 million (1%).

Table 3 - Capital Assets, Net of Depreciation (dollars in thousands)

	<u>Governmental Activities</u>		<u>Business-type Activities</u>		<u>Total Primary Government</u>	
	<u>2021</u>	<u>2020</u>	<u>2021</u>	<u>2020</u>	<u>2021</u>	<u>2020</u>
Land and easements	\$ 395,646	\$ 385,754	\$ 44,161	\$ 44,473	\$ 439,807	\$ 430,227
Intangibles	-	-	1,550	1,650	1,550	1,650
Buildings	85,836	89,926	24,734	24,737	110,570	114,663
Improvements other than buildings	65,410	69,347	1,150	1,547	66,560	70,894
Infrastructure	148,276	152,650	-	-	148,276	152,650
Utility plant in service and undergrounds	-	-	423,958	429,494	423,958	429,494
Machinery, equipment and vehicles	27,238	26,050	2,428	2,767	29,666	28,817
Software and licenses	6,408	7,234	-	-	6,408	7,234
Construction in progress	44,308	23,233	65,878	54,250	110,186	77,483
Total	<u>\$ 773,122</u>	<u>\$ 754,194</u>	<u>\$ 563,859</u>	<u>\$ 558,918</u>	<u>\$ 1,336,981</u>	<u>\$ 1,313,112</u>

Some of the major capital asset activities during 2021 included the following:

Governmental activities:

- New vehicle purchases - \$3.3 million
- 5125 Pearl Parkway Acquisition – \$4.8 million
- Construction in progress for Workday Human Resources Information System - \$1.6 million
- Long's Garden Acquisition - \$5.3 million
- Construction in progress for 30th St. & Colorado Underpass - \$5.2 million
- Construction in progress for Ponderosa Mobile Home Park Infrastructure – \$1.6 million
- Construction in progress for Broadband Fiber Backbone - \$4.7 million
- Recognition of \$23.9 million in depreciation expense

Business-type activities:

- Construction in progress for Barker Gravity Pipeline - \$5.4 million
- Construction in progress for Sanitary Sewer Rehabilitation – \$3.7 million
- Construction in progress for Lower Goose Creek Trunk Sewer replacement - \$1.6 million
- Construction in progress for 63rd Water Treatment Facility Electrical Upgrade - \$1.7 million
- Recognition of \$15.1 million in depreciation expense

Additional information on the city's capital assets can be found in Note H to the Financial Statements.

Debt Administration

Table 4 summarizes the city's bonded debt as of the end of 2021 and 2020. At December 31, 2021, the city had total bonded debt (including certificates of participation) of \$159.6 million. Of this amount, \$8.7 million consisted of general obligation debt backed by the full faith and credit of the city. Another \$151.0 million represents bonds secured solely by specified revenue sources (revenue bonds, certificates of participation and capital improvement bonds).

Table 4 - General Obligation, Revenue, Pension Obligation Bonds and Certificates of Participation
(dollars in thousands)

	Governmental Activities		Business-type Activities		Total Primary Government	
	2021	2020	2021	2020	2021	2020
General obligation bonds	\$ 7,038	\$ 7,501	\$ 1,634	\$ 2,426	\$ 8,672	\$ 9,927
Revenue bonds	-	-	97,837	107,457	97,837	107,457
Pension obligation bonds	-	-	-	-	-	-
Capital improvement bonds	2,250	31,242	-	-	2,250	31,242
Certificates of Participation	50,888	53,371	-	-	50,888	53,371
Total bonded debt	<u>\$ 60,176</u>	<u>\$ 92,114</u>	<u>\$ 99,471</u>	<u>\$ 109,883</u>	<u>\$ 159,647</u>	<u>\$ 201,997</u>

The city's general obligation credit rating is Aaa by Moody's Investors Services, Inc. and AAA by Standard & Poor's Global Ratings. Under the City Charter, the city's general obligation debt issuances are subject to a legal limitation based on 3% of the total assessed value of real and personal property. The city's general obligation debt is issued as sales tax revenue bonds enhanced by a general obligation pledge of the full faith and credit of the city. The city does not currently levy an ad valorem property tax for debt service even though authorized to do so. As a result, all bonded debt is considered to be self-supporting, and the ratio of net bonded debt supported solely by property taxes to assessed valuation is zero.

Additional information on the city's bonded debt can be found in Note O to the Financial Statements.

Contacting the City's Financial Management

This financial report is designed to provide the public, taxpayers, customers, investors and creditors with a general overview of the city's finances and to show the city's accountability for the funds and assets it receives. If you have questions about this report, or need additional financial information, contact the Controller of the City of Boulder Finance Department at 1136 Alpine, Boulder, CO 80304.

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BASIC FINANCIAL STATEMENTS

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CITY OF BOULDER, COLORADO

Statement of Net Position

December 31, 2021

(Amounts in 000's)

	Governmental Activities	Business-type Activities	Total
Assets:			
Equity in pooled cash and cash equivalents	\$ 41,471	\$ 8,523	\$ 49,994
Investments	271,064	134,432	405,496
General property tax receivable	51,402	1,848	53,250
Sales and use tax receivable	19,364	-	19,364
Other receivables (See Note G)	12,910	8,810	21,720
Restricted investments	288	519	807
Inventory of materials and supplies	67	5	72
Other assets	808	156	964
Capital assets (net of accumulated depreciation):			
Land and easements	395,646	44,161	439,807
Intangibles	-	1,550	1,550
Buildings	85,836	24,733	110,569
Improvements other than buildings	65,410	1,150	66,560
Infrastructure	148,276	-	148,276
Utility plant in service and undergrounds	-	423,958	423,958
Machinery, equipment and vehicles	27,238	2,428	29,666
Software and licenses	6,408	-	6,408
Construction in progress	44,308	65,878	110,186
Total assets	<u>1,170,496</u>	<u>718,151</u>	<u>1,888,647</u>
Deferred outflows of resources	<u>26,443</u>	<u>5,485</u>	<u>31,928</u>
Liabilities:			
Accounts and accrued liabilities:			
Vouchers and accounts payable	12,450	5,904	18,354
Contracts and retainage payable	1,881	644	2,525
Accrued liabilities	7,366	3,697	11,063
Internal balances	3,362	(3,362)	-
Other liabilities	3,645	254	3,899
Unearned revenue	9,355	136	9,491
Noncurrent liabilities:			
Due within one year	13,231	8,674	21,905
Due in more than one year	110,944	96,545	207,489
Net pension liability	49,554	10,246	59,800
Net OPEB liability	13,633	2,088	15,721
Total liabilities	<u>225,421</u>	<u>124,826</u>	<u>350,247</u>
Deferred inflows of resources	<u>115,957</u>	<u>14,134</u>	<u>130,091</u>
Net position:			
Net investment in capital assets	679,747	464,418	1,144,165
Restricted for:			
Legally restricted	41,190	219	41,409
Capital projects	28,255	100	28,355
Development	25,801	-	25,801
Lottery funds	3,532	-	3,532
Donor restrictions	513	-	513
Unrestricted	76,523	119,939	196,462
Total net position	<u>\$ 855,561</u>	<u>\$ 584,676</u>	<u>\$ 1,440,237</u>

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Activities

Year ended December 31, 2021

(Amounts in 000's)

Functions/Programs	Expenses	Program Revenues		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Governmental activities:				
General Government	\$ 18,336	\$ 8,228	\$ 412	\$ -
Administrative Services	9,158	1,740	-	-
Public Safety	58,827	1,111	738	-
Public Works	40,121	388	9,359	6,639
Planning & Development Services	15,622	8,965	(5)	-
Culture and Recreation	31,575	8,332	2,564	-
Open Space and Mountain Parks	24,699	1,358	126	-
Housing and Human Services	22,971	12,998	1,449	-
Interest on long-term debt	2,640	-	-	-
Total governmental activities	<u>223,949</u>	<u>43,120</u>	<u>14,643</u>	<u>6,639</u>
Business-type activities:				
Water utility	27,297	35,731	-	4,064
Wastewater utility	15,976	24,833	-	1,229
Stormwater and flood management	9,487	14,846	-	1,176
Parking facilities and services	6,906	6,018	-	-
Property and facility acquisition	610	141	-	-
Total business-type activities	<u>60,276</u>	<u>81,569</u>	<u>-</u>	<u>6,469</u>
Total government	<u>\$ 284,225</u>	<u>\$ 124,689</u>	<u>\$ 14,643</u>	<u>\$ 13,108</u>
General revenues:				
Taxes:				
Sales, use and other taxes				
General property taxes				
Accommodations taxes				
Occupation taxes				
Specific Ownership & Tobacco taxes				
Excise taxes				
Interest and investment earnings				
Miscellaneous				
Gain on Sale of Capital Assets				
Transfers				
Total general revenues,				
transfers				
Change in net position				
Net position, beginning of year				
Net position, end of year				

Net (Expense) Revenue and
Changes in Net Position

	Governmental Activities	Business-type Activities	Total
\$	(9,696)	\$ -	\$ (9,696)
	(7,418)	-	(7,418)
	(56,978)	-	(56,978)
	(23,735)	-	(23,735)
	(6,662)	-	(6,662)
	(20,679)	-	(20,679)
	(23,215)	-	(23,215)
	(8,524)	-	(8,524)
	(2,640)	-	(2,640)
	<u>(159,547)</u>	<u>-</u>	<u>(159,547)</u>
	-	12,498	12,498
	-	10,086	10,086
	-	6,535	6,535
	-	(888)	(888)
	-	(469)	(469)
	<u>-</u>	<u>27,762</u>	<u>27,762</u>
	<u>(159,547)</u>	<u>27,762</u>	<u>(131,785)</u>
	154,694	-	154,694
	47,945	1,858	49,803
	7,796	-	7,796
	11,893	-	11,893
	2,699	90	2,789
	6,311	-	6,311
	(1,294)	(647)	(1,941)
	1,406	947	2,353
	3,603	2,419	6,022
	<u>1,691</u>	<u>(1,691)</u>	<u>-</u>
	<u>236,744</u>	<u>2,976</u>	<u>239,720</u>
	<u>77,197</u>	<u>30,738</u>	<u>107,935</u>
	<u>778,364</u>	<u>553,938</u>	<u>1,332,302</u>
\$	<u><u>855,561</u></u>	<u><u>584,676</u></u>	<u><u>1,440,237</u></u>

CITY OF BOULDER, COLORADO

Balance Sheet

Governmental Funds

December 31, 2021

(Amounts in 000's)

<u>Assets</u>	<u>General Fund</u>	<u>Open Space Fund</u>	<u>Trans- portation Fund</u>	<u>Boulder Municipal Property Authority</u>	<u>Other Governmental Funds</u>	<u>Total Governmental Funds</u>
Equity in pooled cash and cash equivalents	\$ 26,918	\$ 117	\$ 1,300	\$ 237	\$ 10,739	\$ 39,311
Investments	77,544	15,749	25,132	210	95,195	213,830
Receivables:						
General property taxes	45,773	-	-	-	5,629	51,402
Sales and use taxes	9,580	3,520	3,428	-	2,836	19,364
Accounts	1,080	541	1,100	-	575	3,296
Rental license taxes	-	-	-	-	1,390	1,390
Accrued interest	291	168	104	-	315	878
Intergovernmental	137	3,635	2,965	-	208	6,945
Total receivables	<u>56,861</u>	<u>7,864</u>	<u>7,597</u>	<u>-</u>	<u>10,953</u>	<u>83,275</u>
Advances to other funds	68	-	-	-	-	68
Inventory of materials and supplies	35	-	-	-	32	67
Restricted assets:						
Investments for special purposes	26	1	-	-	261	288
Total restricted assets	<u>26</u>	<u>1</u>	<u>-</u>	<u>-</u>	<u>261</u>	<u>288</u>
Other assets	72	21	-	-	38	131
Total assets	<u>\$ 161,524</u>	<u>\$ 23,752</u>	<u>\$ 34,029</u>	<u>\$ 447</u>	<u>\$ 117,218</u>	<u>\$ 336,970</u>

The accompanying notes are an integral part of this statement.

<u>Liabilities, Deferred Inflows of Resources and Fund Balances</u>	<u>General Fund</u>	<u>Open Space Fund</u>	<u>Transportation Fund</u>	<u>Boulder Municipal Property Authority</u>	<u>Other Governmental Funds</u>	<u>Total Governmental Funds</u>
Liabilities:						
Accounts and accrued liabilities:						
Vouchers and accounts payable	\$ 5,733	\$ 229	\$ 2,811	\$ 1	\$ 2,432	\$ 11,206
Contracts and retainage payable	737	33	664	-	379	1,813
Accrued salaries, wages and amounts withheld from employees	4,479	727	423	-	1,028	6,657
Intergovernmental	-	-	-	-	68	68
Advances from other funds	164	-	-	-	-	164
Other liabilities	460	-	1,832	-	1,189	3,481
Unearned revenue	9,281	-	1	-	57	9,339
Total liabilities	<u>20,854</u>	<u>989</u>	<u>5,731</u>	<u>1</u>	<u>5,153</u>	<u>32,728</u>
Deferred inflows of resources	<u>45,928</u>	<u>3,225</u>	<u>3,044</u>	<u>-</u>	<u>7,295</u>	<u>59,492</u>
Fund balances:						
Nonspendable:						
Prepaid	72	-	-	-	33	105
Inventory	35	-	-	-	32	67
Restricted for:						
Legally restricted	1,661	-	23,794	446	15,289	41,190
Capital projects	486	-	-	-	27,769	28,255
Development	-	19,194	-	-	6,607	25,801
Lottery funds	-	-	-	-	3,532	3,532
Donor restrictions	55	22	-	-	436	513
Committed to:						
Affordable housing	-	-	-	-	12,506	12,506
Transportation projects	-	-	-	-	5,116	5,116
Assigned to:						
Special purposes	7,009	322	1,460	-	33,450	42,241
Contractual obligations	3,840	-	-	-	-	3,840
Unassigned	81,584	-	-	-	-	81,584
Total fund balances	<u>94,742</u>	<u>19,538</u>	<u>25,254</u>	<u>446</u>	<u>104,770</u>	<u>244,750</u>
Total liabilities, deferred inflows of resources and fund balances	<u>\$ 161,524</u>	<u>\$ 23,752</u>	<u>\$ 34,029</u>	<u>\$ 447</u>	<u>\$ 117,218</u>	<u>\$ 336,970</u>

CITY OF BOULDER, COLORADO

Reconciliation of the Governmental Funds Balance Sheet
to the Government-wide Statement of Net Position

December 31, 2021

(Amounts in 000's)

Total governmental fund balances	\$ 244,750
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Amounts reported for governmental activities in the statement of net position
are different because:

Capital assets used in governmental activities are not financial resources and are not reported in the funds.

Capital assets - governmental funds	1,164,828	
Accumulated depreciation - governmental funds	<u>(441,906)</u>	
Net book value of capital assets in governmental funds		722,922

Deferred inflows and deferred outflows of resources related to pensions and OPEB are applicable to future periods and therefore, are not reported in the funds.
Also, some liabilities including net pension obligations and OPEB, are not due and payable in the current period and therefore, are not reported in the funds.

Net pension liability	(48,492)	
Net OPEB liability	(13,386)	
Deferred inflows related to pensions: PERA, Police and Fire	(58,376)	
Deferred inflows related to OPEB: City and PERA	(4,872)	
Deferred outflows related to pensions: PERA, Police and Fire	23,241	
Deferred outflows related to OPEB: City and PERA	<u>3,020</u>	
Net deferred inflows, outflows, pension and OPEB liabilities		(98,865)

Internal service funds are used by management to charge the costs of insurance, capital asset replacement and other activities to individual funds. The majority of the assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.	93,921
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Long-term liabilities, including bonds payable and bonds interest payable, are not due and payable in the current period and therefore are not reported in the funds.	(115,471)
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Because the focus of governmental funds is on short-term financing, some assets will not be available to pay for current-period expenditures. Those assets (for example, receivables) are offset by deferred inflows of resources in the governmental funds and thus are not included in fund balance.

Intergovernmental revenues	<u>8,304</u>
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Net position of governmental activities	\$ <u><u>855,561</u></u>
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The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year ended December 31, 2021

(Amounts in 000's)

	General Fund	Open Space Fund	Trans- portation Fund	Boulder Municipal Property Authority	Other Governmental Funds	Total Governmental Funds
Revenues:						
Taxes:						
Sales, use and other taxes	\$ 73,447	\$ 30,118	\$ 29,219	\$ -	\$ 21,910	\$ 154,694
General property taxes	42,776	-	-	-	5,169	47,945
Accommodation taxes	7,796	-	-	-	-	7,796
Occupation taxes	10,052	-	-	-	1,841	11,893
Specific ownership & tobacco taxes	2,680	-	-	-	19	2,699
Excise taxes	1,348	-	-	-	4,963	6,311
Charges for services	3,665	306	-	-	20,541	24,512
Sale of goods	44	-	10	-	168	222
Licenses, permits and fines	5,276	169	-	-	6,814	12,259
Intergovernmental	6,474	279	10,538	-	2,563	19,854
Leases, rents and royalties	104	577	66	5,220	2,654	8,621
Interest and investment earnings	(309)	(111)	(149)	(1)	(337)	(907)
Other	2,209	119	229	-	1,823	4,380
Total revenues	<u>155,562</u>	<u>31,457</u>	<u>39,913</u>	<u>5,219</u>	<u>68,128</u>	<u>300,279</u>
Expenditures:						
Current:						
General Government	21,654	-	-	3	193	21,850
Administrative Services	16,105	-	-	-	35	16,140
Public Safety	61,945	-	-	-	-	61,945
Public Works	9,552	-	36,577	-	2,650	48,779
Planning & Development Services	2,506	-	-	-	14,122	16,628
Culture and Recreation	12,035	-	-	-	19,749	31,784
Open Space and Mountain Parks	4	31,647	-	-	848	32,499
Housing and Human Services	10,023	-	-	-	15,074	25,097
Capital outlay	-	-	-	-	2,082	2,082
Debt service payments:						
Principal	3,995	455	-	3,239	2,055	9,744
Interest	715	198	-	1,981	128	3,022
Base rentals to Boulder Municipal Property Authority	-	1,084	-	-	-	1,084
Total expenditures	<u>138,534</u>	<u>33,384</u>	<u>36,577</u>	<u>5,223</u>	<u>56,936</u>	<u>270,654</u>
Excess (deficiency) of revenues over (under) expenditures	<u>17,028</u>	<u>(1,927)</u>	<u>3,336</u>	<u>(4)</u>	<u>11,192</u>	<u>29,625</u>
Other financing sources (uses):						
Proceeds from sale of capital assets	495	-	-	-	3,470	3,965
Long-term notes issued	26,795	-	-	-	-	26,795
Transfers in	18,686	184	153	-	8,019	27,042
Transfers out	(19,078)	-	(2,312)	-	(143)	(21,533)
Payment to refunding bond escrow agent	(26,713)	-	-	-	-	(26,713)
Total other financing sources (uses)	<u>185</u>	<u>184</u>	<u>(2,159)</u>	<u>-</u>	<u>11,346</u>	<u>9,556</u>
Net change in fund balances	<u>17,213</u>	<u>(1,743)</u>	<u>1,177</u>	<u>(4)</u>	<u>22,538</u>	<u>39,181</u>
Fund balances, beginning of year	<u>77,529</u>	<u>21,281</u>	<u>24,077</u>	<u>450</u>	<u>82,232</u>	<u>205,569</u>
Fund balances, end of year	<u>\$ 94,742</u>	<u>\$ 19,538</u>	<u>\$ 25,254</u>	<u>\$ 446</u>	<u>\$ 104,770</u>	<u>\$ 244,750</u>

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Reconciliation of the Governmental Funds Statement of Revenues, Expenditures and
Changes in Fund Balances to the Government-wide Statement of Activities

Year ended December 31, 2021

(Amounts in 000's)

Net change in fund balances - total governmental funds	\$	39,182
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Amounts reported for governmental activities in the statement of activities
are different because:

Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense.

Governmental Activities capital asset additions	43,513	
Governmental Activities capital asset deletions	(1,937)	
Internal Service Funds capital asset additions	(6,163)	
Internal Service Funds capital asset deletions	1,442	
Governmental Activities capital asset depreciation expense	(23,918)	
Internal Service Funds capital asset depreciation expense	<u>6,686</u>	19,623

Debt proceeds provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. This amount is the net effect of these differences in the treatment of long-term debt, net pension liabilities and pension related items.

22,201

Some revenues reported in the statement of activities are not available as current financial resources and, therefore, are not reported as revenues in governmental funds. Negative amounts indicate a decrease in accruals between fiscal years.

Examples are revenues from special assessments, property taxes and notes receivable.

Intergovernmental revenue	(1,100)
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Internal service funds are used by management to charge the costs of insurance, capital asset replacement and other activities to individual funds. A portion of the net revenue of the internal service funds is reported with governmental activities.

Allocation of net profit (loss)	(2,709)
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Change in net position of governmental activities	\$	<u><u>77,197</u></u>
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The accompanying notes are an integral part of this statement.

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CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes
in Fund Balances - Budget and Actual
(Budgetary Basis)General FundYear ended December 31, 2021
(Amounts in 000's)

	<u>Budgeted amounts</u>		<u>Actual</u>	<u>Variance with</u>
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	<u>final budget -</u>
				<u>Positive</u>
				<u>(Negative)</u>
Revenues:				
Taxes:				
Sales and use taxes	\$ 60,033	\$ 60,033	\$ 73,447	\$ 13,414
General property taxes	42,816	42,816	42,776	(40)
Accommodations taxes	6,770	6,770	7,796	1,026
Occupation taxes	10,189	10,189	10,052	(137)
Specific ownership & tobacco taxes	2,367	2,367	2,680	313
Excise taxes	913	913	1,348	435
Charges for services	5,156	5,119	3,665	(1,454)
Sale of goods	76	76	44	(32)
Licenses, permits and fines	6,076	6,076	5,276	(800)
Intergovernmental	1,651	2,480	6,474	3,994
Leases, rents and royalties	190	190	104	(86)
Interest and investment earnings	900	900	472	(428)
Other	1,589	1,731	2,649	918
Total revenues	<u>138,726</u>	<u>139,660</u>	<u>156,783</u>	<u>17,123</u>
Expenditures:				
Current:				
General Government	15,246	27,303	17,736	9,567
Administrative Services	22,752	42,273	31,133	11,140
Public Safety	58,870	62,899	60,810	2,089
Public Works	5,780	19,335	11,092	8,243
Planning & Development Services	2,442	3,584	2,918	666
Culture and Recreation	11,874	14,802	12,251	2,551
Open Space and Mountain Parks	-	-	-	-
Housing and Human Services	11,403	14,372	10,147	4,225
Debt service payments:				
Principal	3,470	3,470	3,995	(525)
Interest	1,612	1,612	701	911
Total expenditures	<u>133,449</u>	<u>189,650</u>	<u>150,783</u>	<u>38,867</u>
Excess (deficiency) of revenues over (under) expenditures	<u>5,277</u>	<u>(49,990)</u>	<u>6,000</u>	<u>55,990</u>

(continued)

The accompanying notes are an integral part of this statement

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Other financing sources (uses):				
Proceeds from sale of capital asset	-	-	495	495
Long-Term Notes Issued	-	-	26,795	26,795
Transfers in	11,220	16,090	18,686	2,596
Transfers out	(14,836)	(16,120)	(19,317)	(3,197)
Payment to refunding bond escrow agent	-	-	(26,713)	(26,713)
Total other financing sources (uses)	<u>(3,616)</u>	<u>(30)</u>	<u>(54)</u>	<u>(24)</u>
Net change in fund balance	\$ <u>1,661</u>	\$ <u>(50,020)</u>	5,946	\$ <u>55,966</u>
Encumbrances, end of year			13,027	
Fund balance, beginning of year, basis of budgeting			<u>80,314</u>	
Fund balance, end of year, basis of budgeting			99,287	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			177	
Accrued salaries, wages and amounts withheld from employees			(4,562)	
Deferred Inflows			(4)	
Advances from other funds			<u>(156)</u>	
Fund balance, end of year, GAAP basis			\$ <u>94,742</u>	

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Open Space Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget - Positive (Negative)
Revenues:				
Taxes:				
Sales and use taxes	\$ 24,457	\$ 24,457	\$ 30,118	\$ 5,661
Charges for services			306	306
Licenses, permits and fines			169	169
Intergovernmental	500	573	279	(294)
Leases, rents and royalties	-	168	577	409
Interest and investment earnings	472	472	257	(215)
Other	1,395	1,405	119	(1,286)
Total revenues	<u>26,824</u>	<u>27,075</u>	<u>31,825</u>	<u>4,750</u>
Expenditures:				
Current:				
Open Space and Mountain Parks	26,140	40,883	33,097	7,786
Debt service payments:				
Principal	455	455	455	-
Interest	198	198	198	-
Base rentals to Boulder Municipal Property				
Authority	1,084	1,084	1,084	-
Total expenditures	<u>27,877</u>	<u>42,620</u>	<u>34,834</u>	<u>7,786</u>
Excess (deficiency) of revenues				
over (under) expenditures	<u>(1,053)</u>	<u>(15,545)</u>	<u>(3,009)</u>	<u>12,536</u>
Other financing sources (uses):				
Transfers in	-	184	184	-
Total other financing sources (uses)	<u>-</u>	<u>184</u>	<u>184</u>	<u>-</u>
Net change in fund balance	\$ <u>(1,053)</u>	\$ <u>(15,361)</u>	(2,825)	\$ <u>12,536</u>
Encumbrances, end of year			1,637	
Fund balance, beginning of year, basis of budgeting			23,333	
Fund balance, end of year, basis of budgeting			22,145	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			11	
Accrued salaries, wages and amounts				
withheld from employees			(727)	
Unearned revenue			(1,891)	
Fund balance, end of year, GAAP basis			\$ <u>19,538</u>	

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Transportation Fund

Year ended December 31, 2021

(Amounts in 000's)

	<u>Budgeted amounts</u>		<u>Actual</u>	<u>Variance with</u>
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	<u>final budget -</u>
				<u>Positive</u>
				<u>(Negative)</u>
Revenues:				
Taxes:				
Sales and use taxes	\$ 23,847	\$ 23,847	\$ 29,219	\$ 5,372
Sale of goods	-	-	10	10
Intergovernmental	6,026	5,744	10,538	4,794
Leases, rents and royalties	75	75	66	(9)
Interest and investment earnings	330	330	340	10
Other	280	280	229	(51)
Total revenues	<u>30,558</u>	<u>30,276</u>	<u>40,402</u>	<u>10,126</u>
Expenditures:				
Current:				
Public Works	<u>28,593</u>	<u>54,737</u>	<u>47,404</u>	<u>7,333</u>
Total expenditures	<u>28,593</u>	<u>54,737</u>	<u>47,404</u>	<u>7,333</u>
Excess (deficiency) of revenues				
over (under) expenditures	<u>1,965</u>	<u>(24,461)</u>	<u>(7,002)</u>	<u>17,459</u>
Other financing sources (uses):				
Transfers in	41	153	153	-
Transfers out	<u>(676)</u>	<u>(2,309)</u>	<u>(2,312)</u>	<u>(3)</u>
Total other financing sources (uses)	<u>(635)</u>	<u>(2,156)</u>	<u>(2,159)</u>	<u>(3)</u>
Net change in fund balance	\$ <u>1,330</u>	\$ <u>(26,617)</u>	(9,161)	\$ <u>17,456</u>
Encumbrances, end of year			10,959	
Fund balance, beginning of year, basis of budgeting			<u>24,040</u>	
Fund balance, end of year, basis of budgeting			25,838	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			13	
The fund balance at the beginning of the year is a budgetary resource				
but is not a current year revenue for financial reporting purposes			(174)	
Accrued salaries, wages and amounts				
withheld from employees			<u>(423)</u>	
Fund balance, end of year, GAAP basis			\$ <u>25,254</u>	

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Boulder Municipal Property Authority

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with:
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Leases, rents and royalties	\$ 3,909	\$ 3,909	\$ 5,220	\$ 1,311
Interest and investment earnings	<u>6</u>	<u>6</u>	<u>3</u>	<u>(3)</u>
Total revenues	3,915	3,915	5,223	1,308
Expenditures:				
Current:				
General Government	6	6	3	3
Debt service payments:				
Principal	2,429	2,429	3,239	(810)
Interest	<u>1,481</u>	<u>1,481</u>	<u>1,981</u>	<u>(500)</u>
Total expenditures	<u>3,916</u>	<u>3,916</u>	<u>5,223</u>	<u>(1,307)</u>
Excess (deficiency) of revenues over (under) expenditures	(1)	(1)	-	1
Net change in fund balance	\$ <u>(1)</u>	\$ <u>(1)</u>	-	\$ <u>1</u>
Encumbrances, end of year			-	
Fund balance, beginning of year, basis of budgeting			<u>444</u>	
Fund balance, end of year, basis of budgeting			444	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			<u>2</u>	
Fund balance, end of year, GAAP basis			\$ <u>446</u>	

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CITY OF BOULDER, COLORADO

Statement of Net Position

Proprietary Funds

December 31, 2021

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Assets:			
Current assets:			
Equity in pooled cash and cash equivalents	\$ 2,150	\$ 1,004	\$ 2,778
Investments	50,454	23,794	40,919
Receivables:			
General property taxes	-	-	-
Accounts	88	51	-
Charges for services	2,751	2,628	1,732
Accrued interest	237	74	58
Intergovernmental	46	58	984
Total receivables	3,122	2,811	2,774
Advances to other funds	87	-	-
Inventory of materials and supplies	-	4	1
Other assets - prepaid expenses	-	-	-
Total current assets	55,813	27,613	46,472
Noncurrent assets:			
Advances to other funds	69	-	-
Restricted assets:			
Investments for bond reserves	1	-	-
Investments for capital projects	113	-	405
Total restricted assets	114	-	405
Capital assets:			
Land and easements	21,318	2,009	18,369
Intangibles	-	-	-
Buildings	5,046	2,547	775
Improvements other than buildings	179	417	1,210
Infrastructure	841	26	967
Undergrounds - drainage facilities	384,383	171,410	110,277
Vehicles	1,744	1,207	981
Machinery and equipment	2,704	2,245	436
	416,215	179,861	133,015
Less accumulated depreciation	(146,538)	(78,874)	(30,742)
	269,677	100,987	102,273
Construction in progress	37,635	25,143	3,101
Total capital assets, net of accumulated depreciation	307,312	126,130	105,374
Total noncurrent assets	307,495	126,130	105,779
Total assets	363,308	153,743	152,251
Total deferred outflow of resources	2,286	1,903	740
Total assets and deferred outflows of resources	\$ 365,594	\$ 155,646	\$ 152,991

The accompanying notes are an integral part of this statement.

	Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities - Internal Service Funds
\$	2,315	\$ 276	\$ 8,523	\$ 2,160
	15,278	3,987	134,432	57,234
	1,392	456	1,848	-
	56	-	195	80
	-	-	7,111	-
	42	5	416	293
	-	-	1,088	28
	<u>1,490</u>	<u>461</u>	<u>10,658</u>	<u>401</u>
	-	-	87	-
	-	-	5	-
	-	-	-	677
	<u>19,083</u>	<u>4,724</u>	<u>153,705</u>	<u>60,472</u>
	-	-	69	-
	-	-	1	-
	-	-	518	-
	<u>-</u>	<u>-</u>	<u>519</u>	<u>-</u>
	2,333	132	44,161	262
	-	2,000	2,000	-
	47,350	176	55,894	92,238
	6,009	58	7,873	9,110
	6	-	1,840	763
	-	-	666,070	-
	73	59	4,064	42,861
	<u>1,622</u>	<u>270</u>	<u>7,277</u>	<u>17,503</u>
	57,393	2,695	789,179	162,737
	<u>(34,228)</u>	<u>(818)</u>	<u>(291,200)</u>	<u>(114,097)</u>
	23,165	1,877	497,979	48,640
	-	-	65,879	1,560
	<u>23,165</u>	<u>1,877</u>	<u>563,858</u>	<u>50,200</u>
	<u>23,165</u>	<u>1,877</u>	<u>564,446</u>	<u>50,200</u>
	<u>42,248</u>	<u>6,601</u>	<u>718,151</u>	<u>110,672</u>
	<u>459</u>	<u>97</u>	<u>5,485</u>	<u>642</u>
\$	<u>42,707</u>	\$ <u>6,698</u>	\$ <u>723,636</u>	\$ <u>111,314</u>

(continued)

CITY OF BOULDER, COLORADO

Statement of Net Position,
continuedProprietary Funds

December 31, 2021

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Liabilities:			
Current liabilities:			
Accounts and accrued liabilities:			
Vouchers and accounts payable	\$ 3,274	\$ 1,545	\$ 903
Contracts and retainage payable	459	55	54
Accrued salaries, wages and amounts withheld from employees	447	251	157
Accrued interest	137	79	43
Accrued environmental cleanup liability	-	-	-
Accrued claims liability	-	-	-
Advances from other funds	-	-	-
Other liabilities	163	16	190
Unearned revenue -			
Other	-	-	-
General obligation bonds payable	-	-	-
Revenue bonds payable	3,028	3,647	1,070
Capitalized lease obligations	-	-	-
Compensated absences payable	59	35	18
Total current liabilities	<u>7,567</u>	<u>5,628</u>	<u>2,435</u>
Noncurrent liabilities:			
Accounts and accrued liabilities:			
Accrued landfill cleanup liability	-	2,474	-
Accrued claims liability	-	-	-
General obligation bonds payable (net of premium)	-	-	-
Revenue bonds payable (net of premium)	55,163	19,529	15,885
Capitalized lease obligations	-	-	-
Compensated absences payable	579	209	75
Direct purchase notes	-	4,150	-
Net pension liability	4,291	3,288	1,324
OPEB liability	902	596	309
Total noncurrent liabilities	<u>60,935</u>	<u>30,246</u>	<u>17,593</u>
Total liabilities	<u>68,502</u>	<u>35,874</u>	<u>20,028</u>
Deferred inflows of resources	<u>5,586</u>	<u>3,406</u>	<u>2,095</u>
Net position:			
Net investment in capital assets	249,273	103,030	88,770
Restricted for:			
Legally restricted - emergency reserve	-	-	-
Capital projects	100	-	-
Unrestricted	42,133	13,336	42,098
Total net position	<u>\$ 291,506</u>	<u>\$ 116,366</u>	<u>\$ 130,868</u>

The accompanying notes are an integral part of this statement.

	Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities - Internal Service Funds
\$	182	\$ 2	\$ 5,906	\$ 1,245
	76	-	644	68
	80	11	946	114
	18	-	277	-
	-	-	-	20
	-	-	-	1,421
	-	-	-	-
	17	2	388	-
	-	-	-	16
	790	-	790	-
	-	-	7,745	-
	-	-	-	926
	27	-	139	9
	<u>1,190</u>	<u>15</u>	<u>16,835</u>	<u>3,819</u>
	-	-	2,474	-
	-	-	-	3,186
	844	-	844	-
	-	-	90,577	-
	-	-	-	3,604
	111	-	974	133
	-	-	4,150	-
	1,044	299	10,246	1,062
	244	37	2,088	247
	<u>2,243</u>	<u>336</u>	<u>111,353</u>	<u>8,232</u>
	<u>3,433</u>	<u>351</u>	<u>128,188</u>	<u>12,051</u>
	<u>2,475</u>	<u>572</u>	<u>14,134</u>	<u>1,980</u>
	21,467	1,878	464,418	45,603
	212	7	219	-
	-	-	100	-
	<u>15,120</u>	<u>3,890</u>	<u>116,577</u>	<u>51,680</u>
\$	<u>36,799</u>	<u>\$ 5,775</u>	581,314	<u>\$ 97,283</u>
Adjustment to reflect the consolidation				
of internal service fund activities				
related to enterprise funds				3,362
Net position of				
business-type activities				<u>\$ 584,676</u>

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenses and Changes in Fund Net Position

Proprietary Funds

Year ended December 31, 2021

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Operating revenues:			
Charges for services	\$ 35,722	\$ 24,831	\$ 14,846
Sale of goods	9	2	-
Total operating revenues	<u>35,731</u>	<u>24,833</u>	<u>14,846</u>
Operating expenses:			
Personnel	7,331	4,264	2,586
Non-personnel	10,533	6,610	4,733
Depreciation	7,402	3,912	1,671
Total operating expenses	<u>25,266</u>	<u>14,786</u>	<u>8,990</u>
Operating income (loss)	<u>10,465</u>	<u>10,047</u>	<u>5,856</u>
Nonoperating revenues (expenses):			
Interest and investment earnings	(223)	(210)	(180)
Leases, rents and royalties	114	17	16
Intergovernmental	-	-	(56)
General property taxes	-	-	-
Specific ownership & tobacco taxes	-	-	-
Interest expense	(1,658)	(848)	(516)
Gain (loss) on disposition of capital assets	(7)	(5)	-
Other, net	352	35	-
Total nonoperating revenues (expenses)	<u>(1,422)</u>	<u>(1,011)</u>	<u>(736)</u>
Income before capital contributions and transfers	9,043	9,036	5,120
Capital contributions	4,064	1,229	1,176
Transfers in	-	-	-
Transfers out	<u>(1,122)</u>	<u>(960)</u>	<u>(728)</u>
Changes in net position	<u>11,985</u>	<u>9,305</u>	<u>5,568</u>
Total net position, beginning of year	<u>279,521</u>	<u>107,061</u>	<u>125,300</u>
Total net position, end of year	<u>\$ 291,506</u>	<u>\$ 116,366</u>	<u>\$ 130,868</u>

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities - Internal Service Funds
\$ 6,018	\$ 141	\$ 81,558	\$ 22,760
-	-	11	280
<u>6,018</u>	<u>141</u>	<u>81,569</u>	<u>23,040</u>
1,292	168	15,641	3,201
3,444	319	25,639	12,836
<u>1,962</u>	<u>123</u>	<u>15,070</u>	<u>6,686</u>
<u>6,698</u>	<u>610</u>	<u>56,350</u>	<u>22,723</u>
(680)	(469)	25,219	317
(34)	-	(647)	(388)
343	-	490	131
-	-	(56)	52
1,335	523	1,858	-
68	22	90	-
(49)	-	(3,071)	(191)
-	2,419	2,407	359
<u>70</u>	<u>-</u>	<u>457</u>	<u>32</u>
<u>1,733</u>	<u>2,964</u>	<u>1,528</u>	<u>(5)</u>
1,053	2,495	26,747	312
-	-	6,469	9
969	250	1,219	1,650
<u>-</u>	<u>(100)</u>	<u>(2,910)</u>	<u>(5,467)</u>
<u>2,022</u>	<u>2,645</u>	31,525	(3,496)
<u>34,777</u>	<u>3,130</u>		<u>100,779</u>
<u>\$ 36,799</u>	<u>\$ 5,775</u>		<u>\$ 97,283</u>

Adjustment to reflect the consolidation
of internal service fund activities
related to enterprise funds

(787)

Change in net position of
business-type activities

\$ 30,738

CITY OF BOULDER, COLORADO

Statement of Cash Flows

Proprietary Funds

Year ended December 31, 2021

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Cash flows from operating activities:			
Receipts from customers and users	\$ 35,261	24,564	14,739
Other receipts	40	25	(13)
Payments to suppliers	(9,893)	(7,290)	(4,346)
Payments to employees	(8,116)	(4,854)	(2,968)
Sale of Goods	9	2	-
Net cash provided (used) by operating activities	<u>17,301</u>	<u>12,447</u>	<u>7,412</u>
Cash flows from noncapital financing activities:			
Payments from other funds			
on due from (due to) balances	83	-	-
Leases, rents and royalties	114	17	16
Intergovernmental revenue	13	-	947
General property taxes	-	-	-
Specific ownership & tobacco taxes	-	-	-
Transfers in	-	-	-
Transfers out	(1,122)	(960)	(728)
Net cash provided (used) by noncapital financing activities	<u>(912)</u>	<u>(943)</u>	<u>235</u>
Cash flows from capital and related financing activities:			
Acquisition and construction of capital assets	(9,326)	(9,038)	(1,406)
Proceeds from sale or transfer of property and equipment	-	-	-
Promissory note payment	-	-	-
Payment to refunded bond escrow agent	-	-	-
Cost of issuance paid	-	-	-
Principal paid on notes payable, bonds payable and capitalized lease obligations	(5,087)	(3,719)	(1,073)
Interest paid on notes payable, bonds payable, and capitalized lease obligations	(1,670)	(874)	(519)
Capital contributions	4,064	1,229	1,176
Net cash (used) for capital related financing activities	<u>(12,019)</u>	<u>(12,402)</u>	<u>(1,822)</u>

The accompanying notes are an integral part of this statement.

<u>Downtown Commercial District</u>	<u>Nonmajor Enterprise Funds</u>	<u>Total Enterprise Funds</u>	<u>Governmental Activities Internal Service Funds</u>
5,972	\$ 141	\$ 80,677	\$ 22,723
76	-	128	32
(3,460)	(319)	(25,308)	(11,822)
(1,461)	(189)	(17,588)	(3,541)
-	-	11	280
<u>1,127</u>	<u>(367)</u>	<u>37,920</u>	<u>7,672</u>
2	(2)	83	143
343	-	490	131
-	-	960	52
1,334	522	1,856	-
68	22	90	-
969	250	1,219	1,650
-	(100)	(2,910)	(5,467)
<u>2,716</u>	<u>692</u>	<u>1,788</u>	<u>(3,491)</u>
(567)	-	(20,337)	(6,417)
-	2,734	2,734	784
-	-	-	-
-	-	-	-
(752)	-	(10,631)	(839)
(84)	-	(3,147)	(191)
-	-	6,469	9
<u>(1,403)</u>	<u>2,734</u>	<u>(24,912)</u>	<u>(6,654)</u>

(continued)

CITY OF BOULDER, COLORADO

Statement of Cash Flows,
continuedProprietary Funds

Year ended December 31, 2021

(Amounts in 000's)

	Water Utility <u>Fund</u>	Wastewater Utility <u>Fund</u>	Stormwater and Flood Management <u>Fund</u>
Cash flows from investing activities:			
Purchase of investment securities	\$ (22,868)	\$ (2,915)	\$ (6,705)
Proceeds from sale and maturities of investment securities	17,702	3,934	1,080
Interest on investments	<u>(257)</u>	<u>(224)</u>	<u>(201)</u>
Net cash provided (used) in investing activities	<u>(5,423)</u>	<u>795</u>	<u>(5,826)</u>
Net increase (decrease) in cash and cash equivalents	(1,053)	(103)	(1)
Cash and cash equivalents, January 1	<u>3,203</u>	<u>1,107</u>	<u>2,779</u>
Cash and cash equivalents, December 31	\$ <u><u>2,150</u></u>	\$ <u><u>1,004</u></u>	\$ <u><u>2,778</u></u>

The accompanying notes are an integral part of this statement.

<u>Downtown Commercial District</u>	<u>Nonmajor Enterprise Funds</u>	<u>Total Enterprise Funds</u>	<u>Governmental Activities Internal Service Funds</u>
\$ (1,551)	\$ (3,115)	\$ (37,154)	\$ (4,868)
588	17	23,321	5,868
<u>(42)</u>	<u>(1)</u>	<u>(725)</u>	<u>(421)</u>
<u>(1,005)</u>	<u>(3,099)</u>	<u>(14,558)</u>	<u>579</u>
1,435	(40)	238	(1,894)
<u>880</u>	<u>316</u>	<u>8,285</u>	<u>4,054</u>
\$ <u><u>2,315</u></u>	\$ <u><u>276</u></u>	\$ <u><u>8,523</u></u>	\$ <u><u>2,160</u></u>

(continued)

CITY OF BOULDER, COLORADO

Statement of Cash Flows,
continuedProprietary Funds

Year ended December 31, 2021

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:			
Operating income (loss)	\$ 10,465	\$ 10,047	\$ 5,856
Adjustments to reconcile net operating income (loss) to net cash provided (used) by operating activities:			
Depreciation	7,402	3,912	1,671
Other nonoperating revenues (expenses)	352	35	-
Change in assets and liabilities:			
(Increase) decrease in assets:			
Accounts receivable	23	(34)	-
Charges for services receivable	(484)	(233)	(107)
Other receivables	-	-	-
Other assets - prepaid expenses	-	20	-
Deferred Outflows - PERA Pension	(874)	(516)	(317)
Deferred Outflows - PERA/Retiree OPEB	(102)	(72)	(35)
Increase (decrease) in liabilities:			
Vouchers and accounts payable	480	(249)	370
Accrued salaries, wages and amounts withheld from employees	122	50	31
Accrued claims liability			
Other liabilities	(312)	(10)	(13)
Deferred Inflows - PERA Pension	2,495	1,355	832
Deferred Inflows - PERA/Retiree OPEB	111	65	40
Deferred Inflows - City OPEB	(21)	(15)	(7)
Pension Liability	(2,548)	(1,387)	(852)
Contracts and retainage payable	160	(451)	17
Compensated absences	59	(69)	(62)
OPEB liability	(27)	(1)	(12)
Total adjustments	6,836	2,400	1,556
Net cash provided by operating activities	\$ 17,301	\$ 12,447	\$ 7,412
Noncash investing, capital and financing activities:			
Assets acquired through:			
Capital contributions:			
Other	679	179	116
Increase (decrease) in fair value of investments	35	14	21
	\$ 714	\$ 193	\$ 137

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities Internal Service Funds
\$ (680)	\$ (469)	\$ 25,219	\$ 317
1,962	123	15,070	6,686
70	-	457	32
(46)	-	(57)	(37)
-	-	(824)	-
-	-	-	-
-	-	20	(143)
(156)	(22)	(1,885)	(319)
(25)	(3)	(237)	(27)
(32)	-	569	326
13	2	218	17
-	-	-	852
6	-	(329)	(34)
408	40	5,130	649
20	3	239	41
(5)	(1)	(49)	(4)
(418)	(41)	(5,246)	(671)
16	-	(258)	13
(10)	-	(82)	(1)
4	1	(35)	(25)
1,807	102	12,701	7,355
\$ 1,127	\$ (367)	\$ 37,920	\$ 7,672
-	-	974	-
8	1	79	33
\$ 8	\$ 1	\$ 1,053	\$ 33

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FIDUCIARY FUNDS

Pension Trust Funds account for the accumulation of resources to be used for retirement annuity payments at appropriate amounts and times in the future. Resources are contributed by employees and the City at amounts determined by biennial actuarial studies and by State law.

The City of Boulder has the following pension trust funds:

Police Pension Fund – to account for retirement annuity payments for the City's police officers.

Fire Pension Fund – to account for retirement annuity payments for the City's fire fighters.

CITY OF BOULDER, COLORADO

Statement of Fiduciary Net Position

Pension Trust Funds

December 31, 2021

(Amounts in 000's)

Assets:

Equity in pooled cash and cash equivalents	\$	25
Investments:		
U.S. Treasuries		457
U.S. Agencies & Instrumentalities		145
Mutual Funds		17,346
Equity Securities		3,014
Real Estate Investment Trust		824
Corporate Bonds		262
Other		64
Receivables:		
Accrued interest		<u>6</u>
Total assets		<u>22,143</u>
Liabilities:		
Accounts and accrued liabilities:		
Accrued pensions payable		<u>137</u>
Total liabilities		<u>137</u>
Net position restricted for pensions	\$	<u><u>22,006</u></u>

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Changes in Fiduciary Net Position

Pension Trust Funds

Year ended December 31, 2021

(Amounts in 000's)

Additions:

Pension contributions:

City of Boulder	\$	<u>415</u>
Total contributions		<u>415</u>

Investment earnings	2,544
Less investment expense	<u>(91)</u>
Net investment earnings	<u>2,453</u>

Total additions	<u>2,868</u>
-----------------	--------------

Deductions:

Benefits	2,375
Administrative	<u>-</u>
Total deductions	<u>2,375</u>

Net increase (decrease) in net position	493
---	-----

Net position restricted for
pensions:

Beginning of year	21,513
End of year	\$ <u><u>22,006</u></u>

The accompanying notes are an integral part of this statement.

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NOTES TO THE FINANCIAL STATEMENTS

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS

December 31, 2021

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City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements of the City of Boulder, Colorado (the City) have been prepared in conformity with generally accepted accounting principles (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. A summary of the City's significant accounting policies follows:

1. Reporting Entity

The City is a municipal corporation duly organized and existing under the laws of the State of Colorado. It is a home rule City and adopted a charter pursuant to Article XX of the Constitution of the State of Colorado by vote of the electorate on October 30, 1917. The council/manager form of government was adopted in the City's charter and has been in operation since January 1918. The City Council, an elected body of nine members, is the policy-making arm of the government. Eight of the members of the Council are elected for staggered four-year terms and one is elected for a two-year term, with five council members elected in November of each odd-numbered year. A City Manager, appointed by the Council, serves as the City's Chief Administrative Officer.

In accordance with the Codification of Governmental Accounting and Financial Reporting Standards, the basic financial statements include all funds, organizations, agencies, boards, commissions and authorities for which the City is financially accountable. The City has also considered all other potential organizations for which the nature and significance of their relationships with the City are such that exclusion would cause the City's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a majority of an organization's governing body, and 1) the ability of the City to impose its will on that organization or 2) the potential for that organization to provide specific benefits to or impose specific financial burdens on the City.

Blended component units, although legally separate entities, are in substance part of the City's operations and so data from these units are combined with data of the primary government. Each discretely presented component unit, on the other hand, is reported in a separate column in the government-wide financial statements to emphasize that it is legally separate from the City and the primary government.

Based upon the application of these criteria the City has identified three blended component units and no discretely presented component units. Each of these component units has a December 31 year-end and is included in the accompanying financial statements.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

1. Reporting Entity (Continued)

Blended Component Units

Downtown Commercial District and University Hill Commercial District (the Districts) – These Districts provide parking facilities and services to citizens and are public subdivisions of the State of Colorado, administered by the City Council of the City of Boulder in an ex-officio capacity as its Board of Directors. The Districts operate under a formal budget adopted in conjunction with the budget of the City. The Districts are reported as blended component unit Enterprise Funds (proprietary funds); no separate financial statements are issued. In 2007, the Central Area General Improvement District was renamed the Downtown Commercial District and the University Hill General Improvement District was renamed the University Hill Commercial District. The funds were renamed to more appropriately reflect the broad purpose that the operations had come to serve over the last few years.

Boulder Municipal Property Authority (the Authority) – The Authority is responsible for the acquisition and construction of certain City properties and facilities and is a nonprofit corporation and instrumentality of the City, administered by the City Council of the City of Boulder in an ex-officio capacity as its Board of Directors. The Authority operates under a formal budget adopted in conjunction with the budget of the City. The Authority's activities are reported as a blended component unit Special Revenue Fund (a Governmental fund); no separate financial statements are issued.

Boulder Junction Access GIDs – In November 2010, two Access General Improvement Districts (GID) were established in the phase one area of Boulder Junction in order to implement the transit-oriented development goals of the City of Boulder. The two GID's are administered by the City Council of the City of Boulder in an ex-officio capacity as its Board of Directors. These services will be provided entirely to the primary government of the City and City management has operational responsibility for the GIDs. The two access districts were created to provide for shared, unbundled parking and for travel demand management programs. The Boulder Junction Access GID – Travel Demand Management (TDM) fund is accounted for as a special revenue fund while the Boulder Junction Access GID – Parking is accounted for as an enterprise fund. These are both reported as blended component units and do not issue separate financial statements.

Related Organizations

A related organization is an organization for which the City appoints a voting majority of the board but for which the City is not financially accountable, either because the City does not impose its will upon the organization, or a financial benefit or burden relationship does not exist. These related organizations are not included within the City's financial reporting entity.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

1. Reporting Entity (Continued)

Related Organizations (Continued)

The following two organizations have been identified as related organizations.

Boulder Housing Partners is a separate related organization whose primary purpose is to develop, acquire, subsidize and manage housing units for low to moderate income families and elderly persons and to provide tenant support services.

Downtown Boulder Business Improvement District is a separate related organization whose primary purpose is to provide promotion, marketing, enhanced maintenance and management functions for the district.

2. Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all the nonfiduciary activities of the City and its blended component units. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. *Governmental activities*, which normally are supported by taxes and intergovernmental revenues, are reported separately from *business-type activities*, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. *Direct expenses* are those that are clearly identifiable with a specific function or segment, including administrative department allocations of expenses based upon a formal cost allocation plan. *Program revenues* include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues*.

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The *government-wide financial statements* and *proprietary fund and fiduciary fund financial statements* are reported using the *economic resources measurement focus* and the *accrual basis of accounting*. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recorded as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

The fiduciary funds recognize plan member contributions in the period in which the contributions are due. Employer contributions to each plan are recognized when due and the employer has made a formal commitment to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of each plan.

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be *available* when they are collected within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Sales and use taxes, property taxes when budgeted for, other taxes, charges for services, intergovernmental revenues when eligibility requirements are met, and interest and investment earnings associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period.

The City reports the following major governmental funds:

General Fund – The General Fund is the City’s primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

Open Space Fund – This special revenue fund accounts for the acquisition and maintenance of greenbelt land and parks. Financing is provided by sales taxes and the issuance of long-term bonds and notes payable.

Transportation Fund – This special revenue fund accounts for the construction, operation and maintenance of all major thoroughfares, local streets, bikeways, walkways and City-owned parking. Financing is provided by sales taxes, the City’s share of the County Road and Bridge tax, State Highway Users’ tax, State Auto Registration fees and Federal and State reimbursements through the Colorado Department of Transportation.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (Continued)

Boulder Municipal Property Authority Fund – This special revenue fund accounts for the acquisition and construction of certain City properties and facilities. Funding is derived from the issuance of lease purchase revenue debt. Debt service is paid with income received from the City in the form of base rentals that are derived from the acquired or constructed assets.

The City reports the following major enterprise funds:

Water Utility Fund – This enterprise fund was established to finance and account for the acquisition, operation and maintenance of water facilities and services. It is predominately self-supported by user charges but also receives revenues from hydroelectric sales and plant investment and connection fees.

Wastewater Utility Fund – This enterprise fund was established to finance and account for the acquisition, operation and maintenance of wastewater facilities and services. It is predominately self-supported by user charges but also receives revenues from surcharge fees, cogeneration sales, and plant investment and connection fees.

Stormwater and Flood Management Fund – This enterprise fund was established to finance and account for the acquisition, operation and maintenance of stormwater and flood management facilities and services. It is predominately self-supported by user charges but also receives revenues from the Urban Drainage District and plant investment fees.

Downtown Commercial District – This district provides parking facilities and services to citizens in the downtown Boulder area. It is predominately self-supported by user charges but also receives general property and other tax revenues.

Additionally, the City reports the following fund types:

Internal service funds are established to finance and account for services and/or commodities required by other funds, on a cost reimbursement basis. The City has funds that account for the costs of acquiring, operating and maintaining certain types of equipment and facilities, costs for City-wide insurance programs and funding for certain governmental fund compensated absences liabilities.

Pension trust funds account for the accumulation of resources to be used for retirement annuity payments for the City's police officers and fire fighters.

Amounts reported as *program revenues* include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as *general revenues* rather than as program revenues. Likewise, general revenues include all taxes, interest and investment earnings, and miscellaneous revenues.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (Continued)

Proprietary funds distinguish *operating* revenues and expenses from *nonoperating* items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Water Utility Fund, Wastewater Utility Fund, Stormwater and Flood Management Fund and Downtown Commercial District are charges to customers for sales and services. The Water Utility Fund also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for enterprise and internal service funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

4. Budgets

Budgets are adopted on a budgetary basis as described in Note C. The City budgets revenues and expenditures/expenses for all funds except Fiduciary Funds. Pension Trust Fiduciary Funds each have an independent board, which review all expense, refund, disability and investment transactions. All annual appropriations lapse at year ended December 31, 2021.

The budget of the City is a detailed operating plan, which identifies estimated costs and results in relation to estimated revenues and represents a process through which policy decisions are made, implemented and controlled. The City Charter requires that the City establish a budgetary system for general operations and prohibits expending funds for which there is no legal appropriation.

Local City code states that total expenditures for each fund cannot exceed the amount appropriated. The fund is, therefore, the level of control on which expenditures may not legally exceed appropriations. In the Enterprise Funds, budgeting at the operating, capital and debt service expense level provides further control.

Although appropriations lapse at year-end, subsequent year's appropriations provide authority to complete transactions involving encumbrances outstanding at year-end. The City Charter stipulates that, at any time after the adoption of the annual appropriation ordinance and after at least one week's public notice, the City Council may transfer unused fund balances appropriated for one purpose to another purpose and may by ordinance appropriate available revenues not included in the annual budget. Available fund balances not required for operations and capital improvements during the year are included in the annual appropriations ordinance. This is done to ensure that excess funds are available for use if the need arises after the adoption of that ordinance. Council approval is still required to transfer unallocated amounts to active operating or capital improvement budgets.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

5. Equity in Pooled Cash and Cash Equivalents/Cash and Cash Equivalents

The City utilizes the pooled cash concept whereby cash balances of each of the City's funds are pooled and invested by the City in short-term certificates of deposit, money market deposit accounts, mutual funds, local government investment pools and United States Treasury obligations.

The investment pool is used to maximize interest income while protecting principal. Securities are selected according to their risk, marketability and diversification. Income earnings or losses arising from the investment of pooled cash are allocated to the various funds based on their respective daily average equity in pooled cash.

At year-end, cash in bank accounts, cash on hand, cash held by trustees, certificates of deposit (with an original maturity date less than 90 days) and money market deposit accounts, but not to include restricted cash, are classified as Equity in Pooled Cash and Cash Equivalents. All other securities within pooled cash are reclassified for reporting purposes to investments.

6. Investments

In addition to the cash and cash equivalents mentioned in Note A5, the City authorizes investments in the securities below for the general pooled investments. The Fire and Police Pension Boards adopt and establish separate investment policies for each of the Pension Trust Funds. The City's authorization for general pooled investments allows the following types of investments:

- Bonds or other interest-bearing obligations of the United States of America or its agencies thereof and Local Government Investment Pools that invest therein.
- Repurchase agreements and reverse repurchase agreements.
- Obligations secured by first liens on real estate or by pledge of specific income or revenue and issued, insured, or guaranteed by an agency or instrumentality of the United States government or State of Colorado.
- Commercial paper (with a rating at the time of purchase in its highest rating categories by one or more nationally recognized rating organizations).
- Eligible bankers acceptances.
- Money market mutual funds (with a rating at the time of purchase of at least AAAm by Standard and Poor's or Aaa by Moody's).
- Corporate Bonds rated at least A by Standard & Poor's or A2 by Moody's. Authorized corporates shall be limited to corporations organized and operated within the United States with a net worth in excess of \$250,000,000.

The City records long-term investments at fair value, amortized cost, and net asset value in accordance with GASB Statement No. 72 using quoted market prices. Short-term investments are reported at cost, which approximates fair value. Pension fund real estate investments are stated at an estimated market value using an annual external appraisal service hired by the real estate company's management team. Other pension fund investments for which market quotations are not readily available are valued at their fair values as determined by the custodian with the assistance of a valuation service. The City authorizes

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

6. Investments (Continued)

the purchase and sale of investments, except for those held in the Pension Trust funds, which are controlled by the Fire and Police Pension Boards as trustees.

Since many of the City monies are designated for specific uses, maturities are selected to coincide with the periods these monies will be spent. For those securities sold prior to maturity, the specific identification method is used in determining gain or loss. Investment earnings are recorded when earned since they are measurable and available.

7. Interfund Receivables/Payables

Transactions between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either “interfund receivables/payables” (i.e., short term interfund loans) or “advances to/from other funds” (i.e., long term interfund loans). Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as “internal balances.” Certain eliminations have been made as prescribed by GASB Statement No. 34 in regard to interfund activities, payables and receivables. All internal balances in the Statement of Net Position have been eliminated except those representing balances between the governmental activities and the business-type activities, which are presented as internal balances and eliminated in the total primary government column. In the Statement of Activities, internal service fund transactions have been eliminated; however, those transactions between governmental and business-type activities have not been eliminated.

8. Inventories

Inventories of a material amount are maintained in the General Fund for postage, the Wastewater Utility and Stormwater & Flood Fund for material supply, and the Recreation Activity Fund for golf course clubhouse merchandise. Inventories considered supplies are valued at cost. Inventories held for resale are reported at lower of cost or market, using the first-in, first-out (FIFO) method. The costs of these inventories are recorded as expenditures when consumed rather than when purchased. All other inventories in the City are considered immaterial and are expensed when purchased.

9. Restricted Assets

Pooled and non-pooled investments restricted for specified uses by gift, fee, grant and retainage requirements are classified as “restricted assets” in the General and Special Revenue Funds. Pooled investments and cash held by paying agents have been restricted in the Capital Project and Enterprise Funds for future capital improvements in compliance with bond ordinances. Additional pooled investments have been restricted for debt service bond reserves in compliance with bond ordinances.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

10. Capital Assets

All capital assets, including “Public Domain” infrastructure capital assets such as bridges, streets and sidewalks are reported in the applicable governmental or business-type activities columns in the government-wide and proprietary fund financial statements. Capital assets are defined as assets with an initial, individual cost of more than \$5,000 (\$50,000 for infrastructure) and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost. Donated assets are valued at acquisition value on the date donated. The City does not capitalize historical treasure or works of art. Costs incurred for the purchase or construction of capital assets for governmental activities are recorded as capital outlay expenditures in the governmental funds.

Major outlays for capital assets and improvements are capitalized as projects are constructed.

Depreciation of all exhaustible capital assets is charged as an expense against operations. Accumulated depreciation is reported on the government-wide financial statements. Depreciation has been provided over the estimated useful lives using the straight-line method.

The estimated useful lives are as follows:

Buildings	10-50 years
Improvements other than buildings	20 years
Infrastructure	20-75 years
Utility plant in service	30-40 years
Undergrounds	30-75 years
Machinery, equipment and vehicles	3-20 years
Software and licenses	5-10 years
Intangibles	20- 50 years

The costs of normal maintenance and repairs that do not add to the value of the capital asset or materially extend the asset’s life are not capitalized. Improvements are capitalized and depreciated over the remaining life of the capital asset, as applicable.

Upon sale or retirement of a capital asset, the cost and related accumulated depreciation, if applicable, are eliminated from the respective accounts and any resulting gain or loss is included in the results of operations.

11. Compensated Absences

Upon termination or retirement, all unused vacation pay, unused sick pay based on certain service requirements, an appreciation bonus dependent upon employee length of service, and compensation time per the police employees’ contract, must be paid to the employee. These compensated absences are recognized when earned in proprietary fund types and when due in governmental fund types. A liability for these amounts is reported in the government-wide financial statements when earned.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

12. Deferred Outflows/Inflows of Resources

A deferred outflow of resources is a consumption of net position by the City that is applicable to a future reporting period and a deferred inflow of resources is an acquisition of net position by the City that is applicable to a future reporting period. Both deferred inflows and outflows are reported in the statement of net position but are not recognized in the fund financial statements as revenues and expenditures until the period(s) to which they relate.

Under the modified accrual basis of accounting, revenues and other fund financial resources are recognized in the period in which they become both measurable and available. Assets recorded in the fund financial statements for which the revenues are not available are reported as a deferred inflow of resources.

Deferred outflows of the entity consist of a deferred charge on refunding in the government-wide statement of net position. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred inflows of resources consist of property taxes receivable and reimbursement based grants, as applicable in the government-wide and fund financial statements.

The City also records in the category of deferred outflows and deferred inflows certain items related to its PERA defined benefit pension plan, its “Old Hire” Police Defined Benefit Plan and “Old Hire” Fire Defined Benefit Plan and its PERA Health Care Trust Fund and City of Boulder Retiree Health Care Benefit Plan. See Note Z, U and W for additional information.

13. Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are amortized over the life of the bonds using the effective interest rate method.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, losses on refunding, as well as bond issuance costs in the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances and losses on debt refunding are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, and debt principal payments are reported as debt service expenditures.

Debt service for the major utility funds is paid from monies provided by those funds. The blended component unit Boulder Municipal Property Authority pays debt service from revenues received from the City in the form of base rentals on open space and parks property.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

13. Long-Term Obligations (Continued)

The City reports a net pension liability for its proportionate share of PERA's unfunded pension liability and the City's unfunded pension liability of its "Old Hire" Police Defined Benefit Plan and "Old Hire" Fire Defined Benefit Plan. See Note U for additional information.

The City reports a net OPEB liability for its proportionate share of PERA's Health Care Trust Fund and a net OPEB liability for City of Boulder Retiree Health Care Benefit Plan. See Note W for additional information.

14. Fund Balances and Net Position

In the governmental funds financial fund statements, there are five categories of fund balances that have been used. These include nonspendable, restricted, committed, assigned and unassigned.

Nonspendable – This category pertains to any fund equity that has permanent limitations on it. This includes prepaid expenditures, inventory, and endowments. These items cannot be converted to cash and, therefore, are not an available resource for the City.

Restricted – Funds are reported as restricted when constraints are imposed by creditors, grantors, laws or regulations of other governments, or by law through constitutional provisions or enabling legislation. Any constraint imposed by an outside entity on the use of funds for a specific purpose results in the fund balance being shown as restricted.

Committed – Any formal action, ordinance or resolution, of City Council, the highest level of decision making authority, which places constraints on the use of funds to a specific purpose is categorized as committed fund equity. Actions to remove the constraints, regardless if they were imposed by an ordinance or a resolution, would require the same level of difficulty needed to place constraints on the use of funds to a specific purpose.

Assigned – This category is used when the intent of the City is to use the funds for a specific purpose. The City Manager or Chief Financial Officer of the City may assign fund balance to specific purposes pursuant to the general authority granted within the City Charter Articles V & VI.

Unassigned – This classification is for fund balance that does not meet the criteria for inclusion in one of the other four classifications. The General Fund is the only fund that reports a positive unassigned fund balance amount.

Order of spending: When expenditures are incurred that can use funds from more than one classification, the City will generally determine the order which the funds are used on a case-by-case basis, considering any applicable requirements of grant agreements, contracts, business circumstances, or other constraints. If no other constraints exist, the order of spending of resources will be restricted, committed, assigned and lastly, unassigned.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

14. Fund Balances and Net Position (Continued)

The fund balance of certain special revenue and capital project funds have been restricted where the fund was created through legislation that includes a legally enforceable restriction on the use of revenues (Note S).

In the government-wide and proprietary funds financial statements, there are three categories of net position used. These include net investment in capital assets, restricted and unrestricted.

Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent bond proceeds. Unspent bond proceeds as of December 31, 2021 totaled \$18,815,542 consisting of \$560,879 for the Water Utility Fund, \$4,229,239 for the Wastewater Utility Fund, \$404,920, for the Stormwater and Flood Management Fund, and \$13,620,504 from Certificates of Participation.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE B – RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

1. Explanation of Certain Differences Between the Governmental Funds Balance Sheet and the Government-wide Statement of Net Position

The City includes a reconciliation between fund balance-total governmental funds and net position-governmental activities as reported in the government-wide statement of net position.

One element of that reconciliation explains that “capital assets used in governmental activities are not financial resources and are not reported within the funds.” The details of this difference are as follows (amounts in 000’s):

	<u>Governmental Fund Capital Assets</u>	<u>Internal Service Fund Capital Assets</u>	<u>Total Capital Assets - Governmental Activities</u>
Land and easements	\$ 395,384	\$ 262	\$ 395,646
Buildings	88,478	92,238	180,716
Improvements other than buildings	118,599	9,110	127,709
Infrastructure	495,375	763	496,138
Machinery, equipment and vehicles	10,103	60,364	70,467
Software and Licenses	14,141	-	14,141
Construction-in-progress	42,748	1,560	44,308
Total capital assets	<u>1,164,828</u>	<u>164,297</u>	<u>1,329,125</u>
Less accumulated depreciation	<u>(441,906)</u>	<u>(114,097)</u>	<u>(556,003)</u>
Capital assets, net	<u>\$ 722,922</u>	<u>\$ 50,200</u>	<u>\$ 773,122</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE B – RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS (CONTINUED)

1. Explanation of Certain Differences Between the Governmental Funds Balance Sheet and the Government-wide Statement of Net Position (Continued)

Another reconciling item explains that “long-term liabilities, including bonds payable, are not due and payable in the current period and therefore are not reported in the funds.” The details of this difference are as follows (amounts in 000’s):

General obligation bonds	\$ 7,038
Direct purchase notes	34,160
Certificates of participation - COPs	50,888
Capital improvement bonds	2,250
Lease Purchase revenue notes	7,341
Notes payable	3,031
Compensated absences, excluding internal service funds	10,189
Interest payable, excluding internal service funds	574
Governmental fund long-term liabilities	<u>\$ 115,471</u>

2. Explanation of Certain Differences Between the Governmental Funds Statement of Revenues, Expenditures, and changes in Fund Balances and the Government-wide Statement of Activities

The City includes a reconciliation between net changes in fund balances-total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation states that “debt proceeds provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. This amount is the net effect of these differences in the treatment of long-term debt and related items.”

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE B – RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS (CONTINUED)

2. Explanation of Certain Differences Between the Governmental Funds Statement of Revenues, Expenditures, and changes in Fund Balances and the Government-wide Statement of Activities

The details of the \$22,201 increase from changes in the treatment of long-term debt and related items are as follows (amounts in 000's):

Debt issued or incurred:	
Net increase in direct purchase notes	\$ (26,795)
Net decrease in compensated absences	772
Increase in net OPEB liability:	
PERA	657
City of Boulder	(251)
Increase in net pension liability:	
PERA	10,130
"Old Hire" Police Defined Benefit Plan	457
"Old Hire" Fire Defined Benefit Plan	392
Total debt issued or incurred	(14,638)
Principal repayments or reductions:	
Repayments	34,518
Amortization of debt premium	2,108
Total principal repayments or reductions	36,626
Other long term liabilities	
Change in accrued interest payable	213
Total other related items	213
Net adjustment to increase net changes in fund balances – total governmental funds to arrive at changes in net position of governmental activities – debt and related items	<u><u>\$ 22,201</u></u>

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE C – LEGAL COMPLIANCE – BUDGETS

City management, with the approval of the Budget Office, may transfer budgeted amounts within a fund without City Council approval. Excluded are transfers between operating, capital and debt service budgets in the Enterprise Funds. The City Manager must approve increases and decreases to appropriations and estimated revenues in the Internal Service Funds.

The City's basis of budgeting differs from GAAP in several ways:

GAAP expenditures *not* treated as expenditures using the basis of budgeting:

- All fund types – adjustment to accrued salaries, wages and amounts withheld from employees, adjustment to compensated absences, adjustment to accrued interest payable (certain debt).

Expenditures using the basis of budgeting *not* treated as GAAP expenditures:

- All fund types – encumbrances, payments on advances from other funds, intrafund transfers, adjustments to accrued interest payable (certain debt).

GAAP revenues *not* treated as revenues using the basis of budgeting:

- All fund types – fair market value adjustment to investments.

Non-compliance:

As of December 31, 2021 the City had one fund in budget non-compliance as follows:

Boulder Municipal Property Authority (BMPA) \$1,307,000

In 2019 the BMPA fund issued Certificates of Participation (COP) to be used for the City's broadband fiber backbone project. The lease revenues for the COP's from the General Fund to BMPA were budgeted in the 2021 appropriation. However, the payment of the COP's for the 2019 issuance was not included in the 2021 appropriation. As such the BMPA fund had a negative budget non-compliance.

NOTE D – LEGAL COMPLIANCE – TABOR

The voters of Colorado at the general election held in the State on November 3, 1992 approved an amendment to the Colorado Constitution (Article X, Section 20 "The Taxpayer's Bill of Rights" or TABOR). The language of TABOR applies to the State and all local governments, including the City.

TABOR generally requires that the voters of the City approve any new tax, increase of an existing tax, property tax mill levy increase, assessed valuation ratio increase, tax extension or tax policy change of the City that results in an increase in taxes. TABOR also limits increases in the City's property tax revenue over the prior year to the rate of inflation plus the net percentage change in the actual value of all real property in the City from construction of improvements and additions to taxable real property, unless otherwise approved by the voters.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE D – LEGAL COMPLIANCE – TABOR (CONTINUED)

In addition to revenue limits, TABOR also limits increases in the City's spending over the prior year to the rate of inflation plus the net percentage change in the actual value for all real property in the City from construction of improvements and additions to taxable real property, unless otherwise approved by the voters. The initial base years for this limit on spending increases by the City are the 1992 fiscal year of the City and 1991 property taxes collected in 1992. Any revenues collected in excess of these limits on spending and property tax revenue are required to be refunded during the next fiscal year.

On November 2, 1993, the voters within the City of Boulder approved a ballot question which authorizes the City to collect, retain and expend the full proceeds of the City's sales and use tax, admissions tax, accommodations tax and nonfederal grants notwithstanding any TABOR restrictions.

At the November 8, 1994 election, the voters approved an increase in the City's trash tax and also approved an education excise tax. Both ballot issues included language which allowed the City to collect and spend the full proceeds of the tax and any interest earnings thereon.

On November 5, 1996, the voters within the City of Boulder approved a ballot question by a vote of 21,832 to 16,170 which removed the TABOR restriction on all revenues (except property tax) and expenditures of the City, eliminated the emergency reserve requirements, and authorized the collection, retention and expenditure of all revenues of the City free from current revenue and expenditure limitations and from any limitations that may be enacted in the future without the amendment of the City Charter by the electors of the City.

On November 4, 2008, the voters within the City of Boulder approved a ballot question which removed the remaining TABOR restriction on property tax revenues collected in 2009 and beyond. The increase in retained taxes starting in tax collection year 2009 will be limited to 1/2 mill per year until the full amount of the existing City property tax levy of 11.981 mills is restored and retained, which occurred in 2012.

TABOR remains in full effect for the blended component units Downtown Commercial District and University Hill Commercial District.

TABOR is very complex and open to interpretation. However, at December 31, 2021, the City believes it was in compliance with TABOR (see Note K).

NOTE E – DEPOSITS AND INVESTMENTS

At December 31, 2021, the City had the following in cash and investments (in 000's):

Cash and deposits	\$ 50,019
Investments	<u>428,415</u>
Total	<u><u>\$ 478,434</u></u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Cash and investments are reported in the financial statements as follows (in 000's):

<i>Citywide Investments</i>	
Equity in pooled cash and cash equivalents	\$ 49,994
Investments	405,496
Restricted investments	807
	<u>456,297</u>
<i>Fiduciary Fund Investments</i>	
Equity in pooled cash and cash equivalents	25
Investments	22,112
	<u>22,137</u>
Total	<u>\$ 478,434</u>

Deposits

Custodial Credit Risk – Deposits. For deposits, this is the risk that in the event of a bank failure, the City's deposits may not be returned. Title 2, Chapter 10 of the Boulder Revised Code (1981) requires that depositories belong to the FDIC and qualify as a depository of public funds in the state under the Colorado Public Deposit Protection Act (PDPA) as defined in 24-75-603, C.R.S. As of December 31, 2019, all financial institutions holding deposits for the City of Boulder have been identified as eligible public depositories under PDPA by the State of Colorado Division of Banking. PDPA requires that any amounts on deposit in excess of federal insurance levels must be collateralized by eligible collateral as determined by the PDPA. PDPA allows the financial institution to create a single collateral pool for all public funds held. The pool is to be maintained by another institution or held in trust for all the uninsured public deposits as a group. The market value of the collateral must be at least equal to 102% of the uninsured deposits.

On December 31, 2021, the City had cash on hand of \$21,456. In addition, on December 31, 2021, the carrying amount of the City's deposits at JPMorgan Chase was \$27,419,404 while the bank statement balance was \$27,493,178, leaving \$250,000 of the City's operating accounts under FDIC coverage and \$27,243,178 properly collateralized under the Public Deposit Protection Act. The carrying amount and bank statement balance of the City's deposits at 1st Bank of Colorado on December 31, 2021 was \$22,561,763 leaving \$250,000 of the City's accounts under FDIC coverage and \$22,311,763 properly collateralized under the Public Deposit Protection Act.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Citywide (excludes Fiduciary Funds)

As of December 31, 2021, the City had the following investments:

Investment Type	Fair Value (000's)
U.S. Corporate	\$ 118,394
U.S. Treasuries	133,779
U.S. Instrumentalities	117,589
Municipal / Provincial Bonds	25,931
Short Term Bills and Notes	400
Time Deposits	10,188
Money Markets	22
Total	<u>\$ 406,303</u>

Credit Risk – Investments. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. Title 2, Chapter 10 of the Boulder Revised Code (2017) limits the City's investment activity to specific types of investments as disclosed in Note A6. Rating requirements for Federal Instrumentality securities are not addressed within the code but it does limit investments in commercial paper to issues with a credit rating of at least A-1 by Standard and Poor's or P-1 by Moody's. Credit rating requirements for eligible banker's acceptances are not addressed. Local government investment pools and money market mutual funds must have a rating at the time of purchase of at least AAAm by Standard and Poor's or Aaa by Moody's. Corporate bonds must have a credit rating of at least A by Standard & Poor's or A2 by Moody's.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Citywide (excludes Fiduciary Funds)

As of December 31, 2021, the City held investments with the following credit ratings:

Issuer	Fair Value (000's)	Ratings		
		Standard & Poors	Moody's	
U.S. Instrumentalities:				
FHLB	\$ 37,363	AA+	Aaa	
FNMA	37,359	AA+	Aaa	
FFCB	22,229	AA+	Aaa	
FHLMC	20,638	AA+	Aaa	
U.S. Corporate:				
John Deere Capital Corp Note	14,025	A	A2	
Microsoft Corp Note	13,245	AAA	Aaa	
Toyota Motor Credit Corp Note	12,678	A+	A1	
State Street Corp Note	12,002	A	A1	
American Honda Finance Note	10,673	A-	A3	
Caterpillar Financial Service Note	10,475	A	A2	
Apple Inc Note	10,029	AA+	Aaa	
3M Company Note	9,210	A+	A1	
Walmart Inc Note	7,116	AA	Aa2	
Cisco Systems Note	5,124	AA-	A1	
IBM Corp Note	4,702	A-	A3	
Johnson & Johnson Note	4,085	AAA	Aaa	
Intel Corp Note	2,525	A+	A1	
Pepsico Inc Note	2,505	A+	A1	
Municipal / Provincial Bonds:				
City of New York, NY	8,539	AA	Aa2	
Metro, OR	5,202	AAA	Aaa	
State of Maryland	4,931	AAA	Aaa	
State of Florida	4,925	AAA	Aaa	
Metro, OR	2,334	AAA	Aaa	
Short Term Bills and Notes:				
USA Treasury Bill	400	A-1+	P-1	
Total	\$ 262,314			

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Citywide (excludes Fiduciary Funds) (Continued)

Interest Rate Risk – Investments. For investments, this is the risk that changes in interest rates will adversely affect fair market values. In accordance with Title 2, Chapter 10 of the Boulder Revised Code (2017) the weighted average maturity of the City’s portfolio shall at no time exceed five years. As of December 31, 2021, the weighted average maturity of the City’s pooled investment portfolio was 1.78 years as detailed in the following chart:

Investment Type	Fair Value (000's)	Weighted Average Maturity (years)
U.S. Corporate	\$ 118,394	1.88
U.S. Treasuries	133,779	1.60
U.S. Instrumentalities	117,589	7.66
Municipal / Provincial Bonds	25,931	1.97
Short Term Bills and Notes	400	0.23
Time Deposits	10,188	0.70
Total fair value	<u>\$ 406,281</u>	
Portfolio weighted average maturity		<u>1.78</u>

Custodial Credit Risk – Investments. This is the risk that, in the event of the counterparty’s failure, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. In accordance with the Boulder Revised Code, the City utilizes a third-party safekeeping arrangement with JP Morgan Chase, N.A. to minimize custodial credit risk.

Concentration of Credit Risk – Investments. Concentration of credit risk is the risk of loss attributed to the concentration of the City’s investment in a single issuer. The Boulder Revised Code does not specifically address concentration of credit risk. 5% or more of the City’s investments were held by the following issuers as of December 31, 2021:

Issuer	Fair Value (in 000's)	Percentage of Total Portfolio
Federal Home Loan Bank	\$ 37,363	9%
Federal Farm Credit Bureau	22,229	5%
Federal National Mortgage Association	37,359	9%
Federal Home Loan Mortgage Corporation	20,638	5%

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds

As of December 31, 2021, the Police and Fire Pension Funds had the following investments:

Investment Type	Fair Value (in 000's)	Maturities in Years				
		<1	1-2	3-5	5-10	>10
U.S. Treasuries	\$ 457	-	-	-	457	-
U.S. Instrumentalities and Agencies	145	-	-	145	-	-
Corporate Bonds	262	25	51	133	53	-
Subtotal	<u>864</u>	<u>\$ 25</u>	<u>\$ 51</u>	<u>\$ 278</u>	<u>\$ 510</u>	<u>\$ -</u>
Money Market Funds	-					
Mutual Funds	17,331					
Equities	3,014					
Real Estate Investment Trust	824					
Other	79					
Total	<u>\$ 22,112</u>					

Credit Risk – Pension Investments. This is the risk that an issuer or other counterparty to an investment will not fulfill its obligation. The “Old Hire” Police Pension Fund investment policy was revised in January of 2020 and adopted in January 2020. The “Old Hire” Fire Pension Fund investment policy was revised in January 2020, and formally adopted in January of 2020. The “Old Hire” Police Pension Fund has a risk tolerance of no more than a 17.5% annual loss, with a statistical confidence level of 95%. The “Old Hire” Fire Pension Fund has a risk tolerance of no more than a 18.5% annual loss, with a statistical confidence level of 95%.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

At December 31, 2021 the pension funds held investments with credit ratings as follows:

Issuer	Fair Value (000's)	Ratings	
		Standard & Poors	Moody's
U.S. Treasuries	\$ 457	AA+	Aaa
U.S. Instrumentalities and Agencies	145	AA+	Aaa
Corporate Bonds:			
United Parcel	25	A-	A2
Emerson Electric	25	A	A2
Johnson Johnson	25	AAA	Aaa
3M CO	27	A+	A1
Union Pacific CO	27	A-	Baa1
Apple Inc	27	AA+	Aaa
Hubbell Inc	26	BBB+	Baa1
JP Morgan Chase	26	A-	A2
Mastercard Inc	27	A+	A1
Nike Inc	27	AA-	A1

Concentration of Credit Risk – Pension Investments. Concentration of credit risk is the risk of loss attributed to the concentration of the City's investment in a single issuer. The "Old Hire" Police Pension Fund investment policy states that equity holdings in any one company should not exceed more than 15% of the fair value of the Fund's assets and that not more than 25% should be invested in any one industry. Fixed Income Portfolio Securities, other than U.S. government or agency securities, cannot exceed 10% by any one issuer. At December 31, 2020, no single issuer held more than 10% of either pension fund's portfolio.

In the revised investment policy, which was effective January of 2020, the "Old Hire" Police Pension Fund, Long-Term Account, has a specified risk tolerance not to exceed a 17.5% loss in any year. To maintain a 95% confidence level that this performance level is met, the board selected the following asset classes and allocations for each class:

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

Asset Allocation	Lower Limit	Strategic Allocation	Upper Limit
Domestic Large Cap Equity	19%	22%	25%
Domestic Small Cap Equity	5%	8%	11%
International Equity	14%	17%	20%
Emerging Markets	3%	6%	9%
Domestic Fixed Income	17%	20%	23%
Direct Real Estate	2%	5%	8%
Master Limited Partnerships	4%	7%	10%
Liquid Low Correlated Hedge	7%	10%	13%
Floating Rate Corporate Loans	2%	5%	8%

In the revised investment policy, which was adopted in September of 2019, the “Old Hire” Fire Pension Fund, Long-Term Account, has a specified risk tolerance not to exceed a 18.5% loss in any year. To maintain a 95% confidence level that this performance level is met, the board selected the following asset classes and allocations for each class:

Asset Allocation	Lower Limit	Strategic Allocation	Upper Limit
Domestic Large Cap Equity	19%	22%	25%
Domestic Small Cap Equity	5%	8%	11%
International Equity	14%	17%	20%
Emerging Markets	3%	6%	9%
Domestic Fixed Income	17%	20%	23%
Direct Real Estate	2%	5%	8%
Master Limited Partnerships	4%	7%	10%
Liquid Low Correlated Hedge	7%	10%	13%
Floating Rate Corporate Loans	2%	5%	8%

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

At December 31, 2021 the asset class allocations were within the maximum limits.

Investment concentrations in one organization that represent over 5% of each “Old Hire” pension plan’s fiduciary net position are as follows:

"Old Hire" Police Pension Fund		
Issuer	Fair Value (in 000's)	Percentage of Total Portfolio
Fidelity Total Bond Fund	\$ 1,479	12%
Brandes International Equity Fund	1,080	8%
Artisan International Fund	1,061	8%
T Rowe Price Small Cap Fund	979	8%
Principal US Property	824	6%
Allspring Emerging Markets Fund	665	5%
Eaton Vance Floating Mutual Fund	640	5%
Blackstone Alternative Equity Fund	594	5%
Partnerselect Alternative Equity Fund	588	5%

"Old Hire" Police Pension Fund		
Issuer	Fair Value (in 000's)	Percentage of Total Portfolio
Fidelity Total Bond Fund	\$ 1,479	12%
Brandes International Equity Fund	1,080	8%
Artisan International Fund	1,061	8%
T Rowe Price Small Cap Fund	979	8%
Principal US Property	824	6%
Allspring Emerging Markets Fund	665	5%
Eaton Vance Floating Mutual Fund	640	5%
Blackstone Alternative Equity Fund	594	5%
Partnerselect Alternative Equity Fund	588	5%

Custodial Credit Risk – Pension Investments. This is the risk that, in the event of a counterparty’s failure, the City will not be able to recover the value of its investments. The “Old Hire” Police Pension Fund investment policy states that a custodian bank will maintain possession of securities owned by the

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

Fund. The “Old Hire” Fire Pension Fund’s investment policy was revised to require a custodian bank to maintain possession of securities in September 2008. All the pension securities, except for the Principal RESA account, are held by the Fund’s third party custodian, Charles Schwab Institution, in the pension’s name.

Interest Rate Risk – Pension Investments. This is the risk that changes in interest rates will adversely affect the portfolio’s fair market value. The “Old Hire” Police Pension Fund investment policy specifies a targeted rate of return of 2.75% to 3.75% over CPI, for its long-term account. The “Old Hire” Fire Pension Fund investment policy specifies a targeted rate of return of 2.50% to 3.50% for its long-term account.

Taxable Pension Obligation Bonds. In order to allow the City to establish more predictable pension obligation payment schedules for firefighters and police officers hired before April 8, 1978, taxable pension obligation bonds were issued on October 26, 2010. Proceeds of \$5,469,000 and \$3,531,000 were deposited into money market mutual funds for the “Old Hire Police” and “Old Hire Fire” pension fund accounts, respectively. These deposits are held by a third-party custodian, Charles Schwab Institutional, in each pension’s name. During September of 2020, these bonds were refunded by the City of Boulder, Colorado \$5,445,000 Pension Obligation Refunding Note, Series 2020.

Fair Value of Investments

The City categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. For investments measured at Net Asset Value (NAV), there are no commitments, the redemption frequency is daily, and there is no redemption notice period. For Level 2 inputs the pricing methodology utilizes the services of firms that provide market standard pricing. These pricing service providers synthesize multiple market inputs to determine a fair value price. As such, the prices are derived from altered or indirectly observable prices to result in a fair value measure.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Fair Value of Investments (Continued)

City Investments Measured at Fair Value at 12/31/2021:

		Fair Value Measurement Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	12/31/2021			
Investments by fair value level				
Debt securities				
U.S. Treasury securities	\$ 133,779	\$ -	\$ 133,779	\$ -
U.S. Instrumentalities and agencies	117,589	-	117,589	-
U.S. Corporate	118,394	-	118,394	-
Municipal / Provincial bonds	25,931	-	25,931	-
Short Term Bills and Notes	400	-	400	-
Total debt securities	<u>396,093</u>	<u>-</u>	<u>396,093</u>	<u>-</u>
Total investments measured at fair value level	<u>\$ 396,093</u>	<u>\$ -</u>	<u>\$ 396,093</u>	<u>\$ -</u>
Investments measured at the net asset value (NAV)				
Time deposits	\$ 10,188			
Money Markets	<u>22</u>			
Total investments measured at the NAV	10,210			
Investments measured at amortized cost:				
Total investments measured at amortized cost	<u>-</u>			
Total investments	<u><u>\$ 406,303</u></u>			

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Fair Value of Investments (Continued)

Fiduciary Investments Measured at Fair Value at 12/31/21:

	12/31/2021	Fair Value Measurement Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments by fair value level				
Debt securities				
U.S. Treasury securities	\$ 457	\$ -	\$ 457	\$ -
U.S. Instrumentalities and agencies	145	-	145	-
Corporate bonds	4,833	-	4,833	-
Other	-	-	-	-
Total debt securities	<u>5,435</u>	<u>-</u>	<u>5,435</u>	<u>-</u>
Equity securities	<u>15,774</u>	<u>15,774</u>		
Real estate investment trust	<u>824</u>			<u>824</u>
Total investments measured at fair value level	<u>22,033</u>	<u>\$ 15,774</u>	<u>\$ 5,435</u>	<u>\$ 824</u>
Investments measured at the net asset value (NAV)				
Other	<u>79</u>			
Total investments measured at the NAV	<u>79</u>			
Total investments	<u>\$ 22,112</u>			

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE F – PROPERTY TAXES RECEIVABLE

Property taxes for the City are levied by the City Council and certified to Boulder County for collection by December 15 of each year. These taxes attach as an enforceable lien on property as of January 1 of the succeeding year and are payable in full by April 30 or in two installments by June 15 in the year of collection.

Property taxes levied in 2021 for collection in 2022 of \$45,773,000 in the General Fund, \$5,629,000 in the Non-Major Governmental Funds, \$1,392,000 in the Downtown Commercial District Fund, and \$456,000 in the Non-Major Enterprise Funds, are included in receivables and deferred inflows at December 31, 2021. These taxes are classified as deferred inflows since they are not normally available to the City until mid-2022 and are budgeted for in 2022.

NOTE G – OTHER RECEIVABLES

The City of Boulder recognizes various receivables when earned. Revenues are recognized as appropriate based on the measurement focus and basis of accounting as discussed in Note A. An allowance for doubtful accounts is recognized as appropriate based upon management's estimate of the collectability of the various receivables. No allowance is provided for utility service charges since delinquent amounts are certified as a lien against the property billed and are expected to be fully collectible. As of December 31, 2021, no allowance for doubtful accounts was recognized.

The December 31, 2021, balance in "other receivables" contains the following detail (amounts in 000's):

Type of Note Receivable	Governmental Activities	Business-type Activities	Total
Accounts	\$ 3,376	\$ 195	\$ 3,571
Charges for services	-	7,111	7,111
Rental license taxes	1,390	0	1,390
Accrued interest	1,171	416	1,587
Intergovernmental	6,973	1,088	8,061
	<u>\$ 12,910</u>	<u>\$ 8,810</u>	<u>\$ 21,720</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE H – CAPITAL ASSETS

Capital asset activity for the year ended December 31, 2021, was as follows (amounts in 000's):

Governmental Activities:

	Beginning Balance	Increases	Decreases	Transfers	Ending Balance
Capital assets not being depreciated:					
Land and easements	\$ 385,754	\$ 10,091	\$ (271)	\$ 72	\$ 395,646
Construction in progress	23,233	23,167	(34)	(2,058)	44,308
Total capital assets, not being depreciated	408,987	33,258	(305)	(1,986)	439,954
Capital assets being depreciated:					
Buildings	179,592	1,278	(154)	-	180,716
Improvements other than buildings	125,952	1,757	-	-	127,709
Infrastructure	493,691	1,129	-	1,318	496,138
Machinery and equipment	65,619	5,870	(1,478)	456	70,467
Software and Licenses	13,708	221	-	212	14,141
Total capital assets, being depreciated	878,562	10,255	(1,632)	1,986	889,171
Less accumulated depreciation for:					
Buildings	89,666	5,217	(3)	-	94,880
Improvements other than buildings	56,605	5,694	-	-	62,299
Infrastructure	341,041	6,821	-	-	347,862
Machinery and equipment	39,569	4,927	(1,267)	-	43,229
Software and Licenses	6,474	1,259	-	-	7,733
Total accumulated depreciation	533,343	23,918	(1,270)	-	556,003
Total capital assets, being depreciated, net	345,219	(13,663)	(362)	1,986	333,168
Governmental activities capital assets, net	\$ 754,206	\$ 19,595	\$ (667)	\$ -	\$ 773,122

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE H – CAPITAL ASSETS (CONTINUED)

During 2021, the City had intangible assets of \$18.2 million that are included in land and easements in governmental activities and business-type activities.

Business-type Activities:

	Ending Balance	Increases	Decreases	Transfers	Ending Balance
Capital assets not being depreciated:					
Land and easements	\$ 44,473	\$ -	\$ (312)	\$ -	\$ 44,161
Construction in progress	54,250	17,824	-	(6,196)	65,878
Total capital assets, not being depreciated	98,723	17,824	(312)	(6,196)	110,039
Capital assets being depreciated:					
Buildings	54,011	541	-	1,342	55,894
Improvements other than buildings	7,873	-	-	-	7,873
Intangibles	2,000	-	-	-	2,000
Utility plant in service and undergrounds	661,300	3,020	(1,263)	4,854	667,911
Machinery and equipment	11,268	215	(142)	-	11,341
Total capital assets, being depreciated	736,452	3,776	(1,405)	6,196	745,019
Less accumulated depreciation for:					
Buildings	29,274	1,886	-	-	31,160
Improvements other than buildings	6,326	397	-	-	6,723
Intangibles	350	100	-	-	450
Utility plant in service and undergrounds	231,806	12,147	-	-	243,953
Machinery and equipment	8,501	540	(127)	-	8,914
Total accumulated depreciation	276,257	15,070	(127)	-	291,200
Total capital assets, being depreciated, net	460,195	(11,294)	(1,278)	6,196	453,819
Business-type activities capital assets, net	\$ 558,918	\$ 6,530	\$ (1,590)	\$ -	\$ 563,858

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE H – CAPITAL ASSETS (CONTINUED)

Depreciation expense was charged to functions/programs of the City as follows (amounts in 000's):

Governmental Activities:

General Government	\$	107
Administrative Services		844
Public Safety		993
Public Works		14,102
Culture and Recreation		6,044
Open Space and Mountain Parks		1,125
Housing & Human Services		60
Planning & Development Services		643
Total depreciation expense – Governmental Activities	\$	<u>23,918</u>

Business-type Activities:

Water Utility	\$	7,402
Wastewater Utility		3,912
Stormwater and Flood Management		1,671
Parking Facilities and Services		2,085
Total depreciation expense – Business-type Activities	\$	<u>15,070</u>

NOTE I – RISK MANAGEMENT

Property and Casualty Insurance – The City has structured its property and casualty insurance as a self-insurance program since April 15, 1986. Under the current structure, the City pays the first \$100,000 of each loss on property claims with an annual aggregate of \$200,000. Except for those which are flood or earthquake which have a \$200,000 deductible and utility facilities which have a \$500,000 deductible, and any windstorm or hail losses which have a 2% deductible. The City pays \$500,000 each claim on third-party liability claims; and \$10,000 each loss on crime. According to Colorado State law, the City has the protection of governmental immunity above \$424,000 per person, \$1,195,000 per occurrence. Excess insurance coverage has been purchased through a private insurance carrier in the amount of \$15,000,000 per liability claim with an annual aggregate policy limit of \$15,000,000, except for public officials, which is on a claims-made basis. Settled claims have not exceeded commercial insurance coverage in any of the past three fiscal years.

The City Council has established a reserve policy for the Property and Casualty Fund with a goal of fully funding an actuarially calculated liability as of the end of the prior year at the 80% confidence level. An actuarial study is completed every two years in order to determine the appropriate reserve levels.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE I – RISK MANAGEMENT (CONTINUED)

The current actuarial study was performed in November of 2021 and addressed claims as of December 31, 2020.

In 1997, an internal service fund was established to account for the Property and Casualty funds. Claims paid during the year and estimated to be paid at year-end are charged to this fund. The estimated year-end claims payable is based on the results of an actuarial study.

Changes in the estimated claims payable for the Property and Casualty Insurance Fund during the years ended December 31, 2020 and 2021, were as follows (amounts in 000's):

	2020	2021
Estimated claims payable January 1	\$ 1,197	\$ 915
Current year claims and changes in estimates	472	1,538
Claim payments	(754)	(356)
Estimated claims payable December 31	<u>\$ 915</u>	<u>\$ 2,097</u>
Claims payable due within one year	<u>\$ 290</u>	<u>\$ 294</u>

Workers' Compensation Insurance – Through December 31, 1992, the City purchased Workers' Compensation Insurance through the Colorado Compensation Insurance Authority. The City received authorization to become self-insured effective January 1, 1993. In 1993, an Internal Service Fund was established to account for these insurance activities. The City hires a third-party administrator to handle claims and estimate reserves. Under the current structure, the City pays the first \$500,000 of each workers' compensation claim except for police officers and fire fighters which the city pays the first \$750,000. The estimated reserves at December 31, 2021, have been established through the completion of an actuarial study and recorded as a liability in the Workers' Compensation Insurance Fund. Benefits are mandated by State Statute. Settled claims have not exceeded commercial insurance coverage in any of the past three fiscal years.

The City Council has established a reserve policy for the Workers' Compensation Insurance Fund with a goal of fully funding an actuarially calculated liability as of the end of the prior year at the 80% confidence level. An actuarial study is completed every two years in order to determine the appropriate reserve levels. The latest actuarial study was performed in November of 2021 and addressed claims as of December 31, 2020.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE I – RISK MANAGEMENT (CONTINUED)

Changes in the estimated claims payable for the Workers' Compensation Insurance Fund during the years ended December 31, 2020 and 2021, were as follows (amounts in 000's):

	2020	2021
Estimated claims payable January 1	\$ 2,641	\$ 2,796
Current year claims and changes in estimates	2,422	730
Claim payments	(2,267)	(1,057)
Estimated claims payable December 31	<u>\$ 2,796</u>	<u>\$ 2,469</u>
Claims payable due within one year	<u>\$ 1,088</u>	<u>\$ 1,086</u>

Dental Self Insurance – The City established a dental plan effective January 1, 2020. The purpose of this plan is to pay the dental claims of eligible City employees and their covered dependents. The City has an Administrative Service Only plan with Delta Dental, whereby the City pays Delta Dental a separate amount for administrative costs and claim servicing fees. The City agrees to provide funding for the payment of claims. At the end of the year, the City retains any money not spent on claims. The City has recorded a liability in this fund totaling \$41,000 for open and estimated claims not yet reported at December 31, 2021.

	2020	2021
Estimated claims payable January 1	\$ -	\$ 44
Current year claims and changes in estimates	1,008	1,061
Claim payments	(964)	(1,064)
Estimated claims payable December 31	<u>\$ 44</u>	<u>\$ 41</u>
Claims payable due within one year	<u>\$ 44</u>	<u>\$ 41</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE J – ACCRUED LIABILITIES

The December 31, 2021, balance in “accrued liabilities” contains the following detail (amounts in 000’s):

Type of Accrued Liability	Governmental Activities	Business-type Activities	Total
Accrued salaries, wages and amounts withheld from employees	\$ 6,771	\$ 946	\$ 7,717
Accrued interest	575	277	852
Accrued liability – landfill cleanup	-	2,474	2,474
Accrued liability – cleanup costs	20	-	20
	<u>\$ 7,366</u>	<u>\$ 3,697</u>	<u>\$ 11,063</u>

NOTE K – PROPERTY TAX OVERCOLLECTION LIABILITY

The 2020 mill levy for the City of Boulder for taxes collected in 2021 resulted in an excess of the TABOR (see Note D) allowable property tax revenues by \$5,203. The 2021 mill levy for taxes collected in 2022 was voluntarily reduced to compensate for this overcollection.

The balance of remaining overcollections are recorded as an “other liability” in the following fund (amounts in 000’s):

	Net Overcollection
Downtown Commercial District	<u>\$ 5</u>

NOTE L – ACCRUED LIABILITY – LANDFILL CLEANUP

Until the late 1980s the City operated the Marshall Landfill. Around the time of the landfill’s closure, the City was threatened by a lawsuit by the Department of Justice (DOJ) and the US Environmental Protection Agency (EPA) concerning the cleanup of Marshall Landfill, which is a designated Superfund site. The City was designated a potentially responsible party (PRP) pursuant to the Comprehensive Environmental Response Compensation and Liability Act of 1980, as amended by the Superfund Amendment and Reauthorization Act of 1986. The City and certain other PRPs negotiated a proposed consent decree with the DOJ and the EPA, and on May 17, 1988, City Council approved that decree.

The EPA, City and other PRPs subsequently signed the consent decree, which required the settling parties to implement remedial measures at Marshall Landfill for the purpose of cleaning up contaminated groundwater. This included the construction, operation and maintenance of a treatment facility and monitoring system.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE L – ACCRUED LIABILITY – LANDFILL CLEANUP (CONTINUED)

The total cost of the cleanup was estimated to be approximately \$5.0 million for capital construction and \$0.8 million for engineering costs. Under the PRP agreement, which set forth the cost-sharing arrangements for the cleanup, the City's share was estimated at 30% or approximately \$1,740,000. This amount, plus \$210,000 for project management, contingency, legal and miscellaneous costs, was recorded in the Wastewater Utility Fund. Bonds were issued in 1992, and the proceeds restricted to pay these costs.

This judgment payable was satisfied in 1993 and an additional estimated liability equal to the net present value of average annual expenses of \$250,000, or \$2,926,595, was recorded for the City's estimated share of operating the treatment facility over the subsequent 20 years. The reasonableness of the average annual expense level is reviewed annually by City engineers and is based on typical operation, maintenance, analytical, and engineering costs of the Marshall Landfill site with adjustments made for inflation and equipment replacement.

The EPA and the Colorado Department of Public Health and Environment (CDPHE) approved a shutdown plan for the Marshall Landfill on November 30, 2004. The shutdown involves mothballing the current treatment facility for three years while the groundwater quality is monitored. The treatment facility must be maintained for the three-year period in a manner that allows start up, if deemed necessary.

The plan provided that if, at the end of three years, no concentrations of contaminants above the shutdown standards occur in the wells and surface water sites that are approved as points of compliance, the treatment plant can be removed. After the treatment facility is removed, an approved long-term monitoring plan will be implemented. The demolition plan would require continued monitoring for the foreseeable future, but at a reduced frequency than was currently in effect. In addition to long-term water sampling and analysis at the points of compliance, the landfill cover or cap would have to be maintained indefinitely.

The 2005 Marshall Landfill budget of \$240,000 was sufficient for all 2005 shutdown, mothballing, sampling and analysis, cap maintenance, and abandonment/encasement of obsolete monitoring wells.

Annual costs during the three years (2005-2007) of the three-year shutdown period did not exceed \$150,000.

The final shutdown and demolition plan were submitted to EPA and CDPHE in 2008 and the City is awaiting a final determination about the removal of the treatment facility. If the EPA and CDPHE agree to demolition of the facility and long-term monitoring, the annual costs should be less than \$100,000. However, the actual annual costs will not be determined until EPA and CDPHE approve the final plan.

Funds to pay any future costs associated with this will be allocated through the collection of wastewater user charges. The December 31, 2021, balance in the "accrued landfill cleanup liability" is \$2,474,000.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE M – ACCRUED LIABILITY – 13th STREET VOLUNTARY CLEANUP

The City of Boulder is conducting a voluntary cleanup at 13th Street Plaza to remove the remaining infrastructure, soil, fluids, and debris from the former Federal Gas Company manufactured gas plant site. The Federal Gas Company generated gas at the site from about 1902 until the plant was demolished in 1953. The City of Boulder purchased the property in 1975 and installed the Dushanbe Teahouse and the 13th Street Plaza in 1997.

On July 13, 2016, the City of Boulder submitted a Voluntary Cleanup Plan Second Interim Remediation Report to the Colorado Department of Public Health and Environment (CDPHE). This report summarized results of a pilot study and ongoing groundwater monitoring performed at the site. The report contains information that includes the possible cost of the remediation. The estimated liability per the report is \$659,000. This is based on a specific treatment plan for the site using Sodium Persulfate. The cost is dependent on the mass of oxidant required to address the extent of the treatment area. Costs could also change due to the urban setting, schedule conflicts and community requirements. In 2021, the City incurred \$29,122 in related costs and the 2021 liability amounted to \$20,380.

NOTE N – FUTURE WATER RIGHTS

Under a water allotment contract with the Municipal Subdistrict, Northern Colorado Water Conservancy District (Subdistrict), the City has available 37/480 of the water units available through the Windy Gap Project (a water diversion project on the Colorado River). In 1991, the City sold 43 of its original 80 units to the City of Broomfield for a total of \$23,724,500. Under the sales agreement, the City received its final annual payment in 1993. The Raw Water Master Plan recommended that Windy Gap Project supplies be sold due to the high incremental cost of maintaining this portion of the raw water supply. When voting to approve the sales agreement, the City Council also moved that the proceeds be used for the acquisition of replacement water supplies capable of meeting multiple objectives, including diversification of municipal water supply sources, drought protection and maintaining instream flows. Bonds issued by the Subdistrict in connection with construction of the project totaled \$119,280,000 after refunding in 1993. The bonds are not liabilities of the City since the City has an option annually to elect to either pay its share of the debt service and operating costs of the Subdistrict or to request the Subdistrict levy taxes directly through the County Assessor against property owners within the boundaries of the City to pay such costs and expenses. Under its contract, the City will never have ownership of the project, including the water rights. Water rights liability in the original amount of \$10,504,192 at 7% interest was recorded in 1992 in the Water Utility Fund to cover the principal portion of the debt service costs for the 43 units sold to the City of Broomfield. The December 31, 2021 balance was \$0.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT

The following balances and changes in long-term debt are for the year ended December 31, 2021 (amounts in 000's):

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Bonds payable:					
General obligation bonds	\$ 7,501	\$ -	\$ (463)	\$ 7,038	\$ 460
Capital improvement project bonds	31,242	-	(28,992)	2,250	2,250
Total bonds payable	38,743	-	(29,455)	9,288	2,710
Certificates of participation	53,371	-	(2,483)	50,888	2,495
Notes payable	5,651	-	(2,620)	3,031	2,718
Capital lease purchase agreements	5,389	-	(860)	4,529	926
Lease purchase revenue notes	8,144	-	(803)	7,341	830
Direct purchase notes	8,630	26,795	(1,265)	34,160	1,195
Compensated absences	11,104	8,776	(9,549)	10,331	977
Estimated claims payable (Note I)	3,755	3,329	(2,477)	4,607	1,421
Governmental activities long-term debt	<u>\$ 134,787</u>	<u>\$ 38,900</u>	<u>\$ (49,512)</u>	<u>\$ 124,175</u>	<u>\$ 13,272</u>
Business-type activities:					
Bonds payable:					
General obligation bonds	\$ 2,426	\$ -	\$ (792)	\$ 1,634	\$ 790
Revenue bonds	107,457	-	(9,620)	97,837	7,260
Total bonds payable	109,883	-	(10,412)	99,471	8,050
Direct purchase notes	5,100	-	(465)	4,635	485
Compensated absences	1,194	910	(991)	1,113	139
Business-type activities long-term debt	<u>\$ 116,177</u>	<u>\$ 910</u>	<u>\$ (11,868)</u>	<u>\$ 105,219</u>	<u>\$ 8,674</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

General Obligation Bonds and Notes

The City issues general obligation bonds and notes to provide funds for the acquisition and construction of major capital facilities. General obligation bonds have been issued for both general government and proprietary activities. These bonds, therefore, are reported in the proprietary funds if they are expected to be repaid from proprietary revenues. In addition, general obligation notes have been issued to refund other general obligation bonds. General obligation bonds and notes are direct obligations and pledge the full faith and credit of the City. In addition, many of the general obligation bonds of the City have a pledge of specific revenues. See Note X for pledged revenue information.

General obligation bonds outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.00% - 3.00%	\$ 6,980	\$ 10,000
Business-type activities – refunding	2.00% - 3.00%	1,610	7,275
		<u>\$ 8,590</u>	<u>\$ 17,275</u>

Annual debt service requirements to maturity for general obligation bonds are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities		Business-type Activities		Debt Requirements to Maturity
	Principal	Interest	Principal	Interest	
2022	\$ 460	\$ 189	\$ 790	\$ 48	\$ 1,487
2023	470	179	820	25	1,494
2024	480	168	-	-	648
2025	495	158	-	-	653
2026	505	147	-	-	-
2027-2031	2,735	597	-	-	3,332
2032-2034	1,835	184	-	-	2,019
Total liability	6,980	1,622	1,610	73	9,633
Plus bond premium	58	-	24	-	82
Net liability	<u>\$ 7,038</u>	<u>\$ 1,622</u>	<u>\$ 1,634</u>	<u>\$ 73</u>	<u>\$ 9,715</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

General obligation notes (also referred to as direct purchase notes) outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rate Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.01%	\$ 2,860	\$ 3,515

Annual debt service requirements to maturity for general obligation notes are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 335	\$ 57	\$ 392
2023	340	51	391
2024	345	44	389
2025	355	37	392
2026	360	30	390
2026-2029	1,125	45	1,170
Total liability	\$ 2,860	\$ 264	\$ 3,124

Taxable Pension Obligation Refunding Note, Series 2020

The City also issues notes where the City does not pledge any revenues nor has any obligation to levy any new or increased tax for the payment of debt service. This note is issued for the purpose of refunding ongoing required pension obligations.

Taxable pension obligation notes (also referred to as direct purchase notes) outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rate Outstanding	Amount Outstanding	Original Amount
Governmental activities	1.66%	\$ 4,945	\$ 5,445

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Annual debt service requirements to maturity for the Taxable Pension Obligation Refunding Note is as follows (amounts in 000's):

Year Ending December 31	Governmental Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 515	\$ 82	\$ 597
2023	525	74	599
2024	535	65	600
2025	540	56	596
2026	550	47	597
2027-2030	2,280	94	2,374
Total liability	<u>\$ 4,945</u>	<u>\$ 418</u>	<u>\$ 5,363</u>

Capital Improvement Bonds and Notes

The City also issued bonds where the City does not pledge any revenues nor has any obligation to levy any new or increased tax for the payment of debt service for the purpose of funding various capital improvement projects. The 2012 Series Bonds were authorized in the 2011 election question. On January 19, 2021 the 2012 Capital Improvement Bonds were advanced refunded with the General Fund Refunding Note (Capital Improvement Projects), Series 2021 Advance Refunding of Callable Series 2012 General Fund Bonds. The prior debt service for the 2012 was \$31,970,800 while the debt service for the new notes is \$29,128,028 resulting in an aggregate debt service savings of \$2,842,772. The present value saving for these cash flows is \$2,655,469.

2012 Capital improvement bonds outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental activities	4.00%	<u>\$ 2,250</u>	<u>\$ 49,000</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

2021 Capital improvement notes outstanding at December 31, 2021, are as follows (amounts in 000's):

<u>Purpose</u>	<u>Interest Rates Outstanding</u>	<u>Amount Outstanding</u>	<u>Original Amount</u>
Governmental activities	1.55%	\$ 26,355	\$ 26,795

Annual debt service requirements to maturity for the 2021 Capital Improvement Notes are as follows (amounts in 000's):

<u>Year Ending December 31</u>	<u>Governmental Activities</u>		<u>Debt Requirements to Maturity</u>
	<u>Principal</u>	<u>Interest</u>	
2022	\$ 345	\$ 390	\$ 735
2023	2,745	325	3,070
2024	2,785	291	3,076
2025	2,815	256	3,071
2026	2,855	221	3,076
2027-2031	14,810	560	15,370
Total liability	<u>\$ 26,355</u>	<u>\$ 2,043</u>	<u>\$ 28,398</u>

Revenue Bonds and Notes

The City also issues bonds and notes where the City pledges income derived from the acquired or constructed assets to pay debt service. See Note X for pledged revenue information. In addition, revenue bonds have been issued to refund other revenue bonds.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Revenue bonds outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Business-type activities	2.00% - 5.00%	\$ 84,580	\$ 105,325
Business-type activities – refunding	2.00% - 4.125%	11,045	24,325
		<u>\$ 95,625</u>	<u>\$ 129,650</u>

Annual debt service requirements to maturity for revenue bonds are as follows (amounts in 000's):

Year ending December 31	Business-type Activities		Debt Requirements
	Principal	Interest	to Maturity
2022	\$ 7,260	\$ 3,042	\$ 10,302
2023	7,510	2,789	10,299
2024	7,755	2,526	10,281
2025	8,010	2,253	10,263
2026	5,200	1,971	7,171
2027-2031	28,265	7,594	35,859
2032-2036	26,590	3,144	29,734
2037-2038	5,035	256	5,291
Total liability	95,625	23,575	119,200
Plus bond premium	2,212	-	2,212
Net liability	<u>\$ 97,837</u>	<u>\$ 23,575</u>	<u>\$ 121,412</u>

Revenue notes outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Business-type activities – refunding	1.40%	\$ 4,635	\$ 5,100
		<u>\$ 4,635</u>	<u>\$ 5,100</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Annual debt service requirements to maturity for revenue notes are as follows (amounts in 000's):

Year ending December 31	Business-type Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 485	\$ 65	\$ 550
2023	495	58	553
2024	500	51	551
2025	510	44	554
2026	515	37	552
2026-2030	2,130	76	2,206
Total liability	<u>\$ 4,635</u>	<u>\$ 331</u>	<u>\$ 4,966</u>

Lease Purchase Revenue Notes

The Boulder Municipal Property Authority (BMPA) has issued notes where BMPA pledges income, received from the City of Boulder and derived from base rentals of open space and parks and other property, to pay debt service. These notes are a debt of BMPA, not of the City of Boulder, but are included as a blended component unit of the City (Note A.1). Lease purchase revenue notes outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Government-type activity	3.25 - 3.50%	<u>\$ 7,340</u>	<u>\$ 11,975</u>

Annual debt service requirements to maturity for lease purchase revenue notes are as follows (amounts in 000's):

Year Ending December 31	Government-type Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 830	\$ 254	\$ 1,084
2023	858	227	1,085
2024	293	198	491
2025	303	188	491
2026	314	177	491
2027-2031	1,742	712	2,454
2032-2036	2,069	385	2,454
2037-2038	931	49	980
Total liability	<u>\$ 7,340</u>	<u>\$ 2,190</u>	<u>\$ 9,530</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Certificates of Participation

The Boulder Municipal Property Authority (BMPA) has issued Certificates of Participation where BMPA pledges income, received from the City of Boulder and derived from base rentals of leased properties by the City. These notes are a debt of BMPA, not of the City of Boulder, but are included as a blended component unit of the City (Note A.1).

Certificates of Participation outstanding at December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Government-type activity	2.00 - 3.80%	\$ 50,450	\$ 61,000

Annual debt service requirements to maturity for Certificates of Participation are as follows (amounts in 000's):

Year Ending December 31	Government-type Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 2,495	\$ 1,633	\$ 4,128
2023	2,570	1,561	4,131
2024	2,645	1,486	4,131
2025	2,725	1,408	4,133
2026	2,805	1,326	4,131
2027-2031	15,375	5,285	20,660
2032-2036	18,130	2,538	20,668
2037-2039	3,705	217	3,922
Total liability	50,450	15,454	65,904
Plus bond premium	438	-	438
Net liability	\$ 50,888	\$ 15,454	\$ 66,342

Capital Lease Purchase Agreements

Banc of America Leasing & Capital, LLC – On September 27, 2010, the City entered into a lease purchase agreement with Banc of America Leasing & Capital, LLC. Proceeds of \$1,500,000 are being used for capital lease improvements, which include installing solar photovoltaic systems.

All American Investment Group, LLC - On October 25, 2010, the City entered into a capital lease agreement with All American Investment Group, LLC. On January 25, 2012, the City refinanced this lease which included a total of \$6,401,534 and an additional \$3,241,230 borrowed for a total lease

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Capital Lease Purchase Agreements (Continued)

obligation of \$9,642,764. The interest rate on this lease is fixed at 2.65%. The refinanced lease extended the life to 2027 with payments continuing to occur in January, April, July, and October.

Capital lease purchase agreement obligations outstanding as of December 31, 2021, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.65 - 4.93%	\$ 4,530	\$ 10,750

Annual debt service requirements to maturity for capital lease payments are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 926	\$ 139	\$ 1,065
2023	996	106	1,102
2024	910	73	983
2025	970	43	1,013
2026	482	16	498
2026-2027	245	3	248
Total liability	\$ 4,529	\$ 380	\$ 4,909

Notes Payable

General Fund – On April 20, 2018, the City of Boulder closed on the purchase of the Hogan-Pancost Property. The Hogan-Pancost Property is a parcel of land located in the City of Boulder. The purchase price was \$5,000,000 and paid with \$2,250,000 cash at closing and financed with a five year, 6% Note Payable for \$2,750,000. The first principal and interest payment were made on July 20, 2018.

Community, Culture and Safety Fund – On January 10, 2019, the City of Boulder closed on the issuance of \$8,100,000 Par Community, Culture and Safety Sales Tax Revenue Notes. The proceeds were used to purchase property at 2751 and 2875 30th Street to relocate Fire Station #3, currently located at 1585 30th Street, to a location that is well-suited for fire and rescue response and meets all spatial and access needs. Proceeds may also be used for any other City capital improvement program projects identified in the 2017 Ballot Issue 2N.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Notes Payable (Continued)

Notes Payable outstanding as of December 31, 2021 are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental Activities	2.7 - 6.0%	\$ 3,031	\$ 10,850

Annual debt service requirements to maturity for Notes Payable are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities		Debt Requirements to Maturity
	Principal	Interest	
2022	\$ 2,718	\$ 107	\$ 2,825
2023	313	7	320
Total liability	\$ 3,031	\$ 114	\$ 3,145

Compensated Absences

The City has accrued, as a liability to current employees, the following amounts of accumulated unused vacation and sick pay, appreciation bonus and compensation time at December 31, 2021 (amounts in 000's):

	Governmental Activities	Business-type Activities
Accrued vacation	\$ 8,905	\$ 999
Accrued sick pay	412	5
Accrued appreciation bonus	745	109
Accrued compensation time	269	-
	\$ 10,331	\$ 1,113

The liability attributable to the governmental funds is recorded as governmental activities noncurrent liability. It is estimated that \$977,000 of governmental activities' and \$139,000 of business-type activities' liabilities will be paid in 2021. Governmental liabilities relating to General, Library, Recreation Activity, Community Development and HOME Fund employees are liquidated out of the Compensated Absences Internal Service Fund. Liabilities relating to employees of all other governmental funds are liquidated out of the associated fund.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE O – LONG-TERM DEBT (CONTINUED)

Arbitrage Liability

Kutak Rock Arbitrage Consulting LLC made calculations for the City to determine if any of the bond issues dated since January 1, 2009, had a liability for rebatable arbitrage at December 31, 2021. These calculations were made taking into consideration the investment instructions, the no arbitrage certificate and the relevant portions of the trust indenture for each of the bond issues. As of December 31, 2021, there is no arbitrage liability.

Refunded Bonds

The City has, at various times in prior years, entered into advance refunding transactions whereby a portion of the proceeds of the refunding bonds were placed in irrevocable escrow accounts and invested in direct, noncallable governmental obligations that, together with the interest earned thereon, will provide amounts sufficient for future payment of all interest and principal on the old bonds. The likelihood of the earnings and principal maturities of the governmental obligations not being sufficient to pay the defeased bond issue appears remote. Accordingly, the escrow accounts and outstanding defeased bonds are not included in the accompanying financial statements. At December 31, 2021, there is \$39,705,000 of principal outstanding on defeased bonds.

Lease of Criminal Justice Center

During prior years, the City used \$1,035,000 of Revenue Sharing Funds towards the cost of construction of the Criminal Justice Center built by Boulder County. The City negotiated an agreement with Boulder County on July 17, 1975, whereby the City leased, for an initial period of 30 (thirty) years, a 20,000 square foot portion of the Center at no additional cost to the City.

This lease was replaced on January 1, 1990, with an agreement whereby the County purchased 15,000 square feet of the City's leasehold interest in the Center and whereby the City, for a one-time payment of \$139,538, will lease an additional 2,000 square feet from the County for a period ending at the same time as the original 30 year lease. On March 30, 2005, the City exercised the option to renew its leasehold interest at the Criminal Justice Center for an additional 30 years.

Lease of Public Library Space at the Meadows on the Parkway

The City entered into a lease dated as of September 21, 1988, with Foothills Associates, Inc. for 7,812 square feet to house the Meadows branch of the Boulder Public Library at the Meadows on the Parkway shopping center. The lease agreement was renewed according to the terms of the original agreement which provided the City with the option to extend the lease upon the same conditions for an additional period of time equal to the total period of time that Safeway or the comparable anchor tenant is a tenant at the shopping center. The City pays no rent to Foothills Associates, Inc. but does pay its pro rata share of various common expenses as set forth in the lease agreement.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE P – INTERFUND RECEIVABLES/PAYABLES, AND TRANSACTIONS

Generally accepted accounting principles require disclosure of certain information concerning individual funds.

Advances To / From Other Funds

The composition of interfund advances receivable and payable balances as of December 31, 2021, is as follows (amounts in 000's):

Receivable Fund	Payable Fund	Amount
Water Utility Fund (proprietary fund)	General Fund	\$ 156
		<u>\$ 156</u>
Receivable Fund	Payable Fund	Amount
General Fund	CDBG Fund	\$ 68
		<u>\$ 68</u>

The General Fund owes the Water Utility Fund \$156,000 at December 31, 2021, for funding the purchase of land from the Water Utility Fund for development of a new fire training center in 2009. This advance will be repaid over 15 years with 60 equal quarterly payments including 5% interest beginning in 2009. The CDBG Fund owes the General Fund \$68,000 at December 31, 2021, for expenses expected to be reimbursed by grant proceeds. The CDBG Fund expects to reimburse the General Fund when it receives the grant proceeds in the first quarter of 2022.

There are various types of interfund transactions which occur between funds. The principal purpose for the interfund transfers is to move unrestricted General Fund revenues to finance various programs that the City must account for in other funds in accordance with budgetary authorizations.

The following information describes the City's 2021 transfers (amounts in 000's).

TRANSFERS OUT										
TRANSFERS IN	General Fund	Transportation	Nonmajor Governmental	Water Utility	Wastewater Utility	Stormwater & Flood Management	Nonmajor Business-type	Internal Service Funds	TOTAL	
General Fund	\$ -	\$ 1,611	\$ -	\$ 776	\$ 618	\$ 190	\$ 100	\$ 1,859	\$ 5,154	\$ 5,154
Open Space	184	-	-	-	-	-	-	-	184	184
Transportation	-	-	113	16	16	8	-	-	153	153
Nonmajor Governmental	6,143	651	30	306	307	524	-	58	8,019	8,019
Downtown Commercial District	969	-	-	-	-	-	-	-	969	969
Nonmajor Business-type	250	-	-	-	-	-	-	-	250	250
Internal Service Funds	-	50	-	25	20	5	-	1,550	1,650	1,650
Total transfers	\$ 7,546	\$ 2,312	\$ 143	\$ 1,123	\$ 961	\$ 727	\$ 100	\$ 3,467	\$ 16,379	\$ 16,379

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE P – INTERFUND RECEIVABLES/PAYABLES, AND TRANSACTIONS
(CONTINUED)**

Interfund Transactions

The General Fund transferred a total of \$7.5 million to various funds, including \$2.0 million to the Planning and Development Services fund, \$1.0 million to the Affordable Housing fund and \$2.2 million to the Recreation Activity fund to subsidize various programs. An additional \$1.0 million was a transfer of parking revenue to the Downtown Commercial District and a \$1.3 million transfer to the Eviction Prevention and Rental Assistance Services Fund.

The Core General Fund had a transfer out of \$13,532 to the Governmental Capital Fund. As these two funds are combined into the General Fund for reporting purposes the amount was eliminated and is not reflected in the table above.

NOTE Q – RELATED PARTY TRANSACTIONS

Boulder Housing Partners is a separate related organization as explained in Note A1. During 2021, Boulder Housing Partners received grant funding of \$4,450,465 from the City. These grants were awarded to Boulder Housing Partners in a competitive application process. In addition to the grant funding above, Boulder Housing Partners received other operating assistance and support in 2021 totaling \$61,010.

Downtown Boulder Business Improvement District is a separate related organization as explained in Note A1. During 2021, Downtown Boulder Business Improvement District received sponsorship funding of \$325,500 from the City.

NOTE R – REVOLVING LOAN PROGRAM

During 2000, the City entered into an agreement with Funding Partners for Housing Solutions, Inc. (FP) for operation of a revolving loan fund to assist home buyers' purchases of homes located in the City of Boulder. Under this agreement, the City approves the loan applications and FP administers the revolving loan program by providing all legal documents, coordination with Fannie Mae and FHA programs, monitoring and servicing of the outstanding loans, and revolving the loan funds back into new loans. The City provided a total of \$709,654 in 2000, 2001, and 2009 as the seed funding for this revolving loan program. Beginning in 2011, the agreement with FP is subject to annual renewal. If the agreement for the revolving loan program is terminated, FP will assign and return all outstanding loans and program balances over to the City.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE S – RESTRICTED NET POSITION AND SIMILAR FUND BALANCE LIMITATIONS

TABOR Emergency Reserves: At December 31, 2021, net position for Business-type Activities of \$212,410 and \$6,982 respectively, were restricted in the Downtown Commercial District and University Hill Commercial District for TABOR emergency reserves.

Restricted Net Position and Similar Fund Balance Restrictions: Restricted net position and fund balances have been classified into the following broad categories. Net position identified as Legally Restricted are restricted by external sources such as grantors and tax ballot language. Net position restricted for Capital Projects includes revenues restricted for capital acquisition projects. Development restrictions are largely revenues, such as impact fees or special tax proceeds limited to specific operations or purposes, such as acquisition, development and maintenance of parks and open space lands and trails. Lottery Funds are restricted by state statute for specific projects as defined within the Colorado Constitution Article XXVII for parks, recreation and open space projects. Donor Restrictions are limitations placed upon the use of proceeds by the original donor.

NOTE T – COMMITMENTS AND CONTINGENCIES

1. Litigation

A number of claims against the City are pending for injuries received, tax and assessment appeals, water applications and rights, and other miscellaneous cases. In the opinion of management and legal counsel, the final settlement of these matters will not have a material adverse effect on the financial statements of the City.

Valmont Butte Allied Piles Site Voluntary Cleanup Agreement (VCUP) – The City presented a voluntary cleanup plan to the Colorado Department of Public Health and Environment (CDPHE). This plan was approved under the Colorado Voluntary Cleanup Program. As required by CDPHE, site remediation actions in the VCUP started by August 31, 2011 with an extended completion date of December 31, 2013. As of December 31, 2013, the City has expended a total of \$2.5 million on Valmont Butte cleanup with no additional liability remaining for continued cleanup responsibilities. The City will have ongoing monitoring responsibilities for a few more years but no expected cleanup costs.

With respect to matters expecting to be settled subsequent to 2021, the City Attorney estimates that pending cases having a reasonably possible likelihood of resulting in an additional liability aggregating approximately \$2,000,000 at December 31, 2021.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE T – COMMITMENTS AND CONTINGENCIES (CONTINUED)

2. Single Audit

The City follows the single audit concept under the provisions of the 2 CFR Part 200, Uniform Guidance. A single audit appendix is a part of the annual comprehensive financial report. Under the single audit concept, one audit is performed which satisfies the requirements of all Federal agencies. The City has received State and Federal grants for specific purposes that are subject to review and audit by the grantor agencies. Such audits could lead to a request for reimbursement to grantor agencies for expenditures disallowed under the terms of the grant. The City's management believes disallowances, if any, will be immaterial.

3. Construction Commitments

At December 31, 2021, City funds were obligated under contractual commitments for various operational, construction or equipment acquisition projects as follows (000's):

Fund	Contractual Commitments
General	\$ 13,028
Open Space	1,637
Transportation	10,959
Total Major Funds	<u>25,624</u>
Total Non- Major Governmental Funds	<u>5,209</u>
Total Governmental Funds	<u>\$ 30,833</u>
Water Utility	\$ 3,827
Wastewater Utility	9,534
Stormwater & Flood Management	5,079
Downtown Commercial District	206
Total Major Enterprise Funds	<u>18,646</u>
Non-Major Enterprise Funds	<u>37</u>
Total Enterprise Funds	<u>\$ 18,683</u>
Total Internal Service Funds	<u>\$ 3,867</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS

The City's employees are covered under five separate retirement plans and one deferred compensation plan (Note V). For the year ended December 31, 2021, the total pension expense for all retirement plans was a negative \$12,918,248. Regular contributions (not including disciplinary pay contributions) to the various plans, shown both in dollars and percent of covered payroll, are as follows (amounts in 000's):

Number of Active Full-time Employees	Plan	Employee Contributions		City Contributions	
		Dollars	Percentage	Dollars	Percentage
1,905	PERA	\$ 6,878	8.500%	\$ 11,521	14.220%
0	Old Hire Police	-	0.000%	321	
0	Old Hire Fire	-	0.000%	94	
	Police and Fire Money Purchase –				
194	Police employees	971	6.200%	2,160	13.800%
	Police and Fire Money Purchase –				
	Fire employees – International				
118	Association of Firefighters	886	8.000%	1,440	13.000%
12	ICMA 401(a)	29	8.000%	41	13.700%
	Totals	<u>\$ 8,764</u>		<u>\$ 15,577</u>	

Covered employees should refer to pension plan documents and legislation for detail plan descriptions and benefits.

City Administered Pension Plans

Of the above pension plans, the City administers two defined benefit single employer pension plans, the "Old Hire" Police Defined Benefit Plan and the "Old Hire" Fire Defined Benefit Plan. Each of these two plan's assets may be used only for the payment of benefits to the members of that plan, in accordance with the terms of the plan.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

Membership of each plan consisted of the following at December 31, 2021, the date of the latest actuarial valuation:

	"Old Hire" Police Defined Benefit Plan	"Old Hire" Fire Defined Benefit Plan
Retirees & Beneficiaries receiving benefits	38	36
Terminated plan members entitled but not yet receiving benefits	-	-
Active plan members	-	-
Total	<u>38</u>	<u>36</u>

The "Old Hire" Police Defined Benefit Plan and the "Old Hire" Fire Defined Benefit Plan financial statements as of December 31, 2021, are included in the City of Boulder Annual Comprehensive Financial Report under the heading of Fiduciary Fund Types; no separate financial statements are issued. This information by plan follows.

Plan net position as of December 31, 2021, is as follows (amounts in 000's):

	"Old Hire" Police Defined Benefit Plan	"Old Hire" Fire Defined Benefit Plan
Assets:		
Equity in pooled cash and cash equivalents	\$ 14	\$ 11
Investments		
U.S. Treasuries	457	-
U.S. Instrumentalities	145	-
Mutual Funds	7,945	9,401
Equity Securities	3,014	-
Money Market Funds	-	-
Real Estate Investment Trust	824	-
Corporate Bonds	262	-
Other	64	-
Accrued Interest	6	-
Total assets	<u>12,731</u>	<u>9,412</u>
Liabilities:		
Due to other funds	-	-
Accrued pensions payable	82	55
Total liabilities	<u>82</u>	<u>55</u>
Net position restricted for pensions	<u>\$ 12,649</u>	<u>\$ 9,357</u>

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

The changes in plan net position for December 31, 2021, were as follows (amounts in 000's):

	"Old Hire" Police Defined Benefit Plan	"Old Hire" Fire Defined Benefit Plan
Additions:		
Pension contributions:		
City of Boulder	\$ 321	\$ 94
Total contributions	321	94
Investment earnings (loss)	1,505	1,039
Less investment expense	(46)	(45)
Net investment income	1,459	994
Total additions	1,780	1,088
Deductions:		
Benefits	1,396	979
Administrative	-	-
Total deductions	1,396	979
Net (decrease) in net position	384	109
Net position restricted for pensions:		
Beginning of year	12,265	9,248
End of year	\$ 12,649	\$ 9,357

1. "Old Hire" Police Defined Benefit Plan

Plan Description – Full-time police officers hired prior to April 8, 1978, are members of the City of Boulder "Old Hire" Police Defined Benefit Plan (Plan), a single-employer defined benefit pension plan. The Plan is closed to any new participants. The Plan covers two groups – "Employees" and "Former Members".

Former Members – This group includes employees whose employment with the employer terminated prior to January 1, 1987. They are covered by the retirement benefits provided under Colorado Revised Statutes, Title 31, Article 30.5 as modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. However, the Trust Fund established by the Plan Document is obligated to pay all benefits to these employees.

Employees – The City of Boulder "Old Hire" Police Defined Benefit Plan and Trust Agreement (Plan Document) was established by the City Council on November 3, 1987 by Ordinance 5086. This Plan Document was effective retroactive to January 1, 1987, and superseded and replaced the retirement benefits that had previously been provided under Colorado Revised Statutes, Title 31, Article 30.5 as

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. “Old Hire” Police Defined Benefit Plan (Continued)

modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. The provisions of this Plan Document apply solely to employees whose employment with the employer terminates on or after January 1, 1987.

Board of Trustees - Management of the plan is vested in the five-member Board, which consists of one citizen at large, the Mayor and the Chief Financial Officer of the City, and two retired beneficiaries of the plan (retired police officers).

Benefits – For members retiring or terminating after March 10, 1999, the retirement pension is equal to 2.60% of final salary times full years of participation up to 25 years, plus .5% of final salary for each full year of participation service over 25 years up to 27 years, providing a maximum pension of 65%. The Plan permits early retirement after 10 years of credited service with reduced benefits. Members may elect to receive their pension benefits in the form of joint, survivor annuities, or a lump-sum payment calculated on the basis of the UP-1984 Mortality table. This election can be made prior to retirement in order to provide a pension payable to the surviving spouse or beneficiary if the member dies after reaching normal retirement age and before retirement. On termination, members may receive a refund of their contributions without interest. This refund of contributions paid waives future rights to any benefits.

The minimum benefits for *Former Members* are: \$875.50 for those receiving a disability retirement and \$515.00 for those receiving a beneficiary retirement per pay period.

The Board of Trustees can make benefit change recommendations to the City Manager who must then present the changes to the City Council for ultimate approval. City policy dictates that no pension benefit increase can be given if there is an unfunded liability in the plan.

Deferred Retirement Option Plan (DROP) Program – During 1999, a DROP provision, retroactive to January 1, 1998, was added to the Plan. This enables an active member, who is eligible to retire, to elect to have their employee contributions, annual pension benefits and interest thereon, directed to a separate account for up to five years prior to retirement. The City’s share of pension contributions is excluded from the employee’s DROP account but continues to be allocated to the Plan. The annual pension benefit is initially calculated as of the date of the election of the DROP.

The pension benefit in subsequent years will include any benefit increases granted by the Board to retirees and widows. Upon retirement, the member begins to receive pension payments in the form of an annuity and the cumulative assets in the DROP account are paid to him in a lump-sum. As of December 31, 2021, there are no current police employees who have elected the DROP and all DROP balances have been disbursed.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. “Old Hire” Police Defined Benefit Plan (Continued)

Death and Disability Benefits – *Employees and Former Members* - Effective January 1, 2007, the widow of a participant who commenced employment prior to January 1, 1980, is eligible for a benefit of the greater of (a) one-third of the monthly salary paid by the City to a first class firefighter at the date of the participant’s death; (b) one-third of the monthly salary paid by the City to a first class firefighter at the date of the participant’s termination or (c) one-half of the Normal Retirement Pension received by the participant at the date of such participant’s death. In no event shall the amount be less than the Board established minimum widow benefit which is currently \$515.00 per pay period. Benefits for disability retirees who retired prior to January 1, 1987, are eligible for a minimum benefit of \$875.50 per pay period.

Dependent children of the employee are eligible for \$30 per month, if there is no surviving spouse. Benefit payments to beneficiaries continue if the widow of a deceased member remarries.

When any member dies, regardless of whether active, retired or terminated, the surviving spouse or the estate of the deceased member shall receive a one-time death benefit of \$100.

Contributions and Funding Policy – The Plan is a joint-contributory retirement plan operating on an actuarial reserve basis. Per the Plan Document, the contribution requirements of the plan members and the City are established and may be amended by the Boulder Police Officers Association collective bargaining agreement in effect for the payroll period concerned. Contributions of 2.0% of covered payroll are currently required from both the City and employees. The City must also contribute an additional annual payment necessary to make the plan actuarially sound as defined by Section 3.02 of the plan document with no maximum specified. In 2021, the City contributed \$321,000 to meet the actuarially calculated contribution requirement which exceeded the state mandated requirement. Administrative expenditures are recorded when incurred and are financed by the Plan.

Actuarial Present Value of Accumulated Plan Benefits – Accumulated Plan benefits are those future periodic payments, including lump-sum distributions, that are attributable under the Plan’s provisions the service members have rendered. Accumulated plan benefits include benefits expected to be paid to (a) retired or terminated members or their beneficiaries, (b) beneficiaries of members who have died, and (c) present members or their beneficiaries. Benefits under the Plan are based on members’ compensation. Benefits payable under all circumstances - retirement, death, disability, and termination of employment – are included, to the extent they are deemed attributable to employee service rendered to the valuation date.

An actuarial study was prepared at January 1, 2020. It is the “Old Hire” Police Defined Benefit Plan Board of Trustees’ policy to have an actuarial study prepared every two years or whenever a benefit change is being considered.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. “Old Hire” Police Defined Benefit Plan (Continued)

The significant actuarial assumptions used in the valuation as of January 1, 2020, included the following:

- Actuarial Cost Method – entry age normal actuarial cost method.
- Amortization Method and Remaining Period – Level dollar, Open – Based on Expected Lifetime (not to exceed 20 years), Amortization period at 1/1/2020 – 13 years.
- Asset Valuation Method – Market value of assets.
- Investment Rate of Return– 6.5%
- Inflation Rate – 2.50%
- Salary Increases – Not applicable
- Retirement Age – Not applicable
- Minimum Death Benefit – A minimum death benefit of \$515 per pay period is used.
- First Class Firefighter Salary – The highest negotiated First-Class Firefighter Salary is used to calculate death benefits. For 2020, this is \$3,457.32 per pay period.
- Actual marital status is used for retirees
- Form of Payment – All active participants are assumed to elect the normal form of payment.
- Mortality – Sex-distinct Pub-2010 Safety Retiree, disabled retiree, or contingent survivor mortality, projected generationally with MP-2019 Improvement Scale.

The significant changes in actuarial assumptions and methods as of January 1, 2020 included the following:

- The 1st Class Firefighter salary used for death benefits was updated to reflect the highest negotiated rate
- The retiree mortality assumption was updated to Pub-2010 Safety Mortality Tables, projected generationally with the MP-2019 Improvement Scale to better reflect anticipated plan experience.

Funded Status and Funding Progress – As of December 31, 2020, the most recent actuarial valuation date, the plan was 82.98% funded. The total pension liability was \$14,789,163, the fiduciary net position was \$12,272,000, resulting in a net pension liability of \$2,517,163. The covered payroll (annual payroll of active employees covered by the plan) was \$0 and the ratio of the covered payroll was not applicable since all participants were retired as of January 1, 2014. In October 2010, City of Boulder Taxable Pension Obligation Bonds were issued and \$5,469,000 of additional funding was deposited into the plan to decrease the UAAL for the future.

Historical Trend Information – The schedules of funding progress, presented as required supplementary information (RSI) following the notes to the financial statements, present multiyear trend information about whether the actuarial values of plan assets are increasing or decreasing over time relative to the AALs for benefits.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)1. “Old Hire” Police Defined Benefit Plan (Continued)

Pension Plan Investments – The investment policies and fair value determination policies are disclosed above in Notes A and E. For the year ended December 31, 2021, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was a gain of 12.29%. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested. The plan’s investment policies, including fair value determination, concentration of credit risk information, and asset allocation is included in Note E – Deposits and Investments.

Long Term Expected Rate of Return – The best-estimate range for the long-term expected rate of return is determined by adding expected inflation to expected long-term real returns and reflecting expected volatility and correlation. The capital market assumptions are per the actuary’s investment consulting practice as of December 31, 2021.

Asset Class	Long-Term Expected Geometric Real Rate Of Return
Domestic Large Cap	3.5%
Domestic Small Cap	4.2%
International Equity	4.5%
Emerging Markets	5.3%
Domestic Fixed Income	1.3%
Direct Real Estate	3.6%
Master Limited Partnerships	3.3%
Liquid Low Correlated Hedge Funds	2.7%
Floating Rate Corporate Loans	3.1%

Discount Rate – The discount rate used to measure the total pension liability was 6.5%. The plan’s fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the discount rate for calculating the total pension liability is equal to the long-term expected rate of return.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. “Old Hire” Police Defined Benefit Plan (Continued)

Pension Liabilities, Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions.

Net Pension Liability – The components of the net pension liability of the City at December 31, 2021 were as follows:

Total Pension Liability	\$	14,349,123
Fiduciary Net Position		<u>12,649,000</u>
Net Pension Liability	\$	<u>1,700,123</u>
Plan Fiduciary Net Position as a		
Percentage of the Total Pension Liability		88.15%

For the year ended December 31, 2021, the “Old Hire” Police Defined Benefit Plan recognized pension expense of (\$143,415) within governmental activities. The City of Boulder reported deferred outflows of resources and deferred inflows of resources related to this plan from the following sources:

“Old Hire” Police Defined Benefit Plan:

	<u>Deferred Outflow of Resources</u>	<u>Deferred Inflows of Resources</u>
Net difference between projected and actual earnings on pension plan investments	-	\$882,995
Total	-	\$882,995

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. “Old Hire” Police Defined Benefit Plan (Continued)

Amounts currently reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year ended December 31:</u>	<u>Expense amount</u>
2022	\$ (171,376)
2023	(417,995)
2024	(154,481)
2025	(139,143)
2026	-
Thereafter	-
Total	<u><u>\$ (882,995)</u></u>

Sensitivity Analysis – The following presents the net pension liability of the City of Boulder, calculated using the discount rate of 6.5%, as well as what the City of Boulder’s net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (5.5%) or 1 percentage point higher (7.5%) than the current rate.

	<u>1%</u> <u>Decrease</u> <u>(5.5%)</u>	<u>Current</u> <u>Discount Rate</u> <u>(6.5%)</u>	<u>1%</u> <u>Increase</u> <u>(7.5%)</u>
Net pension liability	<u>\$ 2,887,485</u>	<u>\$ 1,700,123</u>	<u>\$ 666,353</u>

2. “Old Hire” Fire Defined Benefit Plan

Plan Description - The City’s full-time firefighters hired prior to April 8, 1978, are members of the City of Boulder “Old Hire” Fire Pension Benefit Plan (Plan), a single employer defined benefit pension plan. The Plan is closed to any new participants. The Plan covers two groups: “Employees” and “Former Members”.

Employees – The City established The City of Boulder “Old Hire” Fire Defined Benefit Plan and Trust Agreement (Plan Document) in 2002. This Plan Document was effective retroactive to January 1, 2000, and superseded and replaced the retirement benefits that had previously been provided under Colorado Revised Statutes, Title 31, Article 30.5 as modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. The provisions of this Plan Document apply solely to employees whose employment with the employer terminates on or after January 1, 2000.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. “Old Hire” Fire Defined Benefit Plan (Continued)

Former Members – This group includes employees whose employment with the employer terminated prior to January 1, 2000. They are covered by the retirement benefits provided under Colorado Revised Statutes, Title 31, Article 30.5 as modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. However, the Trust Fund established by the Plan Document is obligated to pay all benefits to these employees.

Board of Trustees - Management of the plan is vested in the six-member Board, which consists of one citizen at large, the Mayor and the Chief Financial Officer of the City, and three retired beneficiaries of the plan (retired firefighters).

Benefits – Members aged 50 with 20 years of credited service are entitled to annual pension benefits equivalent to 50% of monthly compensation at the date of retirement. The Plan Document provides for an additional retirement benefit of 2% per year for each additional year of service after 20 years of service, credited after September 1, 1987, and attainment of age 50, up to a maximum of 10% prior to January 1, 2000. Beginning January 1, 2000, and on each successive January 1, all actives, who are eligible for normal retirement (age 50 and 20 years of service) are to receive a 3% increase of final salary, up to a maximum of 65% of final salary. On termination, members may receive a refund of their contributions without interest. This refund of contributions paid waives future rights to any benefits.

The minimum benefits for *Former Members* are: \$875.50 per pay period for those receiving a normal or disability retirement and \$515.00 per pay period for those receiving a beneficiary retirement.

The Board of Trustees can make benefit change recommendations to the City Manager who must then present the changes to the City Council for ultimate approval. City policy dictates that no pension benefit increase can be given if there is an unfunded liability in the plan.

Deferred Retirement Option Plan (DROP) Program – During 2000, a DROP provision was added to the Plan. This enables an active member, who is eligible to retire, to elect to have their employee contributions, annual pension benefits and interest thereon, directed to a separate account for up to five years prior to retirement. The City share of pension contributions is excluded from the employee’s DROP account but continues to be allocated to the Plan. The annual pension benefit is initially calculated as of the date of the election of the DROP.

The pension benefit in subsequent years will include any benefit increases granted by the Board to retirees and widows. Upon retirement, the member begins to receive pension payments in the form of an annuity and the cumulative assets in the DROP account are paid to him in a lump-sum. As of December 31, 2021, there are no current Fire employees who have elected the DROP and all DROP balances have been disbursed.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. “Old Hire” Fire Defined Benefit Plan (Continued)

Death and Disability Benefits

Employees and Former Members – Effective January 1, 2007, the widow of a retiree who retired prior to January 1, 1990, is eligible for a benefit of the lesser of one-third of the monthly salary paid by the City to a first-class firefighter at the date of the member’s retirement or the Board established minimum widow benefit which is currently \$515.00 per pay period. Benefits for normal or disability retirees who retired prior to January 1, 2000, are eligible for a minimum benefit of \$875.50 per pay period.

Dependent children of the employee are eligible for \$30.00 per month, if there is no surviving spouse. Benefit payments to beneficiaries continue if the widow of a deceased member remarries.

Employees – The benefits of active employees as of January 1, 1990, include a widow’s benefit equal to 100% of the active employee’s retirement benefit. This benefit change was approved during 1990 and is fully funded by employee contributions.

When any member dies, regardless of whether active, retired or terminated, the surviving spouse or the estate of the deceased member shall receive a one-time death benefit of \$100.

Contributions and Funding Policy – The Plan is a joint-contributory retirement plan operating on an actuarial reserve basis. Per the “Old Hire” Fire Defined Benefit Pension Plan, the contribution requirements of the plan members and the City are established and may be amended by the International Association of Fire Fighters, Local #900 collective bargaining agreement in effect for the payroll period concerned. The City must also contribute an additional annual payment necessary to make the plan actuarially sound as defined by Section 3.02 of the plan document with no maximum specified. In 2021 the City contributed \$94,000 to meet the actuarially calculated contribution requirement which exceeded the state-mandated requirement. In 2021, Administrative expenditures are recorded when incurred and are financed by the Plan.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. “Old Hire” Fire Defined Benefit Plan (Continued)

Actuarial Present Value of Accumulated Plan Benefits - An actuarial study was prepared at January 1, 2020. It is the Fire Pension Board policy to have an actuarial study prepared every two years or whenever a benefit change is being considered.

The significant actuarial assumptions used in the valuation as of January 1, 2020 included the following:

- Actuarial Cost Method – entry age normal.
- Amortization Method and Remaining Period – Level dollar, Open – Based on Expected Lifetime (not to exceed 20 years), Amortization period at 1/1/2020 – 10 years.
- Asset Valuation Method – Market Value of Assets
- Investment Rate of Return– 6.5%
- Inflation Rate – 2.50%
- Salary Increases – Not applicable
- Retirement Age – Not applicable
- Minimum Death Benefit – A minimum death benefit of \$515 per pay period is used.
- First Class Firefighter Salary – The highest negotiated First- Class Firefighter Salary is used to calculate death benefits. For 2020, this is \$3,457.32 per pay period.
- Actual marital status is used for retirees
- Form of Payment – All active participants are assumed to elect the normal form of payment.
- Mortality – MP-2019 Improvement Scale

The significant changes in actuarial assumptions and methods as of January 1, 2020 included the following:

- The 1st Class Firefighter salary used for death benefits was updated to reflect the highest negotiated rate
- The retiree mortality assumption was updated to Pub-2010 Safety Mortality Tables, projected generationally with the MP-2019 Improvement Scale to better reflect anticipated plan experience.

Funded Status and Funding Progress – As of December 31, 2021, the most recent actuarial valuation date, the plan was 97.80% funded. The total pension liability was \$9,035,881, the fiduciary net position was \$9,357,000, resulting in a net pension liability of \$321,119. The covered payroll (annual payroll of active employees covered by the plan) was \$0 and the ratio of the covered payroll was not applicable since all participants were retired as of January 1, 2014. In October 2010, City of Boulder Taxable Pension Obligation Bonds were issued and \$3,531,000 of additional funding was deposited into the plan to decrease the UAAL for the future.

Historical Trend Information – The schedules of funding progress, presented as required supplementary information (RSI) following the notes to the financial statements, present multi-year trend information

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)2. “Old Hire” Fire Defined Benefit Plan (Continued)

about whether the actuarial values of plan assets are increasing or decreasing over time relative to the AALs for benefits.

Pension Plan Investments – The investment policies and fair value determination policies are disclosed above in Notes A and E. For the year ended December 31, 2021, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was a gain of 11.12%. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested. The plan’s investment policies, including fair value determination, concentration of credit risk information, and asset allocation is included in Note E – Deposits and Investments.

Long Term Expected Rate of Return – The best-estimate range for the long-term expected rate of return is determined by adding expected inflation to expected long-term real returns and reflecting expected volatility and correlation. The capital market assumptions are per the actuary’s investment consulting practice as of December 31, 2021.

Asset Class	Long-Term Expected Geometric Real Rate Of Return
Domestic Large Cap	3.5%
Small/Mid Cap	3.9%
International Equity	4.5%
Emerging Markets	5.3%
Domestic Fixed Income	1.3%
Floating Rate Corporate Loans	3.1%
Liquid Low Correlated Hedge Funds	2.7%
Master Limited Partnerships	3.3%

Discount Rate – The discount rate used to measure the total pension liability was 6.5%. The plan’s fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the discount rate for calculating the total pension liability is equal to the long-term expected rate of return.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. “Old Hire” Fire Defined Benefit Plan (Continued)

Pension Liabilities, Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions.

Net Pension Liability – The components of the net pension liability of the City at December 31, 2021 were as follows:

Total Pension Liability	\$	9,035,881
Fiduciary Net Position		<u>9,357,000</u>
Net Pension Liability	\$	<u>(321,119)</u>
Plan Fiduciary Net Position as a		
Percentage of the Total Pension Liability		103.55%

For the year ended December 31, 2020, the “Old Hire” Fire Defined Benefit Plan recognized pension expense of (\$310,145) within governmental activities. The City of Boulder reported deferred outflows of resources and deferred inflows of resources related to this plan from the following sources:

“Old Hire” Fire Defined Benefit Plan:

	<u>Deferred Outflow of Resources</u>	<u>Deferred Inflows of Resources</u>
Net difference between projected and actual earnings on pension plan investments	-	\$816,966
Total	-	\$816,966

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. “Old Hire” Fire Defined Benefit Plan (Continued)

Amounts currently reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year ended December 31:</u>	<u>Expense amount</u>
2022	\$ (162,948)
2023	(376,918)
2024	(193,018)
2025	(84,082)
2026	-
Thereafter	-
Total	<u><u>\$ (816,966)</u></u>

Sensitivity Analysis – The following present the net pension liability (asset) of the City of Boulder, calculated using the discount rate of 6.5%, as well as what the City of Boulder’s net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (5.5%) or 1 percentage point higher (7.5%) than the current rate.

	<u>1% Decrease (5.5%)</u>	<u>Current Discount Rate (6.5%)</u>	<u>1% Increase (7.5%)</u>
Net pension liability (asset)	<u>\$ 378,898</u>	<u>\$ (321,119)</u>	<u>\$ (928,430)</u>

3. Public Employees Retirement Association (PERA)

The City of Boulder participates in the Local Government Division Trust Fund (LGDTF), a cost-sharing multiple-employer defined benefit pension fund administered by the Public Employees’ Retirement Association of Colorado (PERA). The net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, pension expense, information about the fiduciary net position and additions to / from the fiduciary net position of the LGDTF have been determined using the economic resources measurement focus and the accrual basis of accounting. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are recorded at fair value.

The Colorado General Assembly passed significant pension reform through Senate Bill (SB) 18-200: *Concerning Modifications To the Public Employees’ Retirement Association Hybrid Defined Benefit Plan Necessary to Eliminate with a High Probability the Unfunded Liability of the Plan Within the Next Thirty*

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Years. The bill was signed into law by Governor Hickenlooper on June 4, 2018. SB 18-200 makes changes to certain benefit provisions. Most of these changes were in effect as of December 31, 2021.

General Information about the Plan

Plan Description – Eligible employees of the City of Boulder are provided with pensions through the Local Government Division Trust Fund (LGDTF)—a cost-sharing multiple-employer defined benefit pension plan administered by PERA. Plan benefits are specified in Title 24, Article 51 of the Colorado Revised Statutes (C.R.S.), administrative rules set forth at 8 C.C.R. 1502-1, and applicable provisions of the federal Internal Revenue Code. Colorado State law provisions may be amended from time to time by the Colorado General Assembly. PERA issues a publicly available annual comprehensive financial report that can be obtained at www.copera.org/investments/pera-financial-reports.

Benefits provided as of December 31, 2020 - PERA provides retirement, disability, and survivor benefits. Retirement benefits are determined by the amount of service credit earned and/or purchased, highest average salary, the benefit structure(s) under which the member retires, the benefit option selected at retirement, and age at retirement. Retirement eligibility is specified in tables set forth at C.R.S. § 24-51-602, 604, 1713, and 1714

The lifetime retirement benefit for all eligible retiring employees under the PERA Benefit Structure is the greater of the:

- Highest average salary multiplied by 2.5 percent and then multiplied by years of service credit
- The value of the retiring employee's member contribution account plus a 100 percent match on eligible amounts as of the retirement date. This amount is then annuitized into a monthly benefit based on life expectancy and other actuarial factors.

It is possible for employees participating in the LGDTF to be earning service credit under the Denver Public School (DPS) benefit structure. Given this, the lifetime retirement benefit for all eligible retiring employees under the DPS benefit structure is the greater of the:

- Highest average salary multiplied by 2.5 percent and then multiplied by years of service credit.
- \$15 times the first 10 years of service credit plus \$20 times service credit over 10 years plus a monthly amount equal to the annuitized member contribution account balance based on life expectancy and other actuarial factors.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

In all cases the service retirement benefit is limited to 100 percent of highest average salary and cannot exceed the maximum benefit allowed by federal Internal Revenue Code.

Members may elect to withdraw their member contribution accounts upon termination of employment with all PERA employers; waiving rights to any lifetime retirement benefits earned. If eligible, the member may receive a match of either 50 percent or 100 percent on eligible amounts depending on when contributions were remitted to PERA, the date employment was terminated, whether 5 years of service credit has been obtained and the benefit structure under which contributions were made.

As of December 31, 2020, benefit recipients who elect to receive a lifetime retirement benefit are generally eligible to receive post-retirement cost-of-living adjustments, referred to as annual increases in the C.R.S., once certain criteria are met. Pursuant to SB 18-200, the annual increase for 2019 is 0.00 percent for all benefit recipients. Thereafter, benefit recipients under the PERA benefit structure who began eligible employment before January 1, 2007, and all benefit recipients of the DPS benefit structure will receive an annual increase of 1.25 percent unless adjusted by the automatic adjustment provision (AAP) pursuant to C.R.S. § 24-51-413. Benefit recipients under the PERA benefit structure who began eligible employment on or after January 1, 2007 will receive the lessor of an annual increase of 1.25 percent or the average of the Consumer Price Index for Urban Wage Earners and Clerical Workers for the prior calendar year, not to exceed 10 percent of PERA's Annual Increase Reserve (AIR) for the LGDTF. The AAP may raise or lower the aforementioned annual increase by up to 0.25 percent based on the parameters specified in C.R.S. § 24-51-413.

Disability benefits are available for eligible employees once they reach five years of earned service credit and are determined to meet the definition of disability. The disability benefit amount is based on the lifetime retirement benefit formula(s) shown above considering a minimum 20 years of service credit, if deemed disabled.

Survivor benefits are determined by several factors, which include the amount of earned service credit, highest average salary of the deceased, the benefit structure(s) under which service credit was obtained, and the qualified survivor(s) who will receive the benefits.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Contributions provisions as of December 31, 2021: Eligible employees and the City of Boulder are required to contribute to the LGDTF at a rate set by Colorado statute. The contribution requirements are established under C.R.S. § 24-51-401, *et seq.* and § 24-51-413. Employee contribution rates except for State Troopers for the period of 7/1/2021 through 12/31/2021 are summarized below:

	July 1, 2021 Through December, 31 2021	January 1, 2021 Through June 30, 2021	July 1, 2021 Through December 31, 2021
Employee contribution	8.50%	8.50%	8.50%

The employer contribution requirements for all employees except State Troopers are summarized in the table below:

	January 1, 2021 Through June 30, 2021	July 1, 2021 Through December 31, 2021
Employer contribution rate	10.50%	10.50%
Amount of employer contribution apportioned to the Health Care Trust Fund as specified in C.R.S. § 24-51-208(1)(f)	(1.02)%	(1.02)%
Amount apportioned to the LGDTF	9.48%	9.48%
Amortization Equalization Disbursement (AED) as specified in C.R.S. § 24-51-411	2.20%	2.20%
Supplemental Amortization Equalization Disbursement (SAED) as specified in C.R.S. § 24-51-411	1.50%	1.50%
Defined Contribution Supplement as specified in C.R.S. § 24-51-415	0.02%	0.02%
Total employer contribution rate to the LGDTF	13.20%	13.20%

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Contribution rates for the LGDTF are expressed as a percentage of salary as defined in C.R.S. § 24-51-101(42).

Employer contributions are recognized by the LGDTF in the period in which the compensation becomes payable to the member and the City of Boulder is statutorily committed to pay the contributions to the LGDTF. Employer contributions recognized by the LGDTF from the City of Boulder were \$10,963,872 for the year ended December 31, 2021.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At December 31, 2021, the City of Boulder reported a liability of \$58,420,296 for its proportionate share of the net pension liability. Of this amount, \$48,174,928 represented Governmental-type activities and \$10,245,368 represented Business-type activities. The net pension liability was measured as of December 31, 2020, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of December 31, 2020. Standard update procedures were used to roll forward the total pension liability to December 31, 2021. The City of Boulder's proportion of the net pension liability was based on City of Boulder contributions to the LGDTF for the calendar year 2020 relative to the total contributions of participating employers to the LGDTF.

At December 31, 2020, the City of Boulder's proportion was 11.2103759007 percent, which was a decrease of 1.0954536371 percent from its proportion measured as of December 31, 2019.

For the year ended December 31, 2021, the City of Boulder recognized pension expense of (12,464,688). Of this amount, (\$10,466,786) is related to governmental activities and (1,997,902) is related to business-type activities. The City of Boulder reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Governmental Activities:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$2,362,029	\$ -
Changes of assumptions or other inputs	11,806,020	-
Net difference between projected and actual earnings on pension plan investments	-	52,809,357
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	5,249,273
Contributions subsequent to the measurement date	9,168,481	-
Total	\$23,336,530	\$58,058,630

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Business-type Activities:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$462,537	\$ -
Changes of assumptions or other inputs	2,311,879	-
Net difference between projected and actual earnings on pension plan investments	-	10,368,958
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	1,030,679
Contributions subsequent to the measurement date	1,795,391	-
Total	\$4,569,807	\$11,399,637

\$10,963,872 reported outflows of resources related to pensions, resulting from contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended December 31, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended 12/31:	Governmental Activities	Business-type Activities
2022	\$(10,080,729)	\$(1,974,029)
2023	(7,587,907)	(1,485,880)
2024	(17,909,272)	(3,507,031)
2025	(8,312,673)	(1,658,281)
2026	-0-	-0-
Total	\$(43,890,581)	\$(8,625,221)

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Actuarial assumptions – The total pension liability in the December 31, 2019 actuarial valuation was determined using the following actuarial cost method, actuarial assumptions and other inputs:

Actuarial cost method	Entry age
Price inflation	2.40%
Real wage growth	1.10%
Wage inflation	3.50%
Salary increases, including wage inflation	3.50% - 10.45%
Long-term investment rate of return, net of OPEB plan investment expenses, including price inflation	7.25%
Discount rate	7.25%
Post-retirement benefit increases:	
PERA benefit structure hired prior 1/1/07	
And DPS benefit structure (compounded annually)	1.25%
PERA benefit structure hired after 12/31/06 ¹	

Financed by the AIR

¹ Post-retirement benefit increases are provided by the AIR, accounted separately within each Division Trust Fund, and subject to moneys being available: therefore, liabilities related to increases for members of these

Healthy mortality assumptions for active members reflect the RP-2014 White Collar Employee Mortality Table, a table specifically developed for actively working people. To allow for an appropriate margin of improved mortality prospectively, the mortality rates incorporate a 70 percent factor applied to male rates and a 55 percent factor applied to female rates.

Post-retirement non-disabled mortality assumptions were based on the RP-2014 Healthy Annuitant Mortality Table, adjusted as follows:

Males: Mortality improvement projected to 2018 using the MP-2015 projection scale, a 73 percent factor applied to rates for ages less than 80, a 108 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Females: Mortality improvement projected to 2020 using the MP-2015 projection scale, a 78 percent factor applied to rates for ages less than 80, a 109 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

For disables retirees, the mortality assumption was based on 90 percent of the RP-2014 Disabled Retiree Mortality Table.

The actuarial assumptions used in the December 31, 2019, valuation were based on the results of the 2016 experience analysis for the period January 1, 2012, through December 31, 2015, as well as the October 28, 2016, actuarial assumptions workshop and were adopted by PERA's Board during the November 18, 2016, Board meeting.

Based on the 2020 experience analysis, dated October 28, 2020, for the period January 1, 2016, through December 31, 2019, revised economic and demographic assumptions were adopted by PERA's Board on November 20, 2020, and were effective as of December 31, 2020. The assumptions shown below were reflected in the roll forward calculation of the total pension liability from December 31, 2019, to December 31, 2020.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Actuarial cost method	Entry age
Price inflation	2.30%
Real wage growth	0.70%
Wage inflation	3.00%
Salary increases, including wage inflation:	
Members other than State Troopers	3.20%-11.30%
State Troopers ¹	3.20%-12.40%
Long-term investment rate of return, net of pension plan investment expenses, including price inflation	7.25%
Discount rate	7.25%
Post-retirement benefit increases:	
PERA benefit structure hired prior to 1/1/07 and DPS benefit structure (compounded annually)	1.25%
PERA benefit structure hired after 12/31/06 ²	Financed by the AIR

¹ C.R.S. § 24-51-101 (46), as amended, expanded the definition of “State Troopers” to include certain employees within the LGDTF, effective January 1, 2020. See Note 4 of the Notes to the Financial Statements in PERA’s 2020 Annual Report for more information.

² Post-retirement benefit increases are provided by the AIR, accounted separately within each Division Trust Fund, and subject to moneys being available; therefore, liabilities related to increases for members of these benefit tiers can never exceed available assets.

Salary scale assumptions were revised to align with revised economic assumptions and to more closely reflect actual experience.

Rates of termination/withdrawal, retirement, and disability were revised to more closely reflect actual experience.

Pre-retirement mortality assumptions for Members other than State Troopers were based upon the PubG-2010 Employee Table with generational projection using scale MP-2019.

Pre-retirement mortality assumptions for State Troopers were based upon the PubS-2010 Employee Table with generational projection using scale MP-2019.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Post-retirement non-disabled mortality assumptions for Members other than State Troopers were based upon the PubG-2010 Healthy Retiree Table, adjusted as follows:

- **Males:** 94 percent of the rates prior to age 80 and 90 percent of the rates for ages 80 and older, with generational projection using scale MP-2019.
- **Females:** 87 percent of the rates prior to age 80 and 107 percent of the rates for ages 80 and older, with generational projection using scale MP-2019.

Disabled mortality assumptions for Members other than State Troopers were based upon the PubNS-2010 Disabled Retiree Table using 99 percent of the rates for all ages with generational projection using scale MP-2019.

The mortality tables described above are generational mortality tables on a benefit-weighted basis.

The long-term expected return on plan assets is reviewed as part of regular experience studies prepared every four to five years for PERA. Recently this assumption has been reviewed more frequently. The most recent analyses were outlined in the Experience Study report dated October 28, 2020. As a result of the November 20, 2020, PERA Board meeting, the following economic assumptions were changed, effective December 31, 2020:

- Price inflation assumption decreased from 2.40 percent per year to 2.30 percent per year.
- Real rate of investment return assumption increased from 4.85 percent per year, net of investment expenses to 4.95 percent per year, net of investment expenses.
- Wage inflation assumption decreased from 3.50 percent per year to 3.00 percent per year.

Several factors are considered in evaluating the long-term rate of return assumption, including long-term historical data, estimates inherent in current market data, and a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected return, net of investment expense and inflation) were developed for each major asset class. These ranges were combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentages and then adding expected inflation.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

The PERA Board first adopted the 7.25 percent long-term expected rate of return as of November 18, 2016. Following an asset/liability study, the Board reaffirmed the assumed rate of return at the Board's November 15, 2019, meeting, to be effective January 1, 2020. As of the most recent reaffirmation of the long-term rate of return, the target asset allocation and best estimates of geometric real rates of return for each major asset class are summarized in the table as follows:

Asset Class	Target Allocation	30 Year Expected Geometric Real Rate of Return
Global Equity	54.00%	5.60%
Fixed Income	23.00%	1.30%
Private Equity	8.50%	7.10%
Real Estate	8.50%	4.40%
Alternatives ¹	6.00%	4.70%
Total	100.00%	

¹ The Opportunity Fund's name changed to Alternatives, effective January 1, 2020.

In setting the long-term expected rate of return, projections employed to model future returns provide a range of expected long-term returns that, including expected inflation, ultimately support a long-term expected rate of return assumption of 7.25%.

Discount rate. The discount rate used to measure the total pension liability was 7.25 percent. The projection of cash flows used to determine the discount rate applied the actuarial cost method and assumptions shown above. In addition, the following methods and assumptions were used in the projection of cash flows:

- Total covered payroll for the initial projection year consists of the covered payroll of the active membership present on the valuation date and the covered payroll of future plan members assumed to be hired during the year. In subsequent projection years, total covered payroll was assumed to increase annually at a rate of 3.00 percent.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

- Employee contributions were assumed to be made at the member contribution rates in effect for each year, including the scheduled increase in SB 18-200. Employee contributions for future plan members were used to reduce the estimated amount of total service costs for future plan members.
- Employer contributions were assumed to be made at rates equal to the fixed statutory rates specified in law for each year, including the scheduled increase in SB 18-200. Employer contributions also include current and estimated future AED and SAED, until the actuarial value funding ratio reaches 103 percent, at which point the AED and SAED will each drop 0.50 percent every year until they are zero. Additionally, estimated employer contributions reflect reductions for the funding of the AIR and retiree health care benefits. For future plan members, employer contributions were further reduced by the estimated amount of total service costs for future plan members not financed by their member contributions.
- Employer contributions and the amount of total service costs for future plan members were based upon a process to estimate future actuarially determined contributions assuming an analogous future plan member growth rate.
- The AIR balance was excluded from the initial FNP, as, per statute, AIR amounts cannot be used to pay benefits until transferred to either the retirement benefits reserve or the survivor benefits reserve, as appropriate. AIR transfers to the FNP position and the subsequent AIR benefit payments were estimated and included in the projections.
- Benefit payments and contributions were assumed to be made at the middle of the year.

Based on the above assumptions and methods, LGDTF's FNP was projected to be available to make all projected future benefit payments of current members. Therefore, the long-term expected rate of return of 7.25 percent on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability. The discount rate determination does not use the municipal bond index rate, and therefore, the discount rate is 7.25 percent. There was no change in the discount rate from the prior measurement date.

Sensitivity of the City of Boulder's proportionate share of the net pension liability to changes in the discount rate. The following presents the proportionate share of the net pension liability calculated using the discount rate of 7.25 percent, as well as what the proportionate share of the net pension liability would

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

be if it were calculated using a discount rate that is 1-percentage-point lower (6.25 percent) or 1-percentage-point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
Proportionate share of the net pension liability	\$134,577,087	\$58,420,296	\$(5,160,697)

Pension plan fiduciary net position: Detailed information about the LGDTF's fiduciary net position is available in PERA's annual comprehensive financial report which can be obtained at www.copera.org/investments/pera-financial-reports

4. Police and Fire Money Purchase Pension Plan

The City's full-time police officers and firefighters hired on or after April 8, 1978, are covered by the Police and Fire Money Purchase Plan (Plan), an Internal Revenue Code Section 401(a) plan. This Plan is a single employer defined contribution plan that was established by the City Council effective January 1, 1983. The Plan is administered by a Board of Trustees comprised of two elected Boulder Police Department employees, two elected Boulder Fire Department employees and one appointed member who is not an employee of either the Police or Fire departments and has business and/or investment experience within the community. The contribution levels are established at the time of labor negotiations and are detailed in the bargaining unit agreements for information only.

The Boulder Police Benevolent Association negotiated an economic agreement with the City which is in effect through December 31, 2021. The City's contribution requirement for the year ended December 31, 2021, was 13.8 percent of covered payroll. The dollar amount of the City's contributions was \$2,160,000 in 2021. The employee contributions were 6.2 percent, or \$971,000, of covered payroll.

The International Association of Firefighters, Local #900, negotiated an economic agreement with the City, which was in effect through December 31, 2021. The City's contribution requirement for the year

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

4. Police and Fire Money Purchase Pension Plan

ended December 31, 2021, was 13 percent of covered payroll, or \$1,440,000. The employee contributions were 8 percent of covered payroll, or \$886,000.

City contributions and interest forfeited by employees who leave employment before five years of service are first used for administrative charges and second to reduce the City's current period contribution requirement. All participants may make additional contributions of up to 25% of their salary or \$30,000, whichever is less.

Benefits – An employee is eligible to receive benefits upon death, disability or normal retirement. Benefits are paid out of the employee's individual account. This account is made up of: 100% of the employee's contributions; 100% of the employer contributions if the employee terminates because of death, disability or normal retirement, or a lesser percent based on the vesting schedule in the plan document if the employee terminates for another reason; and the interest earnings either positive or negative, over the term of the employee's employment with the City. Benefits are distributed at the discretion of the administration committee either in a lump-sum or over the employee's life expectancy or 10 years, whichever is less.

Death and Disability Benefits – If an active member dies or becomes disabled (but is not eligible for an age and service retirement) while employed, the member's spouse and dependent children will receive survivor benefits, or the member will receive benefits under the State Fire and Police Pension Association (FPPA). See description under Fire and Police Pension Association below.

The Police and Fire Money Purchase Plan issues a publicly available annual financial report that includes financial statements and required supplementary information. That report may be obtained by writing to City of Boulder Fire and Police Money Purchase Plan, 1805 33rd Street, Boulder, Colorado, 80301.

NOTE V – DEFERRED COMPENSATION PLANS

The Colorado Revised Statutes allow any City to exempt the City Manager and key management staff who report directly to the City Manager or the City Council from membership in the Public Employees Retirement Association, provided each such person has executed a trust agreement and deferred compensation employment agreement with the International City Management Association Retirement Corporation (ICMA-RC), an Internal Revenue Code Section 401(a) plan. The assets of these two plans are held in a trust account and therefore are not reflected on the City of Boulder financial statements. In addition to ICMA-RC, City Council authorized the establishment of a deferred compensation program for City employees.

Deferred compensation is not available for withdrawal by employees until termination, retirement, death or unforeseeable emergency. The assets of this plan are held in a trust account and therefore are not reflected on the City of Boulder financial statements.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE V – DEFERRED COMPENSATION PLANS (CONTINUED)

In the opinion of the City's legal counsel, the City has no liability for losses under the plans but does have the duty of due care that would be required of an ordinary prudent investor.

The City's employees are covered under two separate OPEB plans. For the year ended December 31, 2021, the total net OPEB expense for the two plans was (\$257,900).

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS**

I. Public Employees Retirement Association (PERA) Health Care Trust Fund

The City of Boulder participates in the Health Care Trust Fund (HCTF), a cost-sharing multiple-employer defined benefit OPEB fund administered by PERA. The net OPEB liability, deferred outflow of resources and deferred inflows of resources related to OPEB, OPEB expense, information about the fiduciary net position and additions to/deductions from the fiduciary net position of the HCTF have been determined using the economic resources measurement focus and the accrual basis of accounting. For this purpose, benefits paid on behalf of health care participants are recognized when due and/or payable in accordance with the benefit terms. Investments are reported at fair value.

Plan description – Eligible employees of the City of Boulder are provided with OPEB through the HCTF – a cost-sharing multiple-employer defined benefit OPEB plan administered by PERA. The HCTF is established under Title 24, Article 51, Part 12 of the Colorado Revised Statutes (C.R.S.), as amended. Colorado State law provisions may be amended from time to time by the Colorado General Assembly. Title 24, Article 51, Part 12 of the C.R.S., as amended, sets forth a framework that grants authority to the PERA Board to contract, self-insure, and authorize disbursements necessary in order to carry out the purposes of the PERACare program, including the administration of the premium subsidies. Colorado State law provisions may be amended from time to time by the Colorado General Assembly. PERA issues a publicly available annual comprehensive financial report that can be obtained at www.copera.org/investments/pera-financial-reports.

Benefits Provided – The HCTF provides a health care premium subsidy to eligible participating PERA benefit recipients and retirees who choose to enroll in one of the PERA health care plans, however, the subsidy is not available if only enrolled in the dental and/or vision plans(s). The health care premium subsidy is based upon the benefit structure under which the member retires and the member's years of service credit. For members who retire having service credit with employers in the Denver Public Schools (DPS) Division and one or more of the other four Divisions (State, School, Local Government and Judicial), the premium subsidy is allocated between the HCTF and the DPS Health Care Trust Fund (DPS HCTF). The basis for the amount of the premium subsidy funded by each trust fund is the percentage of the member contribution account balance from each division as it relates to the member contribution account balance from which the retirement benefit is paid.

C.R.S. 24-51-1202 et seq. specifies for eligibility for enrollment in the health care plans offered by PERA and the amount of the premium subsidy. The law governing a benefit recipient's eligibility for the subsidy and the amount of the subsidy differs slightly depending under which benefit structure the benefits are

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

calculated. All benefit recipients under the PERA benefit structure and all retirees under the DPS benefit structure are eligible for a premium subsidy, if enrolled in a health care plan under PERACare. Upon the death of a DPS benefit structure retiree, no further subsidy is paid.

Enrollment in the PERACare is voluntary and is available to benefit recipients and their eligible dependents, certain surviving spouses, and divorced spouses and guardians, among others. Eligible benefit recipients may enroll in the program upon retirement, upon the occurrence of certain life events, or on an annual basis during an open enrollment period.

PERA Benefit Structure – The maximum service-based premium is \$230 (actual dollars) per month for benefit recipients who are under 65 years of age and who are not entitled to Medicare; the maximum service-based subsidy is \$115 (actual dollars) for benefit recipients who are 65 years of age and entitled to Medicare. The basis for the maximum service-based subsidy, in each case, is for benefit recipients with retirement benefits based on 20 or more years of service credit. There is a 5 percent reduction in the subsidy for each year less than 20. The benefit recipient pays the remaining portion of the premium to the extent the subsidy does not cover the entire amount.

For retirees who have not participated in Social Security and who are not otherwise eligible for premium-free Medicare Part A for hospital-related services, the HCTF or the DPS HCTF pays an alternate service-based premium subsidy. Each individual retiree meeting these conditions receives the maximum \$230 per month subsidy reduced appropriately for service less than 20 years, as described above. Retirees who do not have Medicare Part A pay the difference between the total premium and the monthly subsidy.

Contributions – Pursuant to Title 24, Article 51, Section 208(1)(f) of the C.R.S., as amended, certain contributions are apportioned to the HCTF. PERA-affiliated employers of the State, School, Local Government, and judicial Divisions are required to contribute at a rate of 1.02 percent of PERA-includable salary into the HCTF.

Employer contributions are recognized by the HCTF in the period in which the compensation becomes payable to the member and the City of Boulder is statutorily committed to pay the contributions. Employer contributions recognized by the HCTF from the City of Boulder were \$826,345 for the year ended December 31, 2021.

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At December 31, 2021, the City of Boulder reported a liability of \$8,112,630 for its proportionate share of the net OPEB liability. The Governmental Activities portion of the net OPEB liability was \$6,882,492 at December 31, 2020 while the Proprietary Funds proportionate share was \$1,230,138. The net OPEB liability for the HCTF was measured as of December 31, 2021, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of December 31, 2020.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

Standard update procedures were used to roll-forward the total OPEB liability to December 31, 2019. The City of Boulder proportion of the net OPEB liability was based on City of Boulder contributions to the HCTF for the calendar year 2019 relative to the total contributions of participating employers to the HCTF.

At December 31, 2020, the City of Boulder's proportion was 0.8537588559%, which was a decrease of 0.0867608560% from its proportion measured as of December 31, 2019.

For the year ended December 31, 2021, the City of Boulder recognized OPEB expense of \$(809,178). Of this amount, \$(679,479) is related to governmental activities and \$(129,699) is related to business-type activities. At December 31, 2021, the City of Boulder reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

Governmental Activities:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$18,241	\$1,498,918
Changes of assumptions or other inputs	51,351	418,073
Net difference between projected and actual earnings on OPEB plan investments	-	278,588
Changes in proportion and differences between contributions recognized and proportionate share of contributions	216,819	1,180,277
Contributions subsequent to the measurement date	700,037	
Total	\$986,448	\$3,375,856

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)Business-type Activities:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$3,291	\$284,627
Changes of assumptions or other inputs	9,266	79,387
Net difference between projected and actual earnings on OPEB plan investments	-	52,901
Changes in proportion and differences between contributions recognized and proportionate share of contributions	39,121	224,120
Contributions subsequent to the measurement date	126,308	-
Total	\$177,986	\$641,035

\$826,345 reported as deferred outflows of resources related to OPEB, resulting from contributions subsequent to the measurement date, will be recognized as a reduction of the net OPEB liability in the year ended December 31, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended 12/31:	Governmental Activities	Business-type Activities
2022	\$ (666,397)	\$ (119,108)
2023	(627,052)	(112,076)
2024	(773,257)	(138,208)
2025	(687,525)	(122,884)
2026	(312,440)	(93,011)
Thereafter	(22,774)	(4,070)
Total	\$(3,089,445)	\$(589,357)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)****1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)**

Actuarial assumptions – The total OPEB liability in the December 31, 2019 actuarial valuation was determined using the following actuarial cost method, actuarial assumptions and other inputs:

Actuarial cost method	Entry Age
Price inflation	2.40 percent
Real wage growth	1.10 percent
Wage inflation	3.50 percent
Salary increases, including wage inflation	3.50 percent in aggregate
Long-term investment Rate of Return, net of pension plan investment expenses, including price inflation	7.25 percent
Discount Rate	7.25 percent
Health care cost trend rates:	
PERA benefit structure:	
Service-based premium subsidy	0.00 percent
PERACare Medicare plans	8.10% in 2020, gradually decreasing to 4.50% in 2029
Medicare Part A premiums	3.50% in 2020, gradually rising to 4.50% in 2029

Calculations are based on the benefits provided under the terms of the substantive plan in effect at the time of each actuarial valuation and on the pattern of sharing of costs between employers of each fund to that point.

The collective total OPEB liability is based upon the December 31, 2019, actuarial valuation, and generally accepted actuarial techniques were applied to roll forward the collective total OPEB liability to December 31, 2020. The roll forward calculation includes actual benefits, interest on the total OPEB liability, the annual normal cost (also called service cost), changes of benefit terms, differences between expected and actual experience at the end of year, and changes of assumptions or other inputs.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)****1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)**

In determining the additional liability for PERACare enrollees who are age sixty-five or older and who are not eligible for premium-free Medicare Part A, the following monthly costs/premiums are assumed for 2020 for the PERA Benefit Structure:

Medicare Plan	Cost for Members Without Medicare Part A	Premiums for Members Without Medicare Part A
Medicare Advantage/Self-Insured Prescription	\$588	\$227
Kaiser Permanente Medicare Advantage HMO	621	232

The 2020 Medicare Part A premium is \$458 per month.

In determining the additional liability for PERACare enrollees in the PERA Benefit Structure who are age sixty-five or older and who are not eligible for premium-free Medicare Part A, the following chart details the initial expected value of Medicare Part A benefits, age adjusted to age 65 for the year following the valuation date:

Medicare Plan	Cost for Members Without Medicare Part A
Medicare Advantage/Self-Insured Prescription	\$550
Kaiser Permanente Medicare Advantage HMO	586

All costs are subject to the health care cost trend rates, as discussed below.

Health care cost trend rates reflect the change in per capita health costs over time due to factors such as medical inflation, utilization, plan design and technology improvements. For the PERA benefit structure, health care cost trend rates are needed to project the future costs associated with providing benefits to those PERACare enrollees not eligible for premium-free Medicare Part A.

Health care cost trend rates for the PERA benefit structure are based on published annual health care inflation surveys in conjunction with actual plan experience (if credible), building block models and industry methods developed by health plan actuaries and administrators. In addition, projected trends for the Federal Hospital Insurance Trust Fund (Medicare Part A premiums) provided by the Centers for Medicare & Medicaid Services are referenced in the development of these rates. Effective December 31, 2019, the health care cost trend rates for Medicare Part A premiums were revised to reflect the current expectation of future increases in rates of inflation applicable to Medicare Part A premiums.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

The PERA benefit structure health care cost trend rates that were used to measure the total OPEB liability are summarized in the table below:

Year	PERACare Medicare Plans	Medicare Part A Premiums
2020	8.10%	3.50%
2021	6.40%	3.75%
2022	6.00%	3.75%
2023	5.70%	3.75%
2024	5.50%	4.00%
2025	5.30%	4.00%
2026	5.10%	4.00%
2027	4.90%	4.25%
2028	4.70%	4.25%
2029+	4.50%	4.50%

Mortality assumptions used in the December 31, 2019, valuation for the determination of the total pension liability for each of the Division Trust Funds as shown below are applied, as applicable, in the determination of the total OPEB liability for the HCTF. Affiliated employers of the State, School, Local Government, and Judicial Divisions participate in the HCTF.

Healthy mortality assumptions for active members were based on the RP-2014 White Collar Employee Mortality Table, a table specifically developed for actively working people. To allow for an appropriate margin of improved mortality prospectively, the mortality rates incorporate a 70 percent factor applied to male rates and a 55 percent factor applied to female rates.

Post-retirement non-disabled mortality assumptions for the State and Local Government Divisions were based on the RP-2014 Healthy Annuitant Mortality Table, adjusted as follows:

- **Males:** Mortality improvement projected to 2018 using the MP-2015 projection scale, a 73 percent factor applied to rates for ages less than 80, a 108 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

- **Females:** Mortality improvement projected to 2020 using the MP-2015 projection scale, a 78 percent factor applied to rates for ages less than 80, a 109 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

For disabled retirees, the mortality assumption was based on 90 percent of the RP-2014 Disabled Retiree Mortality Table.

The actuarial assumptions used in the December 31, 2019, valuation were based on the results of the 2016 experience analysis for the period January 1, 2012, through December 31, 2015, as well as the October 28, 2016, actuarial assumptions workshop and were adopted by PERA's Board during the November 18, 2016, Board meeting.

Based on the 2020 experience analysis, dated October 28, 2020, and November 4, 2020, for the period of January 1, 2016, through December 31, 2019, revised economic and demographic assumptions were adopted by PERA's Board on November 20, 2020, and were effective as of December 31, 2020. The assumptions shown below were reflected in the roll forward calculation of the total OPEB liability from December 31, 2019, to December 31, 2020.

	Trust Fund			
	State Division	School Division	Local Government Division	Judicial Division
Actuarial cost method	Entry age	Entry age	Entry age	Entry age
Price inflation	2.30%	2.30%	2.30%	2.30%
Real wage growth	0.70%	0.70%	0.70%	0.70%
Wage inflation	3.00%	3.00%	3.00%	3.00%
Salary increases, including wage inflation:				
Members other than State Troopers	3.30%-10.90%	3.40%-11.00%	3.20%-11.30%	2.80%-5.30%
State Troopers	3.20%-12.40%	N/A	3.20%-	N/A

¹ C.R.S. § 24-51-101 (46), as amended, expanded the definition of "State Troopers" to include certain employees within the Local Government Division, effective January 1, 2020. See Note 4 of the Notes to the Financial Statements in PERA's 2020 Annual Report for more information.

The long-term rate of return, net of OPEB plan investment expenses, including price inflation and discount rate assumptions were 7.25 percent.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

Rates of termination/withdrawal, retirement, and disability were revised to more closely reflect actual experience.

Mortality assumptions used in the roll forward calculations for the determination of the total pension liability for each of the Division Trust Funds as shown below were applied, as applicable, in the roll forward calculation for the HCTF, using a headcount-weighted basis.

Pre-retirement mortality assumptions for the State and Local Government Divisions (Members other than State Troopers) were based upon the PubG-2010 Employee Table with generational projection using scale MP-2019.

Post-retirement non-disabled mortality assumptions for the State and Local Government Divisions (Members other than State Troopers) were based upon the PubG-2010 Healthy Retiree Table, adjusted as follows:

- **Males:** 94 percent of the rates prior to age 80 and 90 percent of the rates for ages 80 and older, with generational projection using scale MP-2019.
- **Females:** 87 percent of the rates prior to age 80 and 107 percent of the rates for ages 80 and older, with generational projection using scale MP-2019.

The mortality tables described above are generational mortality tables on a head-count weighted basis.

The following health care costs assumptions were updated and used in the measurement of the obligations for the HCTF:

- Initial per capita health care costs for those PERACare enrollees under the PERA benefit structure who are expected to attain age 65 and older ages and are not eligible for premium-free Medicare Part A benefits were updated to reflect the change in costs for the 2020 plan year.
- The health care cost trend rates for Medicare Part A premiums were revised to reflect the then-current expectation of future increases in rates of inflation applicable to Medicare Part A premiums.

The long-term expected return on plan assets is reviewed as part of regular experience studies prepared every four to five years for PERA. Recently this assumption has been reviewed more frequently. The most recent analyses were outlined in the Experience Study report dated October 28, 2020. As a result of

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)****1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)**

the November 20, 2020, PERA Board meeting, the following economic assumptions were changed, effective December 31, 2020:

- Price inflation assumption decreased from 2.40 percent per year to 2.30 percent per year.
- Real rate of investment return assumption increased from 4.85 percent per year, net of investment expenses to 4.95 percent per year, net of investment expenses.
- Wage inflation assumption decreased from 3.50 percent per year to 3.00 percent per year.

Several factors are considered in evaluating the long-term rate of return assumption, including long-term historical data, estimates inherent in current market data, and a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected return, net of investment expense and inflation) were developed for each major asset class. These ranges were combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentages and then adding expected inflation.

The PERA Board first adopted the 7.25 percent long-term expected rate of return as of November 18, 2016. Following an asset/liability study, the Board reaffirmed the assumed rate of return at the Board's November 15, 2019, meeting, to be effective January 1, 2020. As of the most recent reaffirmation of the long-term rate of return, the target asset allocation and best estimates of geometric real rates of return for each major asset class are summarized in the table as follows:

Asset Class	Target Allocation	30 Year Expected Geometric Real Rate of Return
Global Equity	54.00%	5.60%
Fixed Income	23.00%	1.30%
Private Equity	8.50%	7.10%
Real Estate	8.50%	4.40%
Alternatives ¹	6.00%	4.70%
Total	100.00%	

¹ The Opportunity Fund's name changed to Alternatives, effective January 1, 2020.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)****1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)**

In setting the long-term expected rate of return, projections employed to model future returns provide a range of expected long-term returns that, including expected inflation, ultimately support a long-term expected rate of return assumption of 7.25%.

Sensitivity of the City of Boulder's proportionate share of the net OPEB liability to changes in the Health Care Cost Trend Rates. – The following presents the net OPEB liability using the current health care cost trend rates applicable to the PERA benefit structure, as well as if it were calculated using health care cost trends rates that are one percentage point lower or one percentage point higher than the current rates:

	1% Decrease in Trend Rates	Current Trend Rates	1% Increase in Trend Rates
Initial PERACare Medicare trend rate	7.10%	8.10%	9.10%
Ultimate PERACare Medicare trend rate	3.50%	4.50%	5.50%
Initial Medicare Part A trend rate	2.50%	3.50%	4.50%
Ultimate Medicare Part A trend rate	3.50%	4.50%	5.50%
Net OPEB Liability	\$7,902,947	\$8,112,630	\$8,356,728

Discount Rate – The discount rate used to measure the total OPEB liability was 7.25%. The projection of cash flows used to determine the discount rate applied the actuarial cost method and assumptions shown above. In addition, the following methods and assumptions were used in the projection of cash flows:

- Updated health care cost trend rates for Medicare Part A premiums as of the December 31, 2020, measurement date.
- Total covered payroll for the initial projection year consists of the covered payroll of the active membership present on the valuation date and the covered payroll of future plan members assumed to be hired during the year. In subsequent projection years, total covered payroll was assumed to increase annually at a rate of 3.00 percent.
- Employer contributions were assumed to be made at rates equal to the fixed statutory rates specified in law and effective as of the measurement date.
- Employer contributions and the amount of total service costs for future plan members were based upon a process to estimate future actuarially determined contributions assuming an analogous future plan member growth rate.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

- Estimated transfers of dollars into the HCTF representing a portion of purchase service agreements intended to cover the costs associated with OPEB benefits.
- Benefit payments and contributions were assumed to be made at the middle of the year.

Based on the above assumptions and methods, the HCTF's FNP was projected to make all projected future benefit payments of current members. Therefore, the long-term expected rate of return of 7.25 percent on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability. The discount rate determination does not use the municipal bond index rate, and therefore, the discount rate is 7.25 percent.

Sensitivity of the City of Boulder's proportionate share of the net OPEB liability to changes in the discount rate – The following presents the proportionate share of the net OPEB liability calculated using the discount rate of 7.25 percent, as well as what the proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.25 percent) or 1-percentage-point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
Proportionate share of the net OPEB liability	\$9,293,165	\$8,112,630	\$7,103,957

OPEB plan fiduciary net position – Detailed information about the HCTF's fiduciary net position is available in PERA's annual comprehensive financial report which can be obtained at www.copera.org/investments/pera-financial-reports.

All full-time police officers and firefighters are covered by the Fire and Police Pension Association (FPPA), a multiple-employer cost-sharing plan for pre-retirement death and disability. To date contributions to the plan have been determined and budgeted by the State legislature. State law provided that these contributions would continue in diminishing amounts until 1994. The State requires employees hired on or after January 1, 1997, to contribute 2.6% of salary. The City pays the 2.7% for all affected police officers and firefighters. In 2021, the City paid \$720,585 equal to their required contributions for the year. This FPPA death and disability plan qualifies as a cost sharing multiple-employer defined benefit OPEB plan under this standard. As it pertains to the requirements in Statement No. 75, FPPA concluded that because all contributions to the plan are considered member contributions (and not employer), the employers' proportionate share of any net OPEB liability (asset) is \$0. As such, GASB Statement No. 75 had no impact on the City of Boulder for the year ended December 31, 2021 for this plan.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

FPPA issues a publicly available annual financial report that includes financial statements and required supplementary information. That report may be obtained online at www.fppaco.org or by writing to Fire and Police Pension Association of Colorado, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado, 80111-2721 or by calling FPPA at (303) 770-3772 or 1-800-332-3772.

2. City of Boulder Retiree Health Care Benefit Plan

Plan Description – The City of Boulder administers a single-employer defined benefit healthcare plan (the Retiree Health Care Benefit Plan). The City provides health care insurance coverage to current and future retirees of the City who retire with a PERA or City provided pension and have 12 years of service with the City. Employees who terminate or retire prior to meeting the eligibility requirements for retiree health care benefits are not eligible to participate in the program. The Retiree Health Care Benefit Plan is not covered within a trust fund and does not issue a publicly available financial report.

Member Data – The following table is a summary of the member data used in the January 1, 2021, actuarial valuation:

	BMEA	Management	Fire	Police	Total
Participants					
Active	350	681	103	160	1,294
Retiree & Beneficiary	9	22	3	5	39
Spouse	2	8	2	1	13
Total	361	711	108	166	1,346

Funding Policy – The Retiree Health Care Benefit Plan is funded on a pay-as-you-go basis with retirees paying 100% of the blended health insurance premium for the retiree and dependents. Benefit provisions are established by City management. The benefit provided by the Retiree Health Care Benefit Plan is made up entirely of the implicit rate subsidy which results from both the retirees and the active employees paying the same insurance premiums.

Total OPEB Liability – The portion of actuarial present value of projected benefit payments that is attributable to past periods of member service using the Entry Age Normal cost method based on the requirements of GASB 74 and 75.

Net OPEB Liability – The City's annual other postemployment benefit (OPEB) cost (expense) is calculated based on the Net OPEB Liability, an amount actuarially determined in accordance with the

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

parameters of GASB Statement 75. The Net OPEB Liability represents the difference between the Total OPEB Liability and the Plan's Fiduciary Net Position of the Retiree Health Care Benefit Plan. In other words, it is the portion of the OPEB liability that is unfunded (unfunded liability). Previously this was referred to as the unfunded actuarial accrued liability or UAAL.

As of December 31, 2021, the City of Boulder's City Retiree Health Care Benefit Plan had a total OPEB liability of \$7,607,939. Of this amount, \$6,750,967 was related to governmental activities and \$856,972 was related to business-type activities.

The following table shows changes in the City's Total OPEB Liability for the measurement period ending on December 31, 2021:

Governmental-Type Activities:

Increase / (Decrease) in Total OPEB Liability	2021
Balance at Beginning of Year	\$4,634,495
Changes for the Year:	
Service Cost	347,930
Interest on total OPEB liability	126,843
Effect of plan changes	-
Effect of economic/demographic gains or losses	623,373
Effect of assumption changes or inputs	1,232,809
Benefit payments	(214,483)
Balance at end of year	\$6,750,967

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

Business-Type Activities:

Increase / (Decrease) in Total OPEB Liability	2021
Balance at Beginning of Year	\$497,875
Changes for the Year:	
Service Cost	59,033
Interest on total OPEB liability	21,521
Effect of plan changes	-
Effect of economic/demographic gains or losses	105,766
Effect of assumption changes or inputs	209,168
Benefit payments	(36,391)
Balance at end of year	\$856,972

Sensitivity Analysis – The following presents the Total OPEB Liability of the City, calculated using the discount rate of 2.12%, as well as what the City's Total OPEB Liability would be if were calculated using a discount rate that is 1 percentage point lower (1.12%) or 1 percentage point higher (3.12%) than the current rate:

	1% Decrease (1.12%)	Discount Rate (2.12%)	1% Increase (3.12%)
Total OPEB liability	\$8,269,874	\$7,607,939	\$6,994,668

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

The following presents the Total OPEB Liability of the City, calculated using the current healthcare cost trend rates as well as what the City's Total OPEB Liability would be if were calculated using trend rates that are 1 percentage point lower or 1 percentage point higher than the current trend rates:

	1% Decrease	Current Trend Rate	1% Increase
Total OPEB liability	\$6,752,514	\$7,607,939	\$8,621,597

In 2021, the City of Boulder's City Retiree Health Care Benefit Plan had a total OPEB expense of \$551,278 consisting of \$471,313 for Governmental activities and \$79,965 for Business-type activities. The following table shows the individual components of the expense amount for 2021:

	Governmental Activities	Business-type Activities
Service cost	\$347,932	\$59,031
Interest on total OPEB liability	126,843	21,521
Effect of Plan changes	-	-
Recognition of economic/demographic gains or losses	9,274	1,574
Recognition of assumption changes or inputs	(12,736)	(2,161)
Administration expense	-	-
OPEB expense	\$471,313	\$79,965

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

As of December 31, 2021, the City's Retiree Health Care Benefit Plan had \$2,424,632 in deferred outflows and \$1,888,167 in Deferred Inflows of resources as follows:

Governmental Activities:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$557,867	\$353,481
Changes of assumptions or other inputs	1,538,150	1,280,067
Net difference between projected and actual earnings on OPEB plan investments	-	-
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	-
Contributions subsequent to the measurement date	-	-
Total	\$2,096,017	\$1,633,548

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

Business-type Activities:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$87,463	\$55,097
Changes of assumptions or other inputs	241,152	199,522
Net difference between projected and actual earnings on OPEB plan investments	-	-
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	-
Contributions subsequent to the measurement date	-	-
Total	\$328,615	\$254,619

Amounts currently reported as deferred outflows of resources and deferred (inflows) of resources related to OPEB benefits will be recognized in OPEB expense as follows:

Year	Amount
2021	(\$4,049)
2022	(4,049)
2023	(4,049)
2024	(4,049)
2025	(13,747)
Thereafter	566,408
Total	\$536,465

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions – Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

An actuarial study was prepared at January 1, 2021. It is the plan's policy to have an actuarial study prepared every two years.

The significant actuarial assumptions used in the valuation as of January 1, 2021, included the following:

- Actuarial Cost Method – Entry Age Normal Level Percent of Pay Cost.
- Amortization Method – Open, level percent of pay over 30 years
- Discount Rate – 2.12% per annum.
- Inflation – 2.5% per annum.
- Wage Growth – 3.0% per annum.
- Administrative Expense – Claims expenses are loaded into claim costs for all health benefits.
- Retirement – Age and service eligibility requirements for PERA (Management and BMEA employees) and City provided pensions (Fire and Police).
- Mortality –
 - Healthy Lives – Pub-2010 Healthy Employee and Retiree Mortality Tables for General Employees projected generationally using Scale MP2021.
 - Disabled Lives – Pub-2010 Disabled Retiree Mortality Tables projected generationally using Scale MP2021.
- Election of Retirement Coverage – 30% of future eligible retired participants are assumed to participate upon retirement if they retire prior to age 65. Future eligible retired participants who retire after age 65 are assumed to decline coverage. This assumption is based on historical participant behavior and expectations of future plan experience.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

**NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB)
THAN PENSIONS (CONTINUED)**

2. City of Boulder Retiree Health Care Benefit Plan (Continued)

- Probability of Spouse Coverage – 55% of future retirees who elect coverage are assumed to elect spousal coverage upon retirement. Actual marital status is used for retirees. All males are assumed to be 3 years older than females. It is assumed no dependent children are covered.
- Lapse Assumption – it is assumed that 100% of all current and future retirees will cease participation in the plan upon the attainment of age 65. Current retirees that are over age 65 at the valuation date are assumed to continue coverage for the remainder of their lifetime. Current spouses that are over 65 at the valuation date are assumed to continue coverage until the retiree attains age 65.
- Health Care Cost Trend – Using the Milliman Adjusted Getzen Model, the trend rate starts at 6.8% for 2021 and varies to a rate of 4.1% in 2070.
- Amortization Period – The unfunded actuarial accrued liability is amortized over 30 years using an open level percent of pay method.

The significant changes in actuarial assumptions and methods as of January 1, 2021, included the following:

- The mortality improvement projection scale was updated from MP-2019 to MP-2021.
- The election of coverage assumption for future retirees was increased from 25% to 30% to better reflect anticipated plan experience.
- Updated claims and premiums to experience and plan changes.
- The trend assumption was updated using the Milliman Adjusted Getzen Trend Model.

NOTE X – PLEDGED REVENUES

Water and Sewer Revenues Pledged

The City has pledged future water and sewer customer revenues, net of specified operating expenses, to repay \$83,540,000 in outstanding water and sewer system revenue bonds and notes. Proceeds from the bonds provided financing for the construction of capital assets or refunded other revenue bonds issued for that purpose. The bonds are payable solely from water and sewer net revenues and are payable through 2038. Annual principal and interest payments on the bonds are expected to require approximately 50% of net revenues (as defined by the bond ordinances). The total principal and interest remaining to be paid on the bonds and notes at December 31, 2021 is \$103,501,761. Principal and interest paid for the current year and total customer net revenues were \$11,351,839 and \$35,613,000, respectively.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE X – PLEDGED REVENUES (CONTINUED)

Stormwater and Flood Management Revenues Pledged

The City has pledged future stormwater and flood management fund revenues, net of specified operating expenses, to repay \$16,720,000 in outstanding stormwater and flood management revenue bonds. Proceeds from the bonds provided financing for the construction of capital assets or refunded other revenue bonds issued for that purpose. The bonds are payable solely from stormwater and flood management fund revenues and are payable through 2034. Annual principal and interest payments on the bonds are expected to require less than 42% of net revenues (as defined by the bond ordinances). The total principal and interest remaining to be paid on the bonds at December 31, 2021 is \$20,665,000. Principal and interest paid for the current year and total customer net revenues were \$1,591,388 and \$6,823,000 respectively.

Open Space Sales Tax Revenues Pledged

The City has pledged future sales and use tax revenues generated by the .88% sales and use tax levies of the Open Space Fund to repay \$7,038,000 in outstanding open space bonds. Proceeds from the bonds provided financing for the acquisition of open space land or refunded other bonds issued for that purpose. The \$7,038,000 of bonds are payable from the Open Space Fund sales tax revenues and are also backed with a pledge of the full faith and credit of the City. These bonds mature through 2034. In 2019, .48% of the total .88% sales tax levy will expired, which will materially decrease pledged revenues. Annual principal and interest payments on the bonds are expected to require less than 39% of pledged sales tax revenues. The total principal and interest remaining to be paid on the bonds at December 31, 2021 is \$8,456,000. Principal and interest paid for the current year and total pledged sales tax revenues were \$653,000 and \$30,118,000 respectively.

Downtown Commercial District Revenues Pledged

The City has pledged a portion of future sales tax revenues to repay \$1,610,000 in outstanding bonds issued by the City of Boulder Central Area General Improvement District (CAGID), now known as the Downtown Commercial District, to finance an underground parking garage located at 9th Street and Canyon Boulevard (TIF bonds). These TIF bonds are payable from the Parking Garage Net Revenues, incremental property tax revenues of the tax increment area and incremental sales and accommodations tax revenues.

The TIF bonds are backed with a pledge of the full faith and credit of CAGID. These bonds mature through 2023. Annual principal and interest payments on the outstanding bonds are expected to require less than 39% of pledged revenues. The total principal and interest remaining to be paid on the bonds at December 31, 2021 is \$1,682,900. Principal and interest paid for the current year and total pledged revenues were \$836,250 and \$4,032,006 respectively.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE X – PLEDGED REVENUES (CONTINUED)

Community, Culture, and Safety Sales Tax Revenues

The City has pledged a portion of future Community, Culture, and Safety sales tax revenues to repay \$2,119,000 in outstanding notes issued by the City of Boulder to finance the purchase of land for the relocation of fire station #3. The notes will mature in December of 2022. The total principal and interest remaining to be paid on the notes at December 31, 2021 is \$2,184,069. Principal and interest paid for the current year and total pledged revenues were \$2,183,466 and \$2,183,466, respectively.

Boulder Municipal Property Authority Revenues Pledged

The Boulder Municipal Property Authority (BMPA) pledged as security for certificates of participation and lease purchase notes (debt) the base rental revenues received from the City's various funds and operations. As of December 31, 2021, BMPA currently has \$58,228,000 in outstanding debt used primarily to provide funding for acquisition of property, land for Parks and Open Space purposes. The City appropriates each year, from various revenue sources, base rental expenses in amounts sufficient to cover the principal and interest requirements on BMPA's debt. In accordance with state statutes, the appropriation by the City is subject to annual renewal at discretion of the City Council. BMPA has pledged, as the sole security for the bonds, the annual base rental revenues received from the City. Total principal and interest remaining on the debt is \$75,753,000 with annual requirements ranging from \$5,219,848 in 2021 to \$1,306,830 in 2039. The base rental revenues received each year equal the debt service requirements on BMPA's debt. For the current year, principal and interest incurred by BMPA and the total base rental revenues pledged were \$5,219,848 and \$5,219,848, respectively.

Trash Tax Revenues

On August 16, 1994, the City passed the 1994 Ordinance approving the 1994 Election Question which authorized the City to raise its trash tax to a rate not to exceed a maximum per month of \$3.50 for residential customers and a maximum of \$0.85 per cubic yard per month for commercial customers. At a special municipal election held on November 8, 1994, the voters of the City approved the 1994 Election Question authorizing the maximum trash tax rates and authorizing the City under TABOR to issue not to exceed \$6,000,000 of bonds payable from the City's trash tax revenues and additionally secured by the full faith and credit of the City, for the purpose acquisition of interests in land and constructing, operating and maintenance of municipal solid waste recycling and composting facilities. On December 15, 2009, \$6,000,000 in General Obligation Waste Reduction Bonds were issued. On January 16, 2020 these bonds were refunded and replaced with \$3,515,000 of GO Waste Reduction Notes, Series 2020. As of December 31, 2021, there are currently \$2,860,000,000 in outstanding Waste Reduction Notes. Total principal and interest remaining as of December 31, 2021 is \$3,124,416. The bond ordinance requires quarterly transfers of trash haulers tax to cover the current year's debt service. For the current year, principal and interest paid and total pledged revenues were \$389,019 and \$389,019, respectively.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE X – PLEDGED REVENUES (CONTINUED)

General Fund Bonds/Notes (Capital Improvement Projects)

The City has pledged any and all legally available funds and revenues of the General Fund of the City, up to the full amount of principal of, interest on and premium, if any, due in each year, for the punctual payment of the principal of, interest on and premium, if any, due in connection with the maturity of or redemption of the Series 2012 Bonds as the same respectively became due and payable. These bonds were issued March 22, 2012 in the amount of \$49,000,000 with a net premium of \$5,829,997. As of December 31, 2021, \$2,250,000 in bonds remain outstanding. The principal and interest remaining to be paid on the bonds at December 31, 2021 is \$2,340,000. In January of 2021, the 2012 Capital Improvement Bonds were advanced refunded with the General Fund Refunding Note (Capital Improvement Projects), Series 2021. As of December 31, 2021, \$26,355,000 in par remain outstanding. The principal and interest remaining to be paid on the notes at December 31, 2021 is \$28,397,302. The principal and interest paid for the current year and total General Fund pledged revenues were \$3,072,326 and \$3,072,326, respectively.

NOTE Y – SECURITY FOR CERTIFICATES OF PARTICIPATION

The Boulder Municipal Property Authority (BMPA) Taxable Certificates of Participation, Series 2015 evidence a proportionate interest in the base rentals and other revenues under a Lease Purchase Agreement dated November 1st, 2015 (the “lease”), entered between BMPA, as lessor (the “Corporation”), and the City of Boulder, Colorado as lessee between the Corporation. In accordance with State law, the City has determined to sell the Leased property to the Corporation and lease the Leased Property back from the Corporation pursuant to the terms of the lease. The Leased Property consists of the following City facilities:

Public Safety Building - The Public Safety Building is a 71,000 square foot building constructed in 1968 and renovated in 1989 located on a 4.09 acre site with 228 surface parking spaces. It serves as the primary facility for the Boulder Police Department as well as the administrative offices of the Fire Department. The property is presently zoned for public use and is located within a 500 year flood plain. The internal City appraised value for the Public Safety Building is \$18,177,000.

East Boulder Community Center – The East Boulder Community Center is a 52,960 square-foot building constructed in 1991 located on an approximately 7.25 acre site. The East Boulder Community Center is a recreation and senior citizen center containing an indoor leisure pool, lap pool, locker rooms, fitness center and a gymnasium. In addition, the land upon which the East Boulder Community Center is located is adjacent to the existing East Boulder Community Park. Neither the East Boulder Community Park nor its facilities are part of the leased property. The property is presently zoned for public use and is located within a 100 year flood plain. The internal City appraised value for the East Boulder Community Center is \$17,746,000.

Park Central Building – The Park Central Building is a 20,910 square-foot building constructed in 1973 located on an approximately 0.35 acre site. The Park Central Building consists primarily of City offices, including the City’s building permit office. The building presently holds 93 employees and the property includes 17 covered parking spaces. In addition, 1,307 square feet of the building is presently leased to

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE Y – SECURITY FOR CERTIFICATES OF PARTICIPATION (CONTINUED)

the operator of a small restaurant. The property is presently zoned for public use and is located within a 100 year flood plain. The internal City appraised value for the Park Central Building is \$5,030,000. After November 1, 2019, the Park Central Building was released as being a Leased Property.

In the event of termination of the City's obligations under the Lease upon the occurrence of an Event of Nonappropriation or an Event of Default, the City is required to vacate and surrender the leased property. Whenever any Event of Default has happened and is continuing, the Trustee, acting for the Corporation, may take one or any combination of remedial steps as outlined in the 2015 Certificate of Participation Official Statement dated October 27, 2015.

The Boulder Municipal Property Authority (BMPA) Taxable Certificates of Participation, Series 2019 evidence a proportionate interest in the base rentals and other revenues under a Lease Purchase Agreement dated September 1st, 2019 (the "lease"), entered between BMPA, as lessor (the "Corporation"), and the City of Boulder, Colorado as lessee between the Corporation. In accordance with State law, the City has determined to sell the Leased property to the Corporation and lease the Leased Property back from the Corporation pursuant to the terms of the lease. The Leased Property consists of the following City facilities:

Municipal Building – The Municipal Building is a 23,657 square-foot building constructed in 1951 located on an approximately 2.01-acre site. The property is located one-half block from the central downtown business district and two blocks from the Pearl Street Mall shopping district. The Municipal Building is a two-story building which includes offices, reception areas, conference rooms kitchen areas and restrooms. The center portion of the building is the Council Chambers where the Boulder City Council meetings are held. The property is presently zoned for public use and is located within a 100-year flood plain. The internal City appraised value for the Municipal Building is \$12,840,000.

Atrium Building – The Atrium Building is a 11,384 square-foot office building constructed in 1969 located on a 22,500 square foot site. The property is located one-half block from the central downtown business district and two blocks from the Pearl Street Mall shopping district. The Atrium Building is also located a half block from the Municipal Building. The Atrium Building is a two-story building that contains office space, reception areas, conference rooms and a modest kitchen and restrooms. The property is presently zoned for public use and is located within a 100-year flood plain. The internal City appraised value for the Atrium Building is \$5,465,000.

In the event of termination of the City's obligations under the Lease upon the occurrence of an Event of Non-appropriation or an Event of Default, the City is required to vacate and surrender the leased property. Whenever any Event of Default has happened and is continuing, the Trustee, acting for the Corporation, may take one or any combination of remedial steps as outlined in the 2019 Certificate of Participation Official Statement dated September 10, 2019.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE Z – DEFERRED INFLOWS AND OUTFLOWS OF RESOURCES

Deferred inflows and outflows of resources are discussed in Note A 12. As of December 31, 2021, deferred inflows and outflows of resources consisted of the following (in 000's):

Government Wide	Governmental Activities	Business-type Activities	Total
Deferred Outflows - Related to PERA	\$ 23,337	\$ 4,570	\$ 27,907
Deferred Outflows - Related to PERA OPEB	986	178	1,164
Deferred Outflows - Related to City OPEB	2,096	329	2,425
Deferred Outflows - Other	24	408	432
Total Deferred Outflows	<u>\$ 26,443</u>	<u>\$ 5,485</u>	<u>\$ 31,928</u>
	Governmental Activities	Business-type Activities	Total
Deferred Inflows - Related to PERA	\$ 58,059	\$ 11,400	\$ 69,459
Deferred Inflows - Old Hire Police Pension	883	-	883
Deferred Inflows - Old Hire Fire Pension	817	-	817
Deferred Inflows - Property Taxes	51,188	1,838	53,026
Deferred Inflows - Related to PERA OPEB	3,376	641	4,017
Deferred Inflows - Related to City OPEB	1,634	255	1,889
Total Deferred Inflows	<u>\$ 115,957</u>	<u>\$ 14,134</u>	<u>\$ 130,091</u>
	General Fund	Open Space Fund	Trans- portation Fund
Deferred Inflows - Property Taxes	\$ 45,560	\$ -	\$ -
Deferred Inflows - Grants and Other	368	3,225	3,044
Total Deferred Inflows	<u>\$ 45,928</u>	<u>\$ 3,225</u>	<u>\$ 3,044</u>
	Other Governmental Funds	Total	
Deferred Inflows - Property Taxes	\$ 5,628	\$ 51,188	
Deferred Inflows - Grants and Other	1,667	8,304	
Total Deferred Inflows	<u>\$ 7,295</u>	<u>\$ 59,492</u>	

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE Z – DEFERRED INFLOWS AND OUTFLOWS OF RESOURCES (CONTINUED)

Proprietary Funds	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund	
Deferred Outflows - Related to PERA Pension	\$ 2,066	\$ 1,360	\$ 662	
Deferred Outflows - Related to PERA OPEB	80	49	29	
Deferred Outflows - Related to City OPEB	140	98	49	
Deferred Outflows - Other	-	396	-	
Total Deferred Outflows	<u>\$ 2,286</u>	<u>\$ 1,903</u>	<u>\$ 740</u>	
Deferred Inflows - Property Taxes	\$ -	\$ -	\$ -	
Deferred Inflows - Related to PERA	5,193	3,154	1,946	
Deferred Inflows - Related to PERA OPEB	290	179	108	
Deferred Inflows - Related to City OPEB	103	73	41	
Total Deferred Inflows	<u>\$ 5,586</u>	<u>\$ 3,406</u>	<u>\$ 2,095</u>	
Proprietary Funds	Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Total Internal Service Funds
Deferred Outflows - Related to PERA Pension	\$ 394	\$ 88	\$ 482	\$ 556
Deferred Outflows - Related to PERA OPEB	17	3	20	23
Deferred Outflows - Related to City OPEB	36	6	42	40
Deferred Outflows - Other	12	-	12	23
Total Deferred Outflows	<u>\$ 459</u>	<u>\$ 97</u>	<u>\$ 556</u>	<u>\$ 642</u>
Deferred Inflows - Property Taxes	\$ 1,385	\$ 453	\$ 1,838	\$ -
Deferred Inflows - Related to PERA	1,001	106	1,107	1,843
Deferred Inflows - Related to PERA OPEB	57	7	64	109
Deferred Inflows - Related to City OPEB	32	6	38	28
Total Deferred Inflows	<u>\$ 2,475</u>	<u>\$ 572</u>	<u>\$ 3,047</u>	<u>\$ 1,980</u>

NOTE AA – TAX ABATEMENTS

The City of Boulder has a Flexible Rebate Program which encourages the growth and retention of primary employers in Boulder by offering rebates for primary employers who are looking to grow and expand within Boulder, provided they meet eligibility requirements and sustainability guidelines. Primary employers are defined as companies that receive at least 50% of their revenue from outside Boulder County.

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

December 31, 2021

NOTE AA – TAX ABATEMENTS (CONTINUED)

Rebates can be approved for building permit taxes and fees paid to the city, as well as city sales and use taxes paid on fixed asset purchases. Companies only receive the rebate after submitting receipts for taxes and fees.

For the fiscal year ended December 31, 2021, the City abated taxes and fees totaling \$84,059 under this program, including the following rebate payments that each exceeded 10 percent of the total amount abated:

- A \$75,000 rebate payment for a manufacturing company that that invests in the community, is expanding their facilities and increasing employment.

NOTE AB – SUBSEQUENT EVENTS

On June 1, 2022, the City issued City of Boulder, CO Water and Sewer Revenue Bonds, Series 2022 in the principal amount of \$44,140,000. Proceeds of the 2022 Revenue Bonds will be used to construct, acquire, improve and equip certain capital improvements to the City's Water System and Sewer System, including but not limited to, the 63rd Street Water Treatment Plant, Albion Lake Dam and pipelines to the Boulder Water Resource Recovery Facility.

NOTE AC – CHANGE IN ACCOUNTING PRINCIPLES

For the year ended December 31, 2021, the City adopted GASB Statement No. 89, *Accounting for Interest Cost Incurred before the End of a Construction Period*. The objectives of this Statement are (1) to enhance the relevance and comparability of information about capital assets and the cost of borrowing for a reporting period and (2) to simplify accounting for interest cost incurred before the end of a construction period. This Statement establishes accounting requirements for interest cost incurred before the end of a construction period. Such interest cost includes all interest that previously was accounted for in accordance with the requirements of paragraphs 5–22 of Statement No. 62, *Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements*, which are superseded by this Statement. This Statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or enterprise fund. The City has expensed interest as it has been incurred for all construction projects.

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REQUIRED SUPPLEMENTARY INFORMATION

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Changes in Net Pension Liability
and Related Ratios

Old Fire Police Pension Fund

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2021	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability								
Interest on total pension liability	\$ 916,640	\$ 908,652	\$ 930,434	\$ 971,375	\$ 998,989	\$ 1,042,311	\$ 1,068,529	\$ 1,097,208
Effect of economic demographic (gains) or losses	39,320	213,898	94,564	(189,498)	(57,785)	1,820,754	9,185	7,180
Effect of assumption changes or inputs	-	325,248	-	-	-	-	-	-
Benefit payments	(1,396,000)	(1,256,000)	(1,461,000)	(1,364,000)	(1,368,000)	(1,411,000)	(1,443,000)	(1,529,000)
Net change in total pension liability	(440,040)	191,798	(436,002)	(582,123)	(426,796)	1,452,065	(365,286)	(424,612)
Total pension liability, beginning	14,789,161	14,597,365	15,033,367	15,615,490	16,042,286	14,590,221	14,955,507	15,380,119
Total pension liability, ending (a)	\$ 14,349,123	\$ 14,789,163	\$ 14,597,365	\$ 15,033,367	\$ 15,615,490	\$ 16,042,286	\$ 14,590,221	\$ 14,955,507
Fiduciary Net Position								
Employer contributions	\$ 321,000	\$ 321,000	\$ 411,000	\$ 377,000	\$ 314,000	\$ 314,000	\$ 304,000	\$ 305,000
Beginning of year adjustment	(7,000)	-	-	-	-	-	-	1,000
Investment income net of investment expense	1,459,000	850,000	2,024,000	(432,000)	1,588,000	937,000	(228,000)	635,000
Benefit payments	(1,396,000)	(1,256,000)	(1,461,000)	(1,364,000)	(1,368,000)	(1,411,000)	(1,443,000)	(1,529,000)
Administrative expenses	-	-	(4,000)	(8,000)	-	(10,000)	(13,000)	(14,000)
Net change in plan fiduciary net position	377,000	(85,000)	970,000	(1,427,000)	534,000	(170,000)	(1,380,000)	(602,000)
Fiduciary net position, beginning	12,272,000	12,357,000	11,387,000	12,814,000	12,280,000	12,450,000	13,830,000	14,432,000
Fiduciary net position, ending (b)	\$ 12,649,000	\$ 12,272,000	\$ 12,357,000	\$ 11,387,000	\$ 12,814,000	\$ 12,280,000	\$ 12,450,000	\$ 13,830,000
Net pension liability, ending (a) - (b)	\$ 1,700,123	\$ 2,517,163	\$ 2,240,365	\$ 3,646,367	\$ 2,801,490	\$ 3,762,286	\$ 2,140,221	\$ 1,125,507
Fiduciary net position as a % of total pension liability	88.15%	82.98%	84.65%	75.74%	82.06%	76.55%	85.33%	92.47%
Covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net pension liability as a % of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Note to Schedule

No active members are covered by this plan; therefore, payroll information is not applicable

* Additional years' information will be displayed as it becomes available

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Employer Contributions

Old Hire Police Pension Fund

Fiscal Year Ending December 31	Actuarially Determined Contribution	Actual Employer Contribution	Contribution Deficiency (Excess)	Covered Payroll	Contribution as a % of Covered Payroll
2012	\$ 219,204	222,000	(2,796)	130,326	170.34%
2013	237,055	222,000	15,055	35,965	617.27%
2014	181,916	305,000	(123,084)	N/A	N/A
2015	181,916	304,000	(122,084)	N/A	N/A
2016	314,204	314,000	204	N/A	N/A
2017	314,204	314,000	204	N/A	N/A
2018	282,778	377,000	(94,222)	N/A	N/A
2019	282,778	411,000	(128,222)	N/A	N/A
2020	320,591	321,000	(409)	N/A	N/A
2021	320,591	321,000	(409)	N/A	N/A

Note to Schedule:

Full actuarial valuations are performed biannually on even years.

See Notes to Required Supplementary Information for other significant methods and assumptions.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Investment Returns

Old Hire Police Pension Fund

Last Ten Fiscal Years*

<u>Fiscal Year Ending December 31,</u>	<u>Net Annual Money-Weighted Rate of Return</u>
2014	4.59%
2015	-1.72%
2016	7.86%
2017	13.52%
2018	-3.50%
2019	18.54%
2020	7.25%
2021	12.29%

Note to Schedule:

* Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Changes in Net Pension Liability
and Related Ratios

Old Hire Fire Pension Fund

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2021	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability								
Interest on total pension liability	\$ 584,092	\$ 592,912	\$ 624,178	\$ 648,210	\$ 673,854	\$ 761,693	\$ 789,618	\$ 831,605
Effect of economic demographic gains/ or losses	(37,047)	(40,809)	(41,328)	(43,251)	(37,670)	\$10,898	(69,656)	(48,180)
Effect of assumptions changes or input	-	190,347	-	-	-	-	-	-
Benefit payments	(979,000)	(1,138,000)	(992,000)	(1,017,000)	(1,044,000)	(1,076,000)	(1,108,000)	(1,542,000)
Net change in total pension liability	(431,955)	(213,952)	(409,150)	(382,041)	(407,816)	196,591	(388,038)	(758,575)
Total pension liability, beginning	9,467,836	9,681,768	10,090,918	10,472,959	10,880,775	10,684,184	11,072,222	11,831,797
Total pension liability, ending (a)	<u>\$ 9,035,881</u>	<u>\$ 9,467,836</u>	<u>\$ 9,681,768</u>	<u>\$ 10,090,918</u>	<u>\$ 10,472,959</u>	<u>\$ 10,880,775</u>	<u>\$ 10,684,184</u>	<u>\$ 11,073,222</u>
Fiduciary Net Position								
Employer contribution	\$ 94,000	\$ 94,000	\$ 210,000	\$ 222,000	\$ 173,000	\$ 173,000	\$ 64,000	\$ 64,000
Beginning of year adjustment	(12,000)	-	-	-	-	-	-	1,000
Investment income net of investment expense	994,000	1,109,000	1,449,000	(459,000)	1,191,000	562,000	(183,000)	334,000
Benefit payments	(979,000)	(1,138,000)	(992,000)	(1,017,000)	(1,044,000)	(1,076,000)	(1,108,000)	(1,542,000)
Administrative expense	-	(1,000)	(4,000)	(4,000)	-	(10,000)	(15,000)	(11,000)
Net change in plan fiduciary net position	97,000	64,000	663,000	(1,258,000)	320,000	(351,000)	(1,242,000)	(1,154,000)
Fiduciary net position, beginning	9,260,000	9,196,000	8,533,000	9,791,000	9,471,000	9,822,000	11,064,000	12,218,000
Fiduciary net position, ending (b)	<u>\$ 9,357,000</u>	<u>\$ 9,260,000</u>	<u>\$ 9,196,000</u>	<u>\$ 8,533,000</u>	<u>\$ 9,791,000</u>	<u>\$ 9,471,000</u>	<u>\$ 9,822,000</u>	<u>\$ 11,064,000</u>
Net pension liability, ending (a) - (b)	<u>\$ (321,119)</u>	<u>\$ 207,836</u>	<u>\$ 485,768</u>	<u>\$ 1,557,918</u>	<u>\$ 681,959</u>	<u>\$ 1,409,775</u>	<u>\$ 862,184</u>	<u>\$ 9,222</u>
Fiduciary net position as a % of total pension liability	103.55% _a	97.80% _a	94.98% _a	84.56% _a	93.49% _a	87.04% _a	91.93% _a	99.92% _a
Covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net pension liability as a % of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Note to Schedule

No active members are covered by this plan; therefore, payroll information is not applicable.
Information prior to 2014 was not available.

- * Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Employer Contributions

Old Hire Fire Pension Fund

Fiscal Year Ending December 31	Actuarially Determined Contribution	Actual Employer Contribution	Contribution Deficiency (Excess)	Covered Payroll	Contribution as a % of Covered Payroll
2012	\$ 156,888	162,000	(5,112)	N/A	N/A
2013	97,999	159,000	(61,001)	N/A	N/A
2014	-	64,000	(64,000)	N/A	N/A
2015	-	64,000	(64,000)	N/A	N/A
2016	172,790	173,000	(210)	N/A	N/A
2017	172,790	173,000	(210)	N/A	N/A
2018	87,766	222,000	(134,234)	N/A	N/A
2019	87,766	210,000	(122,234)	N/A	N/A
2020	93,692	94,000	(308)	N/A	N/A
2021	93,692	94,000	(308)	N/A	N/A

Note to Schedule:

Full actuarial valuations are performed biannually on even years.

See Notes to Required Supplementary Information for other significant methods and assumptions.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Investment Returns

Old Hire Fire Pension Fund

Last Ten Fiscal Years*

<u>Fiscal Year Ending December 31,</u>	<u>Net Annual Money-Weighted Rate of Return</u>
2014	2.90%
2015	-1.74%
2016	6.01%
2017	13.18%
2018	-4.88%
2019	17.73%
2020	12.74%
2021	11.12%

Note to Schedule:

* Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Notes to Required Supplementary Information

Actuarial Assumptions

	"Old Hire" Police Defined Benefit Plan (See Note U)	"Old Hire" Fire Defined Benefit Plan (See Note U)	City of Boulder Retiree Health Care Benefit Plan (See Note W)
Actuarial valuation date	1/1/2020	1/1/2020	1/1/2021
Actuarial cost method	Entry age normal	Entry age normal	Entry age normal
Amortization method	Open - Based on Expected Lifetime	Level dollar	Level percent of pay
Remaining amortization period	10 years	13 years	30 years
Asset valuation method	Market value of assets	Market value of assets	NA - nonfunded plan
Investment rate of return	6.5%	6.5%	NA - nonfunded plan
Inflation rate	2.50%	2.50%	2.5%
Salary increases	Not applicable	Not applicable	3.0%
Administrative Expense	NA	NA	Claims expenses are loaded into claims costs for all health benefits. Age and service eligibility requirements for PERA (Management and BMEA employees) and city provided pensions (Fire and Police)
Retirement age	NA - no actives	NA - no actives	
Retiree mortality	MP-2019 Improvement Scale	MP-2019 Improvement Scale	Healthy lives use the Pub-2010 Healthy Annuitant Mortality Tables. Disabled Lives use the Pub-2010 Disabled Mortality Table. 25% of future eligible retired participants are assumed to participate upon retirement if they retire before age 65. After 65, they are assumed to decline coverage. 55% of future retirees who elect coverage are assumed to elect spousal coverage upon retirement
Election of retirement coverage	NA	NA	
Probability of spouse coverage	NA	NA	
Minimum death benefit	\$515 per payperiod	\$515 per payperiod	NA
First class firefighter salary	\$3,457 per payperiod	\$3,457 per pay period	NA
Marriage rates	Actual for retirees	Actual for retirees	NA
Health care cost trend	NA	NA	Using the Getzen Model, the trend rate starts at 6.8% for 2021 and trends upward to a rate of 3.9% in 2073.
Form of payment	Normal payment method	Normal payment method	NA

Changes in Assumptions: There were no changes to actuarial assumptions of methods in the valuation reports referenced above during the year or as a result of implementation of Governmental Accounting Standards Board Statement 67 except as disclosed below. This includes changes of benefit terms, changes in the size or composition of the population covered by the benefit terms or the use of different assumptions. The few significant changes include:

First class firefighter salary	Increased from \$3,348 to \$3,457 per pay period	Increased from \$3,348 to \$3,457 per pay period	Updated to reflect highest negotiated rate. Updated to better reflect anticipated plan experience
Investment earnings assumption	NA	NA	Updated tables to Healthy Annuitant and Disabled Annuitant tables to better reflect anticipated plan experience.
Retiree mortality tables	Updated to MP-2019 Improvement Scale	Updated to MP-2019 Improvement Scale	

CITY OF BOULDER, COLORADO
Required Supplementary Information
Schedule of the City's Proportionate Share of the
Colorado Public Employees' Retirement Association Net Pension Liability
Fiscal Year Ending December 31,

Fiscal Year	Last Ten Fiscal Years ^a							
	2021	2020	2019	2018	2017	2016	2015	2014
Plan Measurement Date	December 31, 2020	December 31, 2019	December 31, 2018	December 31, 2017	December 31, 2016	December 31, 2015	December 31, 2014	December 31, 2013
City's proportion (percentage) of the collective net pension liability	11.2103759010%	12.3056295380%	12.4807517230%	12.8934904132%	12.3021746194%	12.3421455967%	11.9715197388%	12.9276751932%
City's proportionate share of the collective net pension liability	\$ 58,426,296	\$ 90,603,730	\$ 156,909,236	\$ 143,559,980	\$ 166,121,308	\$ 155,958,731	\$ 167,299,000	\$ 98,155,000
Covered payroll	\$ 81,026,290	\$ 84,664,026	\$ 84,736,654	\$ 78,333,659	\$ 74,487,487	\$ 68,099,369	\$ 65,598,580	\$ 64,077,750
City's proportionate share of the net pension liability as a percentage of its covered payroll	72.10%	106.31%	184.97%	183.27%	223.02%	199.65%	163.57%	153.08%
Plan fiduciary net position as a percentage of the total pension liability	90.88%	86.30%	75.96%	76.27%	73.65%	76.90%	80.70%	77.70%

^a The amounts presented for each fiscal year were determined as of December 31 based on the measurement date of the Plan. Information earlier than 2014 was not available.

CITY OF BOULDER, COLORADO
Required Supplementary Information
Schedule of the Contributions and Rates
Colorado Public Employees' Retirement Association Net Pension Liability
Fiscal Year Ending December 31,

	Last Ten Fiscal Years*						
	2021	2020	2019	2018	2017	2016	2015
Statutorily required contribution	\$ 10,692,708	\$ 10,274,134	\$ 10,735,399	\$ 10,364,132	\$ 9,932,708	\$ 9,445,013	\$ 8,635,000
Contributions in relation to the statutorily required contribution	<u>10,692,708</u>	<u>10,274,134</u>	<u>10,735,399</u>	<u>10,364,132</u>	<u>9,932,708</u>	<u>9,445,013</u>	<u>8,635,000</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered payroll	\$ 81,014,181	\$ 81,026,290	\$ 84,664,026	\$ 81,736,054	\$ 78,133,659	\$ 74,487,487	\$ 68,099,169
Contribution as a percentage of covered payroll	13.20%	12.68%	12.68%	12.68%	12.68%	12.68%	12.68%

* The amounts presented for each fiscal year were determined as of December 31. Information earlier than 2014 was not available.

CITY OF BOLDT, COLORADO
Required Supplementary Information
Schedule of the City's Proportionate Share of the
Colorado Public Employees' Retirement Association Health Care Trust Fund Liability
Fiscal Year Ending December 31,

Fiscal Year	Last Ten Fiscal Years*				
	2021	2020	2019	2018	2017
Plan Measurement Date	December 31, 2020	December 31, 2019	December 31, 2018	December 31, 2017	December 31, 2016
City's proportion (percentage) of the collective net Health Care Trust Fund liability	0.8537588559%	0.9405197119%	0.9659273462%	0.9992691192%	0.9417482789%
City's proportionate share of the collective net Health Care Trust Fund liability	\$ 8,112,630	\$ 10,571,423	\$ 13,141,847	\$ 12,986,501	\$ 12,210,687
Covered payroll	\$ 81,026,290	\$ 84,664,026	\$ 81,736,054	\$ 78,333,659	\$ 74,487,467
City's proportionate share of the net Health Care Trust Fund liability as a percentage of its covered payroll	10.01%	12.49%	16.08%	16.58%	16.39%
Plan fiduciary net position as a percentage of the total Health Care Trust Fund liability	32.78%	24.49%	17.03%	17.53%	16.72%

* The amounts presented for each fiscal year were determined as of December 31 based on the measurement date of the Plan. Information earlier than 2017 was not available.

CITY OF BOULDER, COLORADO
Required Supplementary Information
Schedule of the Contributions and Ratios
Colorado Public Employees' Retirement Association Health Care Trust Fund: Liability
Fiscal Year Ending December 31,
Last Ten Fiscal Years*

	2021	2020	2019	2018	2017
Statutorily required contribution:	\$ 827,509	\$ 826,468	\$ 863,573	\$ 833,708	\$ 799,003
Contributions in relation to the statutorily required contribution	827,509	826,468	863,573	833,708	799,003
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered payroll	\$ 81,014,181	\$ 81,026,290	\$ 84,664,026	\$ 81,736,054	\$ 78,333,659
Contribution as a percentage of covered payroll	1.02%	1.02%	1.02%	1.02%	1.02%

* The amounts presented for each fiscal year were determined as of December 31. Information earlier than 2017 was not available.

CITY OF BOULDER, COLORADO

Required Supplementary InformationSchedule of Changes in Total OPEB Liability
and Related Ratios

OPEB Liability - City of Boulder Retiree Health Care Benefit Plan

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2021	2020	2019	2018
Total OPEB Liability - City				
Service cost	\$ 406,963	\$ 303,959	\$ 491,680	\$ 409,308
Interest on total OPEB liability	148,364	186,549	246,205	244,903
Effect of plan changes	-	-	-	-
Effect of economic/demographic gains of losses	729,139	510,140	(627,461)	-
Effect of assumption changes or inputs	1,441,977	-	(2,272,228)	208,579
Benefit payments	(250,874)	(226,357)	(288,623)	(245,534)
Net change in total OPEB Liability - City	2,475,569	774,291	(2,450,427)	617,256
Total OPEB liability - City, beginning	5,132,370	4,358,079	6,808,506	6,191,250
Total OPEB liability - City, ending	<u>\$ 7,607,939</u>	<u>\$ 5,132,370</u>	<u>\$ 4,358,079</u>	<u>\$ 6,808,506</u>
Covered payroll	N/A	N/A	N/A	N/A
Total OPEB liability as a % of covered payroll	N/A	N/A	N/A	N/A

* Information before 2017 was not available.

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GENERAL FUND DETAILS

In 2011, the City of Boulder implemented GASB Statement No. 54 which refined what qualifies for inclusion as a Special Revenue Fund. One former Special Revenue Fund did not meet the new requirements and has been combined with other general governmental operations into the General Fund. As a result, the General Fund is comprised of the following three separate sub-funds:

Core General Fund – to account for all financial resources of the general government except those accounted for in another fund.

Governmental Capital Fund – to account for citywide capital projects funded from General Fund resources.

Community Housing Assistance Program (CHAP) Fund - to account for property tax, a housing excise tax and fees to be used to increase the supply of affordable housing in Boulder.

CITY OF BOULDER, COLORADO

Combining Balance Sheet

General Fund

December 31, 2021

(Amounts in 000's)

<u>Assets</u>	<u>Core General Fund</u>	<u>Governmental Capital Fund</u>	<u>Community Hsg Asst Prgrm Fund</u>	<u>Total General Fund</u>
Equity in pooled cash and cash equivalents	\$ 11,165	\$ 14,586	\$ 1,167	\$ 26,918
Investments	49,579	25,440	2,525	77,544
Receivables:				
General property taxes	42,382	-	3,391	45,773
Sales and use taxes	9,580	-	-	9,580
Accounts	1,080	-	-	1,080
Accrued interest	266	-	25	291
Intergovernmental	137	-	-	137
Total receivables	<u>53,445</u>	<u>-</u>	<u>3,416</u>	<u>56,861</u>
Advances to other funds	68	-	-	68
Inventory of materials and supplies	35	-	-	35
Restricted assets:				
Investments for special purposes	26	-	-	26
Total restricted assets	<u>26</u>	<u>-</u>	<u>-</u>	<u>26</u>
Other assets	72	-	-	72
Total assets	<u>114,390</u>	<u>40,026</u>	<u>7,108</u>	<u>161,524</u>
Total assets	\$ <u>114,390</u>	\$ <u>40,026</u>	\$ <u>7,108</u>	\$ <u>161,524</u>

<u>Liabilities, Deferred Inflows of Resources and Fund Balance</u>	<u>Core General Fund</u>	<u>Governmental Capital Fund</u>	<u>Community Hsg Asst Prgm Fund</u>	<u>Total General Fund</u>
Liabilities:				
Accounts and accrued liabilities:				
Vouchers and accounts payable	\$ 4,910	\$ 822	\$ -	\$ 5,732
Contracts and retainage payable	50	687	-	737
Accrued salaries, wages and amounts withheld from employees	4,448	12	19	4,479
Advances from other funds	164	-	-	164
Other liabilities	460	-	-	460
Unearned revenue	9,281	-	-	9,281
Total liabilities	<u>19,313</u>	<u>1,521</u>	<u>19</u>	<u>20,853</u>
Deferred inflows of resources:				
Property tax	42,170	-	3,391	45,561
Grants and other deferrals	367	-	-	367
Deferred inflows of resources	<u>42,537</u>	<u>-</u>	<u>3,391</u>	<u>45,928</u>
Fund balances:				
Nonspendable:				
Prepaid	72	-	-	72
Inventory	35	-	-	35
Restricted:				
Legally restricted	1,661	-	-	1,661
Capital projects	486	-	-	486
Donor restrictions	55	-	-	55
Assigned:				
Special purposes	3,311	-	3,698	7,009
Contractual obligations	3,840	-	-	3,840
Unassigned	43,080	38,505	-	81,585
Total fund balances	<u>52,540</u>	<u>38,505</u>	<u>3,698</u>	<u>94,743</u>
Total liabilities, deferred inflows of resources and fund balances	\$ <u>114,390</u>	\$ <u>40,026</u>	\$ <u>7,108</u>	\$ <u>161,524</u>

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CITY OF BOULDER, COLORADO

Combining Schedule of Revenues, Expenditures,
and Changes in Fund Balances

General Fund

Year ended December 31, 2021
(Amounts in 000's)

	Core General Fund	Government Capital Fund	Community Hsg Asst Prgm Fund	Total General Fund
Revenues:				
Taxes:				
Sales and use taxes	\$ 73,447	\$ -	\$ -	\$ 73,447
General property taxes	39,594	-	3,182	42,776
Accommodations taxes	7,796	-	-	7,796
Occupation taxes	10,052	-	-	10,052
Specific ownership & tobacco taxes	2,680	-	-	2,680
Excise taxes	1,346	-	2	1,348
Charges for services	3,657	-	8	3,665
Sale of goods	44	-	-	44
Licenses, permits and fines	5,276	-	-	5,276
Intergovernmental	6,474	-	-	6,474
Leases, rents and royalties	101	3	-	104
Interest and investment earnings	(311)	5	(3)	(309)
Other	2,209	-	-	2,209
Total revenues	<u>152,365</u>	<u>8</u>	<u>3,189</u>	<u>155,562</u>
Expenditures:				
Current:				
General Government	21,430	224	-	21,654
Administrative Services	7,694	8,411	-	16,105
Public Safety	60,663	1,282	-	61,945
Public Works	6,713	2,839	-	9,552
Planning & Development Services	2,506	-	-	2,506
Culture and Recreation	11,945	90	-	12,035
Open Space and Mountain Parks	4	-	-	4
Housing and Human Services	8,178	-	1,845	10,023
Debt service payments:				
Principal	3,995	-	-	3,995
Interest	715	-	-	715
Total expenditures	<u>123,843</u>	<u>12,846</u>	<u>1,845</u>	<u>138,534</u>
Excess (deficiency) of revenues over (under) expenditures	<u>28,522</u>	<u>(12,838)</u>	<u>1,344</u>	<u>17,028</u>
Other financing sources (uses):				
Proceeds from sale of capital assets	-	-	495	495
Long-Term Notes Issued	26,795	-	-	26,795
Transfers in	5,104	13,582	-	18,686
Transfers out	(19,078)	-	-	(19,078)
Payment to refunding bond escrow agent	(26,713)	-	-	(26,713)
Total other financing sources (uses)	<u>(13,892)</u>	<u>13,582</u>	<u>495</u>	<u>185</u>
Net change in fund balances	14,630	744	1,839	17,213
Fund balances, beginning of year	<u>37,909</u>	<u>37,761</u>	<u>1,859</u>	<u>77,529</u>
Fund balances, end of year	<u>\$ 52,539</u>	<u>\$ 38,505</u>	<u>\$ 3,698</u>	<u>\$ 94,742</u>

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Core General Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Sales and use taxes	\$ 60,033	\$ 60,033	\$ 73,447	\$ 13,414
General property taxes	39,643	39,643	39,594	(49)
Accommodations taxes	6,770	6,770	7,796	1,026
Occupation taxes	10,189	10,189	10,052	(137)
Specific ownership & tobacco taxes	2,367	2,367	2,680	313
Excise taxes	913	913	1,346	433
Charges for services	5,151	5,114	3,657	(1,457)
Sale of goods	76	76	44	(32)
Licenses, permits and fines	6,076	6,076	5,276	(800)
Intergovernmental	1,651	2,480	6,474	3,994
Leases, rents and royalties	190	190	101	(89)
Interest and investment earnings	900	900	443	(457)
Other	1,589	1,731	2,649	918
Total revenues	<u>135,548</u>	<u>136,482</u>	<u>153,559</u>	<u>17,077</u>
Expenditures:				
Current:				
General Government	14,205	25,962	17,498	8,464
Administrative Services	15,580	16,854	14,688	2,166
Public Safety	57,860	61,773	59,450	2,323
Public Works	5,388	7,344	7,700	(356)
Planning & Development Services	2,442	3,584	2,918	666
Culture and Recreation	11,774	12,905	12,149	756
Open Space and Mountain Parks	-	-	-	-
Housing and Human Services	8,344	10,050	8,307	1,743
Debt service payments:				
Principal	3,470	3,470	3,995	(525)
Interest	1,612	1,612	701	911
Total expenditures	<u>120,675</u>	<u>143,554</u>	<u>127,406</u>	<u>16,148</u>
Excess (deficiency) of revenues over (under) expenditures	<u>14,873</u>	<u>(7,072)</u>	<u>26,153</u>	<u>33,225</u>

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Other financing sources (uses):				
Long-Term Notes Issued	-	-	26,795	26,795
Transfers in	354	5,104	5,104	-
Transfers out	(14,836)	(16,120)	(19,317)	(3,197)
Payment to refunding bond escrow agent	-	-	(26,713)	(26,713)
Total other financing sources (uses)	<u>(14,482)</u>	<u>(11,016)</u>	<u>(14,131)</u>	<u>(3,115)</u>
Net change in fund balance	\$ <u>391</u>	\$ <u>(18,088)</u>	12,022	\$ <u>30,110</u>
Encumbrances, end of year			4,325	
Fund balance, beginning of year, basis of budgeting			<u>40,709</u>	
Fund balance, end of year, basis of budgeting			57,056	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			174	
Accrued salaries, wages and amounts withheld from employees			(4,531)	
Deferred inflows			(4)	
Advances from other funds			<u>(156)</u>	
Fund balance, end of year, GAAP basis			\$ <u>52,539</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Governmental Capital Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Leases, rents and royalties	\$ -	\$ -	\$ 3	\$ 3
Interest and investment earnings	-	-	5	5
Total revenues	-	-	8	8
Expenditures:				
Current:				
General Government	1,041	1,341	238	1,103
Administrative Services	7,172	25,419	16,445	8,974
Public Safety	1,010	1,126	1,360	(234)
Public Works	392	11,991	3,392	8,599
Culture and Recreation	100	1,897	102	1,795
Debt service payments:				
Principal	-	-	-	-
Interest	-	-	-	-
Total expenditures	9,715	41,774	21,537	20,237
Excess (deficiency) of revenues over (under) expenditures	(9,715)	(41,774)	(21,529)	20,245
Other financing sources:				
Transfers in	10,866	10,986	13,582	2,596
Total other financing sources (uses)	10,866	10,986	13,582	2,596
Net change in fund balance	\$ 1,151	\$ (30,788)	(7,947)	\$ 22,841
Encumbrances, end of year			8,702	
Fund balance, beginning of year, basis of budgeting			37,761	
Fund balance, end of year, basis of budgeting			38,516	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			1	
Accrued salaries, wages and amounts withheld from employees			(12)	
Fund balance, end of year, GAAP basis			\$ 38,505	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)CHAP Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
General property taxes	\$ 3,173	\$ 3,173	\$ 3,182	\$ 9
Excise taxes	-	-	2	2
Charges for services	5	5	8	3
Interest and investment earnings	-	-	24	24
Total revenues	<u>3,178</u>	<u>3,178</u>	<u>3,216</u>	<u>38</u>
Expenditures:				
Current:				
Housing and Human Services	<u>3,059</u>	<u>4,322</u>	<u>1,840</u>	<u>2,482</u>
Total expenditures	<u>3,059</u>	<u>4,322</u>	<u>1,840</u>	<u>2,482</u>
Excess (deficiency) of revenues over (under) expenditures	<u>119</u>	<u>(1,144)</u>	<u>1,376</u>	<u>2,520</u>
Other financing sources:				
Proceeds from sale of capital asset	-	-	495	495
Total other financing sources (uses)	<u>-</u>	<u>-</u>	<u>495</u>	<u>495</u>
Net change in fund balance	\$ <u>119</u>	\$ <u>(1,144)</u>	1,871	\$ <u>3,015</u>
Encumbrances, end of year			-	
Fund balance, beginning of year, basis of budgeting			<u>1,844</u>	
Fund balance, end of year, basis of budgeting			<u>3,715</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			2	
Accrued salaries, wages and amounts withheld from employees			<u>(19)</u>	
Fund balance, end of year, GAAP basis			\$ <u>3,698</u>	

NONMAJOR SPECIAL REVENUE FUNDS

Special Revenue Funds are established to account for the proceeds of specific revenue sources (other than pension trusts, proprietary fund operations and revenues received for major capital projects) that are legally restricted for specified purposes. The City of Boulder has the following nonmajor special revenue funds:

Capital Development Fund - to account for development excise tax proceeds to be utilized for the acquisition, construction and improvement of facilities necessary to maintain the current level of public amenities such as police, fire, library, human services, municipal offices, streets, and parks and recreation.

Lottery Fund - to account for State Conservation Trust Fund proceeds to be utilized for the refurbishment, capital improvement and debt service on park acquisitions.

Planning & Development Services Fund – to account for revenues and expenditures related to development and building services functions.

Affordable Housing Fund - to account for cash in lieu financial contributions from developers and General Fund contributions committed to be used to construct, purchase and maintain permanently affordable housing units in Boulder.

.25 Cent Sales Tax Fund - to account for earmarked sales tax authorized by the voters in 1995 for parks and recreation operating and capital needs.

Library Fund - to account for the operations of the City-owned library and branches. Financing is provided by general property taxes, gifts and donations.

Recreation Activity Fund – to account for revenues and expenditures related to the provision of recreation, reservoir and golf course services/programs.

Climate Action Plan Tax Fund – to account for revenues and expenditures related to programs implemented to increase energy efficiency, increase renewable energy use, reduce emissions from motor vehicles and take other steps toward the goal of meeting the Kyoto Protocol.

Airport Fund - to account for the operations of the City-owned municipal airport. Financing is provided by grants, rents and leases which are required to be used for airport operations.

Transportation Development Fund - to account for development excise taxes to be utilized for the construction of transportation capital improvements related to new development and growth.

Transit Pass General Improvement District – to account for earmarked property tax authorized by the voters in 2000 to fund bus transit passes for participating neighborhoods.

BJAGID – TDM – to account for revenues and expenditures related to programs implemented by the Boulder Junction Authority General Improvement District to meet its Transportation Demand Management goals.

Community Development Fund - to account for funds granted by the Community Development Block Grant program administered by the Department of Housing and Urban Development.

HOME Fund - to account for funds granted by the HOME program administered by the Department of Housing and Urban Development.

Sugar-Sweetened Beverage Tax Fund – to account for earmarked taxes authorized by voters in 2016 to support health and general wellness programs and chronic disease prevention.

Eviction Prevention and Assistance Services – to account for long-term rental tax collected to provide legal and rental assistance for those facing a potential eviction.

NONMAJOR CAPITAL PROJECT FUNDS

The Capital Project Funds are established to account for financial resources to be utilized for acquisition, construction and improvement of capital assets (other than those financed by Proprietary Funds). The City of Boulder has the following nonmajor capital project funds:

Permanent Parks and Recreation Fund - to account for the construction of improvements to the City park systems and the maintenance thereof. Financing is provided by general property taxes, development excise taxes and park fees.

Fire Training Center Construction Fund – to account for the construction of a new fire training facility financed by a .15 cent sales tax approved by the voters in 2006 and funding provided by Boulder County.

Boulder Junction Improvement – to account for the development of a new “Boulder Junction” 160-acre site located around 30th and Pearl streets. It will be a regional transit-oriented, mixed-use neighborhood including a new regional bus and light rail terminal developed by Regional Transportation District (RTD). Funding is provided from a portion of the use taxes collected from development in the area.

2011 Capital Improvement – to account for the projects and improvements throughout the city approved by the voters in 2011. These improvements are funded by General Fund Bonds (Capital Improvement Projects) Series 2012. Only the budget-to-actual statement for this fund appears here. The other statements for this fund are included under the Financial Section tab.

Capital Improvement CCS Fund – to account for the construction and improvement of capital assets for the Community, Culture and Safety sales and use tax increase. The sales and use tax revenues will be used to improve community spaces, bolster cultural projects and organizations, and enhance safety.

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CITY OF BOULDER, COLORADO

Combining Balance Sheet

Nonmajor Governmental Funds

December 31, 2021

(Amounts in 000's)

<u>Assets and Deferred Outflows of Resources</u>	<u>Special Revenue</u>	<u>Capital Project</u>	<u>Total</u>
Equity in pooled cash and cash equivalents	\$ 9,564	\$ 1,175	\$ 10,739
Investments	61,736	33,459	95,195
Receivables:			
General property taxes	1,814	3,815	5,629
Sales and use taxes	1,465	1,371	2,836
Accounts	570	5	575
Rental license taxes	1,390	-	1,390
Accrued interest	268	47	315
Intergovernmental	113	95	208
Total receivables	5,620	5,333	10,953
Inventory of materials and supplies	32	-	32
Restricted assets:			
Investments for special purposes	261	-	261
Total restricted assets	261	-	261
Other assets	38	-	38
Total assets and deferred outflows of resources	\$ 77,251	\$ 39,967	\$ 117,218
<u>Liabilities, Deferred Inflows of Resources and Fund Balances</u>			
Liabilities:			
Accounts and accrued liabilities:			
Vouchers and accounts payable	\$ 2,166	\$ 266	\$ 2,432
Contracts and retainage payable	352	27	379
Accrued salaries, wages and amounts withheld from employees	971	57	1,028
Other liabilities	1,189	-	1,189
Unearned revenue	57	-	57
Total liabilities	4,803	350	5,153
Deferred inflows of resources:			
Total Deferred inflow of resources	3,383	3,912	7,295
Fund balances:			
Nonspendable:			
Prepaid/receivable	33	-	33
Inventory	32	-	32
Restricted:			
Legally restricted	15,289	-	15,289
Capital projects	-	27,769	27,769
Development fees	6,607	-	6,607
Lottery funds	3,532	-	3,532
Donor restrictions	436	-	436
Committed:			
Affordable housing	12,506	-	12,506
Transportation projects	5,116	-	5,116
Assigned:			
Special purposes	25,514	7,936	33,450
Total fund balances	69,065	35,705	104,770
Total liabilities, deferred inflows of resources and fund balances	\$ 77,251	\$ 39,967	\$ 117,218

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CITY OF BOULDER, COLORADO

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year ended December 31, 2021

(Amounts in 000's)

	Special Revenue	Capital Project	Total
Revenues:			
Taxes:			
Sales and use taxes	\$ 9,740	\$ 12,170	\$ 21,910
General property taxes	1,587	3,582	5,169
Franchise & occupation taxes	1,841	-	1,841
Specific own & tobacco taxes	19	-	19
Excise taxes	4,854	109	4,963
Charges for services	20,182	359	20,541
Sale of goods	168	-	168
License, permits and fines	6,814	-	6,814
Intergovernmental	2,518	45	2,563
Leases, rents and royalties	2,629	25	2,654
Interest and investment earnings	(242)	(95)	(337)
Other	1,545	278	1,823
Total revenues	<u>51,655</u>	<u>16,473</u>	<u>68,128</u>
Expenditures:			
Current:			
General Government	193	-	193
Energy Strategy	35	-	35
Public Works	2,640	10	2,650
Planning & Development Services	14,122	-	14,122
Culture and Recreation	16,647	3,102	19,749
Open Space and Mountain Parks	848	-	848
Housing and Human Services	15,074	-	15,074
Capital outlay	-	2,082	2,082
Debt service payments:			
Principal	-	2,055	2,055
Interest	-	128	128
Total expenditures	<u>49,559</u>	<u>7,377</u>	<u>56,936</u>
Excess (deficiency) of revenues over (under) expenditures	<u>2,096</u>	<u>9,096</u>	<u>11,192</u>
Other financing sources (uses):			
Proceeds from sale of capital assets	3,470	-	3,470
Transfers in	8,019	-	8,019
Transfers out	(143)	-	(143)
Total other financing sources (uses)	<u>11,346</u>	<u>-</u>	<u>11,346</u>
Net change in fund balances	13,442	9,096	22,538
Fund balances, beginning of year	<u>55,623</u>	<u>26,609</u>	<u>82,232</u>
Fund balances, end of year	<u>\$ 69,065</u>	<u>\$ 35,705</u>	<u>\$ 104,770</u>

CITY OF BOULDER, COLORADO

Combining Balance Sheet

Nonmajor Special Revenue Funds

December 31, 2021

(Amounts in 000's)

<u>Assets and Deferred Outflows of Resources</u>	Capital Development Fund	Lottery Fund	Planning & Development Services Fund	Affordable Housing Fund	.25 Cent Sales Tax Fund	Library Fund	Recreation Activity Fund
Equity in pooled cash and cash equivalents	\$ 602	\$ 540	\$ 673	\$ 2,074	\$ 1,828	\$ 29	\$ 926
Investments	13,266	3,088	12,354	11,666	5,368	1,927	1,736
Receivables:							
General property taxes	-	-	-	-	-	1,412	-
Sales and use taxes	-	-	-	-	1,143	-	-
Accounts	-	-	25	-	66	-	83
Rental license taxes	-	-	-	-	-	-	-
Accrued interest	39	11	56	100	18	2	13
Intergovernmental	-	-	-	-	-	-	-
Total receivables	39	11	81	100	1,227	1,414	96
Inventory of materials and supplies	-	-	-	-	-	-	32
Restricted assets:							
Investments for special purposes	-	-	-	-	4	256	1
Total restricted assets	-	-	-	-	4	256	1
Other assets	-	-	33	-	-	-	-
Total assets	13,907	3,639	13,141	13,840	8,427	3,626	2,791
Total assets and deferred outflows of resources	\$ 13,907	\$ 3,639	\$ 13,141	\$ 13,840	\$ 8,427	\$ 3,626	\$ 2,791
<u>Liabilities, Deferred Inflows of Resources and Fund Balances</u>							
Liabilities:							
Accounts and accrued liabilities:							
Vouchers and accounts payable	\$ 74	\$ 32	\$ 14	\$ 1,099	\$ 196	\$ 71	\$ 202
Contracts and retainage payable	39	75	-	171	4	-	-
Accrued salaries, wages and amounts withheld from employees	-	-	450	40	163	3	244
Due to other funds	-	-	-	-	-	-	-
Other liabilities	-	-	1,129	24	31	-	-
Unearned revenue	-	-	-	-	-	-	57
Total liabilities	113	107	1,593	1,334	394	74	503
Deferred inflows of resources:							
Property tax	-	-	-	-	-	1,412	-
Grants and other deferrals	-	-	19	-	-	-	-
Total deferred inflows of resources	-	-	19	-	-	1,412	-
Fund balances:							
Nonspendable:							
Prepaid/Receivable	-	-	33	-	-	-	-
Inventory	-	-	-	-	-	-	32
Restricted:							
Legally restricted	-	-	1	-	7,781	-	-
Development fees	6,607	-	-	-	-	-	-
Lottery funds	-	3,532	-	-	-	-	-
Donor restrictions	-	-	-	-	252	122	62
Committed:							
Affordable housing	-	-	-	12,506	-	-	-
Transportation projects	-	-	-	-	-	-	-
Assigned:							
Special purposes	7,187	-	11,495	-	-	2,018	2,194
Total fund balances	13,794	3,532	11,529	12,506	8,033	2,140	2,288
Total liabilities, deferred inflows from resources and fund balances	\$ 13,907	\$ 3,639	\$ 13,141	\$ 13,840	\$ 8,427	\$ 3,626	\$ 2,791

(continued)

Climate Action Plan Tax Fund	Airport Fund	Trans- portation Development Fund	Transit Pass General Improvement District	Boulder Junction Access GID - TDM	Sugar Tax Fund	Eviction Prevention and Rental Assistance Fund	Community Development Fund	HOME Fund	Total
\$ 335	\$ 4	\$ 716	\$ 22	\$ 217	\$ 867	\$ 731	\$ -	\$ -	\$ 9,564
2,810	2,217	6,379	19	356	550	-	-	-	61,736
-	-	-	15	387	-	-	-	-	1,814
-	-	-	-	-	322	-	-	-	1,465
298	75	-	-	23	-	-	-	-	570
-	-	-	-	-	-	1,390	-	-	1,390
8	2	19	-	-	-	-	-	-	268
-	9	-	-	-	-	-	91	13	113
306	86	19	15	410	322	1,390	91	13	5,620
-	-	-	-	-	-	-	-	-	32
-	-	-	-	-	-	-	-	-	261
-	-	-	-	-	-	-	-	-	261
-	-	-	-	-	-	5	-	-	38
3,451	2,307	7,114	56	983	1,739	2,126	91	13	77,251
\$ 3,451	\$ 2,307	\$ 7,114	\$ 56	\$ 983	\$ 1,739	\$ 2,126	\$ 91	\$ 13	\$ 77,251
\$ 368	\$ 63	\$ 5	\$ -	\$ 2	\$ -	\$ 18	\$ 14	\$ 8	\$ 2,166
13	50	-	-	-	-	-	-	-	352
32	11	-	-	2	10	2	9	5	971
-	-	-	-	-	-	-	68	-	68
-	5	-	-	-	-	-	-	-	1,189
-	-	-	-	-	-	-	-	-	57
413	129	5	-	4	10	20	91	13	4,803
-	-	-	15	386	-	-	-	-	1,813
96	58	-	-	7	-	1,390	-	-	1,570
96	58	-	15	393	-	1,390	-	-	3,383
-	-	-	-	-	-	-	-	-	33
-	-	-	-	-	-	-	-	-	32
2,942	2,120	-	-	-	1,729	716	-	-	15,289
-	-	-	-	-	-	-	-	-	6,607
-	-	-	-	-	-	-	-	-	3,532
-	-	-	-	-	-	-	-	-	436
-	-	-	-	-	-	-	-	-	12,506
-	-	5,116	-	-	-	-	-	-	5,116
-	-	1,993	41	586	-	-	-	-	25,514
2,942	2,120	7,109	41	586	1,729	716	-	-	69,065
\$ 3,451	\$ 2,307	\$ 7,114	\$ 56	\$ 983	\$ 1,739	\$ 2,126	\$ 91	\$ 13	\$ 77,251

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CITY OF BOULDER, COLORADO

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Special Revenue Funds

Year ended December 31, 2021

(Amounts in 000's)

	Capital Development Fund	Lottery Fund	Planning & Development Services Fund	Affordable Housing Fund
Revenues:				
Taxes:				
Sales, use and other taxes	\$ -	\$ -	\$ -	\$ -
General property taxes	-	-	-	-
Franchise & occupation taxes	-	-	-	-
Specific ownership & tobacco taxes	-	-	-	-
Excise taxes	-	-	-	-
Charges for services	1,603	-	1,742	11,189
Sale of goods	-	-	-	-
Licenses, permits and fines	-	-	6,814	-
Intergovernmental	-	1,293	-	-
Leases, rents and royalties	-	-	-	378
Interest and investment earnings	(40)	(16)	(82)	(15)
Other	-	-	5	39
Total revenues	<u>1,563</u>	<u>1,277</u>	<u>8,479</u>	<u>11,591</u>
Expenditures:				
Current:				
General Government	-	-	-	-
Administrative Services	-	-	-	-
Public Works	1,275	-	-	-
Planning & Development Services	-	-	12,319	-
Culture and Recreation	-	153	-	-
Open Space and Mountain Parks	-	848	-	-
Housing and Human Services	-	-	-	10,068
Total expenditures	<u>1,275</u>	<u>1,001</u>	<u>12,319</u>	<u>10,068</u>
Excess (deficiency) of revenues over (under) expenditures	<u>288</u>	<u>276</u>	<u>(3,840)</u>	<u>1,523</u>
Other financing sources (uses):				
Proceeds from sale of capital assets	-	-	-	3,470
Transfers in	-	-	3,757	1,006
Transfers out	(20)	-	-	(1)
Total other financing sources (uses)	<u>(20)</u>	<u>-</u>	<u>3,757</u>	<u>4,475</u>
Net change in fund balances	<u>268</u>	<u>276</u>	<u>(83)</u>	<u>5,998</u>
Fund balances, beginning of year	<u>13,526</u>	<u>3,256</u>	<u>11,612</u>	<u>6,508</u>
Fund balances, end of year	<u>\$ 13,794</u>	<u>\$ 3,532</u>	<u>\$ 11,529</u>	<u>\$ 12,506</u>

CITY OF BOULDER, COLORADO

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Special Revenue Funds

Year ended December 31, 2021

(Amounts in 000's)

	<u>.25 Cent Sales Tax Fund</u>	<u>Library Fund</u>	<u>Recreation Activity Fund</u>	<u>Climate Action Plan Tax Fund</u>	<u>Airport Fund</u>	<u>Trans- portation Development Fund</u>
Revenues:						
Taxes:						
Sales and use taxes	\$ 9,740	\$ -	\$ -	\$ -	\$ -	\$ -
General property taxes	-	1,325	-	-	-	-
Franchise & occupation taxes	-	-	-	1,841	-	-
Specific ownership & tobacco taxes	-	-	-	-	-	-
Excise taxes	-	-	-	-	-	748
Charges for services	26	-	5,087	406	35	94
Sale of goods	-	-	168	-	-	-
Licenses, permits and fines	-	-	-	-	-	-
Intergovernmental	-	25	-	-	37	-
Leases, rents and royalties	-	-	1,653	-	598	-
Interest and investment earnings	(40)	-	4	4	(13)	(44)
Other	226	799	293	6	139	-
Total revenues	<u>9,952</u>	<u>2,149</u>	<u>7,205</u>	<u>2,257</u>	<u>796</u>	<u>798</u>
Expenditures:						
Current:						
General Government	-	-	-	67	-	-
Administrative Services	-	-	-	-	-	-
Public Works	374	-	-	-	691	284
Planning & Development Services	-	-	-	1,801	-	-
Culture and Recreation	6,859	1,393	8,242	-	-	-
Open Space and Mountain Parks	-	-	-	-	-	-
Housing and Human Services	-	-	-	-	-	-
Total expenditures	<u>7,233</u>	<u>1,393</u>	<u>8,242</u>	<u>1,868</u>	<u>691</u>	<u>284</u>
Excess (deficiency) of revenues over (under) expenditures	<u>2,719</u>	<u>756</u>	<u>(1,037)</u>	<u>389</u>	<u>105</u>	<u>514</u>
Other financing sources (uses):						
Proceeds from sale of capital assets	-	-	-	-	-	-
Transfers in	-	58	2,160	-	-	-
Transfers out	-	-	-	-	-	(122)
Total other financing sources (uses)	<u>-</u>	<u>58</u>	<u>2,160</u>	<u>-</u>	<u>-</u>	<u>(122)</u>
Net change in fund balances	2,719	814	1,123	389	105	392
Fund balances, beginning of year	<u>5,314</u>	<u>1,326</u>	<u>1,165</u>	<u>2,553</u>	<u>2,015</u>	<u>6,717</u>
Fund balances, end of year	<u>\$ 8,033</u>	<u>\$ 2,140</u>	<u>\$ 2,288</u>	<u>\$ 2,942</u>	<u>\$ 2,120</u>	<u>\$ 7,109</u>

<u>Transit Pass General Improvement District</u>	<u>Boulder Junction Access GID- TDM</u>	<u>Sugar- Sweetened Beverage Tax Fund</u>	<u>Eviction Prevention and Rental Assistance Fund</u>	<u>Community Development Fund</u>	<u>HOME Fund</u>	<u>Total</u>
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 9,740
12	250	-	-	-	-	1,587
-	-	-	-	-	-	1,841
1	18	-	-	-	-	19
-	-	4,106	-	-	-	4,854
-	-	-	-	-	-	20,182
-	-	-	-	-	-	168
-	-	-	-	-	-	6,814
-	-	-	-	684	479	2,518
-	-	-	-	-	-	2,629
-	-	-	-	-	-	(242)
-	-	38	-	-	-	1,545
<u>13</u>	<u>268</u>	<u>4,144</u>	<u>-</u>	<u>684</u>	<u>479</u>	<u>51,655</u>
-	126	-	-	-	-	193
-	-	35	-	-	-	35
16	-	-	-	-	-	2,640
-	-	-	2	-	-	14,122
-	-	-	-	-	-	16,647
-	-	-	-	-	-	848
-	-	3,531	312	684	479	15,074
<u>16</u>	<u>126</u>	<u>3,566</u>	<u>314</u>	<u>684</u>	<u>479</u>	<u>49,559</u>
<u>(3)</u>	<u>142</u>	<u>578</u>	<u>(314)</u>	<u>-</u>	<u>-</u>	<u>2,096</u>
-	-	-	-	-	-	3,470
8	-	-	1,030	-	-	8,019
-	-	-	-	-	-	(143)
<u>8</u>	<u>-</u>	<u>-</u>	<u>1,030</u>	<u>-</u>	<u>-</u>	<u>11,346</u>
5	142	578	716	-	-	13,442
<u>36</u>	<u>444</u>	<u>1,151</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>55,623</u>
\$ <u>41</u>	\$ <u>586</u>	\$ <u>1,729</u>	\$ <u>716</u>	\$ <u>-</u>	\$ <u>-</u>	\$ <u>69,065</u>

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Capital Development Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with:
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Excise taxes	\$		\$	\$
Charges for services	579	579	1,603	1,024
Interest and investment earnings	106	106	178	72
Total revenues	<u>685</u>	<u>685</u>	<u>1,781</u>	<u>1,096</u>
Expenditures:				
Current:				
Public Works	<u>1,000</u>	<u>6,164</u>	<u>1,358</u>	<u>4,806</u>
Total expenditures	<u>1,000</u>	<u>6,164</u>	<u>1,358</u>	<u>4,806</u>
Excess (deficiency) of revenues over (under) expenditures	(315)	(5,479)	423	5,902
Other financing uses:				
Transfers out	<u>(20)</u>	<u>(20)</u>	<u>(20)</u>	<u>-</u>
Total other financing sources (uses)	<u>(20)</u>	<u>(20)</u>	<u>(20)</u>	<u>-</u>
Net change in fund balance	\$ <u>(335)</u>	\$ <u>(5,499)</u>	403	\$ <u>5,902</u>
Encumbrances, end of year			83	
Fund balance, beginning of year, basis of budgeting			<u>13,301</u>	
Fund balance, end of year, basis of budgeting			<u>13,787</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			<u>7</u>	
Fund balance, end of year, GAAP basis			\$ <u>13,794</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Lottery Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Intergovernmental	\$ 999	\$ 999	\$ 1,293	\$ 294
Interest and investment earnings	8	8	39	31
Total revenues	<u>1,007</u>	<u>1,007</u>	<u>1,332</u>	<u>325</u>
Expenditures:				
Current:				
Public Works	151	1,925	-	1,925
Culture and Recreation	428	810	358	452
Open Space and Mountain Parks	428	1,342	1,086	256
Total expenditures	<u>1,007</u>	<u>4,077</u>	<u>1,444</u>	<u>2,633</u>
Excess (deficiency) of revenues over expenditures	<u>-</u>	<u>(3,070)</u>	<u>(112)</u>	<u>2,958</u>
Net change in fund balance	\$ <u>-</u>	\$ <u>(3,070)</u>	(112)	\$ <u>2,958</u>
Encumbrances, end of year			443	
Fund balance, beginning of year, basis of budgeting			<u>3,199</u>	
Fund balance, end of year, basis of budgeting			<u>3,530</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			<u>2</u>	
Fund balance, end of year, GAAP basis			\$ <u><u>3,532</u></u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Planning & Development Services Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Charges for services	\$ 1,239	\$ 1,239	\$ 1,742	\$ 503
Sale of goods	12	12	-	(12)
Licenses, permits and fines	5,034	5,255	6,814	1,559
Interest and investment earnings	175	175	169	(6)
Other	-	29	5	(24)
Total revenues	<u>6,460</u>	<u>6,710</u>	<u>8,730</u>	<u>2,020</u>
Expenditures:				
Current:				
Planning & Development Services	<u>12,242</u>	<u>12,909</u>	<u>12,362</u>	<u>547</u>
Total expenditures	<u>12,242</u>	<u>12,909</u>	<u>12,362</u>	<u>547</u>
Excess (deficiency) of revenues over (under) expenditures	(5,782)	(6,199)	(3,632)	2,567
Other financing sources (uses):				
Transfers in	<u>3,758</u>	<u>3,758</u>	<u>3,757</u>	<u>(1)</u>
Total other financing sources (uses)	<u>3,758</u>	<u>3,758</u>	<u>3,757</u>	<u>(1)</u>
Net change in fund balance	\$ <u>(2,024)</u>	\$ <u>(2,441)</u>	125	\$ <u>2,566</u>
Encumbrances, end of year			147	
Fund balance, beginning of year, basis of budgeting			<u>11,700</u>	
Fund balance, end of year, basis of budgeting			<u>11,972</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			7	
Accrued salaries, wages and amounts withheld from employees			<u>(450)</u>	
Fund balance, end of year, GAAP basis			\$ <u>11,529</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Affordable Housing Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Charges for services	\$ 3,828	\$ 7,612	\$ 11,189	\$ 3,577
Leases, rents and royalties	220	298	378	80
Interest and investment earnings	20	20	110	90
Other	-	-	39	39
Total revenues	<u>4,068</u>	<u>7,930</u>	<u>11,716</u>	<u>3,786</u>
Expenditures:				
Current:				
Housing and Human Services	<u>2,918</u>	<u>14,548</u>	<u>10,270</u>	<u>4,278</u>
Total expenditures	<u>2,918</u>	<u>14,548</u>	<u>10,270</u>	<u>4,278</u>
Excess (deficiency) of revenues over (under) expenditures	1,150	(6,618)	1,446	8,064
Other financing sources (uses):				
Proceeds from sale of capital assets	-	5,145	3,470	(1,675)
Transfers in	1,006	1,006	1,006	-
Transfers out	<u>(1)</u>	<u>(1)</u>	<u>(1)</u>	<u>-</u>
Total other financing sources (uses)	<u>1,005</u>	<u>6,150</u>	<u>4,475</u>	<u>(1,675)</u>
Net change in fund balance	\$ <u>2,155</u>	\$ <u>(468)</u>	5,921	\$ <u>6,389</u>
Encumbrances, end of year			216	
Fund balance, beginning of year, basis of budgeting			<u>6,406</u>	
Fund balance, end of year, basis of budgeting			<u>12,543</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			5	
Accrued salaries, wages and amounts withheld from employees			<u>(42)</u>	
Fund balance, end of year, GAAP basis			\$ <u>12,506</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis).25 Cent Sales Tax Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Sales and use taxes	\$ 7,983	\$ 7,983	\$ 9,740	\$ 1,757
Charges for services	30	40	26	(14)
Interest and investment earnings	32	32	66	34
Other	74	318	226	(92)
Total revenues	<u>8,119</u>	<u>8,373</u>	<u>10,058</u>	<u>1,685</u>
Expenditures:				
Current:				
Public Works	461	461	390	71
Culture and Recreation	7,962	9,505	7,113	2,392
Total expenditures	<u>8,423</u>	<u>9,966</u>	<u>7,503</u>	<u>2,463</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(304)</u>	<u>(1,593)</u>	<u>2,555</u>	<u>4,148</u>
Net change in fund balance	\$ <u>(304)</u>	\$ <u>(1,593)</u>	2,555	\$ <u>4,148</u>
Encumbrances, end of year			309	
Fund balance, beginning of year, basis of budgeting			<u>5,335</u>	
Fund balance, end of year, basis of budgeting			8,199	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			1	
Accrued salaries, wages and amounts withheld from employees			<u>(167)</u>	
Fund balance, end of year, GAAP basis			\$ <u>8,033</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)

Library Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget - Positive (Negative)
Revenues:				
Taxes:				
General property taxes	\$ 1,329	\$ 1,329	\$ 1,325	\$ (4)
Intergovernmental	-	-	25	25
Other	290	400	799	399
Total revenues	<u>1,619</u>	<u>1,729</u>	<u>2,149</u>	<u>420</u>
Expenditures:				
Current:				
Culture and Recreation	<u>1,435</u>	<u>2,257</u>	<u>1,407</u>	<u>850</u>
Total expenditures	<u>1,435</u>	<u>2,257</u>	<u>1,407</u>	<u>850</u>
Excess (deficiency) of revenues over (under) expenditures	<u>184</u>	<u>(528)</u>	<u>742</u>	<u>1,270</u>
Other financing sources:				
Transfers in	-	58	58	-
Total other financing sources (uses)	<u>-</u>	<u>58</u>	<u>58</u>	<u>-</u>
Net change in fund balance	\$ <u>184</u>	\$ <u>(470)</u>	800	\$ <u>1,270</u>
Encumbrances, end of year			14	
Fund balance, beginning of year, basis of budgeting			<u>1,311</u>	
Fund balance, end of year, basis of budgeting			<u>2,125</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			17	
Accrued salaries, wages and amounts withheld from employees			<u>(2)</u>	
Fund balance, end of year, GAAP basis			\$ <u>2,140</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Recreation Activity Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Charges for services	\$ 6,516	\$ 6,717	\$ 5,087	\$ (1,630)
Sale of goods	224	224	168	(56)
Licenses, permits and fines	210	210	-	(210)
Leases, rents and royalties	1,457	1,457	1,653	196
Interest and investment earnings	-	-	19	19
Other	160	219	293	74
Total revenues	<u>8,567</u>	<u>8,827</u>	<u>7,220</u>	<u>(1,607)</u>
Expenditures:				
Current:				
Culture and Recreation	9,626	10,192	8,461	1,731
Total expenditures	<u>9,626</u>	<u>10,192</u>	<u>8,461</u>	<u>1,731</u>
Excess (deficiency) of revenues over (under) expenditures	(1,059)	(1,365)	(1,241)	124
Other financing sources (uses):				
Transfers in	1,559	1,559	2,160	601
Total other financing sources (uses)	<u>1,559</u>	<u>1,559</u>	<u>2,160</u>	<u>601</u>
Net change in fund balance	\$ <u>500</u>	\$ <u>194</u>	919	\$ <u>725</u>
Encumbrances, end of year			304	
Fund balance, beginning of year, basis of budgeting			<u>1,311</u>	
Fund balance, end of year, basis of budgeting			2,534	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			1	
Accrued salaries, wages and amounts withheld from employees			<u>(247)</u>	
Fund balance, end of year, GAAP basis			\$ <u>2,288</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Climate Action Plan Tax Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget - Positive (Negative)
Revenues:				
Taxes:				
Franchise & occupation taxes	\$ 1,706	\$ 1,706	\$ 1,841	\$ 135
Charges for services	400	400	406	6
Interest and investment earnings	4	4	38	34
Other	-	(6)	6	12
Total revenues	<u>2,110</u>	<u>2,104</u>	<u>2,291</u>	<u>187</u>
Expenditures:				
Current:				
General Government	29	36	67	(31)
Planning & Development Services	<u>2,001</u>	<u>4,224</u>	<u>2,120</u>	<u>2,104</u>
Total expenditures	<u>2,030</u>	<u>4,260</u>	<u>2,187</u>	<u>2,073</u>
Excess (deficiency) of revenues over (under) expenditures	<u>80</u>	<u>(2,156)</u>	<u>104</u>	<u>2,260</u>
Net change in fund balance	\$ <u>80</u>	\$ <u>(2,156)</u>	104	\$ <u>2,260</u>
Encumbrances, end of year			316	
Fund balance, beginning of year, basis of budgeting			<u>2,553</u>	
Fund balance, end of year, basis of budgeting			<u>2,973</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			2	
Accrued salaries, wages and amounts withheld from employees			<u>(33)</u>	
Fund balance, end of year, GAAP basis			\$ <u>2,942</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Airport Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Charges for services	\$ 23	\$ 23	\$ 35	\$ 12
Intergovernmental	-	-	37	37
Leases, rents and royalties	645	645	598	(47)
Interest and investment earnings	25	25	33	8
Other	-	-	139	139
Total revenues	<u>693</u>	<u>693</u>	<u>842</u>	<u>149</u>
Expenditures:				
Current:				
Public Works	<u>372</u>	<u>2,424</u>	<u>1,010</u>	<u>1,414</u>
Total expenditures	<u>372</u>	<u>2,424</u>	<u>1,010</u>	<u>1,414</u>
Excess (deficiency) of revenues over (under) expenditures	<u>321</u>	<u>(1,731)</u>	<u>(168)</u>	<u>1,563</u>
Net change in fund balance	\$ <u><u>321</u></u>	\$ <u><u>(1,731)</u></u>	(168)	\$ <u><u>1,563</u></u>
Encumbrances, end of year			323	
Fund balance, beginning of year, basis of budgeting			<u>1,973</u>	
Fund balance, end of year, basis of budgeting			<u>2,128</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			1	
Accrued salaries, wages and amounts withheld from employees			<u>(9)</u>	
Fund balance, end of year, GAAP basis			\$ <u><u>2,120</u></u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Transportation Development Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Excise taxes	\$ 945	\$ 945	\$ 748	\$ (197)
Charges for services	53	53	94	41
Interest and investment earnings	22	22	88	66
Other	10	10	-	(10)
Total revenues	<u>1,030</u>	<u>1,030</u>	<u>930</u>	<u>(100)</u>
Expenditures:				
Current:				
Public Works	885	5,649	370	5,279
Total expenditures	<u>885</u>	<u>5,649</u>	<u>370</u>	<u>5,279</u>
Excess (deficiency) of revenues over (under) expenditures	145	(4,619)	560	5,179
Other financing uses:				
Transfers out	(9)	(122)	(122)	-
Total other financing sources (uses)	<u>(9)</u>	<u>(122)</u>	<u>(122)</u>	<u>-</u>
Net change in fund balance	\$ <u>136</u>	\$ <u>(4,741)</u>	438	\$ <u>5,179</u>
Encumbrances, end of year			86	
Fund balance, beginning of year, basis of budgeting			<u>6,580</u>	
Fund balance, end of year, basis of budgeting			<u>7,104</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			<u>5</u>	
Fund balance, end of year, GAAP basis			\$ <u>7,109</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Transit Pass General Improvement District

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
General property taxes	\$ 12	\$ 12	\$ 12	\$ -
Specific ownership & tobacco taxes	<u>1</u>	<u>1</u>	<u>1</u>	<u>-</u>
Total revenues	<u>13</u>	<u>13</u>	<u>13</u>	<u>-</u>
Expenditures:				
Current:				
Public Works	<u>19</u>	<u>19</u>	<u>16</u>	<u>3</u>
Total expenditures	<u>19</u>	<u>19</u>	<u>16</u>	<u>3</u>
Excess (deficiency) of revenues over (under) expenditures	(6)	(6)	(3)	3
Other financing sources -				
Transfers in	<u>8</u>	<u>8</u>	<u>8</u>	<u>-</u>
Total other financing sources (uses)	<u>8</u>	<u>8</u>	<u>8</u>	<u>-</u>
Net change in fund balance	\$ <u>2</u>	\$ <u>2</u>	5	\$ <u>3</u>
Fund balance, beginning of year, basis of budgeting			<u>32</u>	
Fund balance, end of year, basis of budgeting			37	
Basis of budgeting to GAAP basis reconciliation			<u>4</u>	
Fund balance, end of year, GAAP basis			\$ <u>41</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Boulder Junction Access GID - TDM

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
General property taxes	\$ 611	\$ 611	\$ 250	\$ (361)
Specific ownership & tobacco taxes	16	16	18	2
Interest and investment earnings	6	6	3	(3)
Total revenues	<u>633</u>	<u>633</u>	<u>271</u>	<u>(362)</u>
Expenditures:				
Current:				
General Government	362	363	164	199
Total expenditures	<u>362</u>	<u>363</u>	<u>164</u>	<u>199</u>
Excess (deficiency) of revenues over (under) expenditures	<u>271</u>	<u>270</u>	<u>107</u>	<u>(163)</u>
Net change in fund balance	\$ <u>271</u>	\$ <u>270</u>	107	\$ <u>(163)</u>
Encumbrances, end of year			39	
Fund balance, beginning of year, basis of budgeting			<u>442</u>	
Fund balance, end of year, basis of budgeting			588	
Basis of budgeting to GAAP basis reconciliation				
Accrued salaries, wages and amounts withheld from employees			(2)	
Fund balance, end of year, GAAP basis			<u>\$ 586</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Sugar-Sweetened Beverage Tax Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Excise taxes	\$ 3,800	\$ 3,800	\$ 4,106	\$ 306
Other			38	38
Total revenues	<u>3,800</u>	<u>3,800</u>	<u>4,144</u>	<u>344</u>
Expenditures:				
Current:				
Administrative Services	80	80	35	45
Housing and Human Services	<u>3,720</u>	<u>3,805</u>	<u>3,528</u>	<u>277</u>
Total expenditures	<u>3,800</u>	<u>3,885</u>	<u>3,563</u>	<u>322</u>
Excess (deficiency) of revenues over (under) expenditures	<u>-</u>	<u>(85)</u>	<u>581</u>	<u>666</u>
Net change in fund balance	\$ <u>-</u>	\$ <u>(85)</u>	581	\$ <u>666</u>
Encumbrances, end of year			-	
Fund balance, beginning of year, basis of budgeting			<u>1,159</u>	
Fund balance, end of year, basis of budgeting			<u>1,740</u>	
Basis of budgeting to GAAP basis reconciliation:				
Accrued salaries, wages and amounts withheld from employees			<u>(11)</u>	
Fund balance, end of year, GAAP basis			\$ <u><u>1,729</u></u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Eviction Prevention and Rental Assistance Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Expenditures:				
Current:				
Planning & Development Services	-	-	2	(2)
Housing and Human Services	-	819	362	457
Total expenditures	-	819	364	455
Excess (deficiency) of revenues over (under) expenditures	-	(819)	(364)	455
Other financing sources:				
Transfers in	-	1,030	1,030	-
Total other financing sources (uses)	-	1,030	1,030	-
 Net change in fund balance	\$ -	\$ 211	666	\$ 455
 Encumbrances, end of year			53	
Fund balance, beginning of year, basis of budgeting			-	
Fund balance, end of year, basis of budgeting			719	
 Basis of budgeting to GAAP basis reconciliation:				
Accrued salaries, wages and amounts withheld from employees			(3)	
 Fund balance, end of year, GAAP basis			\$ 716	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Community Development Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Intergovernmental	\$ 825	\$ 2,119	\$ 680	\$ (1,439)
Total revenues	<u>825</u>	<u>2,119</u>	<u>680</u>	<u>(1,439)</u>
Expenditures:				
Current:				
Housing and Human Services	<u>825</u>	<u>2,157</u>	<u>680</u>	<u>1,477</u>
Total expenditures	<u>825</u>	<u>2,157</u>	<u>680</u>	<u>1,477</u>
Excess (deficiency) of revenues over (under) expenditures	<u>-</u>	<u>(38)</u>	<u>-</u>	<u>38</u>
Net change in fund balance	\$ <u><u>-</u></u>	\$ <u><u>(38)</u></u>	<u>-</u>	\$ <u><u>38</u></u>
Fund balance, beginning of year, basis of budgeting			<u>-</u>	
Fund balance, end of year, basis of budgeting			<u>-</u>	
Basis of budgeting to GAAP basis reconciliation				
Accrued salaries, wages and amounts withheld from employees			(10)	
Grant receivable			<u>10</u>	
Fund balance, end of year, GAAP basis			\$ <u><u>-</u></u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)HOME Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Intergovernmental	\$ 1,187	\$ 2,510	\$ 475	\$ (2,035)
Total revenues	<u>1,187</u>	<u>2,510</u>	<u>475</u>	<u>(2,035)</u>
Expenditures:				
Current:				
Housing and Human Services	<u>1,187</u>	<u>2,510</u>	<u>475</u>	<u>2,035</u>
Total expenditures	<u>1,187</u>	<u>2,510</u>	<u>475</u>	<u>2,035</u>
Excess (deficiency) of revenues over (under) expenditures	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Net change in fund balance	\$ <u>-</u>	\$ <u>-</u>	-	\$ <u>-</u>
Encumbrances, end of year			-	
Fund balance, beginning of year, basis of budgeting			-	
Fund balance, end of year, basis of budgeting			-	
Accrued salaries, wages and amounts withheld from employees			(5)	
Grant receivable			<u>5</u>	
Fund balance, end of year, GAAP basis			\$ <u>-</u>	

CITY OF BOULDER, COLORADO

Combining Balance Sheet

Nonmajor Capital Project Funds

December 31, 2021

(Amounts in 000's)

<u>Assets and Deferred Outflows of Resources</u>	Permanent Parks and Recreation Fund	Fire Training Center Construction Fund	Boulder Junction Improvement Fund	2011 Capital Improvement Fund	Capital Improvement CCS Fund	Total
Equity in pooled cash and cash equivalents	\$ 46	\$ -	\$ 672	\$ -	\$ 457	\$ 1,175
Investments	4,884	4	7,246	493	20,832	33,459
Receivables:						
General property taxes	3,815	-	-	-	-	3,815
Sales and use taxes	-	-	-	-	1,371	1,371
Accounts	5	-	-	-	-	5
Accrued interest	8	-	17	22	-	47
Intergovernmental	95	-	-	-	-	95
Total receivables	3,923	-	17	22	1,371	5,333
Total assets	8,853	4	7,935	515	22,660	39,967
Total assets and deferred outflows of resources	\$ 8,853	\$ 4	\$ 7,935	\$ 515	\$ 22,660	\$ 39,967
<u>Liabilities, Deferred Inflows of Resources and Fund Balance</u>						
Liabilities:						
Accounts and accrued liabilities:						
Vouchers and accounts payable	\$ 59	\$ -	\$ 3	\$ -	\$ 204	\$ 266
Contracts and retainage payable	26	-	-	-	1	27
Accrued salaries, wages and amounts withheld from employees	49	-	-	-	8	57
Total liabilities	134	-	3	-	213	350
Deferred inflows of resources:						
Deferred inflows of resources	3,912	-	-	-	-	3,912
Fund equity:						
Fund balances:						
Restricted:						
Capital projects	4,807	-	-	515	22,447	27,769
Assigned:						
Special purposes	-	4	7,932	-	-	7,936
Total fund balances	4,807	4	7,932	515	22,447	35,705
Total liabilities, deferred inflows of resources and fund balances	\$ 8,853	\$ 4	\$ 7,935	\$ 515	\$ 22,660	\$ 39,967

CITY OF BOULDER, COLORADO

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Capital Project Funds

Year ended December 31, 2021

(Amounts in 000's)

	Permanent Parks and Recreation Fund	Fire Training Center Construction Fund	Boulder Junction Improvement Fund	2011 Capital Improvement Fund	Capital Improvement CCS Fund	Total
Revenues:						
Taxes:						
Sales and use taxes	\$ -	\$ -	\$ 436	\$ -	\$ 11,734	\$ 12,170
General property taxes	3,582	-	-	-	-	3,582
Excise taxes	-	-	109	-	-	109
Charges for services	-	-	359	-	-	359
Intergovernmental	45	-	-	-	-	45
Leases, rents and royalties	25	-	-	-	-	25
Interest and investment earnings	(23)	-	(23)	(3)	(46)	(95)
Other	278	-	-	-	-	278
Total revenues	3,907	-	881	(3)	11,688	16,473
Expenditures:						
Current:						
Capital Outlay	-	-	-	7	2,075	2,082
Culture and Recreation	3,102	-	-	-	-	3,102
Public Works	-	-	10	-	-	10
Debt service payments:						
Principal	-	-	-	-	2,055	2,055
Interest	-	-	-	-	128	128
Total expenditures	3,102	-	10	7	4,258	7,377
Excess (deficiency) of revenues over (under) expenditures	805	-	871	(10)	7,430	9,096
Other financing sources (uses)						
Proceeds from bonds payable	-	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-	-
Net change in fund balances	805	-	871	(10)	7,430	9,096
Fund balances, beginning of year	4,002	4	7,061	525	15,017	26,609
Fund balances, end of year	\$ 4,807	\$ 4	\$ 7,932	\$ 515	\$ 22,447	\$ 35,705

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Permanent Parks and Recreation Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
General property taxes	\$ 3,589	\$ 3,589	\$ 3,582	\$ (7)
Intergovernmental	-	-	45	45
Leases, rents and royalties	-	19	25	6
Interest and investment earnings	36	36	63	27
Other	-	251	278	27
Total revenues	<u>3,625</u>	<u>3,895</u>	<u>3,993</u>	<u>98</u>
Expenditures:				
Culture and Recreation	<u>6,402</u>	<u>7,602</u>	<u>3,338</u>	<u>4,264</u>
Total expenditures	<u>6,402</u>	<u>7,602</u>	<u>3,338</u>	<u>4,264</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(2,777)</u>	<u>(3,707)</u>	655	<u>4,362</u>
Net change in fund balance	\$ <u>(2,777)</u>	\$ <u>(3,707)</u>	655	\$ <u>4,362</u>
Encumbrances, end of year			246	
Fund balance, beginning of year, basis of budgeting			<u>3,952</u>	
Fund balance, end of year, basis of budgeting			<u>4,853</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			3	
Accrued salaries, wages and amounts withheld from employees			<u>(49)</u>	
Fund balance, end of year, GAAP basis			\$ <u><u>4,807</u></u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Fire Training Center Construction Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Total revenues	\$ -	\$ -	\$ -	\$ -
Expenditures:				
Capital outlay	-	-	-	-
Total expenditures	-	-	-	-
Excess (deficiency) of revenues over (under) expenditures	-	-	-	-
Net change in fund balance	\$ -	\$ -	-	\$ -
Fund balance, beginning of year, basis of budgeting			4	
Fund balance, end of year, GAAP basis			\$ 4	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Boulder Junction Improvement Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Sales and use taxes	\$ 150	\$ 150	\$ 436	\$ 286
Excise taxes	370	370	109	(261)
Charges for services	555	555	359	(196)
Interest and investment earnings	24	24	96	72
Total revenues	<u>1,099</u>	<u>1,099</u>	<u>1,000</u>	<u>(99)</u>
Expenditures:				
Culture and Recreation	-	700	-	700
Public Works	<u>500</u>	<u>3,303</u>	<u>86</u>	<u>3,217</u>
Total expenditures	<u>500</u>	<u>4,003</u>	<u>86</u>	<u>3,917</u>
Excess (deficiency) of revenues over (under) expenditures	<u>599</u>	<u>(2,904)</u>	914	<u>3,818</u>
Net change in fund balance	\$ <u>599</u>	\$ <u>(2,904)</u>	914	\$ <u>3,818</u>
Encumbrances, end of year			77	
Fund balance, beginning of year, basis of budgeting			<u>6,938</u>	
Fund balance, end of year, basis of budgeting			<u>7,929</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			<u>3</u>	
Fund balance, end of year, GAAP basis			\$ <u>7,932</u>	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)2011 Capital Improvement Fund

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Interest and investment earnings	\$ -	\$ -	\$ 6	\$ 6
Total revenues	-	-	6	6
Expenditures:				
Capital outlay	-	405	181	224
Total expenditures	-	405	181	224
Excess (deficiency) of revenues over (under) expenditures	-	(405)	(175)	230
Net change in fund balance	\$ -	\$ (405)	(175)	\$ 230
Encumbrances, end of year			173	
Fund balance, beginning of year, basis of budgeting			515	
Fund balance, end of year, basis of budgeting			513	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			2	
Fund balance, end of year, GAAP basis			\$ 515	

CITY OF BOULDER, COLORADO

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)Capital Improvement CCS

Year ended December 31, 2021

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with
	<u>Original</u>	<u>Final</u>	<u>amounts</u>	final budget - Positive (Negative)
Revenues:				
Taxes:				
Sales and use taxes	\$ 9,659	\$ 9,659	\$ 11,734	\$ 2,075
Interest and investment earnings	-	-	210	210
Total revenues	<u>9,659</u>	<u>9,659</u>	<u>11,944</u>	<u>2,285</u>
Expenditures:				
Capital outlay	3,252	15,509	4,448	11,061
Debt service payments:				
Principal	2,055	2,055	2,055	-
Interest	<u>128</u>	<u>128</u>	<u>128</u>	<u>-</u>
Total expenditures	<u>5,435</u>	<u>17,692</u>	<u>6,631</u>	<u>11,061</u>
Excess (deficiency) of revenues over (under) expenditures	<u>4,224</u>	<u>(8,033)</u>	<u>5,313</u>	<u>13,346</u>
Net change in fund balance	\$ <u><u>4,224</u></u>	\$ <u><u>(8,033)</u></u>	5,313	\$ <u><u>13,346</u></u>
Encumbrances, end of year			2,377	
Fund balance, beginning of year, basis of budgeting			14,755	
Fund balance, end of year, basis of budgeting			<u>22,445</u>	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			10	
Accrued salaries, wages and amounts withheld from employees			<u>(8)</u>	
Fund balance, end of year, GAAP basis			\$ <u><u>22,447</u></u>	

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NONMAJOR ENTERPRISE FUNDS

Enterprise Funds are established to account for operations that are primarily funded through user charges to customers outside of the organization. The City of Boulder has the following Nonmajor Enterprise Funds:

University Hill Commercial District Fund – this district provides parking facilities and services to the commercial district adjacent to the University of Colorado (CU) campus. It is predominately self-supported by user charges but also receives general property and other tax revenues.

Boulder Junction Access GID - Parking Fund - to account for revenues and expenditures related to programs implemented by the Boulder Junction Authority General Improvement District to meet its parking facility and service goals. It is predominately self-supported through property tax revenue approved by the voters.

CITY OF BOULDER, COLORADO

Combining Statement of Net Position

Nonmajor Enterprise Funds

December 31, 2021

(Amounts in 000's)

	University Hill Commercial District	Boulder Junction Access GID - Parking	Total Nonmajor Enterprise Funds
Assets:			
Current assets:			
Equity in pooled cash and cash equivalents	\$ 78	\$ 198	\$ 276
Investments	3,696	291	3,987
Receivables:			
General property taxes	34	422	456
Accrued interest	5	-	5
Total receivables	39	422	461
Total current assets	3,813	911	4,724
Capital assets:			
Land and easements	132	-	132
Intangibles	-	2,000	2,000
Buildings	176	-	176
Improvements other than buildings	58	-	58
Vehicles	59	-	59
Machinery and equipment	270	-	270
	695	2,000	2,695
Less accumulated depreciation	(368)	(450)	(818)
	327	1,550	1,877
Construction in progress	-	-	-
Total capital assets, net of accumulated depreciation	327	1,550	1,877
Total noncurrent assets	327	1,550	1,877
Total assets	4,140	2,461	6,601
Deferred outflows of resources	90	7	97
Total assets and deferred outflows of resources	\$ 4,230	\$ 2,468	\$ 6,698

CITY OF BOULDER, COLORADO

Combining Statement of Net Position
continuedNonmajor Enterprise Funds

December 31, 2021

(Amounts in 000's)

	University Hill Commercial District	Boulder Junction Access GID - Parking	Total Nonmajor Enterprise Funds
Liabilities:			
Current liabilities:			
Accounts and accrued liabilities:			
Vouchers and accounts payable	\$ 1	\$ 1	\$ 2
Accrued salaries, wages and amounts withheld from employees	8	3	11
Other liabilities	2	-	2
Total current liabilities	<u>11</u>	<u>4</u>	<u>15</u>
Non-current liabilities:			
Net Pension Liability	299	-	299
OPEB liability	37	-	37
Total non-current liabilities	<u>336</u>	<u>-</u>	<u>336</u>
Total liabilities	<u>347</u>	<u>4</u>	<u>351</u>
Deferred inflows of resources	<u>151</u>	<u>421</u>	<u>572</u>
Net position:			
Net investment in capital assets	328	1,550	1,878
Restricted for:			
Legally restricted	7	-	7
Unrestricted	<u>3,397</u>	<u>493</u>	<u>3,890</u>
Total net position	<u>\$ 3,732</u>	<u>\$ 2,043</u>	<u>\$ 5,775</u>

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CITY OF BOULDER, COLORADO

Combining Statement of Revenues, Expenses and Changes in Net Position

Nonmajor Enterprise Funds

Year ended December 31, 2021

(Amounts in 000's)

	University Hill Commercial District	Boulder Junction Access GID - Parking	Total Nonmajor Enterprise Funds
Operating revenues:			
Charges for services	\$ 72	\$ 69	\$ 141
Total operating revenues	<u>72</u>	<u>69</u>	<u>141</u>
Operating expenses:			
Personnel	125	43	168
Non-personnel	189	130	319
Depreciation	23	100	123
Total operating expenses	<u>337</u>	<u>273</u>	<u>610</u>
Operating income (loss)	<u>(265)</u>	<u>(204)</u>	<u>(469)</u>
Nonoperating revenues (expenses):			
General property taxes	33	490	523
Specific ownership & tobacco taxes	2	20	22
Gain (loss) on disposition of capital assets	<u>2,419</u>	<u>-</u>	<u>2,419</u>
Total nonoperating revenues (expenses)	<u>2,454</u>	<u>510</u>	<u>2,964</u>
Income (loss) before capital contributions and transfers	2,189	306	2,495
Transfers in	250	-	250
Transfers out	<u>-</u>	<u>(100)</u>	<u>(100)</u>
Changes in net position	<u>2,439</u>	<u>206</u>	<u>2,645</u>
Total net position, beginning of year	<u>1,293</u>	<u>1,837</u>	<u>3,130</u>
Total net position, end of year	<u>\$ 3,732</u>	<u>\$ 2,043</u>	<u>\$ 5,775</u>

CITY OF BOULDER, COLORADO

Combining Statement of Cash Flows

Nonmajor Enterprise Funds

Year ended December 31, 2021

(Amounts in 000's)

	University Hill Commercial <u>District</u>	Boulder Junction Access GID - <u>Parking</u>	Total Nonmajor Enterprise <u>Funds</u>
Cash flows from operating activities:			
Receipts from customers and users	\$ 72	\$ 69	\$ 141
Payments to suppliers	(190)	(129)	(319)
Payments to employees	<u>(141)</u>	<u>(48)</u>	<u>(189)</u>
Net cash provided (used) by operating activities	<u>(259)</u>	<u>(108)</u>	<u>(367)</u>
Cash flows from noncapital financing activities:			
Payments to other funds on advances	-	(2)	(2)
General property taxes	33	489	522
Specific ownership & tobacco taxes	2	20	22
Transfers in	250	-	250
Transfers out	<u>-</u>	<u>(100)</u>	<u>(100)</u>
Net cash provided (used) by noncapital financing activities	<u>285</u>	<u>407</u>	<u>692</u>
Cash flows from capital and related financing activities:			
Proceeds from sale or transfer of property and equipment	<u>2,734</u>	<u>-</u>	<u>2,734</u>
Net cash provided (used) for capital related financing activities	<u>2,734</u>	<u>-</u>	<u>2,734</u>

CITY OF BOULDER, COLORADO

Combining Statement of Cash Flows,
continued

Nonmajor Enterprise Funds

Year ended December 31, 2021

(Amounts in 000's)

	University Hill Commercial <u>District</u>	Boulder Junction <u>GID</u>	Total Nonmajor Enterprise <u>Funds</u>
Cash flows from investing activities:			
Purchase of investment securities	(2,893)	(222)	(3,115)
Proceeds from sale and maturities of investment securities	17	-	17
Interest on investments	<u>(1)</u>	<u>-</u>	<u>(1)</u>
Net cash provided (used) in investing activities	<u>(2,877)</u>	<u>(222)</u>	<u>(3,099)</u>
Net (decrease) in cash and cash equivalents	(117)	77	(40)
Cash and cash equivalents, January 1	<u>195</u>	<u>121</u>	<u>316</u>
Cash and cash equivalents, December 31	\$ <u><u>78</u></u>	\$ <u><u>198</u></u>	\$ <u><u>276</u></u>

CITY OF BOULDER, COLORADO

Combining Statement of Cash Flows,
continuedNonmajor Enterprise Funds

Year ended December 31, 2021

(Amounts in 000's)

	University Hill Commercial <u>District</u>	Boulder Junction Access GID - <u>Parking</u>	Total Nonmajor Enterprise <u>Funds</u>
Reconciliation of cash and cash equivalents to balance sheet amounts:			
Equity in pooled cash and cash equivalents	\$ <u>78</u>	\$ <u>198</u>	\$ <u>276</u>
Cash for capital projects	<u>-</u>	<u>-</u>	<u>-</u>
	\$ <u><u>78</u></u>	\$ <u><u>198</u></u>	\$ <u><u>276</u></u>
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:			
Operating income (loss)	\$ <u>(265)</u>	\$ <u>(204)</u>	\$ <u>(469)</u>
Adjustments to reconcile net operating income (loss) to net cash provided (used) by operating activities:			
Depreciation	23	100	123
Change in assets and liabilities:			
(Increase) decrease in assets:			
Deferred Outflows - PERA Pension	(15)	(7)	(22)
Deferred Outflows - City OPEB	(3)	-	(3)
Other receivables	-	-	-
Increase (decrease) in liabilities:			
Vouchers and accounts payable	(1)	1	-
Accrued salaries, wages and amounts withheld from employees	1	1	2
Pension Liability	(41)	-	(41)
Deferred Inflows - PERA Pension	40	-	40
Deferred Inflows - PERA OPEB	2	1	3
Deferred Inflows - City OPEB	(1)	-	(1)
Compensated absences	-	-	-
OPEB liability	1	-	1
Rebatable arbitrage payable	-	-	-
Total adjustments	<u>6</u>	<u>96</u>	<u>102</u>
Net cash provided (used) by operating activities	\$ <u><u>(259)</u></u>	\$ <u><u>(108)</u></u>	\$ <u><u>(367)</u></u>
Noncash investing, capital and financing activities:			
Increase (decrease) in fair value of investments	\$ <u>1</u>	\$ <u>-</u>	\$ <u>1</u>
	\$ <u><u>1</u></u>	\$ <u><u>-</u></u>	\$ <u><u>1</u></u>

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INTERNAL SERVICE FUNDS

The Internal Service Funds are established to finance and account for services and/or commodities required by other funds. The City of Boulder has the following Internal Service Funds:

Telecommunications Fund - to account for the costs of operating, acquiring and maintaining telecommunications equipment used by all City departments.

Property and Casualty Insurance Fund - to account for property and casualty insurance expenditures and reserves funded through cost allocation to all City departments.

Workers Compensation Insurance Fund - to account for and facilitate the monitoring of the City's self-insured workers compensation plan.

Dental Self Insurance Fund - accounts for employee and city premium contributions and claims payments; and facilitates the monitoring of the city's self-insured employee dental plan.

Compensated Absences Fund - to account for payments of compensated absences to employees of the General and Library Funds. Funding is received primarily from the General Fund.

Fleet Fund - to account for the costs of operating, acquiring and maintaining automotive equipment used by other City departments. Such costs are billed to the other departments.

Computer Replacement Fund - to account for the costs of acquiring and maintaining computer equipment used by other City departments. Such costs are billed to the other departments.

Equipment Replacement Fund - to account for the costs of acquiring equipment used by other City departments. Such costs are billed to the other departments.

Facility Renovation and Replacement Fund - to account for the costs of maintaining, renovating and replacing facilities within the City. Such costs are billed to the other departments.

CITY OF BOULDER, COLORADO

Combining Statement of Net Position

Internal Service Funds

December 31, 2021

(Amounts in 000's)

	Telecom- munications Fund	Property and Casualty Insurance Fund	Workers' Compensation Insurance Fund	Dental Self Insurance Fund	Compensated Absences Fund
Assets:					
Current assets:					
Equity in pooled cash and cash equivalents	\$ -	\$ 3	\$ 972	\$ 409	\$ 2
Investments	847	3,591	4,261	-	1,218
Receivables, net:					
Accounts	-	-	-	-	-
Accrued interest	10	38	18	-	9
Intergovernmental	-	-	-	-	-
Total receivables	10	38	18	-	9
Advances to other funds	-	-	-	-	-
Other assets - prepaid expenses	-	596	45	-	-
Total current assets	857	4,228	5,296	409	1,229
Noncurrent assets:					
Advances to other funds, less current	-	-	-	-	-
Capital assets:					
Land and easements	-	-	-	-	-
Buildings	207	-	-	-	-
Improvements other than buildings	-	-	-	-	-
Infrastructure	-	-	-	-	-
Vehicles	-	-	-	-	-
Machinery and equipment	3,106	13	-	-	-
	3,313	13	-	-	-
Less accumulated depreciation	(3,313)	(13)	-	-	-
	-	-	-	-	-
Construction in progress	-	-	-	-	-
Total capital assets, net of accumulated depreciation	-	-	-	-	-
Total noncurrent assets	-	-	-	-	-
Total assets	857	4,228	5,296	409	1,229
Deferred outflow of resources	50	92	32	-	79
Total assets and deferred outflows of resources	\$ 907	\$ 4,320	\$ 5,328	\$ 409	\$ 1,308

<u>Fleet Fund</u>	<u>Computer Replacement Fund</u>	<u>Equipment Replacement Fund</u>	<u>Facility Renovation and Replacement Fund</u>	<u>Total</u>
\$ 40	\$ 542	\$ 186	\$ 6	\$ 2,160
21,375	9,906	7,660	8,376	57,234
17	-	-	63	80
78	46	30	64	293
-	-	-	28	28
<u>95</u>	<u>46</u>	<u>30</u>	<u>155</u>	<u>401</u>
-	-	-	-	-
-	36	-	-	677
<u>21,510</u>	<u>10,530</u>	<u>7,876</u>	<u>8,537</u>	<u>60,472</u>
-	-	-	-	-
-	-	-	262	262
2,381	38	138	89,474	92,238
1,437	-	67	7,606	9,110
-	-	-	763	763
42,861	-	-	-	42,861
<u>2,182</u>	<u>4,892</u>	<u>6,356</u>	<u>954</u>	<u>17,503</u>
48,861	4,930	6,561	99,059	162,737
<u>(28,475)</u>	<u>(4,461)</u>	<u>(4,401)</u>	<u>(73,434)</u>	<u>(114,097)</u>
20,386	469	2,160	25,625	48,640
<u>568</u>	<u>-</u>	<u>-</u>	<u>992</u>	<u>1,560</u>
20,954	469	2,160	26,617	50,200
<u>20,954</u>	<u>469</u>	<u>2,160</u>	<u>26,617</u>	<u>50,200</u>
42,464	10,999	10,036	35,154	110,672
292	18	13	66	642
<u>\$ 42,756</u>	<u>\$ 11,017</u>	<u>\$ 10,049</u>	<u>\$ 35,220</u>	<u>\$ 111,314</u>

CITY OF BOULDER, COLORADO

Combining Statement of Net Position
continuedInternal Service Funds

December 31, 2020

(Amounts in 000's)

	Telecom- munications Fund	Property and Casualty Insurance Fund	Workers' Compensation Insurance Fund	Dental Self Insurance Fund	Compensated Absences Fund
Liabilities:					
Current liabilities:					
Accounts and accrued liabilities:					
Vouchers and accounts payable	\$ 43	\$ 183	\$ 46	\$ 36	\$ -
Contracts and retainage payable	-	-	-	-	-
Accrued salaries, wages and amounts withheld from employees	2	19	13	-	-
Accrued environmental cleanup liability	-	-	-	-	-
Accrued claims liability (current portion)	-	294	1,086	41	-
Unearned revenue	-	-	-	-	-
Compensated absences payable (current portion)	-	-	-	-	-
Capitalized lease obligations (current portion)	-	-	-	-	-
Total current liabilities	<u>45</u>	<u>496</u>	<u>1,145</u>	<u>77</u>	<u>-</u>
Non-current liabilities:					
Capitalized lease obligations	-	-	-	-	-
Compensated absences payable	-	31	21	-	-
Accrued claims liability	-	1,803	1,383	-	-
Net pension liability	157	280	-	-	-
OPEB liability	17	24	24	-	28
Total non-current liabilities	<u>174</u>	<u>2,138</u>	<u>1,428</u>	<u>-</u>	<u>28</u>
Total liabilities	<u>219</u>	<u>2,634</u>	<u>2,573</u>	<u>77</u>	<u>28</u>
 Deferred inflows of resources	 <u>75</u>	 <u>234</u>	 <u>119</u>	 <u>-</u>	 <u>620</u>
Net position:					
Net investment in capital assets	-	-	-	-	-
Unrestricted	<u>613</u>	<u>1,452</u>	<u>2,636</u>	<u>332</u>	<u>660</u>
Total net position	<u>\$ 613</u>	<u>\$ 1,452</u>	<u>\$ 2,636</u>	<u>\$ 332</u>	<u>\$ 660</u>

<u>Fleet Fund</u>	<u>Computer Replacement Fund</u>	<u>Equipment Replacement Fund</u>	<u>Facility Renovation and Replacement Fund</u>	<u>Total</u>
\$ 175	\$ 90	\$ 55	\$ 617	\$ 1,245
-	-	-	68	68
57	-	1	22	114
-	-	-	20	20
-	-	-	-	1,421
-	-	-	16	16
9	-	-	-	9
-	-	-	926	926
<u>241</u>	<u>90</u>	<u>56</u>	<u>1,669</u>	<u>3,819</u>
-	-	-	3,604	3,604
63	-	-	18	133
-	-	-	-	3,186
563	37	25	-	1,062
124	2	5	23	247
<u>750</u>	<u>39</u>	<u>30</u>	<u>3,645</u>	<u>8,232</u>
991	129	86	5,314	12,051
<u>794</u>	<u>1</u>	<u>19</u>	<u>118</u>	<u>1,980</u>
20,954	469	2,161	22,019	45,603
<u>20,017</u>	<u>10,418</u>	<u>7,783</u>	<u>7,769</u>	<u>51,680</u>
\$ <u>40,971</u>	\$ <u>10,887</u>	\$ <u>9,944</u>	\$ <u>29,788</u>	\$ <u>97,283</u>

CITY OF BOULDER, COLORADO

Combining Statement of Revenues, Expenses and Changes in Net Position

Internal Service Funds

Year ended December 31, 2021

(Amounts in 000's)

	Telecom- munications Fund	Property and Casualty Insurance Fund	Workers' Compensation Insurance Fund	Dental Self Insurance Fund	Compensated Absences Fund
Operating revenues:					
Charges for services	\$ 89	\$ 2,318	\$ 2,512	\$ 1,183	\$ 855
Sales of goods	-	-	-	-	-
Total operating revenues	<u>89</u>	<u>2,318</u>	<u>2,512</u>	<u>1,183</u>	<u>855</u>
Operating expenses:					
Personnel	76	327	217	-	1,093
Non-personnel	282	4,121	978	1,059	16
Depreciation	125	-	-	-	-
Total operating expenses	<u>483</u>	<u>4,448</u>	<u>1,195</u>	<u>1,059</u>	<u>1,109</u>
Operating income (loss)	<u>(394)</u>	<u>(2,130)</u>	<u>1,317</u>	<u>124</u>	<u>(254)</u>
Nonoperating revenues (expenses):					
Interest and investment earnings	(9)	(43)	(23)	-	(26)
Leases, rents and royalties	-	-	-	-	-
Intergovernmental	-	-	-	-	-
Interest expense	-	-	-	-	-
Gain (loss) on sale of capital assets	-	-	-	-	-
Other (net)	<u>-</u>	<u>-</u>	<u>1</u>	<u>-</u>	<u>-</u>
Total nonoperating revenues (expenses)	<u>(9)</u>	<u>(43)</u>	<u>(22)</u>	<u>-</u>	<u>(26)</u>
Income (loss) before capital contributions, extraordinary items, transfers	(403)	(2,173)	1,295	124	(280)
Capital contributions	-	-	-	-	-
Transfers in	-	-	-	-	-
Transfers out	<u>(1,500)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Changes in net position	<u>(1,903)</u>	<u>(2,173)</u>	<u>1,295</u>	<u>124</u>	<u>(280)</u>
Total net position, beginning of year	<u>2,516</u>	<u>3,625</u>	<u>1,341</u>	<u>208</u>	<u>940</u>
Total net position, end of year	<u>\$ 613</u>	<u>\$ 1,452</u>	<u>\$ 2,636</u>	<u>\$ 332</u>	<u>\$ 660</u>

<u>Fleet Fund</u>	<u>Computer Replacement Fund</u>	<u>Equipment Replacement Fund</u>	<u>Facility Renovation and Replacement Fund</u>	<u>Total</u>
\$ 7,669	\$ 3,544	\$ 1,862	\$ 2,728	\$ 22,760
280	-	-	-	280
<u>7,949</u>	<u>3,544</u>	<u>1,862</u>	<u>2,728</u>	<u>23,040</u>
1,071	-	25	392	3,201
2,991	2,338	397	654	12,836
<u>3,572</u>	<u>100</u>	<u>347</u>	<u>2,542</u>	<u>6,686</u>
<u>7,634</u>	<u>2,438</u>	<u>769</u>	<u>3,588</u>	<u>22,723</u>
<u>315</u>	<u>1,106</u>	<u>1,093</u>	<u>(860)</u>	<u>317</u>
(123)	(47)	(43)	(74)	(388)
-	-	-	131	131
-	-	-	52	52
-	-	-	(191)	(191)
339	20	-	-	359
<u>31</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>32</u>
<u>247</u>	<u>(27)</u>	<u>(43)</u>	<u>(82)</u>	<u>(5)</u>
562	1,079	1,050	(942)	312
-	-	-	9	9
-	1,500	-	150	1,650
<u>(1,703)</u>	<u>(2,000)</u>	<u>(108)</u>	<u>(156)</u>	<u>(5,467)</u>
<u>(1,141)</u>	<u>579</u>	<u>942</u>	<u>(939)</u>	<u>(3,496)</u>
<u>42,112</u>	<u>10,308</u>	<u>9,002</u>	<u>30,727</u>	<u>100,779</u>
\$ <u><u>40,971</u></u>	\$ <u><u>10,887</u></u>	\$ <u><u>9,944</u></u>	\$ <u><u>29,788</u></u>	\$ <u><u>97,283</u></u>

CITY OF BOULDER, COLORADO

Combining Statement of Cash Flows

Internal Service Funds

Year ended December 31, 2021

(Amount in 000's)

	Telecom- munications Fund	Property and Casualty Insurance Fund	Workers' Compensation Insurance Fund	Dental Self Insurance Fund	Compensated Absences Fund
Cash flows from operating activities:					
Receipts from customers and users	\$ 96	\$ 2,318	\$ 2,512	\$ 1,183	\$ 855
Other receipts	-	-	1	-	-
Payments to suppliers	(297)	(3,467)	(1,325)	(1,026)	(16)
Payments to employees	(89)	(359)	(241)	-	(1,178)
Sale of goods	-	-	-	-	-
Net cash provided (used) by operating activities	(290)	(1,508)	947	157	(339)
Cash flows from noncapital financing activities:					
Payments from other funds					
on due from (due to) balances	-	-	-	-	-
Leases, rents and royalties	-	-	-	-	-
Intergovernmental revenue	-	-	-	-	-
Transfers in	-	-	-	-	-
Transfers out	(1,500)	-	-	-	-
Net cash provided (used) by noncapital financing activities	(1,500)	-	-	-	-
Cash flows from capital and related financing activities:					
Acquisition and construction of capital assets	-	-	-	-	-
Proceeds from sale of capital assets	-	-	-	-	-
Principal paid on capitalized lease obligation	-	-	-	-	-
Interest paid on capitalized lease obligation	-	-	-	-	-
Capital contributions	-	-	-	-	-
Net cash provided (used) for capital and related financing activities	-	-	-	-	-
Cash flows from investing activities:					
Purchase of investment securities	(440)	(73)	(617)	-	(22)
Proceeds from sale and maturities of investment securities	1,190	1,619	81	-	380
Interest on investments	(10)	(46)	(25)	-	(27)
Net cash provided (used) in investing activities	740	1,500	(561)	-	331
Net increase (decrease) in cash and cash equivalents	(1,050)	(8)	386	157	(8)
Equity in pooled cash and cash equivalents, January 1	1,050	11	586	252	10
Equity in pooled cash and cash equivalents, December 31	\$ -	\$ 3	\$ 972	\$ 409	\$ 2
Reconciliation of cash and cash equivalents to the statement of net position amounts:					
Equity in pooled cash and cash equivalents	\$ -	\$ 3	\$ 972	\$ 409	\$ 2

<u>Fleet Fund</u>	<u>Computer Replacement Fund</u>	<u>Equipment Replacement Fund</u>	<u>Facility Renovation and Replacement Fund</u>	<u>Total</u>
\$ 7,679	\$ 3,544	\$ 1,862	2,674	\$ 22,723
31	-	-	-	32
(2,866)	(2,260)	(348)	(217)	(11,822)
(1,209)	-	(29)	(436)	(3,541)
280	-	-	-	280
<u>3,915</u>	<u>1,284</u>	<u>1,485</u>	<u>2,021</u>	<u>7,672</u>
143	-	-	-	143
-	-	-	131	131
-	-	-	52	52
-	1,500	-	150	1,650
<u>(1,703)</u>	<u>(2,000)</u>	<u>(108)</u>	<u>(156)</u>	<u>(5,467)</u>
<u>(1,560)</u>	<u>(500)</u>	<u>(108)</u>	<u>177</u>	<u>(3,491)</u>
(3,576)	(272)	(1,115)	(1,454)	(6,417)
764	20	-	-	784
-	-	-	(839)	(839)
-	-	-	(191)	(191)
-	-	-	9	9
<u>(2,812)</u>	<u>(252)</u>	<u>(1,115)</u>	<u>(2,475)</u>	<u>(6,654)</u>
(1,380)	(782)	(895)	(659)	(4,868)
1,994	188	151	265	5,868
<u>(136)</u>	<u>(52)</u>	<u>(47)</u>	<u>(78)</u>	<u>(421)</u>
478	(646)	(791)	(472)	579
21	(114)	(529)	(749)	(1,894)
19	656	715	755	4,054
<u>\$ 40</u>	<u>\$ 542</u>	<u>\$ 186</u>	<u>\$ 6</u>	<u>\$ 2,160</u>
<u>\$ 40</u>	<u>\$ 542</u>	<u>\$ 186</u>	<u>\$ 6</u>	<u>\$ 2,160</u>

(continued)

CITY OF BOULDER, COLORADO

Combining Statement of Cash Flows.
continuedInternal Service Funds

Year ended December 31, 2021

(Amount in 000's)

	Telecom- munications Fund	Property and Casualty Insurance Fund	Workers' Compensation Insurance Fund	Dental Self Insurance Fund	Compensated Absences Fund
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:					
Operating income (loss)	\$ (394)	\$ (2,130)	\$ 1,317	\$ 124	\$ (254)
Adjustments to reconcile net operating income (loss) to net cash provided (used) by operating activities:					
Depreciation	125	-	-	-	-
Other nonoperating revenues (expenses)	-	-	1	-	-
Change in assets and liabilities:					
(Increase) decrease in assets:					
Accounts receivable	7	-	-	-	-
Other assets - prepaid expenses	-	(142)	-	-	-
Deferred Outflows - PERA Pension	(9)	(39)	(26)	-	(74)
Deferred Outflows - PERA/Retiree OPEB	(1)	(3)	(2)	-	-
Increase (decrease) in liabilities:					
Vouchers and accounts payable	(15)	(386)	(20)	36	-
Contracts and retainage payable	-	-	-	-	-
Accrued salaries, wages and amounts withheld from employees	(3)	5	3	-	-
Pension Liability	(25)	(105)	(23)	-	(183)
Other liabilities	-	-	-	-	-
Deferred Inflows - PERA Pension	23	102	21	-	178
Deferred Inflows - PERA/Retiree OPEB	2	5	3	-	10
Deferred Inflows - City OPEB	-	-	-	-	-
Accrued claims liability	-	1,182	(327)	(3)	-
Compensated absences	-	6	2	-	-
OPEB liability	-	(3)	(2)	-	(16)
Total adjustments	104	622	(370)	33	(85)
Net cash provided (used) by operating activities	\$ (290)	\$ (1,508)	\$ 947	\$ 157	\$ (339)
Noncash investing, capital and financing activities:					
Increase (decrease) in fair value of investments	1	3	2	-	1
	\$ 1	\$ 3	\$ 2	\$ -	\$ 1

<u>Fleet Fund</u>	<u>Computer Replacement Fund</u>	<u>Equipment Replacement Fund</u>	<u>Facility Renovation and Replacement Fund</u>	<u>Total</u>
\$ <u>315</u>	\$ <u>1,106</u>	\$ <u>1,093</u>	\$ <u>(860)</u>	\$ <u>317</u>
3,572	100	347	2,542	6,686
31	-	-	-	32
10	-	-	(54)	(37)
-	(1)	-	-	(143)
(122)	-	(4)	(45)	(319)
(16)	-	-	(5)	(27)
126	79	48	458	326
-	-	-	13	13
8	-	-	4	17
(327)	-	(8)	-	(671)
-	-	-	(34)	(34)
320	-	9	(4)	649
15	-	-	6	41
(3)	-	-	(1)	(4)
-	-	-	-	852
(12)	-	-	3	(1)
(2)	-	-	(2)	(25)
<u>3,600</u>	<u>178</u>	<u>392</u>	<u>2,881</u>	<u>7,355</u>
\$ <u><u>3,915</u></u>	\$ <u><u>1,284</u></u>	\$ <u><u>1,485</u></u>	\$ <u><u>2,021</u></u>	\$ <u><u>7,672</u></u>
<u>13</u>	<u>5</u>	<u>4</u>	<u>4</u>	<u>33</u>
\$ <u><u>13</u></u>	\$ <u><u>5</u></u>	\$ <u><u>4</u></u>	\$ <u><u>4</u></u>	\$ <u><u>33</u></u>

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SUPPLEMENTARY SCHEDULES

CITY OF BOULDER, COLORADO

Supplementary Schedule

Combined Schedule of Long-Term Debt Payable

December 31, 2021

(Amounts in 000's)

	Interest rates %	Issued	Dates Maturity	Authorized and issued	Outstanding	Current portion
Governmental Activities:						
Supported by sales tax revenues and other financing sources:						
General Obligation Bonds:						
Open Space Acquisition Bonds	2.00 - 3.00	10/9/14	8/15/34	\$ 10,000	6,980	460
Premium on Bonds				-	58	-
				<u>10,000</u>	<u>7,038</u>	<u>460</u>
General Fund Cap. Imp. Projects Bonds	2.00 - 4.00	3/22/12	10/01/31	2,250	2,250	2,250
Premium on Cap. Imp. Projects Bonds				-	-	-
				<u>2,250</u>	<u>2,250</u>	<u>2,250</u>
Supported by base rentals:						
Certificates Of Participation Series 2015	2.00 - 3.80	11/17/15	11/01/36	41,000	32,000	1,670
Premium on COPS				-	320	-
Certificates Of Participation Series 2019	2.25 - 2.90	9/26/19	11/01/39	20,000	18,450	825
Premium on COPS				-	118	-
				<u>61,000</u>	<u>50,888</u>	<u>2,495</u>
Lease Purchase Revenue Notes:						
Boulder Municipal Property Authority:						
Open space acquisition:						
E.R.T.L. Note 2013A	3.25	10/31/13	10/31/23	5,000	1,132	557
Lippencott Property Note 2018A	3.50	11/01/18	11/01/38	6,975	6,209	273
				<u>11,975</u>	<u>7,341</u>	<u>830</u>
Notes Payable:						
Hogan Pancost Land Acquisition Note	6.00	4/20/18	4/20/23	2,750	912	599
Community Culture and Safety Sales and Use Tax Revenue Note, Series 2019	2.74 - 3.51	1/20/19	12/1/2022	8,100	2,119	2,119
				<u>10,850</u>	<u>3,031</u>	<u>2,718</u>
Capital Lease Purchase Agreements						
Banc of America Leasing & Capital, LLC	4.93	9/27/10	11/27/23	1,500	299	146
Suntrust Equipment Finance & Leasing Corp.	2.65	1/25/12	7/25/27	9,250	4,230	780
				<u>10,750</u>	<u>4,529</u>	<u>926</u>
Direct Purchase Notes						
General Fund Refunding Note, (Cap. Imp Proj.), Series 2021	1.55	1/19/21	10/01/31	26,795	26,355	345
GO Waste Reduction Refunding Notes, Series 2020	2.01	1/16/20	12/01/29	3,515	2,860	335
Taxable Pension Obligation Refunding Notes, Series 2020	1.66	9/16/20	10/01/30	5,445	4,945	515
				<u>35,755</u>	<u>34,160</u>	<u>1,195</u>
Compensated Absences				-	10,331	977
Estimated Claims Payable				-	4,607	1,421
				<u>-</u>	<u>14,938</u>	<u>2,398</u>
Total Governmental Activities and total supported by sales tax revenues and other financing sources				\$ <u>142,580</u>	\$ <u>124,175</u>	\$ <u>13,272</u>

CITY OF BOULDER, COLORADO

Supplementary ScheduleCombined Schedule of Long-Term Debt Payable,
(continued)

December 31, 2020

(Amounts in 000's)

	<u>Interest rates</u>	<u>Issued</u>	<u>Dates Maturity</u>	<u>Authorized and issued</u>	<u>Outstanding</u>	<u>Current portion</u>
Business-type Activities:						
Supported by utility revenues:						
Revenue Bonds:						
Water and Sewer Revenue Refunding Bonds	4.00 - 5.00	11/20/12	12/01/25	\$ 24,325	11,045	2,575
Premium on Bonds				-	838	-
Storm Water & Flood Mgmt Revenue Bond	2.00 - 3.50	7/20/15	12/01/34	22,845	16,720	1,070
Premium on Bonds				-	234	-
Water and Sewer Revenue Bonds	2.00 - 3.25	10/1/15	12/01/35	10,075	7,590	445
Premium on Bonds				-	98	-
Water and Sewer Revenue Bonds	2.00 - 3.125	6/7/16	12/01/35	34,145	25,935	1,595
Premium on Bonds				-	666	-
Water and Sewer Revenue Bonds	3.00 - 3.375	6/18/18	12/01/38	38,260	34,335	1,575
Premium on Bonds				-	376	-
				<u>129,650</u>	<u>97,837</u>	<u>7,260</u>
Direct Purchase Notes						
Water and Sewer Revenue Refunding Notes, Series 2020	1.40%	9/17/2020	12/01/30	5,100	4,635	485
				<u>5,100</u>	<u>4,635</u>	<u>485</u>
Total supported by utility revenues				<u>134,750</u>	<u>102,472</u>	<u>7,745</u>
Supported by parking revenues:						
General Obligation General Improvement District Bonds:						
Downtown Commercial District:						
Parking Facilities	2.00 - 3.00	11/28/12	8/15/23	7,275	1,610	790
Premium on Bonds				-	24	-
Total supported by parking revenues				<u>7,275</u>	<u>1,634</u>	<u>790</u>
Compensated Absences				-	1,113	139
Total Business-type Activities				<u>\$ 142,025</u>	<u>\$ 105,219</u>	<u>\$ 8,674</u>

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STATISTICAL TABLES

Statistical tables are presented to provide an historical financial review of and additional information about the City of Boulder. The various tables provide information useful in analyzing the existing financial position of the City as well as in identifying trends.

The source of the statistical information in the following tables is taken from the City's records unless otherwise noted.

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CITY OF BOULDER, COLORADO

Statistical Section

Index

December 31, 2021

(Unaudited)

The statistical section of the City's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the City's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the City's financial performance and well being have changed over time.	
Net Position by Component	270
Changes in Net Position	272
Fund Balances - Governmental Funds	276
Changes in Fund Balances - Governmental Funds	278
Revenue Capacity	
These schedules contain information to help the reader assess the City's most significant local revenue sources, the property tax (or sales tax).	
Taxable Sales by Market Sector	280
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Largest Sales Tax Remitters by Market Sector	283
Debt Capacity	
These schedules present information to help the reader assess the affordability of the City's current level of outstanding debt and the City's ability to issue additional debt in the future.	
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Ratios of General Bonded Debt Outstanding	288
Direct and Overlapping Debt	289
Legal Debt Margin Information	290
Pledged Revenue Coverage	292
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the City's financial activities take place.	
Demographic and Economic Statistics	294
Principal Employers	295
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the City's financial report relates to the services the City provides and the activities it performs.	
Full Time Equivalent City Employees by Functions/Programs	296
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Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

CITY OF BOULDER, COLORADO

Statistical Data

Net Position By Component

Last Ten Fiscal Years
(Unaudited)(Accrual Basis of Accounting)
(Amounts in 000's)

	Fiscal Year			
	2012	2013	2014	2015
Governmental activities:				
Net Investment in capital assets	\$ 458,372	\$ 480,321	\$ 494,209	\$ 521,402
Restricted	35,096	33,822	61,410	65,690
Unrestricted	102,519	113,701	112,637	45,565
Total governmental activities net position	<u>\$ 595,987</u>	<u>\$ 627,844</u>	<u>\$ 668,256</u>	<u>\$ 632,657</u>
Business-type activities:				
Net Investment in capital assets	\$ 325,883	\$ 331,096	\$ 345,149	\$ 343,555
Restricted	257	265	269	273
Unrestricted	61,583	67,747	72,770	68,100
Total business-type activities net position	<u>\$ 387,723</u>	<u>\$ 399,108</u>	<u>\$ 418,188</u>	<u>\$ 411,928</u>
Primary government:				
Net Investment in capital assets	\$ 727,155	\$ 811,417	\$ 839,358	\$ 864,957
Restricted	81,581	34,087	61,679	65,963
Unrestricted	174,974	181,448	185,407	113,665
Total primary government net position	<u>\$ 983,710</u>	<u>\$ 1,026,952</u>	<u>\$ 1,086,444</u>	<u>\$ 1,044,585</u>

(a) 2016 total was updated to reflect a change on the financial statements

Note: Fiscal year 2012 has not been restated for the effect of the adoption of GASB 65.

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ 545,505	\$ 577,789	\$ 612,784	\$ 630,173	\$ 655,214	\$ 679,747
77,392	94,646	90,764	96,273	86,950	99,291
46,051	12,517	(12,728)	20,245	36,200	76,523
<u>\$ 668,948</u>	<u>(a) \$ 684,952</u>	<u>\$ 690,820</u>	<u>\$ 746,691</u>	<u>\$ 778,364</u>	<u>\$ 855,561</u>
\$ 375,949	\$ 387,932	\$ 405,547	\$ 425,576	\$ 450,274	\$ 464,418
279	288	302	309	313	319
64,613	77,110	78,011	92,599	103,351	119,939
<u>\$ 440,841</u>	<u>\$ 465,330</u>	<u>\$ 483,860</u>	<u>\$ 518,484</u>	<u>\$ 553,938</u>	<u>\$ 584,676</u>
\$ 921,454	\$ 965,721	\$ 1,018,331	\$ 1,055,749	\$ 1,105,488	\$ 1,144,165
77,671	94,934	91,066	96,582	87,263	99,610
110,664	89,627	65,283	112,844	139,551	196,462
<u>\$ 1,109,789</u>	<u>\$ 1,150,282</u>	<u>\$ 1,174,680</u>	<u>\$ 1,265,175</u>	<u>\$ 1,332,302</u>	<u>\$ 1,440,237</u>

CITY OF BOULDER, COLORADO

Statistical Data

Changes In Net Position

Last Ten Fiscal Years
(Unaudited)(Accrual Basis of Accounting)
(Amounts in 000's)

	Fiscal Year			
	2012	2013	2014	2015
Expenses:				
Governmental activities:				
General Government	\$ 16,625	\$ 22,857	\$ 22,406	\$ 13,436
Administrative Services	2,627	4,387	7,655	6,742
Public Safety	49,693	50,468	50,662	50,190
Public Works	33,110	27,558	37,406	39,117
Planning & Development Services	5,555	6,087	6,041	14,033
Culture and Recreation	28,112	30,749	30,819	32,247
Open Space and Mountain Parks	13,040	16,023	16,774	20,922
Housing and Human Services	14,431	17,937	19,795	23,400
Interest on long-term debt	2,984	3,532	2,679	9,750
Total governmental activities expenses	166,177	179,598	194,237	209,837
Business-type activities:				
Water utility	21,925	22,599	22,644	22,546
Wastewater utility	13,776	13,916	14,703	13,550
Stormwater and flood management	4,523	4,461	6,812	6,873
Parking facilities and services	7,303	6,853	6,892	6,583
Property and facility acquisition	479	1,118	463	618
Total business-type activities expenses	48,006	48,947	51,514	50,170
Total primary government expenses	214,183	228,545	245,751	260,007
Program revenue:				
Governmental activities:				
Charges for services:				
General Government	7,593	7,546	7,262	9,563
Administrative Services	548	1,163	676	1,039
Public Safety	1,629	1,652	2,273	675
Public works	1,730	2,070	4,474	1,658
Planning & Development Services	7,473	7,710	8,640	8,654
Culture and Recreation	9,041	9,015	9,358	11,576
Open Space and Mountain Parks	506	423	475	798
Housing and Human Services	13,303	7,859	6,458	4,825
Operating grants and contributions:	6,911	5,824	12,213	11,400
Capital grants and contributions:	9,260	7,630	8,906	6,175
Total governmental activities program revenue	57,994	50,892	60,735	56,363
Business-type activities:				
Charges for services:				
Water utility	24,592	23,269	22,950	28,813
Wastewater utility	13,013	14,267	13,979	19,583
Stormwater and flood management	5,167	5,537	5,637	10,530
Parking facilities and services	4,483	4,905	5,475	6,216
Property and facility acquisition	2,336	1,625	2,091	-
Operating grants and contributions:	181	138	-	1,931
Capital grants and contributions:	5,175	6,498	17,983	5,665
Total business-type activities program revenues	54,947	56,239	68,115	72,738
Total primary government program revenues	112,941	107,131	128,850	129,101
Net (expense) revenue:				
Governmental activities	(108,183)	(128,706)	(133,502)	(153,474)
Business-type activities	6,941	7,292	16,601	22,568
Total primary government net expense	\$ (101,242)	\$ (121,414)	\$ (116,901)	\$ (130,906)

(a) 2016 total was updated to reflect a change on the financial statements

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ 20,073	\$ 32,773	\$ 32,376	\$ 34,882	\$ 21,302	\$ 18,336
9,750	10,278	11,320	6,757	8,649	9,158
58,151	58,350	60,970	50,216	60,699	58,827
43,112	39,571	44,305	49,277	53,167	40,121
14,600	17,334	32,297	16,417	17,477	15,622
36,216	37,359	41,175	24,657	29,004	31,575
22,010	30,110	26,200	23,440	25,702	24,699
13,085	29,214	16,120	35,506	34,321	22,971
3,815	3,468	3,408	3,480	3,618	2,640
220,812	258,457	268,171	244,632	253,939	223,949
23,540	23,431	23,995	23,575	24,809	27,297
14,309	15,125	16,256	15,030	15,644	15,976
7,468	7,916	9,589	8,721	8,879	9,487
6,546	7,192	7,455	7,353	7,346	6,906
661	870	813	671	606	610
52,524	54,534	58,108	55,350	57,284	60,276
273,336	312,991	326,279	299,982	311,223	284,225
10,537	9,891	10,006	10,994	7,429	8,228
1,084	1,436	1,757	1,517	1,975	1,740
384	218	597	576	382	1,111
1,475	1,689	2,801	3,177	3,129	388
9,422	9,037	10,499	10,870	10,079	8,965
9,302	8,947	9,276	11,113	6,244	8,332
889	1,322	1,886	961	964	1,358
1,414	11,334	10,055	11,109	5,047	12,998
12,856	17,211	12,645	11,146	19,828	14,643
8,439 (a)	4,305	1,494	2,445	2,895	6,639
55,802	65,390	61,016	63,908	57,972	64,402
29,386	28,742	29,714	30,323	33,757	35,731
18,849	19,229	21,402	21,831	21,741	24,833
10,772	10,861	11,447	12,173	13,223	14,846
6,144	6,629	7,012	7,142	4,346	6,018
165	280	271	153	310	141
3,664	3,353	(705)	-	-	-
7,854	5,912	4,427	11,479	12,676	6,469
76,834	75,006	73,568	83,101	86,053	88,038
132,636	140,396	134,584	147,009	144,025	152,440
(165,010)	(193,067)	(207,155)	(180,724)	(195,967)	(159,547)
24,310	20,472	15,460	27,751	28,769	27,762
\$ (140,700)	\$ (172,595)	\$ (191,695)	\$ (152,973)	\$ (167,198)	\$ (131,785)

CITY OF BOULDER, COLORADO

Statistical Data

Changes In Net Position (Continued)

Last Ten Fiscal Years
(Unaudited)(Accrual Basis of Accounting)
(Amounts in 000's)

	Fiscal Year				
	2012	2013	2014	2015	2016
General revenues and other changes in net position:					
Governmental activities:					
Taxes:					
Sales and use taxes	\$ 97,397	\$ 104,136	\$ 116,316	\$ 131,323	\$ 136,269
Property taxes	29,474	29,434	30,353	30,846	36,897
Accommodation taxes	4,890	5,192	6,443	7,019	7,927
Occupation Taxes	12,310	12,815	12,226	12,777	12,693
Specific Ownership & Tobacco taxes	1,789	1,839	1,954	2,109	2,277
Excise Taxes	1,290	1,338	3,235	4,453	2,253
Interest and investment earnings	1,052	755	906	1,097	1,976
Miscellaneous	1,645	1,678	1,437	1,008	2,825
Gain on Sale of Capital Assets	2,173	3,878	99	2,313	219
Transfers	16,764	(1,630)	(11)	(2,711)	(2,035)
Extraordinary Item	-	1,888	956	-	-
Total governmental activities	<u>168,784</u>	<u>161,323</u>	<u>173,914</u>	<u>190,234</u>	<u>201,301</u>
Business-type activities:					
Taxes:					
Sales and use tax increment	119	118	-	-	-
Property taxes	1,952	1,976	2,013	1,178	1,293
Accommodation taxes	781	844	-	-	-
2021					
Specific Ownership & Tobacco taxes	55	60	66	69	57
Interest and investment earnings	384	301	324	486	1,073
Miscellaneous	974	91	65	45	145
Gain on Sale of Capital Assets	-	-	-	562	-
Transfers	(16,764)	1,630	11	2,711	2,035
Total business-type activities	<u>(12,499)</u>	<u>5,020</u>	<u>2,479</u>	<u>5,051</u>	<u>4,603</u>
Total primary government	<u>156,285</u>	<u>166,343</u>	<u>176,393</u>	<u>195,285</u>	<u>205,904</u>
Changes in net position:					
Governmental activities	60,601	27,821	173,914	36,760	36,291
Business-type activities	(5,558)	21,621	2,479	27,619	28,913
Total primary government	<u>\$ 55,043</u>	<u>\$ 49,442</u>	<u>\$ 176,393</u>	<u>\$ 64,379</u>	<u>\$ 65,204</u>

(a) 2016 total was updated to reflect a change on the financial statements

		Fiscal Year		
2017	2018	2019	2020	2021
\$ 135,913	\$ 142,344	\$ 144,025	137,340	154,694
37,252	43,700	43,156	47,804	47,945
8,932	10,024	10,865	4,007	7,796
12,551	16,623	14,563	11,597	11,893
2,637	2,463	2,609	2,618	2,699
5,739	7,486	8,426	6,201	6,311
1,491	3,566	7,973	7,592	(1,294)
5,526	280	1,110	5,147	1,406
410	297	4,965	6,023	3,603
(1,380)	(1,299)	(1,097)	(689)	1,691
-	-	-	-	-
209,071	225,484	236,595	227,640	236,744
-	-	-	-	-
1,402	1,554	1,590	1,665	1,858
-	-	-	-	-
91	76	87	81	90
885	1,744	3,843	4,017	(647)
158	450	256	233	947
101	-	-	-	2,419
1,380	1,299	1,097	689	(1,691)
4,017	5,123	6,873	6,685	2,976
213,088	230,607	243,468	234,325	239,720
-	-	-	-	-
-	-	-	-	-
16,004	18,329	55,871	31,673	77,197
24,489	20,583	34,624	35,454	30,738
(a) \$ 40,493	\$ 38,912	\$ 90,495	\$ 67,127	\$ 107,935

CITY OF BOULDER, COLORADO

Statistical Data

Fund Balances - Governmental Funds

Last Ten Fiscal Years
(Unaudited)

(Modified Accrual Basis of Accounting)
(Amounts in 000's)

	Fiscal Year			
	2012	2013	2014	2015
General Fund:				
Nonspendable	276	1,646	260	115
Restricted	2,492	1,694	1,481	2,315
Assigned	10,016	10,886	10,202	9,450
Unassigned	25,471	28,216	39,129	42,674
Total General Fund	<u>\$ 38,255</u>	<u>\$ 42,442</u>	<u>\$ 51,072</u>	<u>\$ 54,554</u>
All Other Governmental Funds:				
Nonspendable	47	50	46	63
Restricted	78,732	63,649	59,829	68,445
Committed	15,399	19,376	17,195	10,352
Assigned	21,964	23,754	26,996	29,020
Unassigned	-	-	(20)	-
Total all other government funds	<u>\$ 116,142</u>	<u>\$ 106,829</u>	<u>\$ 104,046</u>	<u>\$ 107,880</u>

Fiscal Year					
2016	2017	2018	2019	2020	2021
122	221	48	92	150	107
2,394	5,306	5,192	4,283	2,485	2,202
8,619	8,007	7,049	9,686	7,744	10,849
47,487	38,922	48,326	71,350	67,150	81,584
<u>\$ 58,622</u>	<u>\$ 52,456</u>	<u>\$ 60,615</u>	<u>\$ 85,411</u>	<u>\$ 77,529</u>	<u>\$ 94,742</u>
39	121	79	90	108	65
74,898	71,985	85,572	89,734	84,465	97,089
11,994	11,072	11,218	10,708	10,883	17,622
30,396	39,339	24,966	29,767	32,584	35,232
-	-	-	-	-	-
<u>\$ 117,327</u>	<u>\$ 122,517</u>	<u>\$ 121,835</u>	<u>\$ 130,299</u>	<u>\$ 128,040</u>	<u>\$ 150,008</u>

CITY OF BOULDER, COLORADO

Statistical Data

Changes In Fund Balances - Governmental Funds

Last Ten Fiscal Years
(Unaudited)(Modified Accrual Basis of Accounting)
(Amounts in 000's)

	Fiscal Year			
	2012	2013	2014	2015
Revenues:				
Taxes:				
Sales and use taxes	\$ 97,397	\$ 104,136	\$ 116,316	\$ 131,323
General property taxes	29,474	29,434	30,353	30,846
Accommodation taxes	4,890	5,192	6,443	7,019
Occupation taxes	12,310	12,815	12,218	12,772
Specific Ownership & Tobacco taxes	1,788	1,839	1,954	2,109
Excise taxes	1,290	1,338	3,235	4,453
Charges for services	27,030	22,670	22,946	20,880
Sale of goods	628	863	593	1,269
License, permits and fines	11,918	12,156	12,813	13,005
Intergovernmental	16,420	13,348	18,188	12,347
Leases, rents and royalties	2,433	2,365	2,651	4,140
Interest and investment earnings	879	563	686	827
Other	1,792	1,556	2,069	2,596
Total revenues	208,249	208,275	230,465	243,586
Expenditures:				
General Government	18,568	20,161	16,556	53,077
Administrative Services	9,149	10,024	6,773	8,480
Public Safety	47,825	48,202	50,280	52,915
Public Works	22,178	27,896	38,322	46,114
Planning & Development Services	4,370	4,659	6,014	14,263
Culture and Recreation	25,677	28,089	30,423	32,965
Open Space and Mountain Parks	12,055	22,521	20,433	20,999
Housing and Human Services	13,384	20,226	24,564	23,279
Capital outlay	29,111	19,218	27,130	9,750
Debt service payments:				
Principal	10,549	11,201	9,425	10,142
Interest	3,025	3,549	3,205	3,266
Base rentals to Boulder Municipal Property Authority	3,452	1,625	2,091	1,701
Cost of issuance - refunding bonds	28	-	-	-
Total expenditures	193,934	217,371	235,216	276,951
Excess of revenues (under) expenditures	(12,686)	(9,096)	(4,751)	(33,365)
Other financing sources (uses):				
Sale of capital assets	24	257	7	1,970
Long-Term bonds issued	-	-	-	-
Bonds issued (including refunding bonds)	9,203	-	10,000	41,000
Premium on bonds issued	-	-	123	561
Financing of capital lease	-	-	-	-
Transfers in	21,638	20,371	8,334	7,333
Transfers out	(18,563)	(18,653)	(8,822)	(10,296)
Payment to refunding bond escrow agent	-	-	-	-
Total other financing sources (uses)	12,302	2,082	9,642	40,568
Extraordinary Item				
Flood insurance recoveries	-	1,888	956	-
Net changes in fund balance	\$ (384)	\$ (5,126)	\$ 5,847	\$ 7,203
Debt service as a percentage of noncapital expenditures (a)	9.4%	8.5%	6.8%	6.5%

(a) These percentages have been changed from prior year reports to more accurately reflect the Debt Service percentage of noncapital expenditures. To calculate the ratio, divide total debt service expenditures (principal and interest) by total noncapital expenditures (the difference between total expenditures and capitalized capital outlay expenditures).

Fiscal Year					
2016	2017	2018	2019	2020	2021
\$ 136,269	\$ 131,857	\$ 146,400	\$ 144,025	\$ 137,340	\$ 154,694
36,897	37,252	43,700	43,156	47,804	47,945
7,927	8,932	10,024	10,865	4,007	7,796
12,693	12,564	16,579	14,560	11,644	11,893
2,277	2,637	2,463	2,609	2,618	2,699
2,253	5,739	7,486	8,426	6,201	6,311
15,839	25,745	23,476	30,885	16,621	24,512
384	401	639	6,499	9,150	4,187
14,220	13,680	15,663	14,483	12,662	12,259
16,270	26,787	12,439	12,149	18,886	19,854
7,403	6,414	6,612	6,781	7,634	8,621
1,529	1,117	2,709	6,211	5,432	(906)
4,175	6,544	4,406	3,434	4,108	4,380
258,136	279,669	292,596	304,083	284,107	304,245
17,951	21,835	31,961	22,829	22,861	21,850
8,836	7,643	7,716	9,966	12,209	16,140
54,214	56,420	58,742	61,116	61,245	61,945
51,706	53,053	45,202	47,775	56,268	48,779
14,199	15,517	31,553	18,264	17,765	16,628
33,209	35,207	33,998	40,493	36,199	31,784
22,725	30,641	45,601	27,967	32,404	32,499
12,682	32,454	15,470	36,671	37,010	25,097
11,378	11,415	10,298	17,215	3,377	2,082
9,560	9,333	9,005	9,854	9,254	9,744
4,386	4,106	3,856	4,069	4,253	3,022
1,618	1,002	768	1,155	1,154	1,084
-	-	-	-	-	-
242,464	278,626	294,170	297,374	293,999	270,654
15,672	1,043	(1,574)	6,709	(9,892)	33,591
4	7	-	-	-	-
-	-	-	-	8,960	26,795
-	-	-	28,243	-	-
-	-	-	-	-	-
-	-	9,725	-	-	-
11,710	7,707	8,206	50,067	17,851	27,042
(13,871)	(9,733)	(8,880)	(51,759)	(18,540)	(21,533)
-	-	-	-	(8,520)	(26,713)
(16,028)	(2,019)	9,051	26,551	(249)	5,591
-	-	-	-	-	-
\$ (356)	\$ (976)	\$ 7,477	\$ 33,260	\$ (10,141)	\$ 39,182
6.7%	5.9%	5.4%	5.4%	5.5%	5.6%

CITY OF BOULDER, COLORADO

Statistical Data

Taxable Sales by Market Sector

Last Ten Fiscal Years
(Unaudited)

(Amounts in 000's)

Market Sector	2012	2013	2014	2015
Apparel Stores	\$ 110,467	\$ 111,042	\$ 118,703	\$ 122,977
Automotive Trade	187,675	205,342	223,429	235,029
Building Material-Retail	94,886	108,685	111,381	114,560
Computer Related Business Sector	188,876	208,352	200,512	205,890
Construction Sales Tax	12,006	12,642	11,576	-
Construction Use Tax	171,106	266,139	251,594	-
Constructions Firms Sales/Use Tax	-	-	-	276,746
Consumer Electronics	62,924	58,300	67,677	66,687
Eating Places	384,485	387,596	410,251	437,428
Food Stores	388,154	395,837	416,890	440,661
General Retail	606,359	611,228	628,223	658,659
Home Furnishings	81,243	79,745	87,804	89,689
Transportation/Utilities	208,713	226,972	243,605	229,281
All Other	359,324	381,961	495,657	524,543
Refunds	-	-	-	-
Total Sales and Use Tax	<u>\$ 2,856,218</u>	<u>\$ 3,053,841</u>	<u>\$ 3,267,302</u>	<u>\$ 3,402,150</u>
Direct city sales tax rate	3.41%	3.41%	3.56%	3.86%
Food service sales tax	0.15%	0.15%	0.15%	0.15%
Total direct city sales tax	<u>3.56%</u>	<u>3.56%</u>	<u>3.71%</u>	<u>4.01%</u>

(a) 2017 revenues were revised and the most significant difference relates to a large business use tax payment that was received in March 2018 and accrued back to 2017.

Source: Annual Sales and Use Tax Revenue Reports prepared by the City of Boulder Sales Tax Division.

2016	2017 (a)	2018	2019	2020	2021
\$ 123,958	\$ 116,513	\$ 118,308	\$ 105,696	\$ 90,814	\$ 127,311
239,489	251,106	258,584	262,565	268,208	332,835
121,991	121,201	121,719	125,063	132,942	146,375
195,938	188,351	198,501	192,020	254,960	284,801
-	-	-	-	-	-
-	-	-	-	-	-
304,301	279,081	352,701	308,127	342,503	276,028
71,024	59,211	73,263	75,110	99,860	131,596
451,436	461,091	477,032	484,459	308,278	420,555
452,030	448,173	438,804	442,771	547,934	512,509
737,753	675,023	709,676	702,917	688,108	888,508
92,314	92,483	93,697	84,191	63,575	70,312
220,926	216,678	214,292	214,138	210,622	229,940
519,125	612,152	631,091	734,161	550,228	586,847
-	-	-	-	-	-
<u>\$ 3,530,285</u>	<u>\$ 3,521,063</u>	<u>\$ 3,687,668</u>	<u>\$ 3,731,218</u>	<u>\$ 3,558,032</u>	<u>\$ 4,007,617</u>
3.86%	3.86%	3.86%	3.86%	3.86%	3.86%
0.15%	0.15%	0.15%	0.15%	0.15%	0.15%
4.01%	4.01%	4.01%	4.01%	4.01%	4.01%

CITY OF BOULDER, COLORADO

Statistical Data

Direct and Overlapping Sales Tax Rates

Last Ten Fiscal Years
(Unaudited)

City Direct Rates										
Tax	General Fund	General Fund	General Fund	General Fund	General Fund	Open Space	Open Space	Open Space	Transportation	Transportation
			(Formerly Public Safety)	(formerly, 15 Fund	(portion from Open Space)					
Year Levied	Sales Tax No Expiration	Sales Tax No Expiration	Sales Tax Expires 12/31/24	Sales Tax No Expiration	Sales Tax No Expiration	Sales Tax No Expiration	Sales Tax No Expiration	Sales Tax Expires 12/31/39	Sales Tax No Expiration	Sales Tax Expires 12/31/29
2012	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	-
2013	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	-
2014	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	0.15%
2015	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	0.15%
2016	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	0.15%
2017	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	0.15%
2018	1.00%	0.38%	0.15%	0.15%	-	0.40%	0.33%	0.15%	0.60%	0.15%
2019	1.00%	0.38%	0.15%	0.15%	0.11%	0.40%	0.22%	0.15%	0.60%	0.15%
2020	1.00%	0.38%	0.15%	0.15%	0.11%	0.40%	0.22%	0.15%	0.60%	0.15%
2021	1.00%	0.38%	0.15%	0.15%	0.11%	0.40%	0.22%	0.15%	0.60%	0.15%

Source: City Sales Tax Division and the Colorado Department of Revenue

Notes: Food services establishments collections are deposited into the General Fund and a check written for the total to the Boulder Center for Conference Services and Cultural Affairs.

Overlapping rates are those of local, county, regional and state governments that apply to sales within the City.

				Overlapping Rates					
Parks Acquisition	Food Service	Capital Projects for							
& Recreation	Establishments	Community, Safety, and Culture		Regional					Total
Sales Tax Expires 12/31/35	Sales Tax No Expiration	Sales Tax Expires 12/31/36	Total Direct	State of Colorado	Transportation District	Cultural District	Boulder County	Total Overlapping	Direct and Overlapping
0.25%	0.15%	-	3.56%	2.90%	1.00%	0.10%	0.80%	4.80%	8.36%
0.25%	0.15%	-	3.56%	2.90%	1.00%	0.10%	0.80%	4.80%	8.36%
0.25%	0.15%	-	3.71%	2.90%	1.00%	0.10%	0.80%	4.80%	8.51%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%
0.25%	0.15%	0.30%	4.01%	2.90%	1.00%	0.10%	0.985%	4.99%	9.00%

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CITY OF BOULDER, COLORADO

Statistical Data

Largest Sales Tax Remitters by Market Sector

Current Year and Nine Years Ago
(Unaudited)

(Amounts in 000's)

Market Sector	2012			2021		
	Number Of Filers	Tax Liability	Percentage Of Total	Number Of Filers	Tax Liability	Percentage Of Total
Food Stores	4	\$ 6,727	7.26%	4	\$ 8,160	5.27%
Automotive Trade	1	2,309	2.49%	1	6,319	4.08%
Computer Related Business Sector	1	1,619	1.75%	0	-	0.00%
General Retail, Utilities, & Other	4	8,696	9.39%	5	16,070	10.39%
Total	10	\$ 19,351	20.89%	10	\$ 30,549	19.75%

Source: City of Boulder Sales Tax Division

Note: Individual sales tax payer information is confidential under Boulder Revised Code. Due to this, the names is provided to present alternative information regarding the concentration of the city's sales tax revenue source: by industry.

CITY OF BOULDER, COLORADO

Statistical Data

Ratios of Net Outstanding Debt by Type

Last Ten Fiscal Years
(Unaudited)

(Amounts in 000's)

Fiscal Year	Governmental Activities								Business-Type Activities	
	General Obligation Bonds/Notes	Taxable Pension Obligation Bonds/Notes	Revenue Bonds/Notes	Certificates Of Participation	Lease Purchase Revenue Notes	Capitalized Lease Obligations	Notes Payable	Loans Payable	General Obligation Bonds	Revenue Bonds/Notes
2012 (b)	87,577	8,531	2,739	-	-	10,391	-	250	14,046	82,204
2013	77,717	8,176	1,378	-	-	9,969	-	-	12,390	74,385
2014	79,610	7,812	-	-	-	9,420	-	-	10,778	66,341
2015	70,793	7,443	-	41,561	5,727	8,837	-	-	9,133	91,294
2016	22,555	7,063	41,330	40,179	4,326	8,242	-	-	7,453	116,226
2017	18,399	6,675	38,387	38,691	3,478	7,610	-	-	5,732	105,672
2018	14,087	6,271	36,048	37,165	9,804	6,926	2,510	-	3,968	133,646
2021										
2019	11,406	5,854	33,674	55,738	8,988	6,188	8,176	-	3,202	123,123
2020	10,686	5,445	31,242	53,371	8,144	5,389	5,651	-	2,426	112,557
2021	9,898	4,945	28,605	50,888	7,340	4,529	3,031	-	1,634	102,472

(a) Population information is presented in the Demographic and Economic Statistics schedule.

(b) 2012 amounts restated due to the implementation of GASB 65 (Items previously reported as assets and liabilities)

Note: Details regarding the City's outstanding debt may be found in the notes to the basic financial statements.

Business-Type Activities			Total Primary Government	Market Value of Taxable Property	Percentage of Property Values	Per Capita (a)
Promissory Notes	Certificates Of Participation	Lease Purchase Revenue Notes				
-	-	5,313	211,051	19,602,390	1.08%	2,089.61
-	-	8,949	192,964	19,676,353	0.98%	1,891.80
-	-	7,178	181,139	20,278,600	0.89%	1,725.13
-	-	-	234,788	20,434,242	1.15%	2,236.08
-	-	-	247,374	24,935,355	0.99%	2,311.91
1,167	-	-	225,811	25,043,689	0.90%	2,090.84
791	-	-	251,216	31,186,621	0.81%	2,347.81
402	-	-	256,751	31,249,494	0.82%	2,399.54
-	-	-	234,911	34,659,583	0.68%	2,175.10
-	-	-	213,342	34,946,349	0.61%	1,975.39

CITY OF BOULDER, COLORADO

Statistical Data

Ratios of General Bonded Debt Outstanding

Last Ten Fiscal Years
(Unaudited)

(Amounts in 000's)

Fiscal Year	Governmental Activities General Obligation Bonds/Notes	Business-Type Activities General Obligation Bonds	Total	Taxable Sales	Percentage of Taxable Sales (a)	Per Capita (b)
2012 (c)	95,773	14,046	109,819	2,856,218	3.84%	1,087.32
2013	85,893	12,390	98,283	3,053,841	3.22%	963.56
2014	87,422	10,778	98,200	3,267,302	3.01%	935.24
2015	78,236	9,133	87,369	3,402,150	2.57%	832.09
2016	29,618	7,453	37,071	3,530,285	1.05%	346.46
2017	25,074	5,732	30,806	3,521,063	0.87%	285.24
2018	20,358	3,968	24,326	3,687,668	0.66%	227.35
2019	17,260	3,202	20,462	3,731,218	0.55%	191.23
2020	16,131	2,426	18,557	3,558,032	0.52%	171.82
2021	14,843	1,634	16,477	4,007,617	0.41%	152.56

(a) General bonded debt is repaid with sales tax revenues instead of property taxes. Taxable sales is used as a relevant basis for comparison.

(b) Personal income is not available at the City level; therefore, the Per Capita is used for this calculation as allowed.

(c) 2012 amounts restated due to the implementation of GASB 65 (Items previously reported as assets and liabilities)

Note: Details regarding the City's outstanding debt may be found in the notes to the basic financial statements.

CITY OF BOULDER, COLORADO

Statistical Data

Direct and Overlapping Debt

December 31, 2021
(Unaudited)

(Amounts in 000's)

<u>Jurisdiction</u>	<u>Par value of net General Obligation debt outstanding (a)</u>	<u>Percentage applicable to City of Boulder (b)</u>	<u>Amount applicable to City of Boulder (c)</u>
Boulder Valley School District RE-2	\$ 749,265	61.52 %	\$ 460,935
Boulder Central Area General Improvement District	1,610	100.00	1,610
Northern Colorado Water Conservancy District (NCWCD)	2,905	16.91	491
Boulder County	-	45.41	-
Urban Drainage and Flood Control District	-	6.13	-
Total Overlapping Debt			<u>463,036</u>
City Direct Governmental Activity Debt			109,236
Total Direct and Overlapping Debt			<u><u>\$ 572,272</u></u>

(a) Source for net General Obligation debt outstanding: Boulder Valley School District, NCWCD, Boulder County, and Urban Drainage and Flood Control District

(b) Source for percentage applicable to City of Boulder: 2020 Abstract of Assessment and Summary of Levies (Boulder County Assessor's Office), NCWCD, UDFC and Boulder Valley School District RE-2.

(c) The City of Boulder's valuation is divided by each jurisdiction's valuation, with the exception of the Boulder Central Area General Improvement District, which is wholly within the City limits.

For 2021, each jurisdiction had the following valuations (in 000's):

The City of Boulder	\$ 4,281,858
Boulder Valley School District	6,960,300
NCWCD	25,322,157
Boulder County	9,429,279
Urban Drainage & Flood Control	69,864,123

CITY OF BOULDER, COLORADO

Statistical Data

Legal Debt Margin Information

Last Ten Fiscal Years
(Unaudited)

(Amounts in 000's)

Legal Debt Margin Calculation for Fiscal Year 2021

Assessed value	\$ 4,281,858
Debt limit - 3% of assessed value	128,456
Debt applicable to limit:	
Total bonded debt	16,477
Deductions allowed by law:	
Self-supporting General Obligation bonds	(16,477)
Total net debt applicable to limit	-
Legal debt margin	<u>\$ 128,456</u>

	2012 (a)	2013	2014	2015
Debt limit	\$ 75,021	\$ 77,024	\$ 77,981	\$ 94,814
Total net debt applicable to limit	-	-	-	-
Legal debt margin	<u>\$ 75,021</u>	<u>\$ 77,024</u>	<u>\$ 77,981</u>	<u>\$ 94,814</u>
Total net debt applicable to the limit as a percentage of debt limit	0.00%	0.00%	0.00%	0.00%

(a) 2012 amounts adjusted due to the implementation of GASB 65
(Items previously reported as assets and liabilities)

Note: The total indebtedness of the City, payable solely from the proceeds of ad valorem taxes, shall not exceed 3% of assessed value of taxable property in the municipality. Indebtedness payable in whole or in part from other revenue sources, or is subject to annual appropriations therefrom by the Boulder City Council, is not included in this limitation. (Charter of the City of Boulder, Sec. 97.)

2016	2017	2018	2019	2020	2021
\$ 94,409	\$ 110,011	\$ 109,790	\$ 120,852	\$ 121,154	\$ 128,456
-	-	-	-	-	-
\$ 94,409	\$ 110,011	\$ 109,790	\$ 120,852	\$ 121,154	\$ 128,456
0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

CITY OF BOULDER, COLORADO

Statistical Data

Pledged Revenue Coverage

Last Ten Years
(Unaudited)

(Amounts in 000's)

Pledged Water and Sewer Bonds

<u>Fiscal year</u>	<u>Gross revenue (a)</u>	<u>Direct operating expense (b)</u>	<u>Net revenue available for debt service</u>	<u>Maximum annual debt service requirement</u>	<u>Coverage (c)</u>
2012	41,390	23,503	17,887	12,550	1.43
2013	42,526	24,347	18,179	12,379	1.47
2014	46,519	27,657	18,862	12,379	1.52
2015	51,959	28,220	23,739	11,741	2.02
2016	52,125	29,266	22,859	11,421	2.00
2017	52,141	29,899	22,242	11,430	1.95
2018	54,218	29,828	24,390	12,893	1.89
2019	63,205	26,059	37,146	11,499	3.23
2020	65,103	27,390	37,713	11,378	3.31
2021	64,964	29,351	35,613	9,268	3.84

(a) Gross revenue as defined by applicable bond ordinances includes gross operating and nonoperating revenues, plant investment fees and special assessments in the Water Utility and Wastewater Utility Funds.

(b) Direct operating expense equals total operating expenses less depreciation and amortization expense.

(c) Prior to issuing additional parity bonds, the City must meet the following "facilities earnings test":

The annual gross revenue derived from the operation of the facilities for the fiscal year immediately preceding the date of the issuance of additional parity bonds must be sufficient to pay the annual operation and maintenance expenses of the facilities for that fiscal year, and, in addition, sufficient to pay an amount representing 125% of the combined maximum annual principal and interest requirements of the outstanding bonds, and any other bonds payable from and constituting a lien upon net income of the facilities, and the bonds proposed to be issued.

CITY OF BOULDER, COLORADO

Statistical Data

Pledged Revenue Coverage

Last Ten Years
(Unaudited)

(Amounts in 000's)

Stormwater and Flood Management Bonds

<u>Fiscal year</u>	<u>Gross income (d)</u>	<u>Operating and Maintenance expense (e)</u>	<u>Net revenue available for debt service</u>	<u>Average annual debt service requirement</u>	<u>Coverage (f)</u>
2012	5,386	3,161	2,225	386	5.76
2013	5,708	3,279	2,429	386	6.29
2014	5,642	3,737	1,905	385	4.95
2015	11,806	6,064	5,742	1,934	2.97
2016	13,991	6,146	7,845	1,934	4.06
2017	13,741	6,494	7,247	1,978	3.66
2018	11,428	7,576	3,852	1,590	2.42
2019	12,780	6,324	6,456	1,590	4.06
2020	14,396	6,943	7,453	1,590	4.69
2021	14,666	7,843	6,823	1,590	4.29

(d) Gross income as defined by applicable bond ordinances means all income and revenues derived directly or indirectly by the City from the Fees, including interest earnings on moneys in any fund or account created by the bond ordinance and includes all revenues earned by the City therefrom.

(e) Operating and Maintenance Expenses means all reasonable and necessary current expenses of the City paid or accrued, of operating, maintaining and repairing the Flood Control System. It does not include depreciation, capital replacements, or operating, maintenance or repair reserves.

(f) Prior to issuing additional parity bonds, the City must meet the following "fee test":

The annual gross income for the fiscal year immediately preceding the date of the issuance of additional parity bonds shall have been sufficient to pay the annual operation and maintenance expenses of the Flood Control System for said fiscal year, and, in addition, sufficient to pay an amount representing 125% of the combined average annual principal and interest requirements of the Outstanding Series 1998 Bonds of the City payable from and constituting a lien upon net income from the Fees and the bonds proposed to be issued.

CITY OF BOULDER, COLORADO

Statistical Data

Demographic and Economic Statistics

Last Ten Fiscal Years
(Unaudited)

(Amounts in 000's)

Fiscal Year Ended April 30	City of Boulder Population (a)	Boulder, Colorado Metropolitan Statistical Area			
		Population (b)	Total Personal Income (b)	Per Capita Income (b)	Unemployment Rate (c)
2011	98	300	15,536	51.893	5.9%
2012	101	305	16,639	54.502	5.6%
2013	102	310	17,042	54.968	4.7%
2014	105	314	18,370	58.627	3.2%
2015	105	319	19,233	60.220	2.8%
2016	107	322	20,528	63.707	2.2%
2017	108	323	21,940	68.027	3.0%
2018 (d)	107	326	23,932	73.394	3.3%
2019	107	326	24,962	76.527	2.4%
2020	108	330	26,059	79.650	5.7%
2021	104	329	*	*	3.5%

(a) Source: City of Boulder Department of Community Planning & Sustainability. Estimates are based on January 1.

(b) Source: U.S. Department of Commerce, Bureau of Economic Analysis, Table CAINC1

(c) Source: Boulder Economic Council

(d) 2018 City of Boulder Population decreased due to the vacancy rate increase

* 2021 Boulder, Colorado Metropolitan Statistical Area not available

CITY OF BOULDER, COLORADO

Statistical Data

Principal Employers

Current Year and Nine Years Ago
(Unaudited)

Employer	2012			2021		
	Employees	Rank	Percentage of Total County Employment (a)	Employees	Rank	Percentage of Total County Employment (a1)
University of Colorado at Boulder	7,312	1	4.43%	6,230	1	3.12%
Ball Corporation	2,982	4	1.81%	4,800	2	2.40%
Boulder Valley School District	4,000	2	2.42%	4,500	3	2.25%
St. Vrain Valley School District	3,238	3	1.96%	3,393	4	1.70%
Boulder Community Hospital	2,300	7	1.39%	2,380	5	1.19%
Boulder County	1,848	9	1.12%	2,040	6	1.02%
City of Boulder	-	-	-	1,376	7	0.69%
National Center for Atmospheric Research (NCAR)	1,394	10	0.84%	1,187	8	0.59%
University Corporation for Atmospheric Research (UCAR)	-	-	-	1,187	9	0.59%
National Oceanic & Atmospheric Administration (NOAA)	-	-	-	867	10	0.43%
IBM Corporation	2,800	5	1.70%	(b)	-	-
Level 3 Communications Inc.	2,478	6	1.50%	-	-	-
Covidien	1,860	8	1.13%	-	-	-
	<u>30,212</u>		<u>18.30%</u>	<u>27,960</u>		<u>13.98%</u>

Source: The Boulder County Business Report Book of Lists and Colorado Department of Labor and Employment.

(a) This list is the 10 largest employers in Boulder County. Employment information specific to the City of Boulder is not available for the years presented.

(a1) Starting in 2016, Broomfield County has been excluded with the exception of 2021 Ball Corporation employees numbers.

(b) In 2021, IBM has not provided employment number

CITY OF BOULDER, COLORADO

Statistical Data

Full-Time Equivalent City Employees By Functions/Programs

Last Ten Fiscal Years
(Unaudited)

Functions/Program	Full-Time Equivalent Employees:			
	2012	2013	2014	2015
General Government:				
Municipal Court	16.25	18.16	18.13	21.13
City Attorney	20.15	20.20	21.20	19.20
City Manager- Administration	12.68	12.00	12.00	19.50
City Manager- Community Vitality	42.25	42.25	42.25	44.50
City Manager- Communications	6.50	6.50	6.50	6.50
Administrative Services:				
Human Resources	15.38	15.63	18.63	24.63
Finance	34.00	34.00	36.00	38.67
Information Technology	34.50	34.00	36.85	37.18
Public Safety:				
Police	279.50	279.50	282.50	288.00
Fire	115.33	118.33	120.33	121.33
Planning & Development Services:				
Community Planning and Sustainability	-	-	-	-
Energy Strategy & Electric Utility	-	-	-	-
Public Works:				
Administration	-	2.74	2.74	3.74
Fleet	14.82	14.77	14.77	14.77
Transportation	59.52	59.78	60.09	70.34
Utilities	154.84	153.59	154.17	166.92
Facility / Asset Management	14.68	14.73	14.84	14.84
2021				
Culture and Recreation:				
Parks and Recreation	126.37	128.37	127.37	130.35
Library	75.13	74.14	76.26	76.26
Arts	2.00	3.25	3.25	2.25
Open Space / Mountain Parks:				
Open Space / Mountain Parks:	89.60	91.60	95.35	102.35
Housing and Human Services:				
Housing	-	-	-	-
Human Services	-	-	-	-
Total	<u>1,243.20</u>	<u>1,260.62</u>	<u>1,286.01</u>	<u>1,358.77</u>

Source: City of Boulder Summary of Standard FTE's per the annual budget document

* In 2018, Energy Strategy & Electric Utility FTE position was increased to 6 under the revised budget

Note: Number of FTE's budgeted and approved for each fiscal year

Full-Time Equivalent Employees					
2016	2017	2018	2019	2020	2021
21.13	20.35	19.35	18.35	18.35	16.10
25.70	27.65	27.65	28.00	28.00	26.00
17.00	19.88	22.88	18.00	14.00	14.00
46.50	49.00	48.25	47.24	48.01	41.88
12.75	13.50	14.75	15.25	14.25	16.25
24.38	23.38	23.38	23.00	24.00	22.00
44.50	46.62	48.12	44.00	44.00	44.00
40.25	40.75	39.75	41.75	41.00	39.00
290.89	291.89	291.75	288.25	289.25	280.60
124.33	124.00	124.00	123.00	124.00	118.00
112.72	-	-	-	-	-
-	55.34	55.54	54.54	44.03	32.30
-	9.00	*	6.50	21.00	16.50
2.85	1.5	-	-	-	-
15.12	14.62	13.20	13.43	12.80	12.40
71.34	72.09	73.87	75.91	70.41	70.52
168.02	168.87	169.48	168.90	160.54	166.07
17.53	18.79	19.22	19.99	21.62	21.04
136.35	139.12	146.27	141.50	145.25	123.52
77.50	74.00	74.00	74.25	76.75	61.73
1.00	3.50	3.50	3.50	3.50	3.50
117.15	128.4	126.18	121.60	125.35	125.65
52.14	-	-	-	-	-
-	15.95	16.35	15.35	15.35	9.59
-	35.05	36.22	33.22	33.22	30.81
<u>1,419.15</u>	<u>1,447.36</u>	<u>1,451.09</u>	<u>1,432.58</u>	<u>1,442.17</u>	<u>1,347.30</u>

CITY OF BOULDER, COLORADO

Statistical Data

Operating Indicators By Function/Program

Last Ten Fiscal Years
(Unaudited)

Function/Program	2012	2013	2014
General Government:			
Municipal Court			
Traffic tickets processed	15,681	12,464	10,998
General summons processed	6,498	5,871	4,466
Animal summons processed	1,635	1,340	1,074
Arraignments	5,810	5,049	4,341
Court trials	63	84	61
Jury trials	12	16	23
Public Safety:			
Police			
Number of police officers	173	173	176
DUI arrests	706	592	583
Traffic summons	16,547	18,438	12,530
Total traffic accidents	3,183	3,598	3,449
Total calls for service	91,675	107,519	108,279
Fire			
Number of firefighters	96	96	96
Total annual responses	10,293	11,203	9,910
Percentage of responses within 6 minutes	74%	78%	47%
Planning & Development Services:			
Number of applications received	6,488	7,727	6,115
Number of zoning and environmental code enforcement cases	706	809	821
Public Works			
Transportation			
Daily vehicle miles of travel in Boulder Valley	2.34 million	2.40 million	2.89 million
Culture and Recreation:			
Parks and Recreation			
Recreation center attendance	725,000	736,138	727,531
Outdoor pool attendance	77,441	74,175	75,597
Athletics participation	175,543	181,752	161,652
Recreation class enrollment	23,092	23,417	29,451
Reservoir attendance	238,265	227,935	156,034
Rounds of golf	43,974	36,872	41,494
Library			
Circulation of books, videos, tapes	1,446,816	1,449,679	1,305,894
Remote use of library resources online	748,917	752,629	840,954
Adults participating in cultural and educational programs	31,063	23,999	25,737
Attendance at outreach program activities	5,312	4,429	4,650
Arts			
Participants in Boulder Arts Resource	737	NA	NA
Housing Division:			
Number of permanently affordable housing units added on an annual basis	18	236	141

Source: City of Boulder departmental records.

(a) Prior years each page viewed online was counted. For 2016, the count only includes the online visit regardless of how many pages were viewed.

(b) In 2017, these numbers were corrected due to a reported error.

(c) In 2018, a new Planning and Development software application, ENERGOV, is used to gather data.

(d) In 2018, Parks and Recreation reporting tools started to include rental attendance at all recreation centers.

2015	2016	2017	2018	2019	2020	2021
8,273	9,361	5,926	6,949	6,264	4,800	3,482
4,886	4,239	3,781	3,576	3,725	3,037	2,407
2,016	840	852	966	1,071	707	871
4,459	5,090	5,087	6,035	4,634	3,069	2,672
54	27	18	26	19	12	16
12	2	2	8	7	1	-
179	181	181	181	183	184	190
568	486	352	270	179	122	151
13,106	11,439	6,462	7,026	7,337	4,676	3,499
3,593	3,691	3,491	3,624	3,522	2,085	2,336
105,315	111,349	121,570	117,666	104,085	80,486	75,280
96	96	100	99	100	100	108
10,669	11,818	11,977	11,776	12,262	11,309	12,975
66%	69%	75%	59%	57%	72%	65%
6,170	6,289	6,253	7,582	10,715	9,878	10,077
1,178	1,371	1,547	(c) 1,065	1,465	1,132	642
2.46 million	2.49 million	2.49 million	2.49 million	2.49 million	1.86 million	3.10 million
488,707	414,366	609,129	(d) 1,239,784	1,009,356	214,107	198,204
64,638	(b) 77,022	61,815	55,079	44,645	25,563	74,895
176,404	210,000	239,378	143,824	114,114	5,704	61,628
31,223	21,098	18,027	16,677	14,413	3,830	6,170
139,396	(b) 163,155	176,747	165,874	184,610	113,390	121,761
37,174	35,397	37,992	36,176	35,695	40,420	47,464
1,350,156	1,359,858	1,529,187	1,556,715	1,856,404	1,035,511	1,323,792
757,918	(a) 295,040	323,233	405,818	371,778	82,497	102,087
36,203	39,198	20,939	31,086	35,444	4,235	955
3,282	4,943	4,717	3,104	2,163	1,000	325
NA	NA	NA	NA	NA	NA	NA
205	246	94	120	37	277	149

CITY OF BOULDER, COLORADO

Statistical Data

Capital Asset Statistics By Function/Program

Last Ten Fiscal Years
(Unaudited)

Function/Program	2012	2013	2014
Public Safety:			
Police			
Number of stations and annexes	4	5	5
Fire			
Number of stations	7	7	7
Public Works:			
Fleet Services			
Cars, Pickups, Vans, and Motorcycles	312	328	377
Fire Apparatus	14	14	14
Other Heavy Trucks and Equipment	677	720	704
Total Vehicles/Equipment in Fleet	1,003	1,062	1,095
Transportation			
Miles of streets	295	295	295
Number of street lights	4,742	4,766	4,811
Utilities - Water			
Number of water accounts	28,759	28,747	28,829
Average daily water production (000's)	17,600	15,737	15,692
Miles of water mains	463	462	463
Utilities - Sewer			
Miles of sanitary sewer mains	355	355	356
Miles of storm sewers	153	152	153
Culture and Recreation:			
Parks and Recreation			
Acres of urban parks	1,800	1,800	1,800
Library			
Number of libraries	4	4	5
Number of library items in collection	390,427	413,740	412,824
Open Space / Mountain Parks:			
Acres of mountain parks and open space	45,591	46,632	45,518

Source: City of Boulder departmental records.

2015	2016	2017	2018	2019	2020	2021
5	5	5	5	5	5	5
7	7	7	7	7	7	8
377	381	486	481	388	400	508
14	14	14	14	15	15	15
713	831	715	690	599	598	656
1,104	1,226	1,215	1,185	1,002	1,013	1,179
300	300	294	294	305	305	305
4,822	5,059	5,081	5,155	5,157	5,167	4,979
28,944	29,140	29,502	29,092	29,621	29,375	29,207
15,800	15,600	16,200	16,200	14,600	15,700	15,200
463	467	467	468	468	468	491
356	356	356	356	358	358	358
144	153	152	152	148	148	160
1,800	1,800	1,800	1,800	1,861	1,861	1,861
5	5	5	5	5	5	5
473,716	331,078	308,825	330,851	375,580	302,012	327,557
45,518	45,540	45,570	46,599	46,800	46,800	46,648

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CITY OF BOULDER, COLORADO
Schedule of Expenditures of Federal Awards
Year Ended December 31, 2021

Federal Grantor, Program Title, Project/Grant Number, and Program Year	Federal Assistance Listing Number	Pass thru Entity Identifying Number	Amount Provided to Subrecipient	Total Expenditures 1/1/21-12/31/21
Department of Housing and Urban Development:				
Direct Programs:				
CDBG - Entitlement Grants Cluster:				
Community Development Block Grants/Entitlement Grants	14.218	N/A	\$ 384,929	\$ 679,648
Subtotal CDBG - Entitlement Grants Cluster			384,929	679,648
HOME Investment Partnerships Program	14.239	N/A	420,318	474,958
Total Department of Housing and Urban Development			805,247	1,154,606
Department of Justice:				
Direct Programs:				
Edward Byrne Memorial Justice Assistance Grant Program	16.738	N/A	-	19,267
COVID 19 - Coronavirus Emergency Supplemental Funding Program	16.034	N/A	-	17,444
National Community Courts Initiative	16.585	N/A	-	49,861
Passed through Colorado Division of Criminal Justice				
Victims of Crime Assistance	16.575	2020-VA-21-800-20	-	36,653
COVID 19 - Coronavirus Emergency Supplemental Funding Program	16.034	2020-VD-21-20-50	-	8,115
Edward Byrne Memorial Justice Assistance Grant Program	16.738	2018-DJ-21-01-52-1	-	135,025
Passed through City of Colorado Springs				
Missing Children's Assistance	16.543	2018-MC-FX-K027	-	17,020
Total Department of Justice			-	283,385
Department of Transportation:				
Passed through Colorado Department of Transportation:				
Highway Planning and Construction	20.205	None provided	-	4,551,720
Grants for Buses and Bus Facilities Program	20.526	20-HTR-ZL-03125	-	311,760
Passed through Colorado Parks & Wildlife				
Recreational Trails Program	20.219	None provided	-	244,986
Total Department of Transportation			-	5,108,466
Department of Treasury				
Direct Programs:				
COVID 19 - Coronavirus State and Local Fiscal Recovery Funds	21.027	N/A	-	1,202,295
Passed through Colorado Department of Local Affairs:				
COVID 19 - Coronavirus Relief Fund	21.019	CVRF CM-157	-	218,246
Total Department of Treasury			-	1,420,541
Department of Homeland Security				
Passed through Colorado Department of Public Safety:				
COVID 19 - Disaster Grants - Public Assistance	97.036	Various	-	263,003
Passed through Arapahoe County:				
Donated equipment	97.067	Various	-	56,720
Total Department of Homeland Security			-	319,723
Total Federal Expenditures			\$ 805,247	\$ 8,286,721
See Notes to Schedule of Expenditures of Federal Awards				

CITY OF BOULDER, COLORADO
Notes to Schedule of Expenditures of Federal Awards
Year Ended December 31, 2021

Note 1. Basis of Presentation

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the City of Boulder, Colorado for the year ended December 31, 2021. All federal financial assistance received directly from federal agencies, as well as federal financial assistance passed through other governmental agencies, is included in the schedule. The information in this schedule is presented in accordance with requirements of the Code of Federal Regulations, 2 CFR Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the presentation of, the basic financial statements.

Note 2. Significant Accounting Policies

Revenue from federal awards is recognized when the City has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal grants is recognized when it becomes both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred. The City has elected to not use the 10 percent de minimis indirect cost rate as allowed under the Uniform Guidance.

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance for all awards with the exception of Federal Assistance Listing #21.019, which follows criteria determined by the Department of Treasury for allowability of costs. Under these principles, certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Expenditures Incurred in Prior Years

PW0065 and PW0080 were COVID-19 expenditures incurred in 2020. These expenditures were not obligated under the Disaster Grants-Public Assistance, Federal Assistance Listing #97.036 until FY 2021. As such the expenditures of \$263,003 were incurred in the prior year and this amount was added to current year expenses reported for this program.

Note 4. Pass Through Entity Identifying Numbers

The pass thru award numbers for the Disaster Grants – Public Assistance program were PW0065 and PW0080. The pass thru award numbers for the Homeland Security Grant Program were 19SHS20NCR and 18HS19NCR.



**INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING
AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Honorable Mayor and Members of City Council
City of Boulder
Boulder, Colorado

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Boulder, Colorado (the City), as of and for the year ended December 31, 2021, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated June 24, 2022.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

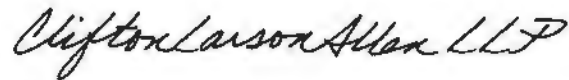
Honorable Mayor and Members of City Council
City of Boulder, Colorado

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "CliftonLarsonAllen LLP". The signature is written in a cursive, flowing style.

CliftonLarsonAllen LLP

Broomfield, Colorado
June 24, 2022



**INDEPENDENT AUDITORS' REPORT ON COMPLIANCE FOR EACH MAJOR
FEDERAL PROGRAM AND REPORT ON INTERNAL CONTROL OVER COMPLIANCE
REQUIRED BY THE UNIFORM GUIDANCE**

Honorable Mayor and Members of City Council
City of Boulder
Boulder, Colorado

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited City of Boulder, Colorado (the City)'s compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2021. The City's major federal programs are identified in the summary of auditors' results section of the accompanying schedule of findings and questioned costs.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2021.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- exercise professional judgment and maintain professional skepticism throughout the audit.
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are required to be reported in accordance with the Uniform Guidance and which are described in the accompanying schedule of findings and questioned costs as item 2021-001. Our opinion on each major federal program is not modified with respect to these matters.

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the noncompliance findings identified in our compliance audit described in the accompanying schedule of findings and questioned costs. The City's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control Over Compliance

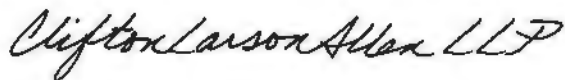
Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, as discussed below, we did identify certain deficiencies in internal control over compliance that we consider to be significant deficiencies.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiencies in internal control over compliance described in the accompanying schedule of findings and questioned costs as item 2021-001 to be a significant deficiency.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the internal control over compliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. The City's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



CliftonLarsonAllen LLP

Broomfield, Colorado
June 24, 2022

**CITY OF BOULDER, COLORADO
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED DECEMBER 31, 2021**

Section I – Summary of Auditors’ Results

Financial Statements

1. Type of auditors’ report issued: Unmodified
2. Internal control over financial reporting:
 - Material weakness(es) identified? _____ yes x no
 - Significant deficiency(ies) identified? _____ yes x none reported
3. Noncompliance material to financial statements noted? _____ yes x no

Federal Awards

1. Internal control over major federal programs:
 - Material weakness(es) identified? _____ yes x no
 - Significant deficiency(ies) identified? x yes _____ none reported
2. Type of auditors’ report issued on compliance for major federal programs: Unmodified
3. Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? x yes _____ no

Identification of Major Federal Programs

Assistance Listing Number(s)	Name of Federal Program or Cluster
21.027	COVID-19 Coronavirus State and Local Fiscal Recovery Funds
14.239	Home Investment Partnerships Program

Dollar threshold used to distinguish between Type A and Type B programs: \$ 750,000

Auditee qualified as low-risk auditee? x yes _____ no

**CITY OF BOULDER, COLORADO
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED DECEMBER 31, 2021**

Section II – Financial Statement Findings

Our audit did not disclose any matters required to be reported in accordance with *Government Auditing Standards*.

**CITY OF BOULDER, COLORADO
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED DECEMBER 31, 2021**

Section III – Findings and Questioned Costs – Major Federal Programs

2021 – 001

Federal agency: US Department of the Treasury

Federal program title: COVID-19 Coronavirus State and Local Fiscal Recovery Funds

Assistance Listing Number: 21.027

Pass-Through Agency: Not applicable.

Pass-Through Number(s): Not applicable.

Award Period: 2021

Compliance Requirement: Suspension and Debarment

Type of Finding: Significant Deficiency in Internal Control over Compliance, Other Matters

Criteria or specific requirement: Non-Federal entities are prohibited from contracting with or making subawards under covered transactions to parties that are suspended or debarred. "Covered transactions" include contracts for goods and services awarded under a non-procurement transaction (e.g., grant or cooperative agreement) that are expected to equal or exceed \$25,000 or meet certain other criteria as specified in 2 CFR section 180.220. All non-procurement transactions entered into by a passthrough entity (i.e., subawards to subrecipients), irrespective of award amount, are considered covered transactions, unless they are exempt as provided in 2 CFR section 180.215. When a non-Federal entity enters into a covered transaction with an entity at a lower tier, the non-Federal entity must verify that the entity, as defined in 2 CFR section 180.995 and agency adopting regulations, is not suspended or debarred or otherwise excluded from participating in the transaction. This verification may be accomplished by (1) checking the Excluded Parties List System (EPLS) maintained by the General Services Administration (GSA) and available at <https://governmentcontractregistration.com/sam-registration-and-renewal/>, (2) collecting a certification from the entity, or (3) adding a clause or condition to the covered transaction with that entity (2 CFR section 180.300).

Condition: We noted that the City does have policies and procedures in place for compliance with suspension and debarment requirements; however, we noted that one out of two vendors selected for testing had not been checked to verify they were not suspended or debarred. We did verify the vendor were not currently suspended or debarred through verification per SAM.gov.

Questioned costs: None

Context: The City does have a policy and procedure to check a vendor's suspension and debarment status either by checking the Excluded Parties List System (EPLS), collecting a certification from the proposed entity, and/or adding a clause or condition to the covered transaction with that entity. The City was not able to provide verification of the suspension and debarment status through review of the EPLS, providing a certification from the vendor, or through a clause or condition within the signed contract. The City did provide proof of this verification that occurred but was during the audit time period, subsequent to year-end.

Cause: The City reviewed the active record within SAM.gov, but did not keep a copy of the review for the vendor.

**CITY OF BOULDER, COLORADO
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED DECEMBER 31, 2021**

Effect: The City could not be in compliance with suspension and debarment requirements for its federal programs and could pay a vendor who is suspended and debarred from federal programs.

Repeat Finding: No

Recommendation: The City should ensure its policies and procedures over suspension and debarment are being enforced for all transactions and verify status with every renewal.

Views of responsible officials: There is no disagreement with the audit finding.



City of Boulder Finance

CITY OF BOULDER, COLORADO CORRECTIVE ACTION PLAN YEAR ENDED DECEMBER 31, 2021

Department of the Treasury

City of Boulder respectfully submits the following corrective action plan for the year ended December 31, 2021.

Audit period: January 1, 2021 - December 31, 2021

The finding from the schedule of findings and questioned costs is discussed below. The finding is numbered consistently with the number assigned in the schedule.

FINDINGS—FEDERAL AWARD PROGRAMS AUDITS

DEPARTMENT OF THE TREASURY

2021-001 Coronavirus State and Local Fiscal Recovery Funds Recovery Funds – Assistance Listing
No. 21.027

Recommendation: The City should ensure its policies and procedures over suspension and debarment are being enforced for all transactions and verify status with every renewal.

Explanation of disagreement with audit finding: There is no disagreement with the audit finding.

Action taken in response to finding: The City agrees that documentation was not kept of the EPLS review. As noted, the entity was not included on the suspended and debarred listing. The City has met with each department expending these funds and discussed the need to verify that they have completed one of the following for each vendor: checked their status in EPLS; obtained a certification from the vendor; or the signed contract has a clause or condition regarding suspension and debarment. This review will be completed by each department prior to entering into the contract with each entity. The documentation should include a copy of the EPLS record; the certification from the vendor; or reference the contract that includes the clause or condition regarding suspension and debarment.

Name(s) of the contact person(s) responsible for corrective action: Anne Penney

Planned completion date for corrective action plan: 7/31/2022

If the Department of the Treasury has questions regarding this plan, please call Anne Penney at 303-441-1812.



City of Boulder Finance

CITY OF BOULDER, COLORADO SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS YEAR ENDED DECEMBER 31, 2021

The City of Boulder, Colorado respectfully submits the following summary schedule of prior audit findings for the year ended December 31, 2021.

Audit period: January 1, 2021 - December 31, 2021

The findings from the prior audit's schedule of findings and questioned costs are discussed below. The findings are numbered consistently with the numbers assigned in the prior year.

FINDINGS—FINANCIAL STATEMENT AUDIT

There were no financial statement findings in the prior year.

FINDINGS—FEDERAL AWARD PROGRAMS AUDITS

There were no federal award program audit findings in the prior year.

LOCAL HIGHWAY FINANCE REPORT		City or County: City of Boulder
		YEAR ENDING : December 2021
This Information From The Records Of (example - City of _ or County of _) City of Boulder	Prepared By: Phone:	Gastonia Anderson, Budget & Finance Analyst (303) 413-7831

I. DISPOSITION OF HIGHWAY-USER REVENUES AVAILABLE FOR LOCAL GOVERNMENT EXPENDITURE

ITEM	A. Local Motor-Fuel Taxes	B. Local Motor-Vehicle Taxes	C. Receipts from State Highway-User Taxes	D. Receipts from Federal Highway Administration
1. Total receipts available				
2. Minus amount used for collection expenses				
3. Minus amount used for nonhighway purposes				
4. Minus amount used for mass transit				
5. Remainder used for highway purposes				

II. RECEIPTS FOR ROAD AND STREET PURPOSES

ITEM	AMOUNT
A. Receipts from local sources:	
1. Local highway-user taxes:	
a. Motor Fuel (from Item I.A.5.)	
b. Motor Vehicle (from Item I.B.5.)	
c. Total (a.+b.)	
2. General fund appropriations	2,692,009
3. Other local imposts (from page 2)	29,278,729
4. Miscellaneous local receipts (from page 2)	686,034
5. Transfers from toll facilities	0
6. Proceeds of sale of bonds and notes:	
a. Bonds - Original Issues	0
b. Bonds - Refunding Issues	0
c. Notes	0
d. Total (a. + b. + c.)	0
7. Total (1 through 6)	32,656,772
B. Private Contributions	
C. Receipts from State government (from page 2)	7,024,308
D. Receipts from Federal Government (from page 2)	781,828
E. Total receipts (A.7 + B + C + D)	40,462,908

III. DISBURSEMENTS FOR ROAD AND STREET PURPOSES

ITEM	AMOUNT
A. Local highway disbursements:	
1. Capital outlay (from page 2)	24,208,248
2. Maintenance:	7,862,274
3. Road and street services:	
a. Traffic control operations	2,409,109
b. Snow and ice removal	1,620,225
c. Other	1,657,537
d. Total (a. through c.)	5,687,299
4. General administration & miscellaneous	4,005,532
5. Highway law enforcement and safety	2,103,048
6. Total (1 through 5)	43,866,401
B. Debt service on local obligations:	
1. Bonds:	
a. Interest	620,859
b. Redemption	1,010,039
c. Total (a. + b.)	1,630,898
2. Notes:	
a. Interest	0
b. Redemption	0
c. Total (a. + b.)	0
3. Total (1.c + 2.c)	1,630,898
C. Payments to State for highways	0
D. Payments to toll facilities	0
E. Total disbursements (A.6 + B.3 + C + D)	45,497,299

IV. LOCAL HIGHWAY DEBT STATUS

(Show all entries at par)

	Opening Debt	Amount Issued	Redemptions	Closing Debt
A. Bonds (Total)	13,618,029		1,010,039	12,607,990
1. Bonds (Refunding Portion)				
B. Notes (Total)				0

V. LOCAL ROAD AND STREET FUND BALANCE

	A. Beginning Balance	B. Total Receipts	C. Total Disbursements	D. Ending Balance	E. Reconciliation
Transportation Funds	30,654,731	36,760,861	41,795,250	25,620,342	(0)
Capital Improvement Bond Fund (Street & Road)	1,010,039	0	0	1,010,039	0
General Fund (Street & Road)	0	3,702,047	3,702,047	0	0

Notes and Comments:

Transportation Funds include the Transportation, Transportation Development and Boulder Junction Improvement Funds. Balances for Transportation Funds reflected in Section V include balances not restricted for road and street purposes as transportation funding within the City of Boulder supports multi-modal transportation. In contrast, receipt and disbursement financial data only reflect road and street-related activity.

FORM FHWA-536 (Rev.06/2000)

PREVIOUS EDITIONS OBSOLETE

Excel

(Next Page)

LOCAL HIGHWAY FINANCE REPORT

STATE:

Colorado

YEAR ENDING (mm/yy):

December 2021

II. RECEIPTS FOR ROAD AND STREET PURPOSES - DETAIL

ITEM	AMOUNT	ITEM	AMOUNT
A.3. Other local imposts:		A.4. Miscellaneous local receipts:	
a. Property Taxes and Assessments	0	a. Interest on investments	250,544
b. Other local imposts:		b. Traffic Fines & Penalties	
1. Sales Taxes	27,777,888	c. Parking Garage Fees	
2. Infrastructure & Impact Fees	1,216,683	d. Parking Meter Fees	
3. Liens	0	e. Sale of Surplus Property	
4. Licenses	0	f. Charges for Services	
5. Specific Ownership &/or Other	284,158	g. Other Misc. Receipts	435,490
6. Total (1. through 5.)	29,278,729	h. Other	
c. Total (a. + b.)	29,278,729	i. Total (a. through h.)	686,034
(Carry forward to page 1)		(Carry forward to page 1)	

ITEM	AMOUNT	ITEM	AMOUNT
C. Receipts from State Government		D. Receipts from Federal Government	
1. Highway-user taxes	86,928	1. FHWA (from Item I.D.5.)	
2. State general funds	0	2. Other Federal agencies:	
3. Other State funds:	0	a. Forest Service	0
a. State bond proceeds	0	b. FEMA	0
b. Project Match	0	c. HUD	0
c. Motor Vehicle Registrations	2,782	d. Federal Transit Admin	0
d. Other (Specify) - DOLA Grant	2,555,133	e. U.S. Corps of Engineers	0
e. Other (Specify)	4,549,221	f. Other Federal	612,073
f. Total (a. through e.)	6,937,380	g. Total (a. through f.)	612,073
4. Total (1. + 2. + 3.f)	7,024,308	3. Total (1. + 2.g)	
		(Carry forward to page 1)	

III. DISBURSEMENTS FOR ROAD AND STREET PURPOSES - DETAIL

	ON NATIONAL HIGHWAY SYSTEM (a)	OFF NATIONAL HIGHWAY SYSTEM (b)	TOTAL (c)
A.1. Capital outlay:			
a. Right-Of-Way Costs	0	25,306	25,306
b. Engineering Costs	2,477,402	8,582,965	11,060,367
c. Construction:			
(1). New Facilities	0	0	0
(2). Capacity Improvements	0	6,598,219	6,598,219
(3). System Preservation	0	3,211,086	3,211,086
(4). System Enhancement & Operation	(175,920)	3,489,191	3,313,271
(5). Total Construction (1) + (2) + (3) + (4)	(175,920)	13,298,496	13,122,576
d. Total Capital Outlay (Lines 1.a. + 1.b. + 1.c.5)	2,301,482	21,906,767	24,208,249
		(Carry forward to page 1)	

Notes and Comments: